

Triveni Engg (TRIVENI)

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Call: Jun 2023

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Thru:BSE Listing Centre Thru;NEAPS

STOCKCODE:532356 STOCKCODE:TRIVENI

Sub:Transcript of Analyst/Investor Conference Call held on 26"May,2023 REF:TEIL:SE:

Dear Sirs,

Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed

transcript of the Analyst/Investor Conference Call held on 26"May,2023 post

announcement of audited financial results of the Company for the 4"quarter and

financial year ended on March 31, 2023. The transcript is also available on the website

of the Company at www.trivenigroup.com

You are requested to kindly take the same in your record.

Thanking you,

Yours faithfully,

For Triveni Engineering & Industries Ltd.

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Group Vice President &

Company Secretary

M.No.A9475

Encl:As above

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Triveni Engineering & Industries Limited

Q4 & FY 23 Earnings Conference Call Transcript

May 26, 2023

Operator: Ladies and gentlemen, good day, and welcome to Q4 and FY 23 Earnings Conference Call of Triveni Engineering & Industries Limited. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gavin Desa from CDR India. Thank you, and over to you.

Gavin Desa: Thank you. Good day, everyone, and a warm welcome to all of you participating in Triveni Engineering & Industries Q4 and FY 23 Earnings Conference Call. We have with us today Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO Sugar Business Group as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussions may be forward-looking in nature, and a statement to this effect has been included in the invite, which has been shared with everyone earlier. I would also like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management following an interactive Q&A session.

May I now hand it over to Mr. Tarun Sawhney. Tarun, over to you.

Tarun Sawhney: Thank you, Gavin. Good afternoon, ladies and gentlemen, and welcome to the Q4 and FY 23 results earnings call for Triveni Engineering & Industries Limited. We are extremely pleased with the performance of the Company for the year ended 31st March '23, where several milestones have been achieved. For example, the highest ever crush was in Sugar Season 2022-23, an increase of 11% year-on-year. A record, gross and net turnover of ₹6,310 crore and ₹5,617 crore respectively, with a strong performance across the board. Record alcohol production and sales, following our capacity expansion to 660 KLPD and an aggregate Engineering business revenue of over ₹500 crore and segment results of our Engineering business of over ₹100 crore is another significant milestone.

It's a matter of satisfaction to see that the diversification of our profitability; Alcohol and Engineering business contributed to 51% of the total segment results in FY 23 against 39% in the previous fiscal year. It's a healthy trend, and it's indicative of lowering the dependence on the Sugar business and more innovative management of the business risks.

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Turning towards the Sugar and Alcohol business. We had our highest sugarcane crush at 9.33 million tonnes for Sugar Season 2022-23, an increase of 11%, as I mentioned over the previous season. This was due to modernization and debottlenecking activities that were taken up in the previous off-season.

Net recovery of 10.23% with 92% of sugarcane crush with B-heavy diversion in Season 2022-23 versus 84% in the previous season. There were lower recoveries, it is important to note, across the state of Uttar Pradesh this year. Significantly enhanced refined sugar production was another important point from the year under review, increasing from approximately 40% in Sugar Season 2021-22, to 60% in Sugar Season 2022-23.

Sugar exports contributed significantly to the profitability. We've achieved exports of 190,000 tonnes during FY 23 out of the total export quota just out of 205,000 tonnes for the year under review. In Q4 FY 23, just over 55,000 tonnes of physical sugar was exported. We had the highest ever alcohol production of 18.12 crore liters, which is an increase of 68% over the

previous year due to additional capacities and expansions and very much in line, in fact, a little bit more than what we had forecast in previous earnings conference calls and declared earlier. The figure at that point was 18 crore liters. We estimate that for the Sugar Season 2022-23, the nation will produce 32.8 million tonnes after a diversion of 4 million tonnes for ethanol, and 18% higher diversion from the previous Sugar Season.

Turning towards the Engineering business highlights. As I mentioned, our combined business revenue of ₹500 crore plus, and the FY 23 revenues actually were ₹577 crore for both Water and the Power Transmission group growing by over 30% over the previous year. The combined profit before interest and tax crossed the ₹100 crore mark at ₹101 crore. And the overall outstanding order book stood at over ₹1,650 crore for the combined Engineering businesses.

During the year, the Company also divested its entire stake in an associated Company, Triveni Turbine Limited to enhance shareholder value. Accordingly, it was followed up by a distribution of ₹800 crore to the shareholders under the Buyback Scheme of the Company, which was completed in March 2023, just a couple of months ago. The Board of Directors in the Board meeting held yesterday has recommended a final dividend of ₹3.25 per share, 325% for the FY 23.

In addition, we have a significant development, an additional, incremental approval of ₹85 crore of capital expenditure for the Sugar business, which mainly includes the expansion in capacity of our unit in Sabitgarh by 2,000 TCD raising it from 7,000 to 9,000 TCD. And with the proposed expansion, the total crushing capacity of the Company will be augmented to 63,000 TCD.

So, looking at the financial highlights in brief. The notable changes for the quarter, of course, is a 52.5% increase in revenues compared to the previous corresponding quarter and for the fiscal year under review a 34.4% increase to

■6,310 crore of gross revenues. The EBITDA margin also improved quite significantly in the quarter from 16.6% in the previous corresponding quarter to 18%.

The PAT for the quarter under review also increased by 74.3% from a ■109 crore to a ■190 crore approximately. All the businesses have contributed to the growth boosted by higher sales. The sales volumes in the Alcohol business were higher due to the new distillation capacities that were commissioned during the year and a large multi-feed distillery at Milak Narayanpur and a grain distillery at our Muzaffarnagar complex.

Profit before tax before exceptional items did decline marginally in FY 23 to ■562.4 crore, and this is primarily because of an export subsidy that was recognized in FY
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22 of about ■5.7 crore. The improved performance during FY 23 has been due to the substantial profitability of Sugar exports, which I have previously discussed. We managed to price our sugar at extremely attractive rates in December, January, and February and concluded at that time. Of course, prices went up quite substantially in February and later in March. But I think we're overall extremely happy with the realization and in comparing the realization that people have gotten across the country, I think we have fared extremely well from that particular campaign.

The total debt of the Company on a standalone basis on the 31st of March 2023 stood at ■825 crore. This is a sharp reduction compared to the ■1,504 crore on the 31st of March 2022. The overall cost of funds for FY 23 was 5.1% versus 5% in the previous year.

I'd now like to spend time on the individual businesses and discuss them in a little more detail.

Turning to the Sugar business, six of our seven sugar units recorded their highest ever sugar cane crush in Sugar Season 2022-23. We successfully produced and exported large quantities, well over 100,000 tonnes of S-grain or rather

EC2 grade

sugar, which fetched excellent realizations as we were able to capture the white margin for these products. Deoband unit post conversion to a refinery has stabilized very quickly and produced excellent quality refined sugar during the Sugar Season 2022-23.

We've also produced the highest ever quantity of pharmaceutical grade sugar from our factory at Sabitgarh, which was expected. Six of the Company's units operated on B-heavy Molasses throughout Sugar Season 2022-23 and that leaves our unit in East Uttar Pradesh, which is quite far away, several 100 kilometers away in Ramkola, at Ramkola where we did not produce B-heavy molasses, and where we produce C-heavy molasses. The sugar export prices were at a considerable premium as I mentioned. And the export sale of 73,000 tonnes during the quarter was sold at a revenue of ■29.42 crore.

Domestic sugar prices have remained broadly stagnant over the last few months. They went up a bit, they came down a bit and now have stabilized pretty much at the same level as they were just a couple of months ago. Sugar inventory on the 31st of March stood at 46.34 lakh quintals, which was valued at ■33.7 per kilo. I would like to mention that the cogeneration operations of the business received sales of ■63.8 crore, which was higher than the ■62.4 crore in the previous fiscal year, an increase of about 2%.

The current Sugar prices that prevail just now, sales that happened yesterday and this morning are approximately ■3,680 to ■3,700 per quintal for refined sugar and ■3,620 to ■3,640 per quintal for sulphitation sugar. So, we've seen some amount of price increase that has happened over the last few days, few weeks or 10 days or so. Going forward, I see some further improvement certainly as we come towards the holiday season, especially when we go post monsoon, July, August, September, I would see prices increase slightly at that point in time.

The performance of this Sugar season was quite dramatic and remarkable. As I

mentioned, we had our highest ever crush of 9.33 million tonnes of sugarcane at a net recovery of 10.23 %, this recovery was lower. The State's recovery also was lower, the net recovery in the last season was 10.55%, but I think the more important numbers to look at is the gross recovery where you net off the B-heavy molasses etc. And previous season had a tiny little quantity of juice as well where we had experimented. The gross recovery for this season was 11.47% versus 11.70% for the previous season So that's about 0.23% reduction year-on-year. And

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I think this is broadly in line with what was experienced or what we thought we would experience certainly better than others in the state of Uttar Pradesh.

I'd like to look at the industry scenario as well. ISMA has revised its production estimates for Sugar Season 2022-23 to 32.8 million tonnes and it has lowered it from 34 million tonnes. I think this is broadly a very realistic estimate of production in the country. As of the 15th of May, the country's production stood at 32.1 million tonnes, there are still a few factories that are running in the state of Uttar Pradesh at this particular point in time and there will be a small special season that will happen in South India, which will raise the total production to about 32.8 million tonnes.

In essence, the nation has a sufficient quantity of sugar to do three things

- Meet the domestic consumption requirements
- Meet the requirements for the ethanol blending program
- To feed the export market that we as an industry have painstakingly developed over the last few years

I would like to point out that going forward, I see and we will discuss the weather in the next few minutes. But regardless of that, we will be able to accomplish these three very important things. India plays a critical role in the global sugar trade. And any absence of course,

would be detrimental to India's interest and also will have a significant impact in terms of increasing global sugar prices. This is the Triveni perspective .

Looking at the balance sheet of the nation. With the opening balance on the 1st of October, of about 5.5 million tonnes, this is our estimate . We estimate the closing stock would also be just a shade above 5 million tonnes of sugar, a sufficient amount where I see the campaign for the next Sugar Season 2023-24, starting a little bit early. We also have major festivals, which would allow for an easy start in North India most certainly.

With an increased acreage and excellent rains in April and May '23 , we are of the view that there are increasing chances of an El Nino impact , and this has been expressed by various meteorological agencies. I think what's also important to recognize is the changes in weather patterns. This April, we had unseasonal cool weather across North India. Last March , we had unseasonal hot weather for the entire duration that continued. And we've also had inclement rain, at times that we don't have rain. This has an impact on sugarcane growth. This has an impact on recoveries. This has an impact on new forms of pests and disease that can potentially impact the sugarcane crop. And I think there has never been a more important time for us to be cognizant of all these weather events. It's not just El Nino, it's the changes in weather, changes in overall temperature , increase in the average temperature, which is something that there is really no debate about. And the impact that that it has on sugarcane as a perennial crop across the country and of course, in the State of Uttar Pradesh.

As you know, for Triveni , the majority of our sugarcane areas that are associated with our factories are located in river and well-connected canal systems, and they're supplemented by tube wells, bore wells and other irrigation methods. And therefore, there is a significantly lower likelihood for our farmers to get impacted by inclement weather or any rain impact to be precise.

Turning to the international scenario, according to the International Organization for Standardization (ISO), in view of the global supply demand situation, being global sugar balance for 2022-2023 is a substantially reduced surplus. It anticipates a global surplus of about 1 million tonnes, just under a million tonnes, down from

about 4 million tonnes that it is estimated in February. The changes are driven by
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increases in production in Brazil. However, the smaller increase in Thailand and lower estimates for India and Europe were the negative contributors to this.

For 2022-2023 we must say that the balance situation is quite interesting. And I think the discussion should really move to a quarterly basis, where there are certainly points in time, if we divide up quarters into hemispheres where we see pockets of deficit and strong deficit that emerge. And even going forward, I think it bodes very well for export of Indian sugar that can easily be absorbed by export markets.

International sugar prices have rallied quite substantially in calendar 2023. The New York number 11 broke \$27 cents a pound, which was a multi-decade high. And actually, this is the highest since April 2012. On May 19th, 2023, the New York 11 closed at \$25.77 cents/lb, although yesterday, there was a little bit of a sell-off because of higher production numbers coming out of Brazil. But by and large, we are holding at much higher prices. And I think the fact that Brazil will have a record crop of sugarcane and a record production of sugar is something to the market has completely absorbed. And I think supply side shocks will lead this market higher.

However, the correlation between international and domestic prices still eludes us, which, of course as a domestic sugar producer we would be happy with, but th

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doesn't really exist in this point in time.

Turning towards the Alcohol business. We achieved the highest level of production of 18.12 crore liters. The additional capacities that were established, taking the overall capacity of the Company to 660 KLPD, and to high levels of efficiency and production. We have, of course, improved our realization also quite substantially as the prices have been raised by the Government of India, and you can see that in our results. Profitability margins have been impacted because of increased transfer price for B-heavy molasses and Bagasse. It's very important as Bagasse is the fuel for the distilleries and that price has been increased as the transfer price is linked to market price.

Ethanol constituted 92% and 93% of alcohol sales in Q4 and FY 23, respectively. The sale of alcohol from sugarcane constituted 63% and 75% of total sales. And what that means really is that in Q4, 37% of sales of alcohol was from grain. And for the fiscal year, 25% of alcohol was grain. Going forward, I think we will look at about 35% from grain as a stable level, provided all things are equal. But it is important to mention that Triveni was clearly the first to set up a large multi-feed distillery. It absolutely critical, I think, in terms of our strategic positioning where our two new distilleries that will be coming up will also be multi-feed and it gives an enormous amount of flexibility and ability to be able to focus on the bottom-line, while making decisions on what feedstock to consume.

The industry scenario is also quite positive. Out of the 518 crore liters that was finalized by the OMCs against a requirement of 600 crore liters, the contracts were for 514 crore liters. Against the above, 244 crore liters have been lifted till May 7, 2023 which equates to a blending percentage of 11.65%, which is not bad. Target is 12%, and I think we will be pretty close to that 12% level. The largest contributor for this, of course has been ethanol supplies from the sugarcane industry.

Turning to our Engineering businesses, I would like to start with our Power Transmission business, and then move to Water. For the Power Transmission business, we had an increase in turnover and profitability by 22% at just under 20%, respectively. The profitability margins were sustained at 34 odd percent for the year. EBITDA margins being higher than that, it is actually higher than that.

For FY '23, the order booking grew 5% and the closing order book about was 17.7% higher than the previous year. The business has added 18 new customers
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in the OEM segment, which is contributing towards growth and will contribute even more towards growth as these customers buy more and more. As you know, we have a very high degree of market share and so as we add more customers and

those customers buy more from us, it bodes very well and certainly on the product side, we are confident that we will see substantial increases.

In addition to our increases from export revenues that we are witnessing, not just in Q4, but in order booking that we experienced in Q4 and in the last portion of Q1 of this fiscal year. We had record profitability in the Power Transmission business of ₹76.5 crore, which improved by almost 20%.

Turning quickly to the Water business. The revenues have increased by 30%, driven by better execution. The orders that have been received in FY 23 stood at ₹192 crore, excluding O & M orders. The business is actively targeting foreign projects. This is a change in the strategy of the Company, and it's important to talk about and the business is targeting projects where it possesses pre-qualifications and the funding is ensured through multi-lateral and reputed agencies. The order booking on the 31st of March stood at just under ₹1,400 crore, which includes just over ₹900 crore of O&M contracts, which are over a l

onger period of time.

I'd like to dwell just a little bit on the outlook of our various business segments. In the Sugar segment, we are very much focused on variety replacement and yield maximization programs. We are encouraging, large increases in the introduction of implements and equipment to enhance focus on intercultural operations and ration management.

There are innumerable digital initiatives that have been undertaken in the digital platform of Triveni Engineering will be one of the most significant differences that the organization possesses when compared to peers and will allow us continued differentiation and productivity gains with the direct beneficiaries being our farmers.

There's aggressive surveillance as well on pests and disease that is being carried out not just for this coming off season, but it has already started through the planting of the crops.

Demonstration plots, we have over 1,800 demonstration plots, and these are showing our farmers what they can expect and how they can enhance their revenues. And with such a large scale of demonstration plots, we believe that we would have a significant impact, a show and tell impact, on our farming community. There's a huge improvement in other planting technologies as well.

We also look forward to the Government's help in terms of increasing the minimum sale price of sugar, which has not changed in several years. And I believe we are certainly due to a change in Minimum Selling Price (MSP) of sugar and that support is quite important.

Turning to the Alcohol business. In the Alcohol business, the production and sales volumes have increased substantially following the increase in distillation capacities. During the current year, the revenues from distilleries have contributed 21% of our net turnover, and it will keep rising as we increase our distillation capacity from 660 KLPD to 1,110 KLPD.

In the current ethanol tender for 2022-23, we have emerged as the second highest supplier in the nation. We have managed our ethanol sales planning very well. And presently, we have low levels of inventory. The setup of the Milak Narayanpur distillery operated with B-heavy molasses and syrup has been done very, very successfully. And it has had operating days of 325 in its first year, which is really quite a record. And we hope that with the two new distilleries we'll be able to better that.

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Turning quickly to the new distilleries. We expect the Rani Nangal distillery to be commissioned at Q4 of this fiscal year and the Sabitgarh distillery thereafter. We have decided to do this sequentially, and this also meets the strategic objectives of the business where we can see what's happening with the pricing points from the Central Government.

Looking quickly at the Power Transmission business, the outlook looks extremely

positive. We're seeing growth from our OEM segment from steam turbines , from compressors and gas turbines , from pump segments. The domestic oil and gas sector is doubling its refining capacity by 2030. And therefore, we will be a direct beneficiary in terms of the gearbox requirements from all the aforementioned products.

Infrastructure growth for steel sector, cement sector and waste heat recovery, again bode very well, not just domestically, but also internationally for our products. And we are also looking at market share gains in export markets as we focus on export revenues from our factory in Mysore.

Within the Defence segment, the business expects increased order bookings from key segments during this fiscal year with many Request For Proposals (RFPs) coming up to conclusion in the next couple of months. The setting up of a dedicated multi-modal facility for our Defence products in Mysore is underway, and we anticipate that factory being commissioned during the course of this fiscal year. The land acquisition is now complete. And

the preliminary work at site is already underway.

Turning quickly to the Water business. After achieving success in Maldives and Bangladesh, the Water business is trying to expand its activities overseas. Domestic market opportunities are also increasing in the recycle and reuse spaces, and we are targeting these two segments quite aggressively.

Besides this, the Company is also Public Private Partnership (PPP) exploring opportunities for sewage treatment plant on a PPP format. The outlook is positive for EPC and HAM projects, and this is driven primarily by large investments by the Government both at the State and the Central level. The market is witnessing increasingly more and more projects under the PPP, HAM models and the Company of course would seek to benefit from these changes in direction.

Thank you very much, ladies and gentlemen. I would now like to open up the floor for questions.

Question -and-Answer Session

Operator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Sanjay Manyal from ICICI Securities. Please go ahead.

Sanjay Manyal: Hi Sir. Just have a few questions. I believe your FY 23 sugarcane crushing should be closer to 96 lakh tonnes. If you can just confirm that number and give us what would be the diversion towards B-heavy, C-heavy and the sugarcane juice perspective ?

Sameer Sinha : You are asking about the next year, the forecast?

Sanjay Manyal: No, I'm asking about FY 23.
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Suresh Taneja : Yeah, the total crush is 95.5 lakh tonnes as you said. And the total sugar diversion during the season has been 11.57 lakh quintals.

Tarun Sawhney : And we have not processed any juice for ethanol.

Sanjay Manyal: Okay. So, 95.5 lakh tonnes and if you can just repeat , I'm sorry I didn't get that.

Suresh Taneja : Sugar diversion has been 11.57 lakh quintals to ethanol.

Sanjay Manyal: Okay. But can you give what would be B-heavy and what would be C-heavy, if there is no sugarcane juice in the percentage?

Sameer Sinha : We'll just recalculate that. But for the sugar season, we have already given it that 92% of our crush has been towards B-heavy versus 84% in the previous year. So , it will be very close to about 90% or it will be largely yes ah, 92% itself, it will be 92% itself.

Operator: We have our next question from the line of Rajesh Majumdar from B&K Securities . Please go ahead.

Rajesh Majumdar : Yeah, good afternoon Sir and congratulations on a good set of numbers. Sir, I had a question on why you have not produced any alcohol from juice. That was the first question , because the crushing season is now over. So , it's unlikely that there'll be any juice now in the financial year '24? So that was my first question.

Tarun Sawhney : So, in fact, in the previous season, I stand corrected in Sugar Season 2021-22, we did produce a little bit because our distillery at Milak Narayanpur did consume some juice to make ethanol. And some of that has come into this fiscal year, but that was the previous season. For this season, we have not consumed any juice for ethanol at all. And the reason for that is simple, why we used it in the previous season was really to test the economics. And the economics are completely unfavorable.

To give you an example, on B-heavy molasses, we're seeing margins of about ₹14 per liter. We're seeing PBT margins on grain , this is the FCI rice that we purchase a majority of that , of ₹9 per liter. However, on juice, after sacrificing sugar, the PBT margin is ₹3 at a sugar price of ₹35 per kilo. And today's sugar price at ₹36 means actually the PBT margin would be even lower. And therefore, we are not under any compunction to process juice because we have multi -feed distilleries. So, we're able to actually use grain and secure higher returns on these assets than being

forced to using juice. That's a clear strategic move by the Company , as I have mentioned on previous calls.

Rajesh Majumdar : Sir, just a related question on this. What is that the margins are basically because of the transfer price. So, whether the profits are coming in the Sugar division or the Alcohol division , should we be really bothered about that? Because when you say mark up at 35 or 36, the profits are going somewhere, right, instead of alcohol they going into the sugar division. And secondly sir, if you don't use juice during the season, are you confident of getting adequate grain during the next six months or so to be able to fulfil your requirements?

Tarun Sawhney : So, a very simple answer to your question. The first point is that if your transfer price goes up, it will impact everything. It will impact B-heavy molasses , it will impact juice, it will impact C molasses , in case you consume that. So that is the standard . And pretty much everybody , their transfer prices are round about the same kind of range , when I compared to peers. But today, I'm here to only discuss Triveni's results, frankly speaking. So I don't see that your argument about transfer prices being one that will really move the needle very, very much. The profitability

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on juice versus B-heavy molasses is what it is. It can change a little bit by some small increases in transfer price. But in transfer price , is linked to the market price, it doesn't move the needle very significantly. And the difference is quite acute. It is still substantially acute.

To answer your second question in terms of grain, we function through Q2 and Q3 of the fiscal year under review with large quantities of grain being purchased. The distilleries are in strategic locations where they are close to FCI depots. So , we are actually able to secure large quantities and have no fear of securing quantities of grain. And of course, we can always supplement it by damaged food grain as well.

Rajesh Majumdar: And so, what would be your inventory of B -heavy molasses as of 31st March ? And what is the valuation on that? Is it possible to share that figure?

Tarun Sawhney: I'm afraid , I don't have that number on me. You can take it offline.

Rajesh Majumdar: Okay, sir. And my last question sir, is that the OMCs have only lifted 244 crore liters out on the contracted quantities, whereas more than 60% of the ethanol year

is already over. So, is that any cause for concern? I mean, how should we read this?

Sameer Sinha: Yeah, so that number has gone up as of the 22nd to about 254 crore lite rs. But that apart, we believe that they would be in a position to be very close to the number of 525 crore liters, which they are targeting to achieve. Having said that, what is a little matter of concern is the fact that the grain ethanol lifting has been much lower. And if you look at that percentage versus the contracted quantum, that is much lower. So, from the sugar contracted numbers, we are very hopeful that we'll be able to achieve the numbers.

Rajesh Majumdar: So, will that conflict with our strategy of using more grain or will that be a problem for us?

Tarun Sawhney: No, I have commented for our nation as a whole it is not a comment for Triveni at all. Our contracts are secure. Our relationship with the OMCs are secure. These lower dispatches could be due to operational, banking, all sorts of different issues, capacities, etc. for stand-alone grain-based distilleries. This is not a comment on Triveni. We're confident of meeting our projected dispatch numbers.

Rajesh Majumdar: And sir, if I could sneak in a last question. You mentioned in your report that you expect the SAP prices to go up ahead of elections. Is that correct?

Tarun Sawhney: Well, I would -- I think conventional wisdom shows that when we come towards elections, sugar cane prices do go up.

There is talk that the FRP will increase. And I think if the FRP increases for a couple of years, there may be an increase in SAP. The reason for us mentioning it is that we are cognizant that this may be an eventuality. And therefore, we have to plan for it. So, we have to look at how do we protect our margins in an environment, but there may be a possibility of an increase in our largest cost, which is the cost of cane.

Operator: Thank you. We have our next question from the line of Anupam Goswami from SUD Life. Please go ahead.

Anupam Goswami: Hi, Sir. Just wanted to get an update on the harvest and the recovery from the upcoming season, given the climate and the percentage of grade of sugarcane that we are using?

Sameer Sinha: So, in terms of the planting, our planting area is up by 5.5% in the planting which has just been concluded over here and which will be used for the upcoming season. In terms of cane development, Mr. Tarun Sawhney has already mentioned
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about the various initiatives being taken up, and we'll be very proactively looking at the disease portion of pests and the diseases. And therefore, we are very confident that all things being equal, we should have a higher recovery and definitely the increase in the crushing that we are anticipating.

Anupam Goswami: As you mentioned, your strategy on having less on juice ethanol and if the industry goes that way, do we see again more of sugar surplus and subdued prices? I just wanted to get an update on the industry, how the industry is panning out on juice ethanol as we have not so much of an increasing our juice ethanol, how the industry, because that could affect our sugar surplus in the industry as well as the prices going forward?

Tarun Sawhney: Yes, you're right that everything is sort of interrelated. But it's not as acutely interrelated as you may be suggesting, prices are determined between demand and supply. We have a quota-based system. We have managed price increases over many, many years, having huge excess in production in the nation. So, I don't agree with your comment that prices decline for any reason, because there's more sugar that gets produced at all. In fact, it's quite the contrary. And the experience shows that it is very, very much to the contrary. And therefore, I do not agree with your statement at all.

With respect to your comment about juice, I think it's an individual corporate's preference, a strategic decision that is taken. We at Triveni have taken a decision

of expanding capacities and having multiple opportunities available to us, which we will then consider based on the relative pricing of each of its raw material, which is used. And so, we will have the ultimate amount of flexibility in making those decisions. That is the decision that we have taken. I can't really comment on any other corporate.

Anupam Goswami : Sir, last one . Do we see any risk in rainfall and hence the recovery on this?

Tarun Sawhney : Yes, we've already addressed the risks of weather. In fact, the last two questions have talked about weather as well. And that is a very palpable risk in today's environment. And it's not just about the potential El Nino in the summer. It's about weather for the next 12 months , because we do have rainfall that happens at inconsistent times. We have dry , hot, and cool spells that are happening, et cetera. So, there's a lot more to consider rather than just the monsoon , although the monsoon is the most important one, but there's a lot more to consider.

Operator: Thank you. We have a next question from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Yeah, sir. Just a bookkeeping question. Sir, if you can share fourth quarter details of sugarcane crushed and recovery levels for the quarter ?

Tarun Sawhney : We're going to have to just take it out

t. You have to just bear with us. We've got our annual numbers and sugar season numbers with us.

Shailesh Kanani: Can I proceed to the next question then?

Tarun Sawhney: Yeah, proceed to the next question , while we take out the numbers.

Shailesh Kanani: And also, I wanted to know from our export quota, my calculation is showing some 15,000 tonnes is yet to be booked, which is going to be booked in the first quarter. Is that right or?

Tarun Sawhney: That is correct. It's already finished in the month of April itself.

Shailesh Kanani: Yeah, so it becomes the first quarter FY 24, right?

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Tarun Sawhney: Correct. And that will come into the quarterly results of this quarter.

Shailesh Kanani: Okay, thanks. Sir, one question on capital expenditure. Just to get a complete summary of it, the status, what we have done in FY 23 division -wise, like roughly in Sugar division, we have done a CapEx of around ₹300 crore , distillery ₹460 crore and PTB ₹180 crore . That is the roadmap of our CapEx, right? And so, can you please just give a breakup of what has been done in FY 23 segment -wise and what we are planning to incur in FY 24?

Tarun Sawhney : Okay. Broadly speaking, I will share the numbers with you. For the Sugar Business Group, you've got the numbers absolutely right. So , the Sugar Business Group, the total CapEx that has been approved by the Board over the last six results meetings has been ₹305 crore in three tranches of ₹130 crore that was incurred last year, ₹90 crore that was approved at the last Board meeting or the one before the Board meeting yesterday and ₹85 crore of new CapEx that has been approved at this Board meeting. Now of this , the ₹130 crore was incurred last year. And of the ₹175 crore from the last two Board meetings of CapEx, the majority of this will happen this year and about 30% to 35% would happen in the next year.

For the Power Transmission business, we're looking at ₹80 crore last year which was incurred , and ₹100 crore , which will be incurred this year. For the Alcohol business, we are setting up two distilleries at an expense of ₹460 crore , the majority of which will be incurred in this year.

Shailesh Kanani: Thanks a lot sir. That's very helpful. Sir, can I squeeze in one more question?

Tarun Sawhney: Yeah. Let me just answer your first question. You had asked about the quarter four

numbers for crush and for recovery. The crush is 4.63 million tonnes versus 4.11 million tonnes in the previous corresponding quarter and the gross recovery is 11.59 % for Q4 FY 23.

Shailesh Kanani: Okay sir. Just one more question, sir. Sir, going ahead, what would seem to be your strategy with respect to crushing on the ethanol production side as we are increasing our capacity on the ethanol side, and we have taken a stand not to produce on juice with given rates. So, are we going to see more and more ethanol getting produced from the grains as a feedstock?

Tarun Sawhney: Absolutely, yeah, you are very right in that comment. The two new distilleries that are coming up are multi-feed distilleries, and we see them operating on grain. In fact, actually, there will be more B-heavy molasses because the crush we anticipate. We just spoke about the cane area going up, etc. There was a question previously talked about that. That directly means that there will be more sugar produced, there'll be more molasses produced which would be consumed by the distilleries. However, there will be a considerable portion of capacity that will be diverted towards grain.

And as I had mentioned, 33% in Q4 of Alcohol produced was from grain. I see on next year, maybe on a medium-term basis, it will be about 33% to 35%.

Operator: Thank you. We have our next question from the line of Nitin Awasthi from InCred Equities. Please go ahead.

Nitin Awasthi: Hello Sir, I would like to understand

on our grain ethanol production, how much of it was done from the open market damaged food grain? How much was it done from the FCI route?

Tarun Sawhney: 6% of the grain that we procured was split grain, and the balance 94% was from FCI.

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Nitin Awasthi: Okay. Got it, sir. So, our thought process would obviously be to get the maximum profitability. So, we'll only look to grow our damaged food grains where the prices are favorable. So, I want to understand the trend. So, by this mix, I'm understanding that the last quarter, it was not favorable to buy damaged food grains. Has it become more favorable right now?

Sameer Sinha: Yeah, the prices have come down. And again, with the summer rise happening, the prices will again come down from September, October. But in between, let's say, the June, July, etc, will again be higher pricing. So these are the seasonal variation in the prices that we see.

Tarun Sawhney: Nitin, I think there will be greater buying opportunities this year versus last year for split grain, damaged food grain.

Nitin Awasthi: Understood. Understood and once we buy damaged food grains, we have some of our plants which are capable of producing ENA and they have got licenses for producing ENA, will we go ahead with producing ENA from grain?

Sameer Sinha: Yes, we have got the license to produce ENA from grain at our Muzaffarnagar facility and we'll do that depending on the attractiveness of the opportunity.

Nitin Awasthi: Yes. Last question, UP Government's excise policy was out and they are foreseeing or at least want to move from molasses-based country liquor to grain-based country liquor, will the molasses-based country liquor reduce in which in turn will lead to more molasses being left over with the companies and not to be surrendered to the Government? Or do you think the consumption of liquor is growing so much that this molasses will continue to grow, and then there will be grain-based country liquor also coming in?

Tarun Sawhney: So, the grain-based IMIL country liquor is only for one segment, 42.8% segment. The other two segments of 36% and 25% remain as molasses-based ENA. The overall liquor market in Uttar Pradesh with the massive cleanup that has happened

is growing at a frenetic pace. So, I actually see the molasses that is right now being taken towards IMIL, called reserved molasses, all of that continuing at that level, unless the state government decides that we will move to a better -quality product, because grain -based ENA is a better -quality product. And offer that better -quality product to country liquor consumers even in the 36% and 25%. Our hope, of course, is that they do, do that, which means it will free up molasses for us to make ethanol.

Nitin Awasthi: Understood, sir. And a very small question that would follow would be if that is the case or even if the case is as of today, with one segment being moved to a grain -based ENA, aren't grain based ENA prices rising rapidly in Uttar Pradesh?

Sameer Sinha: Well, they haven't been rising rapidly. They have been largely stagnant at about ₹63 to ₹64 ex -factory inclusive of all taxes, and we supply on GST.

Operator: Thank you. We have our next question from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: Yeah, hi. Good afternoon team. So just on this topic of ethanol through syrup, which you have not adopted or not started this time and rather you produce through B -heavy. So obviously, at the industry level there must be a discussion on this side, because next year a lot of other distilleries would also like to do it, if the equation remains similar to this year, which means that the overall availability of ethanol may not increase. So, what kind of industry discussions are happening on this front with Government? Any color?

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Tarun Sawhney: So,

you've asked a very interesting question, actually. The Government in its determination and deliberations is aggressively pushing grain-based distilleries. In fact, there was recently an enormous seminar where they were looking at other food crops and the propagation of maize on a very large scale as a fuel crop, frankly speaking as an energy crop.

The sugar industry will always be the bedrock, whether the Government voices it or not, it will always be the bedrock. 60% at minimum was what was envisaged in the master plan on E20 several years ago. I don't see that number changing very much. Today, there's a very small quantity as my colleague said that it's going from grain, much smaller quantity than what was envisaged. But with the push by the Central Government and more distilleries coming up, we will certainly see that. We will see more ethanol being produced from grain sources.

I see the discussion today in terms of quantity. So, I think until we reach E20. This is my personal view and not the Government's view. My personal view is that we have to get sufficient capacity set up across the country. The ethanol manufacturing capacity in the country is right now significantly lower than 20% level. We need to be able to build that, whether that happens through the sugarcane ethanol route or to the grain ethanol route. Those are very discrete discussions, and they vary based on what the price is offered by the Government and the direction of price.

But I think the Government from its perspective, needs these capacities to come up, and that's what we're going to see up to 2025-26. We're going to see a large number of distilleries come up. At present, the greatest majority of distilleries are grain -based plants. You can see that with the loan applications that are lying in front of DFPD. But it's a complex scenario that will change based on pricing. And in fact, the only determinant that will move the barometer between grain and molasses/juice is going to be pricing.

Resham Jain: Okay, understood. Sir my second question is beyond '24, I think will have a very large ethanol capacity, we are debottlenecking our sugar capacity as well. Is there more to do with the existing capacity in terms of ethanol or sugar debottlenecking? Or we need to look beyond what we have currently for the next leg of growth and CapEx?

Tarun Sawhney: So, you've asked a fantastic question. I mean, yes, of course, to grow more will

require more CapEx. There's no doubt about that. But with these aggressive sugarcane development programs that we have underway, which take a period of time because the growth in the first and second year is limited. The growth in the third year is more palpable, harder and more recognizable, but the growth in year four and five is astounding. That's where the real benefit kicks in.

And we have just started these aggressive programs, which means that the quantum of cane that we are envisaging for the future will increase, which means if we want to hold on to that cane, we will have to enhance our capacities and it will not just be about debottlenecking, because we are already operating at 180 days, around about 180 days plus. We can extend it to maybe 200 days, but you really don't want to extend it to 200 days. You want to curtail your season at 190 -195 days to be able to take advantage of the weather conditions. The moment you cross 190 -195 days, you get into excessively hot weather, which is inopportune as you see recovery decline. So therefore, you will have to enhance capacities and that will happen with some CapEx going forward. And of course, the more you crush, the more molasses you have, potentially the more juice you have, and therefore, that feeds directly into your distilleries as well.

Resham Jain: Okay. Just a related question. You mentioned about 1800 demonstration plots. So, any color if you can give what is the average, let's say, yield which a farmer is

getting on an average and versus what you are showcasing to them, how much difference is happening because of that? So, let's say five years out, if more and more farmers adopt these new practices, what kind of improvement one can see?

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getting on an average and versus what you are showcasing to them, how much difference is happening because of that? So, let's say five years out, if more and more farmers adopt these new practices, what kind of improvement one can see?

Tarun Sawhney: It's an excellent question. At this particular point in time, we're seeing up to 40% higher yields. We are hoping to increase our yields in our own demonstration plot so that the difference goes up to 50%. In terms of all the other plots versus the 1800 that we have and that we hope to prove out in this planting season. The reference plots that we have for this season should have an increase of 50% on average when compared to the area that we buy sugar cane from. So that's a pretty significant increase. And we think the cascading effect, the show and tell impact that we will have will be quite significant. Will everybody be able to achieve this 50% increase? I doubt that very much. But even if it has a partial improvement, I think that has an enormous impact on sugar cane availability.

Operator: Thank you. We have our next question from the line of Ambar Taneja from Geomatrix. Please go ahead.

Ambar Taneja: I had a slightly different question. It seems to me that basically this entire business on the sugar side is regulated from what you can buy, how much you have to pay. Even on the ethanol side, your buyers are mostly OMCs, which are Government controlled, etc. So, it seems on the sugar side, one of the ways to kind of get out of this whole control thing is to sell sugar, which is not regulated in price or not subject to a commodity kind of scenario. So, I think you've been making some efforts on pharma sugar, refined sugar, etc. Could you talk a little bit about that to get alpha on the sugar side? And also, your non-sugar businesses, which are, of course, completely deregulated have reached a fairly sizable revenue number. Any plans to not demerge today, but in a year or two to unlock value? Because I feel the Company is doing really well, great corporate decisions are being taken, but the value in the market is quite low. Any comments?

Tarun Sawhney: Sure. Let me start off with your first question about getting alpha. You're right. From a strategic perspective, a lot of the work has happened at both ends, maintaining costs and reducing the cost of production and also enhancing our sales price. When we look at sales price, we have moved from 40% refined sugar with 2.5% pharmaceutical grade sugar to 60% refined sugar with 5% pharmaceutical grade sugar. The CapEx that we have in place right now will further enhance it to 70 -75% refined sugar with more pharmaceutical grade sugar also in play.

The only difference I would like to say is two things. The first thing is that all of this is still subject to the controls and regulations that are in place, the monthly release mechanisms by the DFPD. But that's not a bad thing. I would like to sort of state this. In fact, that's absolutely fine. And what has been shown, is even in an industry

that has controls the ability to be able to generate revenue to improve alpha, et cetera, is not something that is hindered by the Government, but it's encouraged those discussions are happening very actively. The Government encourages people to find new and innovative ways of improving that alpha, as you very rightly put it.

I would also take examples of other industries where there are enormous controls, for example, petrochemicals and oil and gas, huge amounts of control, where they actually generate fantastic margins and are able to operate within that system of control. So, I think the controls will make that much of a difference any longer. In fact, if anything, they're very productive and they safeguard the interest of the industry. They ensure that you have continued periods of profitability.

And the ominous sugar cycle that used to exist, which has been very clearly and definitively broken in the last seven to eight years, at least. That is one of the

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reasons for that, of course, is the foresight of the Central Government. So that's a very, very big positive. And in answer to your first question.

In answer to your second question about the Engineering business. Very quickly, there are no plans on demerging the companies. However, I would like to state that we've actually achieved many significant milestones in both the business in terms of revenues and profitability. And we have invested in the future. So, we have created that capacity to be able to grow quite substantially.

Now it's about us developing those new partners, developing those new opportunities. All that process has already happened in FY 23. So, in FY 24, the expectation really has to be how much can you grow? And how quickly can you grow? And how quickly can you get these new expansions that you've invested in complete, etc., it's going to take this year to get all of that done. But we will be stronger for it. We're seeing increases in order booking that are coming from newer geographies, etc., which is very, very promising in both the Power Transmission and in the Water business where we're looking at international customers.

Operator: Thank you. We have our next question from the line of Aman Sonthalia from AK Securities. Please go ahead.

Aman Sonthalia: Hi Sir. Sir, what is the average gross recovery for the season?

Tarun Sawhney: The gross recovery for the season is 11.47%.

Aman Sonthalia: 11.47 %. And, we have taken the valuation at ₹33.75. So, for that valuation, what was the price of molasses and the bagasse has been taken?

Tarun Sawhney: I'm afraid we don't really declare the transfer for price, that we keep Bagasse at.

Aman Sonthalia: Okay. And sir, now it is every Company is working on steam saving. So, what is the steam consumption of our company? And what work is going on to further save this steam?

Tarun Sawhney: I think that's an excellent question that you've asked in the CapEx is that we have that hasn't been approved by the Board in yesterday's Board meeting and the one before that, are a lot to do with steam economies, et cetera. So, as you know, we have three factories that were set up in 1934. And then four factories that was set up in 2005, 2006, 2007. So, the steam economies of the four versus the three are quite dramatically different. Plus, you must also remember that when you move towards refined sugar, it does take 1%, 1.5% extra steam, maybe 2% steam as well. But there are all efforts in terms of massive steam reduction by automation and also by process improvements that are in place across all seven of the factories. And so, we do expect the amount of bagasse savings to improve quite considerably.

I'm not in a position to assign a number to it at this call today. However, I would like to share with you in abstract terms that that is something that is definitely something that we are working on. And we've already seen from last year's CapEx,

some improvements. This year, we expect a very substantial improvement in terms of our steam economies and commensurate bagasse.

Aman Sonthalia: And sir, one question. A number of companies are making profit by selling potash, by selling CO₂ and also getting revenue from selling this REC. So how much profit we are generating on this steam side?

Tarun Sawhney: I don't think we've given a number for this, but we are selling, we are doing all of the above as well. They merged into our financials. I don't have the numbers as
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separate to share with you. But you should know that we are engaged in all three activities.

Operator: Thank you. We have our next question from the line of Sanjay Manyal from ICICI Securities. Please
go ahead.

Sanjay Manyal: Yeah, sorry my line was dropped. So, I couldn't really complete my question. So, my basic question was, what kind of quantities we are looking in terms of ethanol production in FY 24 and 25. And the composition of that in terms of B-heavy and C-heavy. I know that you have mentioned 35% is grain. But other than that, how much would be the B-heavy and C-heavy?

Tarun Sawhney: The other portion, C-heavy we don't use. It will be all B-heavy. And in terms of total production, we're looking at well higher than 21 crore liters for FY 24. And then, of course, based on the actual commissioning of the two new distilleries, the region will be somewhere between 28 to 32 crore liters for the following year.

Sanjay Manyal: Okay. Understood that. And Sir, given the fact that you will see a significant increase in the ethanol volumes in the next two years, so generally, our overhead expense, is it because of the conversion cost overhead spends will also significantly increase next two years?

Tarun Sawhney: No, I don't think so. I think we will have -- we will benefit from efficiencies. So, one of the two plants, for example, is an expansion at our Sabitgarh facility, which is going from 225 KLPD to 450 KLPD. So that will benefit the operating costs over there will be shared over a larger production facility, etc. And plus, we, ourselves as we're operating more and more distilleries, are able to improve our conversion costs, especially at the operating level. And those benefits will certainly creep into the business.

Sanjay Manyal: Okay. And one just bookkeeping, what would be our income tax rate for '24 and '25?

Suresh Taneja: It is 25.17% under the new tax regime.

Sanjay Manyal: Okay. Understood. And if I could just ask one last one. You have mentioned that India level sugar inventories would be closer to 5 million tonnes, whereas I think earlier Government has, I think, restated the opening stock at 7 and probably could go down to 1 million. So, there is a huge difference between what the Government has been mentioning. And we don't really know what exactly the inventory level would be. What is your outlook on the sugar prices in the next three, four months, given that the actual inventory could be much lower than what the Government is stating. And do you see any possibility of, suppose, if there is a drastic reduction in inventory level import probably in October, November?

Tarun Sawhney: No, no, that is absolutely out of the question. We have more than enough sugar for the country this year. We have more than enough sugar for consumption next year. In fact, we have enough sugarcane to meet the ethanol blending program requirements, which will be raised next year and we have enough sugar for exports. So, there's no fear of that at all. However, I do see a little bit of tightening, but we'll see some increases in sugar prices from where they are today.

The fact that the matter is at the closing balance is a book number. There is also a pipeline stock. And that pipeline stock, we anticipate least a 1 million tonne at the end of September 2023. So that also has to be factored in as available sugar for

consumption. So, in answer to your question simply, we have enough sugar, but we do see some positive buoyancy in terms of pricing.

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Operator: Thank you. We have our next question from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Thanks a lot again for the opportunity. Just one question. How are you placed in terms of expanding our ethanol facility, means have you selected the vendor for the new facility what we are going to setup. And is the timeline same, we are expected to complete the expansion plans by fourth quarter FY 24?

Tarun Sawhney: Excellent question. For our Rani Nangal distillery, we certainly expect to have that plant commission

in Q4. The vendors have been selected. The land has been acquired, I mean, the process is underway. The execution is underway. For Sabitgarh, as I mentioned earlier, we're doing it in a sequential manner. So, it will happen straight after Rani Nangal, and this is for strategic reasons and looking very much at what is going to happen if anything, in terms of pricing, etc.

We expect that facility, as I mentioned, sequentially to come up straight after Rani Nangal and that may very well creep in to the first quarter of the next fiscal year. It may not be by the end of Q4. But all of that is up for grabs. We could accelerate that project as well and try and have it concluded in Q4. But we have that nimbleness and flexibility of when we're going to be operating. And at that plant, we'll be operating on grain. So, there isn't that extreme urgency that it has to be as early as possible during the sugar season, at least to start off with. And it will have the flexibility to be able to consume molasses or any other sugarcane byproduct.

Operator: Thank you. As there are no further questions, I now hand the conference over to management for closing comments. Over to you, sir.

Tarun Sawhney: Thank you very much. Ladies and gentlemen, thank you for joining us for the FY 23 results for Triveni Engineering & Industries Limited. It's a pleasure talking to you. We've had a historic year for us, all businesses firing on all cylinders. The expectation is that this will continue for FY 24 as well. I think what is critical over the next few months is the monsoon and the impact of that. By the time we have our next call, perhaps we will not have the full impact of monsoons, but we will certainly know with a greater degree of certainty what we're seeing in terms of production, what we're seeing in terms of yields for the sugarcane crop across the nation. And in that particular point in time, we will see the changes in terms of order booking as well for the engineering business.

I hope to come back to you with like this time with positive news across all the businesses. And I look forward to speaking to you in a few months. Thank you very much and have a good afternoon.

Operator: Thank you. On behalf of Triveni Engineering & Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer:

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Call: Aug 2023

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Sub: Transcript of Analyst/Investor Conference Call held on 26 July, 2023

Dear Sirs,

Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed

transcript of the Analyst/Investor Conference Call held on 26 July, 2023 post

announcement of unaudited financial results of the Company for the 1st quarter ended on

June 30, 2023. The transcript is also available on the website of the Company at

www.trivenigroup.com

You are requested to kindly take the same in your record.

Thanking you,

Yours faithfully,

For Triveni Engineering & Industries Ltd.

GEETA BHALLA

Group Vice President &

Company Secretary

M.No.A9475

Encl: As above

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Triveni Engineering & Industries Limited
Q1 FY 24 Earnings Conference Call Transcript
July 26, 2023

Operator: Ladies and gentlemen, good day, and welcome to Q1 FY 24 Earnings Conference Call of Triveni Engineering & Industries Limited. Please note that this conference is being recorded. I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you.

Rishab Barar: Thank you. Good day, everyone, and a warm welcome to all of you participating in the Triveni Engineering & Industries Q1 FY 24 Earnings Conference Call. We have with us today Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO Sugar Business Group; as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward-looking in nature and a statement to this effect has been included in the invite, which has been shared with everyone earlier. I would like also to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management following an interactive question-and-answer session. May I now hand it over to Mr. Tarun Sawhney. Over to you, sir.

Tarun Sawhney: Good afternoon, ladies and gentlemen, and welcome to the Q1 FY 24 Earnings

Conference Call for Triveni Engineering & Industries Limited. We are pleased with the performance of the Company during the quarter ended June 30, 2023. While there have been general low trends recovery in the just concluded Sugar Season 2022-23, the Company has however outperformed the State of Uttar Pradesh during that same period with a decline of only 23 basis points from a C-heavy basis recovery, which bodes rather well when we compare ourselves to our peers.

Our Engineering businesses during the same period continued to perform well with healthy order books and enquiry pipelines. We continue to diversify our revenue base with Alcohol and Engineering contributing to 60% of our total segment results.

Looking at some of the highlights. In Sugar and the Alcohol (Distillery) business, we achieved a blended sugar realization of ₹37,254 per metric tonne which is an increase of 5.6% over the corresponding period of the previous year, and this was supported by high export realizations and relatively firmer domestic realizations. We achieved the highest ever quarterly alcohol production of 5.04 crore liters, an increase of 19% over the corresponding previous period due to additional capacities and expansions that were commissioned.

The

increase in net turnover of the Alcohol business was by 21% during Q1 FY 24, driven by higher capacities. Within the Engineering business, both businesses achieved a combined increase in turnover of just under 25%, bolstered by the power transmission business which reported robust revenue and profitability growth. The order booking for the Power Transmission business grew 21.3% year -

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on-year with an order book of ₹271.6 crore up 11.6% year-on-year. The outstanding order book, for the combined engineering business stood at ₹1,613 crore.

Looking at the consolidated financials, our net turnover declined by 2.3%, primarily driven by lower turnover of the Sugar business which was directly attributed to lower quota during the quarter, and the Alcohol and aggregate Engineering turnovers improved, as I had mentioned over the previous corresponding period.

The sugar turnover declined by 15.2% as compared to the previous period after considering exports. And this was because of a decline of 21.7% in domestic sales volume due to lower domestic quota allocations. We had, as you will recollect, we have completed the majority of our export quotas in the previous quarter, and therefore, the benefits for export over there were achieved in that quarter. In addition, we did not convert any juice and therefore, there was some preferential quota allocations. Looking forward, over the course of this quarter and the next quarter, we will find that there will be a balancing of all of this, and we will return to previously forecast levels of quotas this quarter and looking forward. The profit before tax increased during this period by 2.6% to ₹91 crore. Total debt on a standalone basis for the Company on June 30 stood at ₹918.5 crore compared to ₹825 crore on the March 31, 2023.

On a consolidated basis, our total debt was ₹1,011 crore on June 30, compared to ₹913 crore on March 31, 2023 and ₹1,617.5 crore on June 30, 2022. The overall cost of funds stood at 6.7% in Q1. I would also like to mention that the Earnings Per Share (EPS) increased by 12% to ₹3.09 per share.

I would like to spend the next few minutes talking in a little more detail about the various business segments. And turning to the Sugar business, as I mentioned earlier, the reported lower turnover was due to lower domestic dispatches. The contribution of sugar sold in Q1 was higher by ₹880 per tonne over the previous quarter in view of the higher realization. During the quarter, we achieved exports of 14,531 tonnes out of our total quota of ~205,000 tonnes, of which the majority was achieved in FY 23.

Export realizations were at considerable premium to domestic prices and we actually performed rather well in terms of our pricing ability and our later pricing actually turned out quite well for the Company in terms of our average realizations for exports.

The sugar inventory at June 30 stood at 43.44 lakh quintals valued at ₹33.6 per kilo. The Cogeneration operations during the same period achieved revenues of ₹12.65 crore. And our realization for our prices just as of yesterday, for refined sugar we are achieving prices of ₹3,700 to ₹3,720 per quintal and sulphitation sugar is approximately ₹3,650 to ₹3,670 per quintal.

Looking at the performance of the Sugar business. On a year-on-year period, we achieved a crush in Q1 FY 24 of 1.58 million tonnes of sugarcane versus 1.8 million tonnes. If you look at the sugar season, we actually achieved a crush of 9.3 million tonnes of sugarcane during sugar season 2022-23, which was 10.8% higher than the previous corresponding year.

In terms of total sugar, as you know, the recoveries were slightly lower. However, the sugar production in tonnes was in excess of 950,000 tonnes of sugar, which was substantially higher, 7.5% higher than the previous sugar season.

Looking at the industry scenario for the season 2022-23, the

all India sugar

production is estimated to be 32.3 million tonnes for this sugar year. As of the end of June 2023, Uttar Pradesh has produced 10.5 million tonnes of sugar compared

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to 10.2 million tonnes at the same time last year, while Maharashtra's production has declined from 13.7 million tonnes to 10.5 million tonnes by the end of June 2023 due to lower sugarcane yields and of course, inclement weather.

In Karnataka, three mills have restarted their operation for the special season, and the state has collectively produced about 5.5 million tonnes of sugar compared to 5.83 million tonnes of sugar produced during the same period last year. ISMA has estimated that all India sugar production will be 32.8 million tonnes after considering a diversion of approximately 4 million tonnes of sugar equivalent into ethanol.

With an opening balance on the first of October 2022 of 7 million tonnes, production of 32.8 million tonnes, domestic sales of 27.5 million tonnes and approximately 6.15 million tonnes of sugar exports on closing stock is estimated to be about 6 million tonnes of sugar which is rather good, it is just in excess two months of consumption. And those are the levels that should be directly maintained in the country.

On an international basis, there's been actually quite a lot of activity. The global sugar balance sheet is pointing to a surplus for 2022-23 which is contrary to what we have discussed on our last earnings call, there's been a bumper sugarcane crop and production in Brazil.

For 2023-24 season commencing April, Central South Brazil is expected to have the strongest agricultural yield in many years and an availability of 61.2 million tonnes of sugarcane and sugar production of 38.8 million tonnes, a 15% increase over the previous season.

In Thailand, another important market to consider, we expect a subdued production. International estimates look at a 10% year-on-year drop in the 2023-24 sugarcane crush for Thailand to about 85 million tonnes of sugarcane and looking at sugar production of just under 10 million tonnes, a fairly sharp decrease. This is primarily due to the El Niño effect, which has led to drought in many regions. And slightly later start to the rainy season in Thailand.

All considered, international sugar prices have remained remarkably firm, the New York #11 raw sugar futures contract broke the 27 cents threshold earlier in the year. However, it reported a mixed trend later and particularly in the quarter. Prices have hovered around 25 cents per lb (pound) in this quarter with the lowest price noticed towards the end of the July contracts. The #11, forward month is trading around 24.8 cents per lb, which is still remarkably firm and white sugar contracts (the London #5) is also at record highs, prices have recovered and are approximately \$700 per tonne. Again, given the excess sugar availability in the forward few quarters, these robust prices indicate the kind of sentiment in the sugar sector, which is very buoyant.

Turning to the Alcohol business. Our additional capacities commissioned in FY 23 have resulted in the highest production in a quarter. Despite having record alcohol production and orders in hand, the alcohol sales in the quarter were lower than we anticipated, and this was primarily due to offtake issues at the end of the OMCs at certain depots.

However, I am happy to report that these are temporary challenges and the situation has improved vastly since then, and we're back on track, hopefully, to even make up for lost ground in this year. During the quarter, the sale of alcohol produced from sugarcane in feedstocks are 64%, while grain was the balance of 36%.

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It's important to highlight that during the previous corresponding quarter, there were no grain operations. Accordingly, the overall profit margin was slightly lower in the

current quarter as compared to the same period of last year and this is with the margin associated with grain operations, which is lower than B-Heavy molasses operation margins. Ethanol constituted 91% of alcohol sales for the quarter under review.

And looking at the industry scenario of the 559 crore liters were finalized by the OMCs as of a requirement of 600 crore liters, contracts were actually formed of 553.68 crore liters. Against this ~351 crore liters have lifted by OMCs up to July 9, and we are looking at an average blending of 11.75% until July 9. And that's extremely good considering the target is 12%. We're right on track.

Of the total contracted quantity, as I had mentioned, sugarcane-based feedstocks collectively contribute 71% with B-Heavy, of course being the highest. And the balance is contributed by surplus rice of 26% and damaged food grain of 4%. Presently, the Food Corporation of India (FCI) has suspended suppliers of surplus rice for the production of ethanol.

Looking at the Engineering businesses, I will speak about Power Transmission business, first of all, we had quite a remarkable quarter where profitability and turnover increased quite dramatically. Profitability increased by almost 110% and turnover increased by 77.8%, very strong export performance in the supply of API gearboxes to the Americas and Europe and compressor gears and gearboxes to Europe and China.

Profitability margins also improved quite dramatically to 34% in Q1 versus 28.8% in the previous corresponding quarter. And this was due to lower raw material costs and an optimization of SG&A expenses. Both areas that we have worked very hard on, coming out of the COVID experience. The growth in order book during the quarter is driven by growth in critical sectors such as steel, oil and gas and steam turbine compressor and pumps as the OEM segment. The outstanding order book as I mentioned stands at ₹ 271.63 crore.

The Water business, the revenues declined marginally due to a delay in execution in certain projects. So the business is actively targeting foreign projects, wherever it progresses the prequalification and something where funding is ensured through multilateral and reputed agencies. This is very important, it is a strategic shift, where we were looking just at domestic markets and regional markets. Now we've broad based ourselves and looking at a much larger canvas, and we hope that we will be able to come back to you with greater successes in international markets. As you are well aware, we have two projects in the international markets already that are under execution in the Maldives and in Bangladesh.

The closing order book stood at ₹ 1,341 crore and which includes some O&M (Operations & Maintenance) contracts, which are over a longer period of time.

Turning very briefly to the outlook of the businesses. In Sugar, we continue to focus very seriously on yield improvement initiatives by our farmers, adopting the best agriculture practices through continuous engagement and demonstration, etcetera, and also varietal replacement.

We will be looking at increasing crushing capacities in sync with our sugarcane availability. The Company is also in the process of increasing its refined sugar production which stood at 60% for the last year to 70% with the change in manufacturing process at our sugar unit at Milak Narayanpur.

The activities that I've previously spoken about three months ago pertaining to modernization, debottlenecking and efficiency improvement are all underway,

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which will enhance both the bottom line, most significantly as well as the top line. The condition of the sugarcane crop and grain crop has been satisfactory in our catchment area of all seven of our sugar mills. And we are hopeful that there will be good climatic conditions for the subsequent period. And this is critical.

The next

three months are critical. We do want a little bit of rain, but not too much. We certainly want a dry September. That is very crucial for operations to start at the end of October, which is what we're forecasting for the next year.

In the Alcohol business, we've been a strong supporter of the Government's Ethanol Blended Petrol program. We've bolstered our capabilities quite substantially, of course, raised capacities from 320 KLPD to 660 KLPD last year. And you are well aware that we are on our way to achieving 1110 KLPD in the future.

The Power Transmission business, there's very high demand that we're witnessing over the last few months, I would say. I think there's been a resurgence in demand globally across the sectors that I was talking about. The product segment domestically is really looking at growth steel, cement, waste heat recovery and oil and gas. Internationally, of course, you have growth in these sectors among and a few others.

Interestingly, we're seeing substantial growth in all of our OEM customer business. steam turbines, gas turbines, pumps and compressors, domestically and internationally. Again, this bodes very well for the future. And our focus is very much on market share gains where we are looking at the international market as our canvas.

In the Defence segment, the business expects increased order booking from key segments of turbine packaging, gearboxes, special application pumps. And we have several RFPs that are coming up to the stage of conclusion over the next few months. And so hopefully, I will have very good news potentially by the next time that we speak or maybe in the next quarter, but hopefully by the next time that we speak.

In the Water business, as the demand for reliable water and waste water treatment solutions is on the rise in India and in international markets. And apart from participating in domestic projects, we are expanding our global footprint, establishing strategic global partnerships and fostering mutually beneficial relationships with key stakeholders. So at Triveni, we find ourselves strategically positioned in order to capitalize on all the growth opportunities across all of our verticals.

And I would be very happy to answer any of the questions that you have. Thank you.

Question -and-Answer Session

Operator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: Good afternoon Sir. I had a few questions. Firstly, on the ethanol supply part, we have heard about some slowdown in offtake by the OMCs and your mix also in 1Q is suggesting that you've been able to sell mostly grain-based ethanol and a little bit B-heavy. So, is there any change in that in this quarter? And will the B-heavy

mix change in the coming quarter or the next one or two quarters? That's the first question.

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Sameer Sinha: Going forward, all the decantation issues have largely been resolved. You must understand that it was not a generic problem. It was unfortunately that as a coincidence, quite a few of our depots were impacted. We were supplying a large quantum to Gujarat where Biparjoy cyclone washed away a large portion of the logistics. And therefore, the offtake for petrol came down, and therefore, the offtake for ethanol. Similarly, Mathura refinery had some issues, both in terms of approvals and pipeline renovations and maintenance issues. And similar was the case with one or two other depots and that was the reason for this temporary blip. The situation has significantly improved over the period of time. And going forward, we'll also be supplying B-heavy, however, it will largely be in terms of a similar product mix. Going forward, we are also evaluating the feedstock challenge coming in from FCI stoppage of surplus price.

surplus price .

We are dynamically evaluating the situation. We have got enough stocks of not only grain, but also molasses. So therefore, over a period of time, depending on which way we go, we'll enhance or change our product mix to give us the most optimal results. Also, we must note that we are at the end of July and our mills are supposed to start in October, and therefore, to that extent, it's not a very long period of time, which may impact us going forward.

Tarun Sawhney: Let me just sort of encapsulate this by saying that we do not see any interruption to operations.

Rajesh Majumdar: So we've been hearing about some notification or some announcement from the Government to stop using broken rice for ethanol, this particular year because of the impact of El Nino or something ?

Tarun Sawhney: That's incorrect. And there is no notification to that effect. However, FCI has stopped allocating surplus rice for the production of ethanol. Yes, as a matter of fact, they've stopped allocating surplus rice for anything, which includes for the production of ethanol. Broken rice, which is available through the open market is still available. It is at a higher price right now. But as you know, the Government has banned the export of non-basmati rice. And we've already started seeing a softness in broken rice and the rice markets across the nation. And we anticipate that given the next few days, we will be able to at least start getting much better prices for broken rice.

Rajesh Majumdar: So, you're clearly guiding that the grain-based margins can actually improve in this quarter ?

Tarun Sawhney: No, that's not what I'm saying. The broken rice is available at a higher price than FCI rice. FCI rice has stopped. We will have to then look at what is available and at what price points. What my colleague had just mentioned is we have the sufficient quantity even now B-heavy molasses can be allocated for production of ethanol in the next few months until the next season starts.

So, we are relooking at what is the mix of our input. And then that is what will have an impact on margins. I do anticipate that given the move that GOI has taken, there will be short-term and medium-term repercussions in terms of pricing. So, I do anticipate that the Government will relook at pricing, given where the price points of all these inputs of all the raw materials for the ethanol manufacturing. And I expect that some of the announcements will start very soon. And then maybe of course, we look at many more as we approach the next Ethanol Supply Year. This is the given scenario, but I think the Government is truly aware of all the challenges that is being faced by the industry and is will hopefully act in a very rapid manner.

Rajesh Majumdar: Right, sir. And my other question was, can we get an idea of the capital employed in the businesses like transmission and the municipal business separately? And

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the capital allocation in these businesses for the company? And how much of the debt of the company is coming from the municipal business?

Suresh Taneja : If you look at the capital employed, our results duly provide all this information in terms of segment assets and segment liabilities.

Rajesh Majumdar: Breakup between the power transmission and the...

Suresh Taneja : It's very much there. If you look at the breakup over there, the breakup is given for a Sugar , Distillery, Power Transmission, Water and others .

Rajesh Majumdar: And the debt in the municipal business, sir ?

Suresh Taneja : Debt in the municipal business is not much. It is in the region of about ₹50 crore , ₹60 crore as of now. I'm basically talking about the Water business. Now coming back to your specific question on Power transmission, we have total segment assets of ₹206 crore , and we have segment liabilities of ₹62 crore . So, in other words, the

capital employed is about ₹150 crore for that business.

Operator: Thank you. We have our next question from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Good afternoon everyone. And thanks for the opportunity. Congratulations on the decent performance , given it was a challenging quarter. So, my first question is with respect to FCI rice suspension . How does it influence our future CapEx plan? And how do we read this? And do we have a revised guidance of ethanol with respect to this? And also the mix, if it will change if upward revision in the ethanol price what you just alluded to, doesn't happen. So how does that shape up?

Tarun Sawhney: You've asked a question that is pretty much on everybody's minds. I mean given this very quick reaction in terms of FCI rice, what is the future of the program. And frankly speaking, the Distillery business for Triveni. I have to say three things on this matter. The first thing is that I've always been advocating for multi-feed distilleries. The availability of molasses or sugarcane-based raw material, the availability of grain and other grains, is going to vary over a period of time. And therefore, the establishment of multi-feed distilleries is the only true answer. As you know, we have pioneered this approach for the industry. There are many others that are doing the same now, and we will continue to. And as you know, the 450 KLPD that we're setting up are both multi-feed plants. Now that is point one.

Point two is, what is the specific impact of the recent policy changes and non-availability of FCI rice. I think it's too early to tell, very frankly speaking. It's too early to tell for two reasons. Number one, we're expecting an interim increase in pricing for ethanol. It is seriously being looked at from what I understand. I don't quite know what the quantum is . We're in the business, which is heavily determined by market prices. So, if the relative prices of other feedstocks changes, the dynamics will change.

So, what I would like to leave you with is that this is a little pebble in the way. But we will surpass it, and we are still on track. And we've done 11.75% ethanol blending thus far. We're on track on having a significantly higher level of percentage of blending this year versus last year. I do think that everybody will have to be nimble and change their strategies. We too will do that. It's very difficult for me to share with you what that will be today , because I don't know what the change in price will be, which is what I'm anticipating. Once I know that, I'll be in a better position. But you should feel comforted with the fact that we at Triveni have multi-feed distilleries . So, we have that operational flexibility to be able to shift from one to the other.

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Shailesh Kanani: Sir, just a follow-up on that. I understand for existing facilities, we are kind of backward integrated with molasses and the feedstock. But I was just thinking about the expansion, which we are going from 660 to 1100 . On that feasibility, are we going to delay because of this? I just wanted to understand that.

Tarun Sawhney: No, the Rani Nangal facility is very much on track. As I had mentioned even on the last call that we're attempting for the Rani Nangal facility to be operational in Q4 of this fiscal year, that remains unchanged. As far as the new facility at Sabitgarh is

concerned, it was going to come up a short time after that. That still very much remains on track. Having said that, if there is any change to that project, it will be dependent on the next level of pricing announcements, which I expect imminently. So, I think we will be in a better position to judge what we do with the second project. But right now, it remains on track.

Shailesh Kanani: So, is it fair to assume that our earlier guidance of ethanol sales remain as of now the same, right?

Tarun Sawhney: As of now, the guidance has been absolutely the same.

Shailesh Kanani: Okay, thanks a lot sir. That's good. My second question was with respect to PTB division, which is performing excellently well. So are there any one-off during the quarter, because the first quarter is normally to subdue, but this time around the numbers were excellent. And if you can share some light about the CapEx plans and what kind of asset we can see going ahead in say medium or long-term for the division?

Tarun Sawhney: Okay. So I can't offer you asset turn data, because we're investing very heavily in the business, and that's going to change from our historical numbers. And I don't have that calculation to share with you today. But I can share with you that your observation is absolutely on point. Typically, Q1 for us has always been a light quarter. And this year, we've had 78% increase in turnover, a 110% increase in profitability. It has happened because of two reasons.

The first fundamental reason is of our overall revenues for the quarter, 30% is from export. So, this a huge bump in export revenues in Q1, which is typically always lower. With that expanded canvas, and we're seeing a massive amount of activity in API segment, which is oil and gas segments in North America and Western Europe. And we're also seeing compressor work happening in Europe, as I mentioned, and in Asia as well.

We've seen a huge number of domestic and international customers that supply into that market, increasing their demand. It bodes very well. Our order booking I expected to rise quite a lot. Q1 is always a light quarter for both of them. So, to see both revenues and order booking jump is what we had expected, very frankly speaking, and we've finally been able to convert it into performance. I think, while I don't talk about expectations, we are very well positioned in those markets. You have to understand that globally, the customers that we're selling to all our operations in India, and we all sell to them, and we have very high market shares with the same customers.

Now it's about translating that relationship into a global one. And while it might take something that is a short to medium-term target. We're seeing the dividends of that already.

Turning to the CapEx. We have approximately ₹100 crore that the Board has sanctioned in terms of expansion of our existing facility and the acquisition and development of the Defence manufacturing facility also in Metagalli, very close to the original manufacturing facility in Mysuru, that is very well on the way. Orders have all been placed for the machinery and our work is on at the site as well.

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We're anticipating that some parts of that ₹100 crore will be commissioned and made operational in this fiscal year, and the balance will be done by Q2 of the next fiscal year. So, we're very much on track. And I think we were ahead of the gun, we recognized that there were longer-term deliveries for some of these very complex, very highly sought after CNC machines has come from Germany and other European countries, large multi-million euro machines. We predicted it. Therefore, we placed the orders, and so now we're well positioned. In terms of execution, we are very much on track.

Shailesh Kanani: Sir, in the result there's a new joint venture, namely Triveni Sports Private Limited. Just wanted to understand the purpose and capital allocation there. And also, if you can just highlight that, I just noticed that a Board meeting lasted for more than five

hours. So, if anything specific you would like to highlight, which was discussed sir?

Suresh Taneja : In our case, in the Board meeting, apart from the results, we have multiple businesses over there. All the business, performance of the business, outlook, et cetera, everything is discussed in the Board meet

ing. So obviously, it takes much longer time. You would appreciate that it's not just a sugar company. It has got other engineering businesses as well. So that's one of the reasons why it should take more time.

Tarun Sawhney: And with respect to the new company, it is 50:50 venture between Triveni Engineering and Industries Limited and the other 50% is owned by Triveni Turbines. We have created this Company, because it reflects an opportunity that was placed in us to be part of the Tech Mahindra Global Chess League. I'm happy to report that we actually won the tournament and we will be receiving the prize money, et cetera, that will come with that. I don't have the exact numbers just now.

The purpose really is to be able to foster this involvement in this very interesting area, which leads and lends its properties towards our businesses of excellence of great individuality, of great team play. So the properties of the sport rather lend itself towards the Triveni brand very much. We feel that it is an important association and one that we would like to foster. In terms of the total capital deployment of Triveni Engineering right now it's ₹2.5 crore.

Operator: Thank you. We'll move on to the next question from the line of Nitin Awasthi from InCred Equities. Please go ahead.

Nitin Awasthi: Hello Sir, Triveni being one of the rare companies, which is also in the grain ENA manufacturing. I would just want to understand two things in that business. One, what was the broken rice we're purchasing before the FCI ban? What is the price at which you are purchasing? And what has it changed to now?

Sameer Sinha : So coming back to the issue of the purchase price of Damaged Food Grains (DFG), we had purchased it at a price of around ₹20 and kept it in stock for us. And we have the flexibility also to produce ethanol from the same facilities, and we were largely into ethanol at that point of time. And we will be going out as we did mention that the DFG prices had gone up, but we expect with the ban on exports that the prices will soften and we'll also look at that alternative for producing both ethanol and ENA.

Tarun Sawhney: So, the price for broken rice right now in Uttar Pradesh in North India is about ₹24 per kilo. And there's certainly a softness. This was the price before the ban. We've seen a softness and we've seen a reluctance of a lot of quantity to come to the market, which will have to come to the market, that off-take has to happen. It will certainly happen at lower rates. Does that answer your question?

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Nitin Awasthi: Yes, Sir. That does answer my question. The second part of the question, ENA being a market-linked commodity, where prices are not determined or there is no interference from the Government. Will there be an uptick or are you seeing an uptick in the grain ENA prices? At least that part our margins are same?

Sameer Sinha : Our sales of ENA are largely for our own consumption in our country liquor business. However, the prices which we did mention the last time were at around ₹63 to ₹65. In some cases, the transactions have gone up to ₹67, so that there could be a pass-through in terms of the increase in pricing in terms of the DFG prices getting passed on to the consumer.

Nitin Awasthi: Understood, Sir. Last question, if I may. There's been a talk of a maize policy because of which the FCI move might have come in play. Have you heard anything of that sort, so that the new policy in play, which might come in?

Tarun Sawhney : The Government has been very vocal in saying that maize is a very viable raw material for the production of ethanol. One has to remember that right now it is not the maize season, firstly. Number two, the variety of maize that has grown in the country will need to change if we're looking at an energy maize change and you're

looking at maize . So those two things, it's a medium -term issue to tackle.

It is not a short term. It will definitely be dependent on price. You will have to offer an attractive price for the industry to go out and develop that supply chain and for farmers to be encouraged to grow this. The one thing that you should note is that India produces a large quantity of maize , only 10% of it is for human consumption, the balance portion of 9-10 odd million tonnes goes towards feedstock, a animal feed. At the end of the day, even if we're using the policy behind the Government 's thought , I would imagine, is that even if you're using maize to produce ethanol, the effluent (co-product) is DDGS, which is animal feed. So, you're actually solving two problems, but there is a pricing issue. And I think it's not a big policy as such. It will just be determined by a declaration of price, which I'm anticipating soon .

Nitin Awasthi: Understood, sir. Thank you so much.

Operator: Thank you. We have a next question from the line of Rajiv Agrawal from Sterling Capital. Please go ahead.

Rajiv Agrawal: I just have a question on your Defence business. You're planning to set up a dedicated multi -modal facility for Defence products. What would be the quantum of investment in this business? And my second related question is that out of the order book of ₹271 crore , how much of it is from the Defence business?

Tarun Sawhney: Of the ₹100 crore that we invested in P TB, the investment in the new Defence facility is ₹40 crore . And this will be executed by this time next year. It will be operational by this time next year. With respect to our order booking, part of it is executable this year , part of it , is part of our longer -term order booking, and it's approximately ₹80 crore. I don't have the exact number with me right now.

Rajiv Agrawal: Out of ₹271 crore , ₹80 crore is from Defence business ?

Tarun Sawhney: Yes, that is correct.

Rajiv Agrawal: Okay, thank you sir. That is all from my side.

Operator: Thank you. We have a next question from the line of Nikhil Jain from Galaxy International. Please go ahead.

Nikhil Jain: Yes, thank you for the opportunity. Two questions. First, so in this quarter, our distillery volumes have actually gone up very significantly, but the margins have correspondingly not gone up. Any specific reason for that? So, if you can just highlight?

Tarun Sawhney: Yes, I'll give you . I spoke about it in my opening comments. It's not an apples -to-apples comparison. In the quarter under review, we had 64% of our sales from molasses and 36% from grain. Grain has lower margins. In the previous corresponding quarter, it was 100% from B -Heavy and therefore to that the B-Heavy margin rate. That is the difference in the margin primarily.

Nikhil Jain: Okay. So, grain is more remunerative in that sense, if you get it at same...

Tarun Sawhney: Grain is less remunerative.

Nikhil Jain: Less remunerative, okay. So, is there any specific reason for us to actually go for grain then and is there a shortage of molasses? Or let's say you just want to ensure do anything ?

Tarun Sawhney: This is again what I was talking of. We are setting up multi -feed distilleries. So if the price of ethanol derived from juice goes up , we have the capacities to be able to divert to that. In the interim, while the prices aren't at a level that we're happy with, we can certainly use grain because the returns from grain are still al so very good. The five-year project payback approximately with grain, which is really still not bad at all. So, it may be different from B -Heavy molasses , but that doesn't mean that it doesn't meet the investment hurdles of the Company.

Nikhi I Jain: Okay. Okay. And my second question is that , is there any thoughts on demerging the Engineering business?

Tarun Sawhney: No, the Board has not taken up the issue of the demerger.

Operator: Thank you. We have our next question from the line of Varun Gajaria from Omkara Capital. Please go ahead.

Varun Gajaria : Just had two questions sir. First that, how do you see the revenue in Defence, especially from the Defence segment trending for the next 2-3 years? What is the outlook there? And what is the relative asset turnover that you're expecting on the ₹40 crore investment that you're making in Defence?

Tarun Sawhney : We typically don't give any forward -looking statements on any of our businesses. I can only tell you that the opportunity is quite large. Our inquiry book is many times the size of our order book today. However, with Defence , the one thing that I must mention is that the closure of orders, so the award order is not in our hands. So, it is very much like our Water business. Things can get delayed and typically, things do get delayed. It's a game of patience, but the market is absolutely enormous.

As a consequence, because I'm not giving any forward -looking statements, I can't really tell you what our asset turns are going to be in that business going forward. But we do have investment hurdles within the Company. We look at post-tax returns of at least 15% to 16% for any decision and we're certainly ahead of that range for this particular business as well.

Varun Gajaria : Typically, for 50 to 60 to 70 returns on an order , right?

Tarun Sawhney : No. I said our investment hurdles are 15% to 16% post-tax, this could be ahead of that.

Varun Gajaria : Okay. And on the grain and molasses mix with the new distillery coming in the picture, how will the mix be going forward, like what is the mix you are looking at?

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Tarun Sawhney : That's a very good question. But the answer to that question is not something that I can offer today because for future supplies, the mix will be dependent on what the future prices are . So, I'm anticipating that there will be two increases in prices, one in the near term and one before the start of the new ethanol year which will probably be in September or so. Based on that, we will be able to give you a better idea of exactly what that mix will be. And today there's no point in posturing an answer , simply because we know it's going to change , and that will affect our strategy of mix. But as I mentioned to the previous caller, the advantage that we have is we have multi -feed distilleries that allow us that flexibility. We also have multiproduct where we can produce both E NA as well as ethanol to some extent, which allows us flexibility on the output side as well.

Varun Gajaria : Okay. Are there any short -term orders that you also undertake in the Power Transmission segment?

Tarun Sawhney: We do, typically, our orders are six to seven months approximately, and our repair and service orders could be as short as two months.

Varun Gajaria: Right. Because in the past, we've been seeing that the order book and the order book in the preceding year, the revenues and the revenues in the succeeding year, there's a little bit of mismatch so which is why I had a query on this.

Tarun Sawhney : Understood.

Varun Gajaria : Okay. So, it's a mix of short -term and long -term orders right , on that side, there is a bump ?

Tarun Sawhney : It is absolutely .

Operator : Thank you. We have a question from the line of Parag Somani from I CRA India . Please go ahead.

Parag Somani: Good morning Sir. I just had one question. This is regarding the ethanol supply to OMCs, so as you mentioned in your investor highlights that 553 crore of ethanol has been contracted by OMCs. Can you share the quantum of contracts seen by Triveni? And out of that, how much we have supplied till Q1 FY 24 and the quantum that we'll be supplying for the next two quarters till December ?

Sameer Sinha : We have about 17 crore or 17.5 crore from OMCs, and we have supplied about 11 crore so far . We'll meet all our obligations to OMCs under this ethanol supply year .

Parag Somani: Okay. And just a follow -up on that. I believe our ethanol capacity is much more larger than the capacity numbers you have mentioned. So, do we see , is there any scope where we can supply beyond the contracted capacity out of contract supplies that we can do or we can bring more contracts?

Tarun Sawhney : No, no. We're operating at very high levels of production efficiencies. So, at this particular point in time, we have 6 60 KLPD and we're operating that at near 100% levels of operations. So, there isn't any much more scope to expand it.

Sameer Sinha: And this ESY was for 11 months period, you must realize that. And we have already given our guidance earlier, I mean, in terms of what we supplied in the last financial year, and we were supposed to be supplying in the upcoming financial year FY 24.

Parag Somani: Okay. So that means we have contracted capacity for the complete production capacity of...

Sameer Sinha : Absolutely.
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Parag Somani: Thank you sir. That was my question.

Operator : Thank you. We have our next question from the line of Amarnath Bhakat from Ministry of Finance of Oman. Please go ahead.

Amarnath Bhakat: I have two set of questions. Number one, new sports business coming under this umbrella of Triveni. Just trying to understand the rationale of involving this company and allocating capital to a completely unrelated business of sports . Can you please give a little more light on what was the rationale behind going there?

Tarun Sawhney: Absolutely. And I just answered the question just a few minutes ago. The capital that's been allocated is ₹2.5 crore thus far through Triveni Sports Private Limited . And it is for a team in the Tech Mahindra Global Chess League , it's a commitment for several years. The first tournament finished in Dubai. It was attended by all the top leading women and men grandmasters around the world. And the Triveni team actually won the trophy.

Now the reason and rationale for associating to this is really lend in properties that is involved in the sport of chess is very much associated with the properties that we associate with at Triveni Engineering of excellence , of individual leadership , of team leadership, our diligence and our strategy. Those properties are very much part and parcel of all the mantra that we have at Triveni Engineering . And it is part of our brand recognition and future marketing message. So, there was a great deal of thought that was given into entering and into making this decision, and that is the reason.

Amarnath Bhakat: Sir is there any plan to allocate more capital or going big in this particular strategy of the company?

Tarun Sawhney: No, nothing terribly significant.

Amarnath Bhakat: Okay. And second thing, this was the discussion many times even before . Triveni Engineering is a mixing of this commodity business, which is very cyclical in nature

and other side of the business, which is very prominent and outlook is extremely good in respect of that power transmission and engineering side of the business.

Now, is there a perspective to value the loss for the shareholders. Is there any plan on the table either now or somewhere, to think for this demand, because this really doesn't work well for a complete commodity company and one side is cyclical business, one side is a structurally good business, which are long-term visibility as of today, to mix together. We as a shareholder get confused if you want, which type of the business to invest, it will want the power business, I have to take care of the cyclical obstacle business as well, where most of the things is not in the control of the management in fact, something Government, something international price, something internal

building is changed time-to-time based on what the Government decides. So just trying to understand, is there any plan, any thought process in the management to demerge these two entities or two sides of the business?

Tarun Sawhney: I think first, let me start by saying that your point is noted and we have made a note of it and of course, your views is something that we will have to reflect on. But in terms of demerger of any of our businesses in any form is something that has to be discussed at the Board level before I can discuss it with shareholders or with the investing public.

At this point in time, the Board has not discussed any plans of demerger. The last time this subject was discussed was several years ago, seven years ago. And at that particular point in time, the Board had in its determination said that it is not a matter or if they will be demerged, but a matter of when they'll be demerged,

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depending on their relative sizes, depending on the market conditions and a whole host of other factors. So that disclosure was made many years ago, and it still remains in force today. But I can tell you we had a Board meeting yesterday - the subject of demerger was not discussed at that meeting.

Operator: We have our next question from the line of Tejas Sonawane from Dolat Capital. Please go ahead.

Tejas Sonawane: Thank you for taking my question. Firstly, we are witnessing very high rainfall in northern parts of India. So do we foresee any kind of impact on getting production in the state of UP going ahead?

Sameer Sinha: The rainfall so far has been very good. And this is the grand growth period of the plant crop and of the entire crop rather. And therefore, we expect that this will be very beneficial. However, it has to be within certain limits. And so far, it has been within those limits. In case the intensity increases significantly going forward, only then there will be issues of water being discharged and some submergence of areas, but which it has not happened, our crop is very good. And so are the reports from the state of UP.

Tejas Sonawane: The Government has recently announced an increase in the FRP of sugarcane. So, any sense on the announcement of the SAP side as well for the upcoming season?

Tarun Sawhney: It's a good question, because we have a general election coming up next year. But I think you can only rely on past data. In the last seven years, the Uttar Pradesh Government has been extremely considerate in its announcements of SAP. And I will lead you to all the data over the last seven years. It has keenly looked at all market participants, the farmers, the industry and consumers in making that determination. Frankly speaking, if there is an increase, I can confidently say that if it will be one that will be taken in the most considered of matters, and it will not be any arbitrary increase that people have said that it has happened in that industry. So at this particular point in time, it's very difficult to say if there will be an increase or how much that increase will be, if there is an increase. I think the better time will be around about November of this year when that determination will be made. However, I would reemphasize that I have great confidence in the Uttar Pradesh Government in making the right decision.

Tejas Sonawane: Okay. That was very helpful. One last thing, you mentioned that we are seeing

some offtake issues from the OMC. So, could you please elaborate on the kind of issues we are witnessing from the OMC side in terms of the offtake of ethanol?

Sameer Sinha : No. In our case, they were not generic issues. These were specific issues, which I mentioned just a little while back. And they're related to three sets of regions. One was in Gujarat, which was hit by Biparj oy. And all the orders which had to be fulfilled , and we had quite a few depots at Gujar

at right from Hazira northwards.

And we found that there was virtually no decantation .

Similarly, in Mathura refinery, they had issues of pipelines and of certain approvals, which were required. And that got resolved early July or a very late June . You would say , and third were a couple of, again, depots in Punjab which we're getting supplies from one of the BPCL refineries, which had an issue with the pipeline , et cetera. So these coincidentally all happened together. They were bunched together in our case, but now they 've all been resolved. And we are not talking of any generic issues impacting the offtake by the O MC. Of course, there are certain teething issues, which remain, but they keep on getting resolved in our mutual interaction with the OMCs .

Tejas Sonawane: Okay. Understood. That was all from my side, sir. Thank you.
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Operator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Tarun Sawhney: Thank you. Ladies and gentlemen, thank you very much for joining us for Q1 FY 24 earnings review of Triveni Engineering and Industries Limited. As I mentioned , I think we have a very exciting three months . The Sugar business, we have to look forward to the weather and the growth period. And of course, by the time we speak next, the factories may very well have started. So quite exciting on that front.

On the ethanol front, I think the greatest excitement is going to be around pricing and the strategies that arrives around the pricing . Within Power transmission , it's going to be really about global focus , and the development of deeper relationships with global customers . And lastly, in water, again, with a renewed and larger landscape, I think we're in a better position and hopefully we will have more positive news to share with you a few months from now . Thank you very much, and have a good afternoon. Goodbye.

Operator: Thank you. On behalf of Triveni Engineering & Industries Limited, that concludes this conference. Thank you for joining us .

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Call: Nov 2023

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Date:7November,2023

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MUMBAI-400001 MUMBAI-400051

Thru:BSE Listing Centre Thru;NEAPS

STOCKCODE:532356 STOCKCODE:TRIVENI

Sub:Transcript of Analyst/Investor Conference Call held on 1 November, 2023

Dear Sirs,

Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed

transcript of the Analyst/Investor Conference Call held on 1 November, 2023 post

announcement of unaudited financial results of the Company for the Q2 & H1 FY 24

ended on September 30, 2023. The transcript is also available on the website of the

Company at: www.trivenigroup.com

You are requested to kindly take the same in your record.

Thanking you,

Yours faithfully,

For Triveni Engineering & Industries Ltd.

GEETA BHALLA

Group Vice President &

Company Secretary

M.No.A9475

Encl: As above

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Triveni Engineering & Industries Limited

Q2 & H1 FY 24 Earnings Conference Call Transcript

November 01, 2023

Moderator : Ladies and gentlemen, good day, and welcome to Triveni Engineering & Industries Limited's Q2 and H1 FY 24 Earnings Conference Call. I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you, sir.

Rishab Barar : Thank you. Good day, everyone, and a warm welcome to all of you participating in the Triveni Engineering & Industries' Q2 and H1 FY 24 Earnings Conference Call. We have with us today, Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward-looking in nature and a statement to this effect has been included in the invite, which was shared with everyone earlier. I would like to also emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management, following an interactive question-and-answer session. May I now hand it over to Mr. Tarun Sawhney. Over to you, sir.

Tarun Sawhney: Good afternoon, ladies and gentlemen and welcome to the Q2 / H1 FY 24 earnings results call for Triveni Engineering & Industries Limited. It's a pleasure to speak to you all today. The overall performance of the Company during the half year ended September 30, 2023, has been satisfactory. As you all know, H1 is generally muted

as off-season expenses in the Sugar business are expensed off during this period. Our Alcohol business has grown very well, due to capacity expansions during FY 23 and the stabilization of all operations since then.

The Power Transmission business is charting new heights, contributing both in size and growth to the Company as a whole. We're all set for the new sugar season and an overall crop that seems healthier due to favourable climatic factors as well as due to the rigorous sugarcane development activities that has been undertaken by the Company's teams.

For the half year, revenue from operations stood at ₹ 2,606 crore, an increase of 1.4% and Profit Before Tax stood at ₹ 130.2 crore, an increase of 15%. While comparing profitability, we should note that Q2 / H1 FY 23 includes ₹ 11 crore of dividend income received from the erstwhile associate company, Triveni Turbine Limited. As you may be aware, Triveni Engineering & Industries Limited has completely divested its stake in Triveni Turbine Limited last year. As such, there is

no dividend income in the results under review.

Furthermore, the profitability of the quarter at half year considers additional liability against levy molasses, which has impacted profitability of Q2 & H1 FY 24, by ₹ 12.1 crore. The total impact being approximately ₹ 18.2 crore for the full year. The net provisions previously being made for the estimated increase. The Profit After Tax for

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the half year stood at ₹ 96.7 crore. I'm going to now discuss the highlights of the business before turning to the businesses in a little more detail.

Looking at the Sugar and Alcohol business, while sugar sales volumes were lower during the half year due to lower quotas given by the Government of India, the blended sugar realizations have increased handsomely by 5.8% at the half year compared to the same period in the previous fiscal year. This is due to high domestic prices and also due to some export realizations in the previous quarter.

The Alcohol business reported sales of 9.4 crore litres, an increase of 11.1% over the corresponding previous period, resulting in an increase in net turnover of the Alcohol business by 20.5% during the half year.

The overall sugarcane crop position seems extremely healthy. The crushing for the Sugar Season 2023-24, has already commenced at four of the seven sugar units. I would like to mention that two of the other remaining three units would start on the 3rd of November, and the last unit in East Uttar Pradesh (UP) will be starting on the 9th of November. So pretty early start, not just compared to last year, but also compared to the last few years. And I think that is primarily to do with fantastic climatic factors, especially in Western Uttar Pradesh.

Turning to the Engineering businesses. Q2 FY 24 saw the highest ever quarterly revenue and highest ever profitability in the Power Transmission business, which drove robust half year results. The order booking of the Power Transmission business was ₹ 155 crore approximately during the quarter, an increase of 36.1% closing the order book at ₹ 282 crore approximately, compared year-on-year it's an increase of 15%.

During the quarter, the Water business has also won an important bid at RUDSICO, which is Greater Jaipur and the Letter of Intent (LOI) has been received after the end of the quarter. The outstanding order book for the Engineering businesses combined stood at ₹ 1,573 crore.

Looking at the financial performance on a consolidated basis. The net turnover increased by 4.7% and 1.4% in Q2 FY 24 and H1 FY 24, primarily driven by higher turnovers in the Alcohol and Power Transmission business. The sales volume in sugar, including exports were lower by 5.9% in Q2 compared to the previous fiscal year. However, the blended realizations were higher by approximately 6%. Consequently, the turnover was flat during the quarter. Sales volumes for the current half year also include approximately 14,500 tonnes of sugar that was exported in Q1 of this fiscal year.

The Alcohol business turnover, net of excise duty increased by 19.8% and 20.5% in Q2 and H1 FY 24. And this was due to higher sales volumes driven primarily by operational efficiencies achieved in the post stabilisation period of the new distilleries and an increase in activities in the Indian Made Indian Liquor (IMIL) business.

The combined Engineering turnover increased by 8.7% in the quarter and this performance was boosted by a 28.4% increase in revenues in the Power Transmission business for the quarter under review.

The Profit Before Tax and exceptional items increased by 60% in Q2 FY 24 to reach ₹ 130 crore for the half year milestone. The gross debt on a stand-alone basis as of the 30th of September is approximately ₹ 295.66 crore as compared to ₹ 825 crore as on March 31, 2023. Considering operational surplus funds that have been held in fixed deposits totalling ₹ 285.5 crore, the net debt on September 30th, 2023, stood at ₹ 10 crore only and this is a major milestone for the Company. The stand alone debt for the quarter comprises of term loans of ₹ 282 crore and all these loans with interest subvention or at subsidised rates of interest.

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On a consolidated basis, the net debt after considering operational surplus funds is ₹ 101 cr

ore on 30th of September 2023, compared to ₹ 914 crore on the 31st of March 2023. The overall average cost of funds stands at 5.81%, against 5.16% in the previous corresponding period, and I think that is primarily a function of the broader markets and the way that they have behaved. And it is still a very aggressively low figure in these kind of market conditions. The Gross Revenues, as I mentioned, increased by 9.9% in the quarter under review to stand at ₹ 1,617 crore. The EBITDA improved by 32% to stand at ₹ 75.28 crore when compared to the previous corresponding quarter.

Turning to the Sugar business in more detail. The inventory as on the 30th of September stood at an impressive 19 lakh quintals, which was valued at ₹ 33.6 per kilo (kg). The Cogeneration operations, including incidental cogeneration, achieved external sales of ₹ 12.65 crore. This is during the half year, and this was a slight decline of about 25% and as a consequence of our attempts to save as much of the bagasse as possible and achieve higher realisations by selling that to multiple sources in the market.

The current domestic prices as of the 30th of October 2023, sulphitation sugar is being sold by us at approximately ₹ 40 per kilo (kg), and refined sugar is being sold at ₹ 40.75 per kilo (kg) at this particular point in time. So, prices have risen quite a lot in the month of October and November, and I'm happy to discuss that in a little more detail later on during this call.

As I had mentioned, four of our seven factories have started operations and the initial results seem very encouraging where the Pol in cane is higher by a minimum of 0.2 units actually to be precise. And that's very encouraging at this particular point and the early start of the season.

The sugar dispatches during the quarter declined, as I had mentioned, by approximately 6%, whereas the blended realisation increased by 6%, leading to a net balanced revenue when you are comparing the quarter under review with the previous corresponding quarter.

The industry scenario at this particular point in time in sugar is extremely interesting. At the Indian Sugar Mills Association (ISMA) meeting held yesterday, the pre-diversion sugar production for the country was discussed at great detail and was concluded at 33.7 million tonnes. It is my view that only 3.5 million tonnes of this quantum will be diverted towards Ethanol production and the remaining Ethanol production for the country's requirements will be met through Damaged Food Grain (DFG) and maize.

Consumption last year stood at 28 million tonnes approximately as declared by ISMA. I believe that this year, we will see a small increase in consumption going forward as we revert back to the long-term trends. During the COVID-19 period, as

many of you know, there was a lull in the consumption levels in the country. And we have played catch up. This year has been a huge year of catch up combating the lull that existed for the last few years. And I believe we are now back to the long-term trend in increase in sugar consumption of approximately 2 to 3%.

In the new Sugar Season 2022-23, the area of sugarcane in Uttar Pradesh as a whole is up by 3%. And I think this is the result of satisfactory rainfall. And I believe that yields too are expected to increase during the season under review. However, poor rainfall patterns have led to a large sugarcane acreage abandonment in other states, including Maharashtra and Karnataka, which is the result of the lower cane output in these states and for the nation as a whole.

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Looking at the international scenario, the global sugar balance is working towards the deficit. The International Sugar Organisation forecasts a global deficit in excess of 2 million tonnes for the Sugar Season 2023-24. There is, of course, a robust sugarcane crop and sugar production expected in Brazil.

For the 2023-24 season, international reports estimate sugarcane production in the April-March period well over 40 million tonnes, which is an absolute record.

In Thailand, we are expecting subdued production in the year 2023-24, which is very much a long-term trend that is being seen from this major sugar exporting country. But despite this huge news coming from Brazil, we're seeing international sugar prices at all-time highs. The New York #11 contract touched new highs in October 2023, well crossing US 27 cents/lb, driven primarily by global concerns and the expectations of El Nino in Thailand and lower sugar production in India. As on October 30, 2023, the New York #11 forward month trading contract was at levels of approximately US 27 cents/lb. The London #5 prices have also touched decade highs, and currently trading at approximately \$730 per metric tonne.

Turning to our Alcohol business. Our production in Q2 was impacted due to feedstock challenges that led to disruption of the planned production as the Central Government rather suddenly suspended the supply of surplus rights from FCI godowns, the Food Corporation of India. And we had to switch over to maize as the feedstock for the first time in our history, and we were able to do that after some initial trials quite successfully, and our production of utilising maize is fairly stable at a number of our factories. So, we're one of the first few in the industry to be able to do this switchover quite easily.

The alcohol sales volume increased by 12.8% in Q2 FY 24 over the previous corresponding period, and this was due to the stabilisation of the new grain distilleries that were commissioned in the previous period. The net turnover was boosted by higher alcohol sales, higher Distillers' Dried Grain with Solubles, DDGS, which is sold as animal feed and higher volumes in the IMIL business.

The Uttar Pradesh Government has retrospectively amended the molasses policy for 2022-23 on the levy molasses obligations to equate 'B' and 'C' heavy molasses without considering the respective increased generation or equivalent Ethanol output. This impacted the revenue in sugar and further reduced the availability of molasses as a feedstock in Q2 FY 24.

However, I would like to point out that as of about an hour ago, there has been the new molasses policy for the state of Uttar Pradesh has been released. We are evaluating it presently. But I can share the highlights with you on this call. For the molasses year 2023-24, the policy has been amended so that 26% of 'C' molasses will now be levy molasses and 19% of 'B' molasses will be the equivalent. So, they have factored in the differential sugar content of both streams of molasses, which did not exist in the previous year. In the previous year, both 'B' and 'C' molasses were subject to a reservation of 20%.

During the quarter and half year under review, alcohol produced from sugarcane-based feedstock formed 65% and 64% of total sales volume, respectively with sales of Ethanol made from 'B' heavy molasses at 59% and 58% retrospectively. In the previous corresponding quarter and half year, alcohol produced from sugarcane feedstocks was 76% and 87% of the sales volume, respectively.

So quite a substantial difference as we move towards embracing grain has an important feedstock for Triveni Engineering. The alcohol sales from grain constituted as just the converse, 35% and 36% in the current quarter and half year, while the same contributed 24% and 13% in the previous quarter and half year, respectively. Following the suspension of supplies of surplus rights from FCI, the Company did face challenges from price volatility and the availability of feedstocks such as

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Damaged Food Grain (DFG) during the quarter. Thus, the Company transitioned promptly to produce Ethanol from maize for the first time in Q2 FY 24.

It is importa

nt to mention that when you transfer from the 'B' heavy molasses and start producing Ethanol from maize, the capacity, even running at full capacity is the output of Ethanol reduces by approximately 25%. So that is an important factor to consider in, if we are restricting the quantum of 'B' heavy molasses or sugarcane diversion for the Ethanol blending programme and looking more towards grains and especially maize, because it means that the total distillery capacities will have to then be re-evaluated from that perspective.

The sales increased in the quarter by 12.8%, and the average realisation increased by almost ₹1 per litre in the quarter under review versus the previous corresponding quarter. The PBIT for the distillery business also increased by 7% and stood at ₹50.5 crore. The domestic industry scenario is extremely interesting. If we look at the previous year of 2022-23, which ended at the very end of October, out of the 600 crore litres, which were finalised by the OMCs, 565 crore litres had been contracted till October 15, 2023. Against the above, 467 crore litres were lifted up to 15th of October, which pointed to an average blending percentage of 11.8% up to October 15.

And that's I think, ladies and gentlemen is actually a huge achievement for the Ethanol blending programme that despite the tough times, despite changes that have happened, as I have talked about, FCI rice etc., that we are still managing to meet the expectations of the Honourable Prime Minister and of the Ethanol blending programme.

Of the total contracted quantity of 565 crore litres that I spoke about, sugarcane-based feedstocks collectively contribute 70% with B-Heavy molasses, Sugarcane Juice and C-Heavy molasses accounting for approx. 45%, 24% and 1% respectively. Grain-based feedstocks such as surplus rice, damaged food grain and maize contribute 26%, 3% and 1%, respectively.

For the Ethanol supply year 2023-24, the tender has been floated with an increase of 15% at 825 crore litres. Although the close of this tender, which was supposed to happen a few days ago, has been postponed up to the 3rd of November, which is the end of this week. We're still a little uncertain because one does not know what the Ethanol price is going to be for the various constituent feedstocks for the next Ethanol Supply Year. And of course, one can independently have the tender floated as well. And we're hoping that all of this will be resolved very soon by the Central Government.

I'd like to turn now to the Engineering businesses. For the Power Transmission business, the increase in H1 FY 24 turnover and profitability was 44.8% and 58.2%, respectively, driven by high domestic sales across all the OEMs. The Defence business received an order recently of ₹18 crore for the supply of propulsion gearboxes for fast patrol vessels of the Indian Coast Guard. This marks an entry of this business into the Marine Gearbox segment. The first entry into the Marine Gearbox segment. These gearboxes need to be highly engineered, compact and lightweight to meet the specific requirements of vessels and the Company would be undertaking this project with its own design, in-house manufacturing and testing and with over 90% indigenous content, which is a major step in line with Make in India policy of the Government of India. With this, the defence business will also be well placed to support the nation's future shipbuilding projects of similar nature with completely indigenous solutions.

The total outstanding order book on the 30th of September stood at ₹282 crore for

the Power Transmission business. Important to point out some of the financial numbers. Revenues grew by 28.5% in the quarter. PBIT grew by 36.8% in the quarter. And order booking in the quarter grew by almost 50% when compared to the previous corresponding period.

Turning quickly to the Water

business. The revenues stood at ₹ 62.13 crore for the quarter under review. The PBIT grew by 48% to ₹ 6.63 crore, and the closing order book stood at just under ₹ 1,300 crore. The results of this segment are based on the consolidated results, which include the wholly owned SPVs executing the Mathura project awarded by the NMCG under the Namami Gange Programme and the Pali ZLD project.

The revenues declined primarily due to the delay in execution of certain projects. But I'm happy to report that the Maldives project was inaugurated by the President of Maldives, His Excellency, Mr. Ibrahim Mohamed Solih in August 2023. During the quarter, the business has also won the bid of RUDSICO Greater Jaipur under a joint venture agreement with Triveni as the lead partner. The Letter of Intent for the same was received in October 2023, and Triveni's share of the contract is ₹ 355 crore, including O&M and GST.

The business is actively targeting foreign projects whenever it processes the pre-qualifications, and the funding is ensured through multilateral and reputed agencies. The outstanding order book on the 30th of September stood at ₹ 1,291 crore, as I mentioned, which includes ₹ 892 crore of O&M contracts that will be executed over a longer period of time.

Turning quickly towards the outlook of the various businesses. The Sugar business, as I mentioned earlier in my opening remarks, this is a very exciting and interesting year with lower production estimates for India and the support that the sugar industry has to make towards the Ethanol blending programme of the nation. And so we are in a planning stage and in deep conversations with Department of Food & Public Distribution (DFPD) and the various other ministries to look at what is the total quantum of sugar output, how can we secure the larger quantum of sugarcane for crushing at sugar factories and supporting the Ethanol blending programme at the same time. I believe this will be certainly achieved through a process of continuous dialogue.

Furthermore, we're also closely reviewing the sugarcane price increase, if any, for the new sugar season. And we're very confident, and I'm personally very confident that the State Government of Uttar Pradesh will look at a sound and well-reasoned increase, if any, for the sugarcane price SAP for season 2023-24. The Company has implemented a robust sugarcane development programme with the farmer community based on a multipronged strategy. And we're seeing very clear and huge strategic advantage for us in our area, not just in terms of combating red rot, other diseases and pests but also looking at varietal replacement and massive yield enhancements for our farmers.

This is also coupled with the enormous digital intervention that is happening to include our entire farmer base of 3.5 lakh individuals. The Company continues its investments towards debottlenecking, enhancing our crush rate, higher production of refined sugar across our various units. And this with robust pricing that is forecast in the next few quarters will of course bode favourably for the results of the Company.

Turning to the Alcohol business. We're in the state of limbo because for the supply year 2023-24, the prices are yet to be announced. I believe that they will be announced with a reasonable increase in the very near future. And also, the tender floated by the OMCs will come to its conclusion so that one can start supplies as quickly as possible.

We have successfully raised our capacities from 320 KLPD in FY 22 to 660 KLPD and we're on track to raise our capacity to 1,110 KLPD. I talked about the

Engineering businesses, where the Power Transmission business has scaled massive new heights. The infrastructure growth and expansion of the steel and

cement sectors for waste heat recovery have been huge sources of new demand for this business. We

also see massive demand not just today but continually in this decade in the oil and gas sector, especially for requirements of steam turbines, gas turbines, pumps and compressors, both domestically and internationally.

The setting up of the dedicated multi-modal facility for defence products would also help gain business confidence with key customers and expand our service offerings. And that investment is well underway, which will be commissioned in the next fiscal year.

In the Water business, after achieving success in Maldives and Bangladesh, we are aggressively targeting expanded activities overseas. The domestic market opportunities are also increasing in recycle and reuse wastewater and the Water business is equipped to handle this market. We're also exploring Public Private Partnership (PPP) opportunities for Sewage Treatment Plants (STP) recycling. The municipal business is also looking extremely attractive in many states, which is a big difference when I track back my comments that I have made maybe a couple of quarters ago. I think we're very well positioned at this particular point in time and there's a renewed interest at the Central and State Government and Municipal Government level in a variety of different water projects.

Just in terms of a concluding comment, I think our business strategy has revolved in identifying harnessing growth opportunities to achieve long-term value creation for our stakeholders and I think we've done a reasonable job. These are very interesting times, and all the businesses are firing on all cylinders.

I'm happy to take questions at this point in time. Thank you.

Question-and-Answer Session

Moderator : The first question is from the line of Sanjay from DAM Capital Advisors. Please go ahead.

Sanjay: I have two questions. What is the expected sugarcane crushing you're looking for the season? How much sugarcane you think will be diverted towards B heavy, C heavy and juice molasses?

Tarun Sawhney: Are you asking for the Company or for the industry?

Sanjay: Yes, I'm looking for Triveni as a group.

Tarun Sawhney: We do not give forward-looking estimates as far as our crush is concerned. However, as I had pointed out, this season has started off, we believe that our area under sugar cane has expanded as well as the yields of the cane in our factories, in our reserved area has also increased. Last year, we had a crush of approximately 933 lakh quintals. And this year, we're looking at levels higher, certainly higher. We anticipate our total sugar production to be higher, probably in the range of approximately 8% to 10%.

Sanjay: What quantum of sugarcane would be diverted towards?

Tarun Sawhney: It's very difficult to give you an estimate of what will be diverted towards 'B' heavy without knowing the price. So, with the higher sugar prices at this particular point in time, actually, the right way for me to answer this question for you is to say that we actually will go wherever we have higher profitability. Because we have multi-feed and multiproduct distilleries and our distillery model is extremely well diversified, we have the flexibility to be able to look at multiple feedstocks and multiple products as outputs as well.

And once we know the relative pricing of all the various items, as announced by the Government of India, we will then be able to determine within a day in terms of how much we will be diverting from B heavy or from C or from anything. We may get surprised on the juice number as well. We may certainly get surprised on the grain

numbers for Ethanol as well. So, it's very difficult to give you that estimate right now. Rather, it's impossible to give you that estimate right now without knowing the prices.

Sanjay: My second question was on the levy part. You mentioned that Government has just released this new molasses policy. So,

considering the 26% for the C molasses and 19% for the B, would your obligation for the levy molasses would be higher than last year, 2022-23 season or it will be lower?

Tarun Sawhney: Last year, as I mentioned in my opening remarks, the Government amended its policy to say that 'B' and 'C' were being considered at the same level. So, the 20% of last year's obligation was both for 'B' heavy molasses as well as 'C' heavy molasses. For this year, the difference in the new policy, which we are still evaluating because it's just come across my desk only about 1.5 hours ago is 26% for 'C' heavy and 19% for 'B'. So, in B terms, it's lower. In C terms, it's higher.

Sanjay: Okay. So, the proportion of 'B' heavy and 'C' heavy will decide whether it will be lower or high, understood. Just one last one bit on the Ethanol capacity utilisation plant, given the way sugar prices are prevailing, and it seems likely to prevail at higher levels only for the full season, do you think that you would be able to utilise your Ethanol capacity to the full, given the fact that diversion probably this time would be lower?

Tarun Sawhney: I think that's a great question. As I just answered in the first part of your question, we are in a unique position at Triveni, where we have multi-feed distilleries. We also have multi-product distilleries. And so, we are able, for large portions, for the majority portion of our distillery capacity, including both our new plants that will be commissioned, the first one commissioned in Q4 of this fiscal year, to be able to use any form of grain or any form of molasses feedstock.

So, we have complete flexibility. And the natural answer to your question is we would still be running at 100% capacity utilisation. Now depending on what we are using, the various capacities and outputs change based on the feedstock. But our capacity utilisation will be running at 100%.

Moderator: Next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: Good afternoon, everyone. Thanks for the opportunity. I have a couple of questions. How has been our experience working on maize as a feedstock? And given that in your opening remarks, you highlighted that our expansion plans continue to be on time, are we confident about availability of maize as a feedstock for us and for our EBP programme in general?

Tarun Sawhney: Excellent question. So let me start off with our experience. The experience with maize actually has been very good. It will continue to change, of course, as the variety of maize is not ideal for Ethanol production. The Government is acutely aware of that. And they are bringing about new seeds. So future years, the type of maize that we will be able to procure will be more suitable for Ethanol blending. But from a procurement perspective, for the last few months since July/August, we have not had any problems in procuring maize, part of it during the season, part of it during the off-season, of maize as well. So that has not been a problem in Uttar Pradesh at all. And we have stocks for another month as well already secured and with us at this particular point in time.

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Before I forget, from an operational perspective, operating on maize gives you 25% lower output of Ethanol. That is a big difference in terms of the total output from the same capacity of distillery. The other important point is when you compare maize to rice, the quantum of DDGS that you get is more than double. So, you get a substantial realisation from that perspective as well. As a matter of fact, the realisation from maize is probably better than market grain at this particular point in time, looking at the various values. So, the experience in a nutshell has been very good.

Now let me turn to the second part of your question about annual quantities, etc. This is very important to note that these are a

all seasonal crops. So, at this particular point in time, when we look ahead in terms of our planning, we see that we have enough maize and molasses, etc. to go through until the very end, until about the end of December.

But when we come into January, we have the rice crop. So, we have a huge opportunity of getting low priced DFG, damaged food grains, that will substitute for maize, until the new maize crop comes to us in the month of April, which will be with us till the summer. And then we have summer paddy. And after summer paddy, we have the second crop of maize and then the cycle goes around.

And if you go back several earnings conference calls, I have always stressed that having multi-feed distilleries is absolutely crucial for the industry, for the sugar industry especially to be able to then navigate these changes that we've seen, these huge changes. And we at Triveni are totally set. And we've forecasted for this. And it is what is happening. And we're very confident of meeting our capacities.

Shailesh Kanani: That is useful. So, in a nutshell, is it safe to assume that ₹ 8 to ₹ 10 per litre, what is the EBIT, what we make under grains is similar in the case of maize as the output of Ethanol will be lower, but the quantum of DDGS, as you said, is higher? So, is that a fair assumption to make?

Tarun Sawhney: I don't have the numbers with me right now, but the numbers that you were talking about was based on FCI rice, which was at a lower price point. Market rice, DFG is at a different price point with a different sale point. And those numbers are definitely lower than the ₹ 9 - ₹ 10 that existed for FCI rice. Similarly, it is also lower for maize as well. However, I think all of that will change, because I think that given what the sugar production is, given what the diversion towards Ethanol is going to be and given the huge EBP programme and the targets that have already been declared by the oil marketing companies, and therefore, the contribution that is required from the grain sector both DFG and maize, the prices of maize and DFG are going to be appropriately revised, so that you get additional capacities coming up to process those feedstocks. So, I'm very bullish on that front.

Shailesh Kanani: My second question is the PTB division. If you just highlight the status of the expansion? And any guidance on asset turns we can give going ahead, say two years, three years down the line?

Tarun Sawhney: In terms of the expansion, we're very much on track. We're looking at the building construction to be complete by April 2024 and the machines to come in thereafter and the plant to be fully commissioned probably around Q1 of FY 2025. So, three quarters from today, which is very much on plan and what one has discussed. Typically, in terms of asset turns, we don't really disclose any numbers.

Shailesh Kanani: But Sir, our margin profile would remain very robust, right? The way we are enjoying the margins right now, upwards of 30%, that would kind of remain even on expanded term. Is it a fair assumption, Sir?

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Tarun Sawhney: I think that's a very fair assumption. I think the growth that one is looking at is really it's not at the cost of any margin dilution. In fact, we look at our margin structures very carefully, and we've managed to maintain our margin structures when times were tough. And now with the expansion both domestically and serious expansion internationally, we expect margins not to dilute as we grow.

Shailesh Kanani: Last question from my side. At current sugar elevated level, how do we see sugar prices during crushing? Because normally crushing season the sugar pricing tends to be downwards. But given the scenario where everybody is expecting a lower sugar production. So how do we see sugar pricing bottoming out for this year? And at this elevated sugar rate how can we pencil in

any guidance on the consolidated margins for 2H, for the year. That's the last one for me.

Tarun Sawhney: I'm not sure if I can give you a response on the consolidated margin. But you're absolutely right. I think that trend is something that we're going to see again at this particular point in time. I think sugar prices have been elevated because we're in the festival period. We've had a late Diwali this year. We're not even at Diwali at this

particular point in time. And because there is a festival demand, prices do get elevated, and just at the start of the sugar season. So, we're seeing very robust pricing, that pricing may remain for this month, maybe even next month. But as the sugar factories are in full operations, and they sell their stocks across the country, I'm not talking about Triveni, but the country as a whole. I do see overall sugar prices moderating. I won't say even declining. I would say moderating to perhaps a slightly lower level during Q4 of this fiscal year. However, beyond that, I think it's a function of supply and demand. We are in a perfect situation where supplies are meeting demand, and we have a perfect closing balance. Overall, I don't see any great reduction in sugar price averages as we look forward for the next 12 months or so, some small decline followed by some small increase.

Moderator: The next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: Good afternoon, Sir. My main question was regarding the impact of red rot, which we have heard from certain other companies in Bijnor and spreading in Western UP. Now we've seen the impact of red rot in Eastern UP for the last 2-2.5 years, and the impact has been over a two-year time frame. So, are you fairly certain that we will not see that kind of an impact persisting in our main catchment area for a longer time period? And my related question is what is the proportion of Co-0238 we have in our sugar mills right now to mitigate this crisis somewhat?

Tarun Sawhney: It's a great question. So, let me start off by saying that, yes, in our Ramkola unit, and I pointed this out in previous calls, last year, we did have the incidence of red rot. It was a reasonable instance. It wasn't massive like it was in some other areas. And I think that was primarily due to our cane development activities. This year, we have seen red rot that has come up in our factories that are in central Uttar Pradesh, the ones near Bijnor. We're not seeing it in particular in core West UP Sabitgarh, Deoband, Khatauli and etc. And that's pretty positive. However, it is something it is bound to come. We're also seeing less disease, rather pests, the borers, etc which is that plagued us last year. But red rot is something that is there.

Once it spreads, it's going to spread with water and flood irrigation is the most commonly form of irrigation with the sugarcane crop sadly. And that is something that is going to propagate the spread of this disease. So, I do believe that for low lying areas, Co-0238 variety is definitely something that has to be replaced instantly. We have already started this programme.

Now let me answer the second part of the question. The total impact of red rot for Triveni is still marginal and nothing more than that per se. We have two factories that could have an instance, but the other five are relatively secure as far as red rot is

concerned. The important fact to note is the changes that we've made. So, we had this experience in Ramkola. We started off with Ramkola as well as all the other units in one prong of our cane development programme, which was varietal replacement.

So, for the start for the sugarcane season 2023-24, which is this season, the total quantum of area under Co-0238 for us is a remarkably low level of 70% of total cane, which is a huge difference when I compare it to other people in the industry. We are

moving from this number of 70%, and our target is to reduce this quite substantially by next year. A huge reduction in Co-0238 next year, whether we experience red rot or don't experience red rot. We're going to completely eradicate it in all low-lying areas across all seven units.

Rajesh Majumdar: If I get you correctly, you are not foreseeing the spread of red rot into the core Western UP area in this sugar season. However, you feel it will come next season, so that you're taking precaution to that effect. Is that correct?

Tarun Sawhney: It's very tough to tell if it's going to come next year in a substantial manner or not. How it's going to be eradicated. Because when you spot red rot, you have physical initiatives that you can take of de-clumping, of adding the requisite powders etc., the pesticides that are required when you first see red rot. It's about the nimbleness that you have in your cane development department. It's not something that happens, and you can't do anything about it. You can certainly do things about it to try and

prevent its spread in a localised area. But in a much larger area, area where you have no control, Triveni won't have control over all of West UP together. So, I don't know what the impact will be. It may not be next year. It may be the year after. But red rot will come at some point or the other.

The point is that you have to have an active management strategy that in the high land areas, you keep continue with Co-0238, which is a wondrous variety. You don't have any water logging, so you don't have spread of disease and you balance out your varietal balance with a whole load of other varieties. So, where you have the areas that are susceptible, you change the varieties in those areas. That, I believe, is the sort of cane development 101 at this point in time.

Rajesh Majumdar: My second question is you had mentioned earlier that your estimate of the cane price increase in UP is about ₹15 a quintal. Is that still all right? Because we are hearing to talk in the market of ₹25 per quintal?

Tarun Sawhney: It's very difficult to tell. I may be wrong, I hope I'm not, but I may be wrong. The one thing that I'm very confident about is that the UP government fully understands the plight of the industry. And it appreciates the plight of the industry, and it knows the kind of work that the industry is doing to deliver farmer returns. Because cane price is only a measure of bringing about substantial returns. And when you see the kind of yield enhancements that have happened this year compared to last year, for the state of Uttar Pradesh as a whole, the returns of the farmers are going up because the yields are higher and there is more area under cane. So, there is a double benefit to farmers. So, frankly speaking, I do not think there is a real requirement for any huge increase in State Advised Price (SAP), and I still remain hopeful, although I'm not the decision maker here.

Moderator: Next question is from Nitin Awasthi from InCred Equities.

Nitin Awasthi: Hello Sir. The first question would be the diversion towards Ethanol on the industry level. ISMA had quoted 4 million, if I'm correct, earlier. You, in your various presentations had also quoted 4 million earlier. And now in this call, if I heard you correctly, you said it could be around 3 million. Is that correct?

Tarun Sawhney: No, I said 3.5 million.

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Nitin Awasthi: 3.5. Okay.

Tarun Sawhney: Up to 3.5 million.

Nitin Awasthi: Okay. Then if you're saying that you would be able to judge, the question which I'm going to ask is that it is going to be very hard to meet the 15% blending requirement if you're going to cut down on our absolute number of diversion of cane, isn't it?

Tarun Sawhney: Well, let me just say that to be able to get about 475 crore litres, the whole amount never comes in any case. For 15%, the levels are much lower. So, it's not 825 crore litres that the oil marketing companies have tendered for 15% level will be substantially lower than that. It will be approximately 500 and something crore litres. The mathematics, of course, is very easy to work out when you look at 11.8% up to the 15th of October, the numbers that I just gave in my opening remarks.

But I think that grain distilleries will step up to the challenge, plus those sugar factories that have multi-feed capacities, just like Triveni's distillery business does, will also step up to the challenge. So, you will get greater quantum of supplies from existing assets at that point in time. Also, I think that towards the end of the year, there were many projects which were stuck in limbo because people didn't know what's going on with respect to future pricing, and they were waiting for this year's announcement.

If the price of Ethanol manufactured from grain improves by a marked level, which I'm fully anticipating, I think we will see Q3 - Q4 supplies to be up. And that is the particular period in the Ethanol Supply Year, which becomes a little ticklish as far as the Oil Marketing Companies are concerned. So, I think the balance, 15%, yes, it's

a tough ask. It's not an easy number to fulfil. I don't think it's an easy number to fulfil. But I think the mathematics still exist. In a perfect scenario, the mathematics still exists to be able to achieve that. However, the moving parts, the most important levers to be able to ensure that 15% is Ethanol pricing from the various feedstocks. And that, we don't know what those numbers are as of now.

Nitin Awasthi: The second question is on the sugar side of things, you seem to be one of the largest, if not the largest Grain ENA manufacturer as of now. And with your coming capacities, like you said, if you move the functionality to the grain side, one could count you in the grain manufacturers distiller's association also. But let's keep that aside. Just because of that, I want to ask you a few things. You highlighted already the previous participant the difficulties or the challenges when you move to maize. So, with that, if you could just quantify that a little? Like when you move to maize, what was the pricing of maize that you acquired maize at? What is it now as the market has settled? Is maize DDGS being affected in the market? Is maize oil being a challenge or a benefit for the industry?

Tarun Sawhney: When we started procuring maize, the price of maize was sub ₹ 19 per kilo (kg). It went up because the moment everybody wanted maize, it, of course, became dearer. And about a month ago, it was about ₹ 20, just shy of ₹ 20, ₹ 19.75 per kilo (kg). Some trades were done at ₹ 20 kilo (kg). And now it's on a downward cycle as well as maize crop comes to an end and it moves towards ₹ 19. I think the pricing of maize, despite the fact that everybody wanted it, was fairly stable. We didn't see any irrational moves. The moves that we saw, for example, in rice that happened in the previous few quarters, certainly did not happen in maize as maize was diverted for the EBP programme and we became a large procurer of this food grain.

With your second question of the DDGS that comes from maize, no, we've not had problems. Of course, the quantum is much larger. So, you need to find more people to be able to sell it. It's 27%, which is on maize, which is a large quantum of DDGS. But it's important to mention that the buyers of DDGS are fairly large.

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So, it's a moving market and the prices increase and decrease. At this particular point in time, they've decreased by about 1 - 1.5% the prices as of three to four weeks ago. But I don't see that as a problem. They will rise again. It's a function of what are the other substitutes for maize DDGS that is available

as animal feed in the market. But DDGS, for us as a nation, I think long-term pricing is definitely going to improve. There is no question about that and should improve quite substantially.

Nitin Awasthi: The third part was on maize oil. Is that a challenge while making maize Ethanol from maize rather than rice?

Tarun Sawhney: No, we don't manufacture maize oil. There are very few people that actually do, these are technological choices that you have. So, we don't really have any experience on that front.

Moderator: Next question is from the line of Krutika Vispute from Tata Asset Management. Please go ahead.

Krutika Vispute: I had a question on the levy molasses part. In your presentation, you had given an impact of ₹ 18 crore for the full year. I believe this is for the financial year and ₹ 12 crore is what you have taken for the September first half. So that is one whether it's for the ₹ 6 crore impact is yet to be seen, which we would see in the coming quarters? That is one. And on the new policy that you mentioned. Now earlier, I believe the rates were around 20% levy firstly it was for C heavy and then 'B' heavy was also brought around the same level. Now the percentage that you mentioned was 26% for C and 20% for 'B'. So, given that on the whole, this percentage is going up, is there an estimate of how much this could impact in terms of actual number on the EBITDA?

Tarun Sawhney: Let me answer your first question. The answer to your first question is yes. The balance ₹ 6 crore is yet to come. The answer to your second question is you've got the numbers just slightly off. Last year's policy was 20% be it 'B' or 'C' made no difference. They didn't distinguish the two. This year's policy is 26% on 'C' and 19%

on 'B'. So, it really depends on what you're making. For example, if you were only to make B, we're actually 1% better off as compared to last year. So, there's actually an EBITDA benefit from that perspective. But at this particular point in time, we don't know what the rates of Ethanol made from the various constituents are. So, we don't really know what we're going to be making.

Four factories have started. At this particular point in time, they have started making 'B' heavy molasses. So, we're hopeful that that strategy will pay off. But if not, that we will simply reprocess it and make 'C' final. But all those flexibilities or rather all those numbers will only get crystallised once we know what the pricing is. And I'm anticipating that in the next week or 10 days, we will certainly have that by Government of India (GOI).

Krutika Vispute : Just one more question, if I can squeeze in on the red rot. Just to clarify, you mentioned that this year, we are not seeing as much of a risk and it's only in the Central region that we are seeing risk of red rot, is that the case?

Tarun Sawhney: This year, I will only talk with respect to Triveni Engineering. I can't comment on the state because it could very well exist in other portions of Uttar Pradesh. Five out of our seven factories remain unaffected. Two of our seven factories that are close to the Bijpur region have some small impact, but we acted upon this very, very early. One of those factories has started. And actually, we've been very good in terms of getting cane that is totally unaffected by red rot. That factory started 48 hours ago. So, it's been pretty good thus far. And the second factory will start on the 3rd of November, just in a few days' time. And again, I'm very hopeful that we will be able to minimise that impact of red rot in that factory, whatever that exists.

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But you should know that when we did discover it, we did a lot of rouging, we did a lot of dosage of pesticides etc., that happened at the ground level even at that time of discovery. So, I think we were well ahead of the curve. So relative impact for Triveni

Group has been curtailed.

Moderator : Next question is from the line of Ambar Taneja from Geomatrix .

Ambar Taneja: I actually have several small questions. I read the press release from ISMA . I have two or three small questions. The press release from ISMA spoke about a gross sugar production of 33.7 which if we assume 3.5 million tonnes of diversion would mean sugar production of about 30. So, this is, I think lower by another 1.5 million tonnes from the numbers that were just released maybe 15 days ago. Is my understanding correct or am I missing something here?

Tarun Sawhney: You're talking about releases by ISMA. ISMA is an industry body, and they revised their estimates. So, I think the previous estimate was the one that they had for several months. In their latest press statement that they made a couple of weeks ago, they may have reiterated the previous estimate that they had. But to my knowledge, the only revision was the one that was made yesterday. So, it's not a change over 15 days. I think it's a change that's been made after three months, after we've actually seen the start of the sugar season that's happened across the country and more realistic satellite data has been evaluated and therefore, there's been a need to revise the change. What you heard maybe, I don't know when you heard it before that was a function of the previous estimate, which is 3 - 3.5 months old.

Ambar Taneja: The next question is, what would be, because this new policy, according to me, I mean, they've accounted for the fact that 'B' and 'C' heavy have different sugar content. But net-net, I guess it's not too much of a difference, except the fact that they've calibrated it. And as you rightly said, you are going to wait for the pricing decisions to make a decision about how much you allocate to 'B' and how much you allocate to 'C'. For the current sugar price, which is, as you said round about ₹ 40, what would be a 'B' heavy Ethanol price, which would be equivalent to a ₹ 40 sugar price?

Tarun Sawhney: If we were to assume that that the 'B' heavy prices would be increased by the increase in FRP of what, 3% by ₹1.20 - ₹1.30, something like that. At that point in time, the economics certainly go in terms. At ₹ 40 sugar pricing, the economics are

in favour of manufacturing 'B' heavy in your restricted scenario.

Ambar Taneja: So you're saying even at ₹40, Ethanol from 'B' heavy would be more remunerative, correct?

Tarun Sawhney: Would be more remunerative if the FRP increase was equated in the new 'B' heavy price.

Moderator : Next question is from the line of Maulik Chaudhari from Monarch Network Capital. Please go ahead.

Maulik Chaudhari : My question is regarding PTB business. So , this quarter, our revenue is ₹ 78.5 crore . So how much is export revenue? And also, its YoY as well as Q oQ growth?

Tarun Sawhney: I don't have the export revenues directly in front of me. But for the half year, export revenues are higher. If you contact us offline, we'll be able to give you these granular details.

Maulik Chaudhari : Can you talk about the traction coming from overseas market? Like how is the demand over there ?

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Tarun Sawhney: The traction is extremely good. I think the demand is from across OEMs. So , we're seeing a big build -up with respect to turbine both steam and gas , pumps and of course, most importantly compressor OEMs from Western Europe, North Ame rica, Japan, other parts of the world, e tc. In terms of our extension of business relationships with them, we are in the process or have completed all the necessary qualification orders, et c., because these are new markets for us. And your qu estion, of course, is very, very well taken.

And so , we see that over the next 12 months, we will see a reasonably good, a very encouraging order book increase from these customers internationally. In terms of attr

ibuting numbers to this growth, I'm afrai d I can't do that at this particular point in time. But we're very well positioned as we embark on a brand -new chapter. Classically, we were restricted to the Indian Subcontinent and a few other countries. As far as our sales are concerned, now that the ca nvas is much broader, we have a huge market opportunity in canvas.

Maulik Chaudhari : My second question is also the ₹ 78.5 crore , how much is aftermarket?

Tarun Sawhney: Again, I don't have that number with me. If you contact M s. Surabhi Chandna offline, who is our Investor Relations Head, she'll be able to offer those numbers to you.

Moderator : I now hand the conference over to the management for closing comments.

Tarun Sawhney: Ladies and gentlemen, thank you very much for joining us this afternoon to discuss the Q2 / H1 FY 24 results with Triveni Engineering & Industries Limited. As one of the gentlemen on the call just commented, we are at a very exciting point across all four of our businesses. In the Engineering perspective, the Water business is at an excellent point in terms of new order generation, etc. It's a very exciting time for that business domestically and internationally.

Our Power Transmission business is poised for very substantial growth that has already been demonstrated. We're h opeful with that trajectory continues. And all signs point that things are going rather well in that business. Turning towards the commodity part of our business. Again, this is a slight shortage year. We have some demand and supply balances to cont end with, etc. but it is a very exciting time , higher prices across the board . And it bodes well, especially for the UP sugar industry and for Triveni within Uttar Pradesh as a result of all the work that has been done by the teams over the last several years as far as cane development, and we are reaping those rewards.

I look forward to discussing our results with you in the n ext quarter where we will be 40% of the way through the season. And it will give us a better opportunity to review the actual recoveries, pricing, et c. at that point in time. Thank you very much. Have

a good day, and Happy Diwali.

Moderator : Thank you very much. On behalf of Triveni Engineering & Industries Limited, that concludes this conference. Thank you for joining us.

Disclaimer: This transcript is the output of transcribing from a n audio recording and has been edited for clarity , consistency with published information . Although efforts have been made to ensure a high level of accuracy, in some cases it may be incomplete or inaccurate due to inaudible passages or transcription errors. The Company takes no responsibility of such inaccuracies or errors. It is compiled as an aid to understanding the proceedings of the event, but should not be treated as an authoritative record.

Call: Mar 2024

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Thru:BSE Listing Centre Thru;NEAPS

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Sub: Transcript of Analyst/Investor Conference Call held on 31 January, 2024

Dear Sirs,

Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed

transcript of the Analyst/Investor Conference Call held on 31st January, 2024 post

announcement of unaudited financial results of the Company for the Q3 & 9M FY 24

ended on December 31, 2023. The transcript is also available on the website of the

Company at: www.trivenigroup.com

You are requested to kindly take the same in your record.

Thanking you,

Yours faithfully,

For Triveni Engineering & Industries Ltd.

«GEETABHALLA

Group Vice President &

Company Secretary

M.No.A9475

Encl: As above

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Triveni Engineering & Industries Limited

Q3 & 9M FY 24 Earnings Conference Call Transcript

January 31, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Triveni Engineering & Industries Limited Q3 and 9M FY 24 Earnings Conference Call. I now hand the conference over to Mr. Rishab Barar from CDR. Thank you, and over to you, sir.

Rishab Barar: Thank you. Good day everyone, and a warm welcome to all of you participating in the Triveni Engineering & Industries ' Q3 and 9M FY 24 earnings conference call . We have with us today , Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO Sugar Business Group; as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward-looking in nature, and a statement to this effect has been included in the invite, which was shared with everyone earlier. I would also like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management, following an interactive question-and-answer session. May I now hand it over to Mr. Tarun Sawhney. Over to you, sir.

Tarun Sawhney: Thank you, Rishab. Good afternoon, ladies and gentlemen, and welcome to the Q3 & 9M FY 24 earnings conference call for Triveni Engineering & Industries Limited. The overall performance for the Company during the nine months ended December 31, 2023 , has been satisfactory with a healthy performance in the Sugar and the Power Transmission business in particular. There were some challenges in the Alcohol business due to feedstock constraints and the profitability of the Water

business was impacted due to a slower execution on some of the projects, and these are problems relating to some customers.

For the nine months, the revenues from operations (net of excise) stood at ₹ 3,918 crore with a Profit Before Tax (PBT) of ₹ 312.3 crore and a Profit After Tax (PAT) of ₹ 234.1 crore. At the recently concluded Board meeting, the Board of Directors of the Company has declared an interim dividend of ₹ 2.25 per fully paid equity share for the FY 2023-24 and a special dividend of ₹ 2.25 per share.

The Board has also approved a new venture of the business of manufacturing and marketing Indian Made Foreign Liquor (IMFL) as part of the forward integration of our distillery operations. This would involve the establishment of a state-of-the-art bottling facility at our Alco-Chemical facility in Muzaffarnagar in Uttar Pradesh to produce high-quality IMFL products. The total capital cost would be approximately ₹ 25 crore, and it is subject to the necessary statutory clearances. The facility is expected to be ready for commencement of production by the end of Q1 FY 25. So, in a few months' time.

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It was also noted by the Board that the project for enhancement (in existing capacity) for the Power Transmission business for ₹ 250 crore to ₹ 400 crore is under progress and is expected to be completed by December 2024 instead of March 2024 as informed earlier. The Board has also further approved the CAPEX of ₹ 180 crore for further enhancement in capacity from ₹ 400 crore to just above ₹ 500 crore. It is important to note this is the reason and the rationale for this approval at this stage is because of the longer time period in acquiring some of the very highly specialized equipments from some of the European vendors. Some of the highly specialized machines have order timelines of 12-18 months, and therefore, the majority impact of the ₹ 180 crore investment approved by the Board will be felt in FY 2025-26.

It is also noted by the Board that the commissioning of the new multi-feed distillery at Rani Nangal is expected by March 31, 2024, just a few months late. Furthermore, considering present Government policy and challenges in the availability of the permitted grains at viable procurement prices for distillery operations, it is been decided to keep the implementation of the new proposed distillery expansion at Sabitgarh in abeyance. Any further development will be intimated in due course.

The Board has also approved the entering into a share purchase agreement to acquire 25.43% stake of Sir Shadi Lal Enterprises at a total value of ₹ 35 crore. The proposed acquisition affords an opportunity for us to expand our Sugar and Distillery business. It is a strategic fit for us as the company has a sugar factory and a 100 KLPD distillery. The sugar factory is in the vicinity of some of our sugar units and we have evaluated the opportunity of the company, and we believe that it is capable of being turned around by us in a very short period of time. The equity value of the target has been determined at ₹ 138 crore based on our estimated value of assets and liabilities, which is primarily from information in the public domain and our knowledge of the target being in the same geographical area of operation.

Returning to the highlights of the businesses. For our Sugar and Alcohol business, there's better performance in terms of crush and recovery during Q3 in the ongoing Sugar Season (SS). The crush (sugarcane) is higher by 6.7%, and the recovery is higher by 38 basis points on a net basis (after considering the diversion of sugar in B-heavy molasses). And the sugar production is higher by 11%, that is it was extremely encouraging and higher than what had forecast and spoken to you all about at our previous conversation. We are quite happy about the improvement in total sugar production.

The higher sugar realizations have helped the Sugar segment profitability and largely offset the impact of lower sales and the increased cost because of the revision in State Advised Price (SAP). Alcohol sales of 13.8 crore litres for the 9M FY 24, an increase of 8.3% over the previous corresponding period. The segment profitability has been impacted due to low-margin maize operations in substitution

of using the surplus food grains from the Food Corporation of India (FCI). FCI rice is what was being used for in the previous corresponding period.

Looking at the Engineering businesses, there's been a robust increase in both turnover and profitability in the Power Transmission business growing at 34% and just under 45% Y-o-Y for turnover and profitability, respectively, for the nine-month period. The order booking also increased by just a shade under 25% increased by ₹ 240.5 crore and closed at ₹ 297.2 crore. The outstanding order book for the entire Engineering business, including our Water business stands at ₹ 1,546 crore.

The Profit Before Tax (PBT) for the Company declined by 8.4% in Q3 FY 24 and was flat for the nine-month period. This is because, as I mentioned, the Sugar business reported higher profitability due to higher realization prices. The Power
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Transmission business also reported significantly higher profitability commensurate with the higher turnover. And there was a decline in profitability of the Distillery operations, as I mentioned with the substitution of maize for FCI rice, and the segment profitability of the Water business was in line with the lower turnover of the business.

The gross debt of the Company (on standalone basis) as of December 31, 2023 is ₹ 515 crore compared to ₹ 389 crore. However, after considering surplus funds, which are held in Fixed Deposit (FD) of ₹ 369 crore, the net debt is ₹ 145.5 crore. The overall cost of funds is 5.25% for Q3 FY 24 vs 4.75% in the previous corresponding period.

Looking at our Sugar operations. As I had mentioned, the realisations have led to much improved contribution margins and have offset the impact of lower sales volume and increased State Advised Price (SAP). It is important to mention that the sugar inventories on December 31, 2023, were 29.63 lakh quintals valued at ₹ 36.6 per kilo and this will be a staggering 24% higher than the same situation on the December 31, 2022, when the inventory was 23.93 lakh quintals. And the decisions to produce more sugar, I'll be covering that in our industry update of the Alcohol business, etc., have allowed us to be able to produce significantly larger quantum of sugar. Of course, the higher recovery and higher yields and higher processing capability of the Company has also helped quite substantially. The co-gen operations achieved sales of ₹ 30.6 crore for the 9M FY 24 period.

The current realization is perhaps slightly lower than late November - early December, but still stands at a fairly healthy ₹ 38.80 to ₹ 39 for refined sugar per kilo and sulphitation sugar is lower, approximately ₹ 38.40 to ₹ 38.50 per kilo. For the quarter, the sugarcane crush was 3.33 million tonnes, a 6.7% increase. The net recovery was higher at 9.76% vs 9.38% in the previous corresponding period with sugar production being 11% higher.

The gross recovery is also important to give you a flavour of difference, because it gives an impact of what this quarter and Q1 of the next fiscal year which is the last bit of the sugar season. The gross recovery for the Company stands at 11% for the quarter under review, which is 0.39 basis points (bps) higher than the 10.61% for the previous corresponding quarter.

The average blended realization for the quarter was 6.4% higher at ₹ 3,952 per quintal. And this led to a PBT increase of 5.5% to ₹ 120 crore. On the 18th of January 2024, the Government of Uttar Pradesh revised the State Advised Price (SAP) of sugarcane and increased all three, the general, the early, and the rejected variety by ₹ 20 per quintal and therefore, early variety has been revised to ₹ 370 per quintal, general variety of sugarcane has been increased from ₹ 340 to ₹ 360 per quintal and the rejected varieties have been increased from ₹ 335 to ₹ 355 per quintal. The press note also notified that the transportation charges for sugarcane from outcrops has been increased by ₹ 0.45 to ₹ 9 per quintal. So that is a little bit of a benefit actually to the industry.

Just before that, on the December 15, 2023, the Department of Food and Public Distribution (DFPD) issued directions in view of the expected lower sugar production of the country to limit the sugar sacrifice through B-heavy and

Sugarcane Juice route to 1.7 million metric tonnes of sugar, and this was compared to 3.8 million metric tonnes in the previous season. And I think it came as a bit of a surprise to the industry. And of course, it has impacted distillery operations. And will continue to impact distillery operations, not just with Triveni, but for the nation as a whole.

The sugar balance sheet for the season looks reasonably healthy, according to ISMA, with an opening balance on the October 1, 2023 of about 5.6 million tonnes.

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The net sugar production now stands revised at 31.7 million tonnes potentially with an upward bias. Domestic sales or consumption of about 28.5 million tonnes. We are looking at a closing stock on the September 30, 2024 at a very healthy 8.8 million metric tonnes. This, of course, is after considering 1.7 million tonnes of sugar diversion towards ethanol.

What I'm trying to say is that actually we have sufficient sugar in the country. And regardless of what the outcome of rains are over the summer months, I think the higher balance is something that we cannot be very comforted with in terms of providing enough sugar for consumers within the country and not just this year, but also for the next year.

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Amongst the major sugar cane producing states, we expect Uttar Pradesh to produce between 12-14% increase in sugar output for the season, while Maharashtra is expected to decline by about 15%, and Karnataka by about 22-24%, leading to an overall 3-4% lower net sugar production for the country. The Government has also imposed 50% duties in the export of molasses, which is effective from the January 18, 2024.

Very quickly, looking at the international scenario, we're looking at a surplus production globally. We're looking at a record output from Brazil with estimates coming in above 43 million tonnes of sugar for the 2024-25 season. We are looking at the Thai sugar crop to remain subdued. And this is important because when one looks at the regional balances and regional supplies of sugar, not just this year, but going forward etc., Thailand is expected to be subdued for this sugar season. International sugar prices still remain robust. After a considerable period of weakness in recent weeks, we've seen prices rebound. And on the 24th of January, the New York #11 contract was trading at about \$ 24.5 cents per pound and the London #5 contract had rebounded to just about \$ 685 per metric tonne. Of course, it is up from the recent highs of approximately \$ 760, which was in November 2023. But it is still a very robust level.

Turning towards the Alcohol business, during the quarter the profitability of the distillery operations has been impacted due to low-margin maize operations and in substitution for FCI rice. Maize operations would also lead, as I had mentioned in our last call to lower capacity utilization, and therefore resulting in slightly lower production. The issue of lower capacity utilization is being technically resolved for us to be able to enhance our capacities through some very simple changes in the production systems.

The increase of transfer price of B-heavy molasses by ₹ 100 per quintal is subsequent to the increase in the SAP and increase in statutory fees of ethanol has also led to some lower profitability. The net turnover was boosted by high alcohol sales for our IMIL business, and that was very encouraging, and a big bright spot within our alcohol operations.

During the quarter and nine-month period under review, the alcohol produced from sugarcane feedstocks formed 73% and 67% of total sales volumes respectively. In the previous corresponding quarter and nine-month the alcohol produced from sugarcane-based feedstocks formed 64% and 79% of total volumes respectively. So, I think it is important to mention very clearly that this is a concerted decision to produce more sugar. And as the season transpires, of course, there will be greater quantum of sugar that will be produced, and so we will be making C-heavy molasses at 6 of our 7 sugar factories for the course of this season.

The inventories will be higher and sugar prices are quite robust. And we believe

that the flexibility that we have, as a Company in terms of operations has again been tested and proven that we have made correct investment decisions in the past. The production fell during the quarter under review under Distillery business

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by 4.2% to 44,000 kilolitres. However, the sales realisation increased by 4.3% to ₹ 59.1 per litre. IMIL sales improved by 25.5% to 11.68 lakh cases for the quarter under review.

Looking at the domestic scenario, the OMCs have announced an incentive of ₹ 5.79 per litre for maize -based ethanol with the effect from January 5, 2024. However, I must point out that the majority of this increase, this incentive has been captured by higher maize prices, and maize prices are higher than ₹ 24 per kilo touching almost ₹ 25 per kilo on certain days as well. So, the majority of this increase unfortunately has been captured or rather taken away, the benefit has been taken away by increased raw material prices.

erial prices.

Turning quickly to the Power Transmission business, the increase in nine-month turnover and profitability were 33.9% and 44.8% respectively, driven primarily by improved product sales and excellent and favourable product mix, improved realisations and our continuing cost control measures. The order booking continues to be robust with higher domestic contribution. Our order book on December 31, 2023, stood at just under ₹ 300 crore, with long -duration orders of ₹ 136 crore.

Looking at the Water business, the revenues declined unfortunately due to the delay in execution of certain projects. The business is actively targeting foreign projects, wherever it possesses the pre -qualifications and funding is ensured through multilateral and reputed agencies. The order booking on December 31, 2023 stood at ₹ 1,248.8 crore, which includes approximately ₹ 880 crore of O&M contracts, which are over a slightly longer period of time. It is important to also mention that we did maintain our profitability. Although, it is lower in line with the lower revenues for the profits of the business. The PBIT was ₹ 6.2 crore for the quarter under review.

The outlook for the various businesses, let me start -off with the Sugar business, where we are witnessing improved operational results for the ongoing season, in terms of crush, in terms of recovery, and in terms of sugar realisation, when we compare this over the previous year and season. The current estimates of lower production in the Sugar Season (SS) 2023-24 and 2024-25 are likely to maintain firm, stable and with potentially a small positive bias in sugar prices.

The recent increase of ₹ 20 in SAP has been well absorbed by prevailing sugar prices. A higher proportion of refined sugar production post the conversion of our Milak Narayanpur sugar unit and a higher pharmaceutical grade production at our Sabitgarh sugar facility augur very well for the sugar realisations of the Company, in comparison to our peer group. We continue to make judicious investments in our facilities to enhance crush, add quality and efficiencies.

While there may be a shortfall in production, Maharashtra and Karnataka, Uttar Pradesh is certainly showing significantly higher production. The recent weather conditions in Uttar Pradesh of dense fog with limited or no sunshine for long durations, have had a limited impact in certain pockets on yields. But we believe that this has not impacted the plant cane crop. And our estimates of increased production and especially at Triveni Group is concerned stand unabated.

Looking quickly at the Alcohol business, the recent Government actions relating to feedstocks have led to some disruptions in operations, and we experienced that head -on in the last quarter. After utilizing the permitted B -heavy molasses, the distillery operations will be carried out with C -heavy molasses and maize, as the feedstocks. This is in stark difference to B -heavy and FCI rice, which was used in the previous corresponding period. It will lead to slightly lower operating capacities and hence lower production, and the margin structures will also be different.

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I would again like to say that in this scenario of feedstock prices, it would be more sensible actually to make greater quantum of sugar, which is exactly what we will

be doing. The situation is under watch. And we hope these pricing situations are anomalies, and that the Government of India will relook at the Ethanol Blended Petrol (EBP) program over the next few months more favourably and give us a little more flexibility in the industry. In my opening remarks, I had mentioned that our Rani Nangal new distillery facility will be operational by the end of this quarter by March 31, 2024.

The Power Transmission business has a strong and robust outlook. We have seen brownfield and greenfield expansions domestic

ally in a variety of sectors especially in metals, mining, cement, etc. There is high potential that is being witnessed in the aftermarket, and this is what is resulting in higher levels of profitability. And this primarily comes from the oil and gas and API sector, the power sector and the fertilizer sector. The product business is mainly driven by growth in demand for steam turbine gearboxes, not just domestically, but globally as well. The potential of waste-to-energy through agricultural and municipal waste is going to be very encouraging as well for the Power Transmission business.

On the exports front, there is enormous positive outlook in order bookings and gaining market share across product segments. We're seeing our OEM shares increase especially in Western Europe and in North America. Within the Defence segment, the business expects increased order booking from key segments of propulsion gas turbines, propulsion gearboxes, propulsion shafting and special application pumps and this will happen hopefully over the next couple of quarters. The setting up of the multimodal defence facility, it will also help in terms of expanding our service offerings within this business segment.

Lastly, looking at the Water business, after the achievement of success in the Maldives and Bangladesh, the business is trying to expand activities in overseas markets. Having said that, the municipal business opportunities are looking very attractive in states. However, there are delays in execution in certain projects. It happens because there has been a lot of activity, economic and non-economic activity that has delayed some executions etc. But we believe that we will be back on track in this quarter and in the following quarter as well.

In conclusion, the business strategy in terms of identifying and harnessing growth opportunities for the Company remains the same. We have been able to successfully add value for our stakeholders and shareholders. We continue to see significant leadership opportunities in a rapidly evolving and competitive environment. I think the Company is well placed for the future to embrace the next phase of growth.

Thank you very much. I would now like to open the floor for questions.

Operator: The first question is from the line of Sanjay Manyal from DAM Capital. Please go ahead.

Sanjay Manyal: I have a few questions. I think your crushing number is approximately 7% up as of now and even recoveries are better. Can we expect the similar trend for the full season?

Tarun Sawhney: Yes, I believe we can.

Sanjay Manyal: So, we can expect similar 6-7% kind of crushing and probably the recovery improvement would be in a similar range, right?

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Tarun Sawhney: For sugar production, yes. I think we would be happy to look at, I think an increase in sugar production by a double-digit figure of 10-11%. And I think that will continue through the course of the season. The sampling of plant cane that is coming is very encouraging, and we are hopeful that the weather that we've experienced in the month of January will abate as we move into February.

Sanjay Manyal: My second question is on the profitability of B-heavy and C-heavy per litre. What exactly has changed after the policy change and as well as after the sugarcane

price increase in the current season. So, what would be the profitability per litre for B-heavy and C-heavy, even maize-based ethanol?

Suresh Taneja : As regards to B-heavy molasses, we have been getting a profitability of about ₹12 - 13 per litre. But as Tarun would have explained to you right at the beginning, there is an increase in transfer price, subsequent to increase in cane price. As a result of that, it will come down a little bit, but it will still be strong. And as regards to maize, yes, the margins are under pressure as of now in the region of about ₹5 as of now and I

let's see to what extent the correction takes place .

Sanjay Manyal: Okay. So ₹12 -13 for B-heavy , ₹5 for maize and for C-heavy, if you can explain probably?

Suresh Taneja: C-heavy is also on the same level as the B-heavy molasses. Also, there is a recent price increase.

Sanjay Manyal: Okay. And because the policy change has happened in the mid of the season. So I think our estimate of ethanol volumes would also change. What can we expect in terms of ethanol volume for FY 24 and FY 25?

Sameer Sinha: What would happen is that we would be looking at adding another about close to 5 crore litres in our dispatches going forward. And for the new distillery coming up, we will be adding another about 4.5 crore litres for the next year.

Sanjay Manyal: My last question is on the acquired company. I'm assuming that you will be having controlling stake after this open offer and everything. What could be the optimum crushing capacity for this company? I understood I read somewhere it is close to 10,000 TCD, but the number which the crush number was much lower. So, what could be the optimum crushing capacity once you acquired this company?

Tarun Sawhney: We can not comment on the outcome of the open offer. It is still too early to tell. But to answer your second question, the capacity of Sir Shadi Lal's factory at Shamli is 7,500 TCD. And we believe that it can operate at that level. It has sufficient cane, of course. Frankly speaking, it has the greatest quantum of cane amongst factories in Uttar Pradesh.

Sanjay Manyal: Does this company also has the payment, means farmer dues and high debt level also?

Tarun Sawhney: From publicly available information, the debt levels are not very high, about under ₹40 crore . But the farmer dues are certainly exists, and it is about ₹225 crore , which is the dues of the previous season's farmer dues.

Operator: The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Congratulations, on doing well in a very challenging quarter. I just wanted to understand a couple of things. On sugar volume front, we seem to have done well against the quota. Is it due to a pharma grade sugar or the volume seems to be higher against the domestic quota what we have been allotted?

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Tarun Sawhney: There are two parts to your questions. But firstly, the domestic sales have been higher in the quarter under review , because the second tranche of the September quota, which was allowed to be sold in October was actually sold in October. So that is one reason for the quantum of sales. The second reason, of course, is that we had very attractive realisations in the month of November, in the month of October and also for the majority of December as well.

Shailesh Kanani: I understand. I just was looking at the volume of quota given to us and the volume what we have done in the domestic dispatches. So, there was some overlap from the second quarter you're saying quota?

Tarun Sawhney: Correct, because the September quota was given in two tranches. One, the first tranche was supposed to be sold by the end of September and the second tranche

could have been sold up to the 10th of October, and we exercised that and sold it in October.

Shailesh Kanani: Second question was related to ethanol volumes. If I heard it right, last year we had done 18 crore and FY 25, you are guiding 22 crore or 27 crore ? I'm confused of the number.

Sameer Sinha : So two parts to that question. One, of course, we did 18 crore . And this year, again, we will be about 18.5 crore plus, 18.75 crore along those lines. And the reason for that is 33% of what we are doing would be grain -based . Therefore, wherein the capacities are limited by 20%. Now going forward , and the second part is that our Rani Nangal distillery, which was supposed to have come a little earlier is n

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coming at the end of March, and therefore, we would be adding another, as I mentioned, close to 5 crore litres going forward for next year.

Shailesh Kanani: So it is around 23 -24 crore will be in the next year?

Tarun Sawhney: Absolutely, yes.

Shailesh Kanani: My other question was, I would like to discuss, means I would like to know our views on macro challenges the Company faces, right? Given the present circumstances and projections, we are anticipating that the sugar inventory by the year end of the season is going up from 5.6 -8.8 (million tonnes) , right? So , which should be negative for sugar prices in general, right?

Secondly, ethanol volumes are contingent among the availability of starchy feedstock. We have no clarity on FCI rice still. In spite of rice production, what I understand is FCI has stock, but they have not released the rice for ethanol production. So how does the management envision these challenges? And what strategies they are trying to implement in this situation?

Tarun Sawhney: I think the first part of your question which is with reference to sugar prices based on the balance sheet position of sugar in the country is , I think you need to look at all factors in terms of making that assessment. The fact of the matter is that sugar production in the country has declined Y-o-Y. I think because of net diversion towards the E BP program, there will be an increase in the closing stock. However, this is quite important for the country as there have been reports of a poorer monsoon for the upcoming summer. Now that is point one.

The second point is that the plantation of the adsali crop, the 18 -month crop in Central and South India, Maharashtra, Karnataka has been down quite significantly. And those reports are still coming in, but there is a significant decline, which means the total millable cane in the country for the next year in that portion of the country is going to be a little bit lower. And as a result, despite the slightly higher closing balance, I think we're in a scenario where we have very robust sugar prices, and sugar prices are a function of the situation today and also the expected

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situation in the following year. And as a result, as I had mentioned in my opening remarks, I believe that sugar prices will remain stable with a slightly upward bias.

Your second question about FCI rice. Well, frankly speaking, this is a decision that's been taken by the Central Government. We're not in a position to be able to comment on the release of rice or the quantum's that are required for the nation.

Shailesh Kanani: I was just wondering, if the situation remains what it is right now, and starchy feedstock availability may be less or the price, as you rightly said are not that remunerative. We would continue to kind of have an enhanced volume of ethanol going ahead as well, right? I was just thinking on those lines.

Tarun Sawhney: I think the way that you should look at it is different . The first thing is, yes, with the change in feedstocks, B -heavy and rice moving to C -heavy and B -heavy combination and maize, there is a impact on production, but an impact on the margin structure. But that is more than compensated by the extra sugar that is being produced, much more than compensated by the extra sugar that is being produced. And I'm not talking about the additional output due to enhanced

capacities, etc., but I'm just talking about the conversion of B into C. So that decision again is something that is quite important.

Now the fact that the Company, most of its distillery assets are dual feed in nature means that we are still making a positive contribution, regardless of what the input feedstock is into the business. And I think that is something that makes us very different from our peers in the industry.

Shailesh Kanani: How is the availability of maize for our distillery

facility? Is it readily available even if

it is at increased rate of ₹ 24-25 (per kilo)? How is the availability of maize in the market?

Tarun Sawhney: It is available, and the next crop of maize is yet to come into the market, and we believe that we will be able to book sufficient quantities for the course of the year.

Operator: We take the next question from the line of Sudarshan Padmanabhan from JM Financial. Please go ahead.

Sudarshan

Padmanabhan: This is on the PT B business. So, my question here is, given the increased CAPEX, and also, we talking about defence and exports, we have been running at around ₹270 crore or between ₹ 250 crore to ₹ 300 crore a year in this business. With the CAPEX in place now and the growth outlook only looking better with exports and defence, where do we see this run rate increasing, say, over the next 18 months?

Tarun Sawhney: I refrain from giving any forward-looking statements. If you talk about the capacities, we are moving to a scenario where the capacities in the next few quarters will be just a shade in excess of ₹ 500 odd crore. We are certainly cognisant of the fact that our growth in export markets is something that we are now seeing in our order booking. And it is going to only translate in our revenues in the next fiscal year and certainly in the following fiscal year as well. So I'm fairly certain that the state of growth is going to be as per our plans and our investment in capacities are being done, so that we are well prepared and we do not face any delays.

One of the great things that we do in this business is we have delivery or manufacturing timelines that are the best in the world. There is nobody in terms of a turbo gear high speed manufacturer that can match our delivery timelines. And that's one of the reasons that allows us to have a very healthy margin. And so, we're conscious of that. And therefore, the investments in machines, etc., which have long delivery periods need to be made in a time-bound manner.

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The growth is certainly something that we envisage because we were absent from the majority of export markets for a long period of time. And now with that opportunity, I think we have huge possibilities of being able to continue the growth rate. I mean the nine-month growth rate, for example, was 34 % odd for this fiscal year in terms of revenues and 44% in terms of profitability as you know.

Sudarshan

Padmanabhan: A little colour on the defence side, because that is again looking exciting. And as of when that starts kicking in, that opens a huge avenue of related things which we can do a lot more than what we're currently doing.

Tarun Sawhney: Absolutely. So there's tremendous potential there. I would like to add a word of caution here. And that is that to have budgeted expectations in terms of quarters is something that sometimes doesn't happen, because the finalisation of tenders is not in our domain. It is finalised in our case, primarily by the Indian Navy and sometimes, there are delays in the finalisation of such tenders and award of such tenders. And so it is a process-oriented scenario. I would encourage you to look at this business over a longer period of time, where the decision on orders will then get blended in, in terms of averages over a longer period of time.

But yes, there is tremendous potential. The Atmanirbhar initiative is something that we are certainly beneficiaries of and we are counting on. The Make in India is

something that is quite important for our defence capabilities, and that is why we have invested in this particular business.

Sudarshan

Padmanabhan: One final question before I join back the queue is, currently the sugar availability is casting a little bit of ambiguity on the ethanol side. But from a longer-term perspective, the Ethanol Blended Petrol (EBP) program is on course.

And second

is, if I'm looking at the IMIL and the IMFL opportunity that we would eventually have. I mean, should the IMIL and the IMFL opportunity, I mean, it gives us the manoeuvrability between using ethanol towards OMCs or moving towards IMIL, how should the profitability in this division be from a longer-term perspective, given that you'll have these options?

Tarun Sawhney: I think you've asked a fantastic question. The point is, and I have been emphasising this that our corporate strategy is to ensure that all options are considered and that our businesses are functioned with the sole intent of maximisation of profitability. And that is one of the reasons for our expansions, etc. Now when we look at IMIL and IMFL, it is not only to create optionality, but it is also to add additional value. The margins come when the businesses are stable. And that's something that you have to recognise. We're a new entrant in a fiercely competitive new business. However, our intention obviously is to run highly profitable businesses. We see that our road to profitability will be as short as possible. But overall, the investment philosophy remains one of having optionality to maximise profitability.

Operator: The next question is from Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: Good afternoon to everyone. I had a couple of questions. First, on the acquisition of Sir Shadi Lal, is it fair to assume that you'll be able to do the modernisation of this enterprise before the next sugar season? That is my first question.

Tarun Sawhney: At this point in time, we are in the process of acquiring 25.43% shareholding of the company. We have also launched as per SEBI guidelines, an open offer for 26%. If we do have majority control and control over the company, we are very certain that

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we will be able to put in some investments, of course to ensure production capabilities.

But I want you to know that this unit has crushed at its rated capacities in the past. The investments that could be made, and I don't know if they need to be made. So, I am hypothesising at this particular point in time would be in terms of efficiency improvements to lead to lower cost of production. So, it is not necessarily for a higher crush, it is to improve profitability. Now can it happen before the start of the next season? It is a little too early to tell.

Rajesh Majumdar: Right, sir. No, I understand that it is to reduce the cost of production because the crush already exists. Yeah. And there are possibly low-hanging fruits there. But yeah, thanks for the answer. But my other question was when you give the capacity of the Power Transmission business, this excludes the after sales. Is it correct to assume? Because after sales and service is also a big chunk of your revenue, I understand. So, when you give the capacities of ₹ 250 crore, etc., it excludes after sales?

Tarun Sawhney: No, it includes after sales. However, this capacity is a rated capacity. And depending on what products coming from the defence side, the same facility could potentially produce more but we are keeping the rated capacity at ₹ 500 crore post these investments.

Rajesh Majumdar: Because the new CAPEX that you've announced of ₹ 180 crore is giving you an incremental turnover of only ₹ 100 crore, which assumes a slightly more than 0.5 asset turn, which seems to be ridiculously low for this kind of a business.

Tarun Sawhney: I would discourage you from looking at it from an asset turnover ratio, and I'll tell you the reason why. A lot of the machines that are coming have long deliveries.

And therefore, the effective utilization in addition to capacity will happen at a certain point in the future. The original capacity enhancement that we did last year, that the Board approved last year was a lot in terms of infrastructure. Infrastr

ucture is one

part, which is, for example, the shed, etc. The machines, the testing equipment, the furnaces, etc., everything that needs to be put in is actually a little bit more expensive.

In addition, this CAPEX also adds complete capacity including manufacturing equipment to our defence manufacturing facility, for which, we are very hesitant to give a total capacity at this particular point in time, which is why I said it is a minimum capacity utilization of ₹ 500 crore, and it is certainly higher than that.

Rajesh Majumdar: Yeah. Because as I understand, capacity is a bit of a misnomer in this industry. It depends on the product mix, etc., which you can finally deliver from that facility, right?

Tarun Sawhney: It does. So, what we're saying is that we will be able to deliver a significant portion of that ₹ 500 crore will be geared products and geared services, including aftermarket services, and a smaller portion of that will be from our Defence business, but that business will not require significant investments in the future for enhancement in terms of overall revenues. The quantum of that enhancement in capacity is something that we are not declaring at this particular point in time.

Rajesh Majumdar: My last question is on the capital allocation. How would we go ahead in the future? Because we had a certain plan on ethanol, etc., which seems to be slightly in the back burner for the time being. So, if we look at the cash flows being generated in the future, how will we be able to allocate our capital, also dividend policy, etc., or buyback in this regard, if you could highlight?

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Tarun Sawhney: I think in terms of return to the shareholders, the Board's policy remains unchanged. And I think we've declared that, given on our website as well. In terms of allocation of capital towards growth, I think we're in a dynamic business environment, and things will change, things will come about at different points in time. So, I wouldn't say that looking at our postponement of one distillery at Sabitgarh is any great shock to the system. It is just been postponed. And I think I'm quite confident that the Ethanol Blended Petrol (EBP) programme will surpass EBP20 in the very near future.

And we're very bullish about that and all aspects of bioenergy for our nation. But allocation of capital will go towards the growth areas of the business. You've already seen the Board has allocated quite substantial amounts of capital towards the Power Transmission business. And from time to time, it will evaluate capital expansion within Sugar, Distillery and our Water business.

Rajesh Majumdar: At Sabitgarh, I mean if the policies of the Government were to change, Sabitgarh can be commissioned in a fairly short period of time? That's like just an added question.

Sameer Sinha : Yeah, I think so. Once we take a decision, we will be in a position to implement it within one year, because what we've already done is that we have frozen the engineering, we have got environmental clearances, all those things are in place. And we have discussed with the vendors, not placed the orders, but taken it to a fairly advanced negotiation stage.

Operator: The next question is from the line of Jayesh Mestry from Asit C Mehta Investment. Please go ahead.

Jayesh Mestry: Hi, good afternoon. My first question, the way you are into making yourselves into a many business vertical from a traditional sugar and ethanol blending. So now from this acquisition and the way you are spending a CAPEX for this bottling facility also. So by making that the way you are also doing a multi-feed facility, you are also creating. So it is one kind of new vertical apart from ethanol blending, you are also making yourself into ENA kind of thing as a full-fledged, that is the main business strategy to open up that new verticals by this acquisition and also setting

up this facility as far as business growth is concerned. That's what I understood. Correct me, if I'm wrong? It is my first question.

Tarun Sawhney: Yes. I think you're a little wrong. The acquisition of shares is in a business that runs a sugar factory and 100 KLPD ethanol plant. With respect to the second part of your question, with the IMFL and bottling business, that is very directly a move towards premiumisation and forward integration of our existing products. We are already a large manufacturer of ENA in our existing facilities. So, this is a forward integration of that business.

Jayesh Mestry: So, this is one kind of synergy that can be read?

Tarun Sawhney: I'm afraid I don't understand what synergy you're talking about.

Jayesh Mestry: I mean to say that this acquisition will give you synergy.

Tarun Sawhney: Absolutely, because it is in lines of businesses that are closely tied to the existing business operations of Tri Veni Engineering. It is also very close to two of our largest sugar factories and our large ethanol facilities as well. So, the geographic proximity as well as industry comfort is the rationale.

Jayesh Mestry: Second question, sir, the way the operating margin that has been improved in this particular quarter, we should be able to maintain around that trajectory in the coming quarters as far as your operating margin is concerned?

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Tarun Sawhney: I am afraid we don't give forward guidance for our business performance.

Jayesh Mestry: And lastly, the way the Government have imposed some kind of temporary restriction and on export of sugar and also some kind of stipulated quota for ethanol manufacturing. But you are going to start with some multi-feed facility. So, what we understood that impact of that particular thing as far as ethanol blending will not be that much significant to you vs your peers, because you have a multi-feed facility, so you have another option as well a part from the sugar. So, correct me if I'm wrong, that's what, so it would not be that much be impacted to you by this particular thing?

Tarun Sawhney: Yeah, you are absolutely correct that we can move between various feedstocks in the generation of ethanol or ENA as the case may be. So, we have that flexibility for the majority of our facilities, including the new facility at Rani Nangal.

Jayesh Mestry: So that will not be a significantly impacted to you vs. your peers, right?

Tarun Sawhney: Yes. I think I have addressed that in the previous commentary during this call.

Operator: The next question is from Chetan Thacker from ASK Investment Managers. Please go ahead.

Chetan Thacker: Good afternoon. So just two questions from my end. One is, I missed the number on the past dues for Sir Shadi Lal of cane arrears?

Tarun Sawhney: The cane arrears for Sir Shadi Lal as we understand are ₹ 225 crore for the previous season. This season's dues have been paid in their entirety as we understand.

Chetan Thacker: Understood. And the second bit was more on the IMFL. So, ₹ 25 crore is the investment for bottling. But over and above that for branding, marketing, what is the kind of investments that you are envisaging at this point of time?

Sameer Sinha : So, going ahead, we are competing with various established brands. But in terms of the product development, we know we have got a very good product. In terms of packaging, we have engaged the best agency, but we will not be making a huge marketing splash over here. Therefore, in terms of the total outlay for entry into this business and the media plan and the marketing expenses will not be very substantial, let's put it this way, without divulging the competitive numbers. And this is also restricted only to the initial launch would only be in the state of UP.

Chetan Thacker: So it will be more of a district -state strategy that you will be adopting as you then scale up this business and keep recalibrating?

Sameer Sinha : Yes, it could be a regional strategy of UP, and UP is a very important market as a percentage of the national sales, etc. And therefore, based on the success of the products, its acceptance, we'll roll it out over a period of time to the other states.

Operator: Thank you. I'd like to hand the conference back to the management team for closing comments.

Tarun Sawhney: Thank you very much, ladies and gentlemen, for joining us for the Q3 & 9M FY 24 results earnings call for Triveni Engineering & Industries Limited. As I mentioned, during the course of this call, I think that all the businesses have performed well, some much better than others. I think the performance of the Sugar business and the Power Transmission business is certainly notable. And I look forward to getting back to you about the growth that we have in these businesses at the next call, which will be for our full -year results. Plus, I do believe that there is a lot of upside within the Distillery business, and that Q3 is a mere anomaly in the longer -term picture.

And we are very much on track for ethanol blending of 20% and the Government, is in full support of this particular business, and similarly, with the Water business as well, I think Q3 was an anomaly. And I think the full -year results will showcase that when we speak in a few months' time. Thank you again and have a good day.

Operator: Thank you very much. On behalf of Triveni Engineering & Industries Limited, that concludes the conference. Thank you for joining us.

Disclaimer: This transcript is the output of transcribing from an audio recording and has been edited for clarity, consistency with published information. Although efforts have been made to ensure a high level of accuracy, in some cases it may be incomplete or inaccurate due to inaudible passages or transcription errors. The Company takes no responsibility of such inaccuracies or errors. It is compiled as an aid to understanding the proceedings of the event but should not be treated as an authoritative record.

Call: May 2024

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Thru:BSE Listing Centre Thru;NEAPS

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Sub: Transcript of Analyst/Investor Conference Call held on 21 May, 2024

Dear Sirs,

Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed

transcript of the Analyst/Investor Conference Call held on 21 May, 2024 post

announcement of audited financial results of the Company for the Q4 & FY 2024 ended

on March 31, 2024. The transcript is also available on the website of the Company at:

www.trivenigroup.com

You are requested to kindly take the same in your record.

Thanking you,

Yours faithfully,

For Triveni Engineering & Industries Ltd.

ad. Group Vice President &

Company Secretary

M.NO.A9475

Encl: As above

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Triveni Engineering & Industries Limited

Q4 & FY 24 Earnings Conference Call Transcript

May 21, 2024

Moderator : Ladies and gentlemen, good day, and welcome to Triveni Engineering & Industries Limited Earnings Conference Call. I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you and over to you , Mr. Barar.

Rishab Barar : Thank you. Good day everyone and a warm welcome to all of you participating in the Triveni Engineering & Industries Q4 & FY 24 earnings conference call. We have with us today Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO Sugar Business Group as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussions may be forward -looking in nature, and a statement to this effect has been included in the invite, which was shared with everyone earlier. I would also like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management following an interactive question -and-answer session.

May I now hand it over to Mr. Tarun Sawhney. Over to you.

Tarun Sawhney: Thank you, Rishab. Good afternoon, ladies and gentlemen, and welcome to the Q4 and FY 24 earnings conference call for Triveni Engineering & Industries Limited. The year that has gone by has presented several operating challenges to the Company , especially in the Sugar and Alcohol businesses, while our Power Transmission business has actually delivered another year of exceptional performance.

It's heartening to note that the Company has reported satisfactory results , despite these challenges. The key financial numbers for the year are the following: Net

Revenue from Operations stands at ₹ 5,220 crore with a Profit Before Tax (PBT) and exceptional items at ₹ 529 crore and a Profit After Tax (PAT) of ₹ 395 crore. The Board has recommended a final dividend of ₹ 1.25 per equity share in addition to the interim dividend of ₹ 2.25 per equity share and a special dividend of a similar amount of ₹ 2.25 per equity share which was paid earlier during the year.

Looking at the performance, the net turnover is lower by 7%, which is mainly due to lower sugar sales volume of approximately 16%. However, the PBT before considering the share of profit of associates and exceptional income is lower by only 3%. The lower sugar sales volume is primarily due to lower quota that has been received by the Company in the absence of any exports.

The sugarcane crushing during the Sugar Season (SS) 2023-24 ended at 11% lower for the Company at 8.26 million tonnes, compared to SS 2022-23. The gross recovery was marginally higher at 11.49%. The decline in crush is due to heavy rains, water logging and inclement weather in certain regions and the associated proliferation of red rot disease in the plant cane of Co238 varieties.

In the Alcohol business, in view of feedstock restrictions on the supply of Surplus Food Grains from FCI, this is FCI Rice that I'm talking about, and the limitation of the

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use of B-heavy molasses, the production and sales volumes were less than earlier estimated. The overall margins declined in view of lower margins on maize operations as well.

The Power Transmission business recorded a record turnover and profitability. Turnover increased by 30% and segment profits by 40%. An intense capex programme is being executed currently. Segment profits in the Water business increased by 29%, due to cost optimisation and savings in various projects that were executed during the year.

Looking at the business highlights. The sugarcane crush as I mentioned was lower by 11%. And this was primarily due to lower crush in four of our sugar units, Deoband in Western UP, Chandanpur, Rani Nangal and Milak Narayanpur in the Central UP. So, four out of our seven sugar factories actually contributed the majority towards the decline in sugar cane crush in the season that has just transpired. The chief reasons were climatic factors, I've spoken about heavy rainfall and water logging in certain regions. There was also the absence of sunshine for the long periods during the winter months. And of course, the spread of red rot disease, which reduced the yields, especially in plant cane across the four mentioned factories.

There's also a notable point that there were no winter rains and a little bit of rain, not too much, but a little bit of rain is absolutely essential for the final growth stage of the plant crop and to add to the maturity. Also, a little bit of rain is essential because it avoids winter frost etc. And the absence of that limited quantity did have a decremental impact on the crop.

The last reason, of course, was a higher diversion towards khus/ crushers. In fact, it was claimed that there are several articles about the export of Khandasari sugar out of India that has been accounted for by the FDA (Food and Drugs Administration) as well. This trend of lower sugar cane availability was witnessed across Central and Western UP. Our factory in East UP of course did not face any of these problems.

I should also mention, since I've talked about the red rot disease, our two units towards the Southern part of Western Uttar Pradesh at Khatauli and Sabitgarh had virtually no red rot. We are talking about 70,000-odd hectares of land, where we purchased sugarcane from, and the incidence of red rot disease around the factories was lower than 100 hectares, an absolutely insignificant amount. But that does not mean that we're not fully cognisant of it, tracking it and have a plan to eradicate and eliminate this disease.

The sugarcane development teams have chalked out, as I mentioned, multi-pronged strategies to contain the damage by uprooting the diseased crop, limiting the spread and carrying out a comprehensive varietal substitution programme to reduce the proportion of the vulnerable Co238 variety, especially in the low-lying/ water-logging prone areas, substituted by high sucrose and high yield varieties, of which we have

substantial and adequate quantum of seed that we have found during the planting season, which is almost over. I would say 99.5%-99.9% of all planting across the areas where Triveni purchases sugarcane is over.

In our Alcohol business, the Company faced several feedstock challenges that I spoke about at the introduction of the call, such as the abrupt stoppage of Surplus Rice by FCI and the restrictions with usage of B-heavy molasses. And a very interesting introduction of maize as a feedstock. And I've spoken about this in previous calls as well. Triveni as an organization was one of the first few organizations in the country to experiment with maize and we are now very comfortable with using maize as a feedstock and have had great experience and in supplying ethanol produced from maize to the Oil Marketing Companies (OMCs) .

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After the restrictions th

at were placed on B -heavy molasses, the sugar operations were carried out largely with C -heavy molasses as compared to our budgeting of B -heavy molasses. This has led to lower operating capacities and hence, lower production in the distilleries. Further, the margins on maize operations were slightly lower despite the price corrections made by the Central Government.

In our Engineering businesses, the Power Transmission business reported a remarkable performance with new milestones with respect to revenues, profitability and order booking. This year also marked a period of extensive international customer outreach and continued investments in research and development and infrastructure aimed at enhancing our business share, our market share and to capitalise on global trends and opportunities around the world within the power transmission landscape. Coupled with strides that we've made in Defence; Power Transmission business is on a sustained growth path.

In the Water business, the year that has gone by was muted in terms of market activity and the finalisation of orders. I think a great consequence was the general election, which we are still going through in the country, and the fact that no orders were finalised for substantial periods of time. And even the start of this quarter has had the same kind of trend. But we're very hopeful that post the 4th of June, we will come back in an aggressive manner to a period of normalcy and all the backlog will be cleared.

Looking at the detailed financial performance of the Company . The turnover during FY 24 has declined mainly due to Sugar (12% decline) and Water business (30% decline). And the turnover of the Alcohol business, net of excise and Power Transmission business has increased by 9% and 30%, respectively. Profit before share of profits for the associates and exceptional items is 3% lower at ₹ 529 crore .

Despite lower sales volume of 16%, the segment profits of the Sugar business are at the same level as the previous year due to higher contributions arising from a 6% increase in average sugar prices. The profitability of the Alcohol business was adversely affected due to restrictions imposed by the Government. I've spoken about that over the last few minutes.

The total gross debt of the Company on a standalone basis on the March 31, 2024, increased to ₹ 1,325 crore compared to ₹ 825 crore at the same point in the previous corresponding year, due to higher sugar inventories that are held by the Company . Standalone debt for the period under review comprises of term loans of ₹ 277.8 crore . And all these loans are with interest subvention or at subsidised rates of interest.

On a consolidated basis, the gross debt is ₹ 1,411 crore compared to ₹ 914 crore on March 31, 2023. The average cost of funds is 6.5% during FY 24 on a standalone basis compared to 5.1% , and it's important to mention that during the quarter, the Company 's long -term credit rating was upgraded to AA+ (Stable) by ICRA.

Looking at the financial highlights of the various businesses. During FY 24 , the Company 's Sugar segment reported revenues of ₹ 3,857 crore , which were lower by 11.6%. The blended sugar realisations improved by 5.8% to ₹ 38,175 per ton ne, almost mitigating the impact of lower dispatches and cost increases. The segment PBIT was largely flat at ₹ 306 crore . As of the March 31, 2024, sugar inventories

stood at 58.94 lakh quintals valued at ₹ 35.3 per kilo, which includes the impact of sugarcane price increase in the state through an increase in State Advised Price (SAP) .

Current sugar realisations today stand at approximately ₹ 3,950 per quintal, for refined sugar at ₹ 3,900 for sulphitation sugar . And I have to say, despite the large quotas that have been released over the last couple of months by the Department of Food and Public Distribution (DFPD), the sugar realisations have re-

mained

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reasonably buoyant, and we are very confident that this is an excellent sign for the times to come. However, I will talk about our perspectives on the future in just a few minutes.

Looking at the industry domestic scenario, we had our hike in the Fair and Remunerative Price (FRP) and a hike in the SAP that was anticipated, and we have talked about it in previous calls. The sugar production estimates for SS 2023-24 have also been given, and they're pretty much in line with what we had spoken about on the last conference call. And we're looking at an increase in sugar inventories at the end of this sugar year coming in just higher than 9 million tonnes. As a result, as I'm sure you all know, ISMA has written to the Government requesting an export of 2 million metric tonnes, which we hope is under consideration.

Looking at international markets, we've seen record highs for raw sugar and white sugar over the year and during the year as compared to the last 10 -15 years , and it's been very encouraging. There's been a positive outlook in sugar production in Brazil with the estimates of between 42.5 million to 44.5 million metric tonnes. We believe it will be towards the higher end of this number. There's an improved production outlook for Thailand as well coming in between 10 million and 11 million tonnes of production. And despite all of that, we've seen very buoyant prices, although prices internationally have come down a little bit over the last few months.

Moving towards our Alcohol business. During the year, the Company did face several feedstock challenges that I've spoken about. We also experienced reduced availability of sugarcane -based feedstocks for our distillery as operations changed during the season from B -heavy to C -heavy molasses as per the directives of the Government. This, of course, led to lower generation of molasses impacting the overall operational and financial metrics.

Accordingly, the sales volume of ethanol produced from higher -margin molasses and FCI Rice were substituted by lower -margin maize operations , which impacted the profitability of this business for the year under review. We achieved a production very much in line with what we had reported in the last earnings conference call of approximately 18.5 crore litres. And sales also just under that amount during FY 24 , both higher, of course, than the previous year.

The net turnover of the Alcohol business increased by 8.6% compared to the previous year, due to higher dispatches of 1.3% and higher average realisation of 2.5%. During the year, the revenues of the distilleries contributed to 24% of T EIL's net turnover. Ethanol constituted 93% of alcohol sales during the year.

Looking at the domestic scenario for ethanol supplies during 2023-24, the OMCs floated a tender of 825 crore litres, with a 15% blending target. And I have to say that despite a lot of concern, all of these targets given the fact that it is an election year, I think the Government has done a remarkable job of almost achieving this exact percentage, and we're very hopeful that this will be continued during the course of this supply year.

Till the 28th of April 2024 contracts for 321 crore litres have been executed by the OMCs. And the OMCs have procured 270 crore litres out of the required 825 litres for the Ethanol Supply Year (ESY) 2023-24. And within this procurement, the sugar sector has contributed approximately a little more than half, 145 crore litres, while the balance is coming from the grain sector . And we've achieved blend percentage to higher than 12%, which is very much on track as of the end of April.

Turning towards the Engineering businesses of the Company , the Power

Transmission business has increased its turnover in FY 24 by 30%, driven by growth of products as well as the aftermarket segment. The PBIT of the business grew faster

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than revenues at just over 40% - 40.1% to ₹ 107.1 crore with PBIT margins of 36.7%, up by almost 275 bps, compared on a Y-o-Y basis.

A strong share of the aftermarket has been sustained, and this helps maintain the overall profitability of the business. The FY 24 order booking grew by 42.3% to ₹ 375 crore, while the closing order book increased by over 10% compared to the previous fiscal year. The Company saw excellent demand for its products, including high technology compressor gearboxes, high power small hydro turbine applications and high power API, which is the American Petroleum Institute gearboxes, et c.

The outstanding order book, as I mentioned, on the 31st of March stood at ₹ 287 crore, including some loan duration orders of just under ₹ 90 crore. The business is currently executing a capex program, which enhances the capacity of our gears business from ₹ 250 crore to over ₹ 500 crore. This does not include our defence production. The investments are aimed towards a new bay and equipment in that new bay to manufacture gear boxes, both for power transmission and for some defence products. The expansions include establishing a large dedicated multimodal manufacturing assembly and testing facility in Mysuru for defence products.

Turning to our Water business. The revenues declined due to the delay and slow execution of certain projects and the delay in receipt of new projects, where our bids are the lowest and we are awaiting an award. As I mentioned in the opening remarks, it has been impacted with the onset of national elections. And we are hopeful that post the 4th of June, there will be a swift return through the award of projects where we are L1 and also projects which where we have tendered where the bids are awaiting opening.

Despite weaker revenues, the PBIT for the year improved to 29.4% Y-o-Y, due to cost optimisation and savings in the various projects that were executed during the year. I think this was a huge achievement by the business. The PBIT margins stood at a healthy double-digit at 12.8% for the year, up by almost 600 bps Y-o-Y. The outstanding order book on the 31st of March stood at ₹ 1,233 crore, which included ₹ 880 crore towards O&M contracts for a longer period of time.

I should mention that there is no fresh capex that has been considered at this particular point. It is all the previous capex that I've spoken about in previous conference calls, which is under execution by the Company.

Looking at the outlook. As far as the Sugar business is concerned, I would like to start off by saying that we have come off a relatively difficult season in North India in Western Uttar Pradesh and Central Uttar Pradesh compared to the last 7-8 years. And it's been a great learning experience. And we've learned actually quite a lot. And the Company has had its resources stretched in terms of combating it and ensuring that we will be able to rectify any of the issues that we have faced, including climate change, including pests, including disease, et c. for the following season and for future seasons as well. We continue to make judicious investments in our facilities to enhance crush rate, sugar quality and improve efficiencies, including steam efficiencies across our 7 sugar manufacturing facilities.

In the Alcohol business, we hope that the Government will address the feedstock and profitability challenges in FY 25. And we believe that the Government is completely and unequivocally committed to the ethanol blending programme and its targets of 20% by 2025-26. And as a result, I think that post the elections, we do anticipate some good news, definitely for the next tender, both for grain as well as from molasses-based feedstocks both of which impact the distilleries of the Company. I should also mention that the Rani Nangal distillery is now functioning at full capacity. It is commi

ssioned at the very onset of this quarter and is running extremely well. We have started these operations on grain and intend to continue with this for the next few months.

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Looking at the Power Transmission business outlook, we are exercising our strong relationships with multinational companies that are present in India and have operations internationally, and leveraging them to grow in the above markets. The potential to grow is immense in Western Europe and the United States, where the maximum majority of OEM customers are based.

In addition, the overall economic growth, the market share gains are likely to be major drivers of growth for new products within the power transmission portfolio. Power Transmission business is looking at enhancing and adding value to all of our customers by reduction in life cycle costs. And there are several research and development initiatives underway to ensure that this offers sustained benefits to our customers, both domestically and internationally, and it benchmarks ourselves to the very, very best standards globally.

In the Defence segment, the business expects increased order booking from the key segments of gas turbines packaging, propulsion gearboxes, propulsion shafting and special application pumps. And we expect that post the elections, there will be several tenders that will come up and be opened, etc. and we hope to be placed favourably across a large number of those tenders.

Looking at the Water business, the long-term prospects of water and wastewater treatment in India and in international markets remain intact. And there is a tremendous positive outlook on this business. We anticipate that post-election results, there will be a surge in business opportunities and new funding is expected to flow both Central and State Governments has very little actually has transpired in this segment over the last 4-6 months. The new opportunities that are emerging include reuse and zero liquid discharge businesses and also EPC and HAM model opportunities in the water segment. The business is also actively targeting foreign projects wherever it possesses the pre-qualification and funding is ensured through multilateral and reputed agencies.

I would like to offer a quick update on Sir Shadi Lal Enterprises, where the Company has made an open offer in compliance with the applicable regulations and the approval is awaited from SEBI for the same. We will make the relevant disclosures to the stock exchanges to update on the progress of this transaction as and when we receive information from SEBI.

In conclusion, the Company is for an improved performance in the coming year through a combination of policy decisions, favourable macro environment, while addressing all the challenges that we've had to face in the FY 2023-24. Thank you very much. I'd like to open up the floor for some questions.

Moderator: First question is from the line of Sanjay Manyal from DAM Capital Advisors. Please go ahead.

Sanjay Manyal: Hi, just wanted to understand on the ethanol front. I mean what could be our volume number for FY 25, given the fact that there is an expectation that the government might relax or lift the restriction on the ethanol from B-heavy and sugarcane. And as you mentioned that there would be an aggressive sort of approach post elections. So what do you think about the ethanol volumes for us in 2025? And I think earlier deferred the capex plan, what is the status on that?

Tarun Sawhney: Sure. I think our estimates remain unchanged. For the present fiscal year, we expect our total alcohol volumes to rise quite substantially to approximately 21 - 21.5 crore litres. And that is a combination, of course, of our new distillery as well as changes in Government policy for the next Ethanol Supply Year. Referring to the distillery decision that has been put on hold, I think that position re

mains the same today. What can change is if we see a potential 2 or if we can achieve double-digit realisations

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on grain in terms of margin, we will certainly be able to reverse that decision. That will allow us to have a payback on the distillery of under 5 years, which again makes this a very viable business decision. And one is hopeful that that again will follow suit post the elections.

Sanjay Manyal: Right. But one thing on the sugarcane front, our crushing has been down this year

substantially. And what exactly work we have done in terms of seed replacement . How is our dependency on an overall basis on Co238 and what would be the status say from the next season onwards, how much it could come down? And what will the proportion of the new seed s and new varieties ?

Tarun Sawhney: Very good question. Sanjay, the point here is that we have seven sugar factories that cover our Uttar Pradesh . So, it is not a general answer that will suit each and every plant. Our plant in Eastern Uttar Pradesh , the percentage of Co238 is minimal . And frankly speaking, whatever replacement had to be done, the broad majority has been done and the quality of seed of Co238 that is actually very good and it's demonstrated in the results today. Within the six factories that are in Central and Western Uttar Pradesh, four of these factories, as I mentioned during the call were impacted by red rot. Two had barely any impact at all. So we will be judicious in terms of our seed replacement over there as well.

It is important to mention that the massive impact of red rot was really on the plant cane. And the fact that not only was the plant cane impacted by it, but also the yields went down quite precipitously. But to take you t hrough the journey, two years ago, we had approximately for the entire group about 98% of our cane area was Co238. Last year, it was 77%. In the coming year, it will be just below 50%. And we expect that in two years' time, we'll be at absolutely optimal levels. We don't need to go down more aggressively for the simple reason that not everywhere is impacted by red rot and is still giving us reasonably good performance. However, we are very conscious that this spreads extremely fast and vigorously and viciously , efficiently as a disease and it's a waterborne , potentially even airborne in some certain circumstances.

And therefore, what we have done at the factories, where there has been infestation, is a massive seed change and replacement program. We've had the seed. And what seed we haven't , we have actually bought that in. But the majority of seed was with us replacing Co238 for other high sugar, high yielding varieties, et c., and the entire gamut of low -lying areas , while there was infestation in plant has been uprooted and replanted. And the ratoon crop, where there's fresh planting that has to happen has been planted to other varieties. And therefore, there's been a significant reduction in the overall quantum of Co238 at Triveni, as I mentioned from about 77% last year to below 50% this year.

Moderator: Next question is from the line of Sudarshan Padmanabhan from JM Financial. Please go ahead.

Sudarshan P.: My question is to understand, you had mentioned that there were issues in getting rice as input from the FCI. And I believe the fourth quarter was a confluence of a lot of miscommunication and uncertainty with t he Ethanol Blended Petrol (EBP) program and the offtake. As we move to the new financial year, one, how do we see this part of the issue s getting resolved . And with respect to the earlier comment that you made on the feedstock, I mean, one is we reali se that at least with the cane , I mean we have a cost that is basically in place. Is the Government looking at creating a minimum spread or some kind of cost structure by which the sugar player s can actually move to gain feedstock seamlessly ?

Tarun Sawhney: FCI Rice was available at the very end of last summer , summer 2023. Actually, the Government banned the availability of FCI Rice for conversion into ethanol. Damage rice and rice from the open market was available, but at exorbitant prices, which did not make sense for distilleries to procure. And therefore, grain distilleries, including

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Triveni's grain distilleries migrated to maize. That was a learning process , because when we started adopting maize, it was at the point in time where the second harvest was almost over and prices started going up. This year, harvest of maize actually is anticipated to be 20% higher. And therefore, we've already seen a significant reduction in maize procurement prices already, and we believe this year, the margins from maize will be substantially higher than what the margins were in the previous year. That's point one.

The second point that you talked about was the Government looking towards some kind of mechanism of prices. The actual formula for calculation of prices is not been disclosed by the Government. However, one has to understand that the Government

does look at a wide variety of issues and considerations in determining price. So last year, the prices from sugarcane-based feedstocks stood the same. And this was actually because the Government considered that there may be a shortfall in sugar in the country. And therefore, that was a consideration in that decision.

However, the prices of grain ethanol were increased quite substantially, which gave a little bit of flexibility. However, a lot of that was captured by the trade because grain, especially maize is procured through open markets. So as of now, there isn't any kind of fixed mechanism that the Government is contemplated. The representations that the industry makes to the Government, especially Indian Sugar Mills Association (ISMA) makes to the Government are in light of sugarcane-based feedstocks, and we have been unequivocal in terms of showing that we do need a substantial increase in ethanol derived from sugarcane feedstocks during the next campaign.

Sudarshan P.: My next question is to understand on the export side. So now I understand that the reason was fear in terms of availability of sugar, which I think largely is getting addressed as we speak. Are we now in this scenario when we look at it, there is a fair amount of inventory available globally and the prices are coming down? Even if the exports are now open, do you think that if the Government allows exports, it will be a little too late, maybe too little now?

Tarun Sawhney: No, I don't think it's too late. Export prices, while they have come down from all-time highs are still very, very robust, despite in fact, that is what I was talking about, when I gave the global industry scenario, that despite the record production in Brazil of sugar and a return to record productions in Thailand, which is very close to India, we are still seeing very robust raw and white sugar prices. If India does decide to enter export markets with a small quantity be it 1 million or 2 million metric tonnes, my view is that it does not faze the international market at all. And it can be done more profitably than sugar sold in country, quite a big difference even today.

Sudarshan P.: One final question before I join the queue is interestingly, on the high-speed gear business. Can you talk a little bit more about the traction that we are seeing on the export side? Because, I mean, that is something which is driving growth and looks exciting to say from a two to three-year perspective?

Tarun Sawhney: Yes. So we don't really give any export numbers, but we're seeing substantial growth in export markets, especially over the last year or so. And a lot of that has to do with new capacities that are coming our way, new hires, an aggressive HR programme domestically

and internationally to be able to service our customers and partnering with our global OEMs in terms of supplies to their manufacturing locations around the world, be it in the Americas or Europe or in other parts of Asia.

So the first thing, of course was to get the capacities. That of course is underway. The capex has been approved and being implemented as we speak. The next thing of course is leveraging on the relationships that we have with customers. And that move is clear. So, without actually attributing any numbers, I think we have enough confidence to say that over the next year, definitely two years, we will see substantial

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revenues especially order booking that will come from export markets. The majority of it from our existing customers.

Moderator: Next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani : A couple of questions around distillery division. There has been a Y-o-Y decline in margins and I believe that as you cited in your opening remarks, with respect to higher feedstock prices and in general increasing cane prices. So how do we see this going ahead? And also, on ethanol volumes. When we are guiding for around 21 crore volume for FY 25, we are at probably less than 75% capital utilisation. So how would that also impact the margins, if you can give some guidance on that?

Tarun Sawhney : Good questions. I think in terms of production, it could be 21 - 21.5 crore litres production. The capacity utilisation numbers decline with the percentage if maize is used as the feedstock. And if I talk to you on previous calls because the same distillery capacity. If it is running on maize, even at a 100% is operating at levels lower

than 20 -22-23% lower in terms of overall output. So that has an impact.

For this fiscal year, we're looking at approximately an even split between sugarcane feedstocks as well as grain feedstocks across all of our manufacturing facilities. But there are 2-3 points which are important to consider. Yes, while processing grain will give you a lower quantum of output. We believe that there are already discussions underway for rice to be available to distilleries. And the rice availability in North India as we know historically, is actually very, very good. And therefore, if that is available, the quantum numbers change quite dramatically, number one. Number two, I anticipate that the pricing, of course will change both for grain as well as for molasses-based or sugarcane-based feedstocks for the next supply year as we embark again on a more aggressive programme, because we may not touch 15%, but next year's target will be higher and two years away from the 20% target that the Honorable Prime Minister has announced a few years ago, and for that to happen, we need some more distillery capacities to come underway, and we do need a slightly better pricing to be available. You should also be aware that we do have the capability and flexibility to move between sugarcane feedstocks as well. And therefore, the balancing if required, and if the economics suggest will allow for higher production levels as well. We do have the flexibility to do syrup ethanol at 3 of our distilleries. And therefore, if the pricing actually changes, we will consider migrating from B-heavy molasses to syrup which will of course enhance the total outputs of the distilleries.

All of these things, it's very challenging to actually come up with definitive numbers right now, because there's a lot of dependence on the Government. But I think a lot of this will be clear as we go through the summer, post elections and through the summer. What you should consider is that Triveni is extremely well positioned to be able to take those decisions and to migrate. And I think our strategy to have that flexibility for inputs and for outputs leaves us in a unique position in the industry.

Shailesh Kanani: So, just to sum it up. So this current margin level that is around 14% for the division, at the EBIT level, it seems to be tough. Is that a fair enough assumption? Means all the worst scenarios are kind of factored in this business? Is this a fair assumption?

Tarun Sawhney: You see the scope of improvement is in maize. As I had mentioned just a few minutes ago, the cost of maize, when we started procuring it in August - September 2023, started trending very, very high very quickly because we were at the end of the harvesting season of the second crop of maize, and therefore, we were paying absolutely top rupees to be able to procure maize over the winter months.

The maize crop this year is 20% higher. The prices have fallen quite dramatically, and the prices that we are seeing now for the first crop, what we're procuring for Bihar
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is substantially 10 -12-15% lower than the prices that we were procuring earlier. And we anticipate that that will also hold true for the summer crop of maize, which will come from Uttar Pradesh.

Shailesh Kanani: Second question was with respect to realisations. This year, we have seen a good jump in sugar realisations. How do we see next year in terms of realisations considering that if export quota is not going to come in the next few months, so how do we see that? Currently, it is 39 (per kilo or kg), which is remunerative. Do we see it to hold out for the year?

Tarun Sawhney: I don't think there's any fear of sugar prices declining. Given the quantum of sugar that exists in the country right now, the fact that there is no export, so we're actually building up stocks, I think this is a very favourable for 2-3 reasons. Number one, it gives me great confidence that the Government will come with a very aggressive EBP programme. Very, very aggressive because their fear last year was sugar shortage. Now the sugar shortage doesn't exist. Therefore, there is no hesitation in being very aggressive in terms of meeting blending targets. That's number one. Number two, given the fact that you've got this kind of sugar inventories domestically and in country, you still have very robust sugar pricing at a point in time or during the calendar year where sugar prices are usually at their lower levels. As we go through the summer, sugar prices tend to improve. And when we go to the holiday season, festival season, we see prices actually hit their highest before the next season starts.

So I think at these levels, which are substantially higher than what they were at the previous corresponding point last year, I feel encouraged that we do have some tailwinds in these prices.

Shailesh Kanani: Anything on power division, where our order backlog is little lagging, I know the order booking is matching our revenue growth. Any input on that, if you can provide?

Tarun Sawhney: Typically, the orders that we have, the execution is 6 months. I don't think it is necessarily lagging. And we've got fairly aggressive internal estimates for growth. And I mentioned it before, I don't think we see our growth levels disappointing at all, nor our profitability level is disappointing. But I think the order booking is in line with what we're investing.

Shailesh Kanani: Yes, the PTB deal has been doing really well, especially on the margin front. And I assume our guidance of around reaching ₹ 500 crore in next 2 years stack in terms of revenue, right? Is that a right thing?

Tarun Sawhney: No, we've never given that guidance. We said that it's a minimum capacity, the investments that are underway will increase the capacity to above ₹ 500 crore (for gears not including defence) .

Moderator: Next question is from the line of Rohan Mehta from Ficom Family Office. Please go ahead.

Rohan Mehta: My first question is, what is the reason for having a 70% domestic market share in the high-speed gear segment? And the second question is what exactly separates you from your listed peers on the EBIT margin front? So if you see your EBIT margins, they range about 35% - 37% compared to about 20% - 25%. So what exactly is the differentiating aspect? Thank you.

Tarun Sawhney: Our market share is much higher than what you have mentioned , because we don't have any domestic competitors as far as turbo gears, also known as high-speed gears. I assume your question is related to our Power Transmission business. And therefore, the answer to that is our market share is higher than that, the high market share is in the high 90%. We only compete against exports. The companies that you're comparing us with, which do manufacture gears, typically manufacture industrial, low -speed gears, some catalogue products, etc. The fundamental differentiation is on technology and uniqueness. So, the gears that Triveni manufactures are all made -to-order. They are highly engineered. They are high speed engineered products v/s what some of the other companies do, which are low speed products, multi stage products, catalogue products, etc which offer a different margin profile , it's a different business.

Moderator: The next question is from the line of V.P. Rajesh from Banyan Capital Advisors. Please go ahead.

V.P. Rajesh: My question is regarding the volatility that you see in your EBITDA per litre kind of realisation in the ethanol business, given what you were talking about sugar prices fluctuating and maize prices fluctuating depending on the time of the year.

Tarun Sawhney: In terms of the future projections, I think let me divide this up into two sections. As far as sugarcane -based feedstock is concerned, you'll have to appreciate that we've had an increase in cane price during the year under review. While we have not had any increase in the output , ethanol derived from sugarcane -based feedstocks. And therefore, I fully anticipate that for half of this financial year or the start of the next ethanol supply year, that dynamic will certainly change. It's too early to discuss cane price. But it's not an election year, so I don't think that there's any real reason for cane prices to increase next year. But what I do anticipate is a return to an aggressive ethanol policy, and therefore, a supportive Government allowing an increase in ethanol derived from sugarcane -based feedstocks, number one.

Number two is , as far as the grain is concerned. There are two pieces of good news here. The first is with respect to maize . With respect to maize , as I previously mentioned, the total output of maize of the nation is anticipated to be 20% higher this

year, which of course as supply and demand would dictate. Since maize is not really consumed, it is not a part of the Indian diet really. It is used as direct animal feed, so primarily, we will see and have already started to see softening of maize prices, number one. Number two, maize procurement by industry is a very new phenomenon at such a large scale. And therefore, the systems, the supply chain systems have taken some time. I anticipate that during the course of this year, those supply chain systems will be far more effective in terms of storage, in terms of procurement, et c. And therefore, all those efficiencies will then percolate down to companies like Triveni that procure maize in a larger quantum.

What I would also like to say on grain is that rice. Again, there has been multiple proposals that have been made to DFPD on rice, et c. The constraints, in my opinion, came just after elections, et c, and due to various sorts of concerns. I read in the papers yesterday that export of non-basmati rice may be considered straight after elections. Now if export of non-basmati rice is allowed. I certainly don't see the Government not allowing distilleries to be

able to procure quantum of rice as well.

And then it becomes an equation of price. And therefore, to have rice, which gives us an ability to produce more alcohol for the same facility capacity and the margin structure of rice that existed earlier, which is better than maize, all of these are great positives. I can't offer you any definitive numbers. It's too early. I think post elections, we will be able to have better numbers. The next time we have this conversation at the next earnings conference call, there will be more data to share. But everything is positive as far as the margin structure is concerned.

Moderator: Next question is from the line of Manish Dhariwal from Fiducia Capital Advisors Limited. Please go ahead.

Manish Dhariwal: I would like colour on this acquisition of some 25-odd percent followed by an open offer of a fellow sugar company, Sir Shadi Lal Enterprises. If you could share some colour on that, your strategy, what is the status right now, so and so forth?

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Suresh Taneja: Look, as far as the target company is concerned, they are exactly in the same business as we are in. And, also their units are in the vicinity of our units. So, there is a lot of strategy in terms of taking over the unit. We have made the first move by acquiring 25% stake. And now as per the SEBI regulations, we are in the open offer stage.

Tarun Sawhney: As we hear more from SEBI, we will inform to stock exchanges, and you'll be able to get that information from our disclosures.

Manish Dhariwal: So, the open offer is still in the play. Is that what it is right now?

Tarun Sawhney: Very much so. We're awaiting SEBI approval to formally launch the open offer.

Moderator: Thank you very much. Ladies and gentlemen, I now hand the conference over to the management for closing comments.

Tarun Sawhney: Thank you. Ladies and gentlemen, thank you very much for joining us this afternoon for the Q4 and FY 24 results of Triveni Engineering & Industries Limited. The last year was a challenging year for some of our businesses, but I think we've come out much stronger. We learned a lot. There's a lot of hard work that has been done over the last few months ago to combat some of the issues.

I think when we look forward, we hope for a good monsoon and for a limited impact of pest and disease as far as our agri-businesses are concerned, and a more favourable Government policy as far as the ethanol business is concerned. The Engineering businesses hold great promise and potential, as I talked about. And I look forward to discuss that with you over the next few calls as well. Thank you for taking the time this afternoon. Look forward to speaking to you in about three months.

Disclaimer: This transcript is the output of transcribing from an audio recording and has been edited for clarity, consistency with published information. Although efforts have been made to ensure a high level of accuracy, in some cases it may be incomplete or inaccurate due to inaudible passages or transcription errors. The Company takes no responsibility of such inaccuracies or errors. It is compiled as an aid to understanding the proceedings of the event but should not be treated as an authoritative record.

Call: Aug 2024

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Sub: Transcript of Analyst/ Investor Conference Call held on 2nd August, 2024

Dear Sirs,

Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed

transcript of the Analyst/ Investor Conference Call held on 2nd August, 2024 post

announcement of unaudited financial results of the Company for the Q1 FY25 ended on

June 30, 2024. The transcript is also available on the website of the Company at:

www.trivenigroup.com

You are requested to kindly take the same in your record.

Thanking you.

Yours faithfully,

For Triveni Engineering & Industries Ltd.

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Group Vice President &

Company Secretary

M.No.A9475

Encl: As above

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Triveni Engineering & Industries Limited

Q1 FY 25 Earnings Conference Call Transcript

August 02 , 2024

Moderator: Ladies and gentlemen, good day and welcome to the Triveni Engineering & Industries Limited Q1 FY 25 Earnings Conference Call. I now hand t he conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you, sir.

Rishab Barar: Thank you. Good day, everyone, and a warm welcome to all of you participating in the Triveni Engineering & Industries Q1 FY 25 Earnings Conference Call. We have with us today Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO - Sugar Business Group; as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature, and a statement of this effect has been included in the invite , which was shared with everyone earlier. I would also like to emphasi se that while this call is open to all invitee s, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management, following an interactive question - and-answer session.

May I now hand it over to Mr. Tarun Sawhney. Over to you, Sir.

Tarun Sawhney: Thank you. Good afternoon, ladies and gentlemen, and welcome to the Q1 FY 25 earnings conference call for Triveni Engineering & Industries Limited.

For the quarter under review, the revenue from operations stood at ₹1,301 crore . The PBT just a shade under ₹42 crore and the PAT was ₹31 crore . The net turnover increased by 8.6%, mainly due to a higher Sugar turnover of 12% due to similar increases in sales volumes and approximately a 5% increase in realisation price.

The turnover of the Power Transmission business improved marginally by 1%, whereas there was a marginal decline of 2% in the turnover of the Alcohol business due to lower sales volumes despite higher production. However, the turnover of the Water business has declined by 21% due to certain delays in the award of contracts or projects. The PBT is 54% lower at ₹41.8 crore , segment profitability was lower across the businesses with the exception of the water business, where cost savings led to a higher profitability.

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The profitability of the Sugar business, despite higher contribution on sugar sold was lower due to lower production and higher charge of off-season expenses owing to the earlier closure of the Sugar Season (SS). The profitability of the Alcohol business was adversely impacted due to restrictions that have been imposed by the Government on grain feedstocks and as a result of which the rice operations were substituted by maize , and of course, there was an increasing transfer price of molasses. And due to the lower sales volume of 4.3% including lower dispatch from ethanol from higher margin sugarcane -based feedstocks.

Looking at business -wise highlights :

In the Sugar business, we achieved a blended realization of over ₹39 per kilo (kg), an increase of almost 5% over the previous corresponding period. This was because of improved domestic realizations. In the Alcohol business, it reported the highest ever quarterly production of 5.5 crore litres, an increase of 8.3% over the previous corresponding period due to the additional capacities being commissioned.

The Company's IMFL business commenced its operations in the month of July 2024, with the launch of two brands in the state of Uttar Pradesh, THE CRAFTERS STAMP which is in the super premium category and MATSYA which is in the premium category.

The Power Transmission business reported a 12% increase in order booking this quarter and a record closing order book of ₹306 crore , which is an improvement of 12.5% over the corresponding period. And of course, it's important to mention that we've crossed an important milestone of ₹300 crore order book for the first time in our history.

In the Water business, we are happy to report that the business has been favourably placed for a project in Europe , it's about ₹250 odd crore , and we are eagerly anticipating the Letter of Award in the immediate future. We will update more details on this in due course. There are several other projects, which we are expecting the award also in the next few weeks or so.

The debt position of the Company on a standalone basis on June 30th 2024 increased to ₹1,150 crore as compared to ₹920 crore on June 30th, 2023. The standalone debt at the end of period under review comprises of ₹245 crore of term loans and all such loans are with interest subvention.

On a consolidated basis, the gross debt is ₹1,281 crore on the June 30th 2024 compared to ₹1,011 crore as on June 30th, 2023. The overall cost of funds on a standalone basis stood at 7.2% versus 6.7% in the previous corresponding period.

Turning to our Sugar business, in the last call, the Sugar Season (SS) 2023-24 had just concluded. Since then, we have been focused on preparing for the

upcoming season. And the focus has been to restore normalcy in our sugar operations, and we are rigorously working towards this direction looking at uprooting any infected crop, substituting vulnerable varieties with more robust

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varieties, enhancing yield with on-ground intervention at a scale even larger than what we had done in the previous few years and stepping up of surveillance activities to get early warnings for any challenges to our crop and the challenges could be with respect to increased water levels. It could be due to disease, it could be due to pests or any other conditions, agronomic conditions that can impact the crop. I think the sensitivity is at an all-time high for the group and we're eagerly anticipating the upcoming season.

We continue from an operating perspective to focus on premium products such as refined sugar and pharmaceutical-grade sugar, which now on a collective basis comprised of 70% of the overall sugar production of the Company. And this will, of course, further improve the profitability profile of the Company as we look forward.

The Company reported a 12% increase in the Sugar segment revenues to just under ₹1,000 crore, which improved 12% year-on-year driven by higher dispatches and 5% improved realisations. It must be noted, of course, there were no exports in this quarter.

From a segment profitability perspective, profits in the Sugar business declined to ₹36.5 crore, a decline of 26.5%. And this was despite the higher contribution on the sugar sold, and it is of course, due to lower production and a higher charge of the off-season expenses in this quarter due to the earlier closure of the season.

The sugar inventory on the 30th of June 2024 was 44.73 lakh quintals valued at an average of ₹35.2 per kilo. Presently, sugar prices are at their recent highs, and we are selling refined sugar at ₹3990 per quintal at ex-factory for a refined grade sugar and sulphitation sugar at ₹3940 per quintal ex-factory as well, pretty good prices. And I believe that these prices will remain at these levels, at least for the immediate future and, of course, some gentle increases as we get into the holiday season in late September and through the month of October. This actually bodes well for the immediate future as far as sugar pricing is concerned.

Looking at the balance sheet from a nationwide perspective, we anticipate an opening balance for next year, on the 1st of October 2024 of approximately 9 million metric tonnes against domestic sales of higher than 29 million tonnes of sugar. And for next year, we expect that the closing stock without exports remain around about the same, and this is considering a 4.5 million to

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diversion of sugar into ethanol for SS 2024-25. I must caveat this by saying that these are our internal estimates from our research group.

Looking at the international industry scenario. As per S&P Global, the sugar balance sheet is pointing towards a reasonably large surplus of about 5.5 billion tonnes. And the outlook looks largely balanced despite the surpluses in Thailand, in Europe, and in India. International Sugar prices after a remarkable performance in the last fiscal year have trended downward as the news of this larger future balance has percolated to the markets. And we've seen that decline not only in white, but also in raws (raw sugar). However, in the last few

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days, we've seen a recent surge in pricing, but we are still substantially lower than the highest that we had just a few quarters ago.

Turning to our Alcohol business. During the quarter, we commissioned the Rani Nangal distillery which led with the highest ever quarterly production of 5.5 crore litres, placing us among the leading ethanol manufacturers in the country. Sales volume were lower by 4.3% over the corresponding period due to dispatch schedules moving into the next quarter, while the ethanol is held in

inventory.

The feedstock mix of alcohol sold is 58:42 sugarcane to grain in this quarter, very much in line with what I had mentioned to you in our last earnings call and even the previous earnings call. And last year, it is important to note that it was 64:36 sugarcane to grain. So very much changed as a result of market dynamics. The fact that there was a curtailment of diversion of sugar towards the ethanol programme. However, we were capably set up to be able to process grain. There are challenges around that, but at least we have the capacity and the infrastructure to be able to process large quantum of grain, so to keep up the total volumes for the Company.

The domestic scenario as far as ethanol : the Oil Marketing Companies (OMCs) have floated a tender of 835 crore litres with a 15% blending target. Till the 30th of June, contracts for 714 crore litres have been executed by the OMCs, with 61% coming from sugarcane-based feedstocks and the balance 39% or 281 crore litres coming from grain-based feedstocks. The OMCs have thus far procured 400 crore litres out of the total contracted quantity up to the 30th of June 2024. And with this procurement, ethanol produced from grain-based feedstocks contributes to 53%, i.e., 211 crore litres, while sugarcane-based feedstocks contribute to a smaller number, 47% of approximately 190 crore litres. This marks the first time that the ethanol from grain has actually surpassed ethanol from sugarcane-based feedstocks and the achieved blending percentage nationwide was 13% as of 30th of June 2024.

I must say that while the target was given at 15%, the achievement of 13%, given the challenges that have existed across the country, given the fact that we were in the middle of an election year, and given the fact that there were several infrastructure issues that needed to be hurdled, 13% achievement is most commendable. And I think that we are certainly on the anvil of achieving even higher blending percentages. The thought process at this particular point is development will try to achieve 18% blending in the next supply year moving quickly to the 20%, which was targeted by the Honourable Prime Minister for many, many years.

Looking at the Power Transmission business (PTB) : PTB has been on a sustained growth path over the years, and this quarter has also performed extremely well, and there were several breakthrough orders, especially with international eminent customers and OEMs. The Company continues to witness excellent demand for its products, including in the high technology compressor gearbox market and a recent addition once again, has been a demand for the high

power, small hydro turbine applications both domestically and internationally. Other very promising segments include high power API,

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which is adhering to the requirements of the oil and gas and petrochemical sector, integrally geared gearboxes as well also adhering to the same sector as well.

The outstanding order book, as I mentioned in my opening remarks, stands above the ₹300 crore milestone, at ₹306 crore with longer duration orders of approximately a third of that portion. This is a record for us, and I hope that we will be achieving a continuous record in subsequent quarters coming forward.

Turning to the Water businesses: Revenues have declined because of delay in execution in certain projects and the delayed award of certain projects. And I had mentioned to you on the last call that I was not waiting with bated breath for the last three months, because we were in election season across nation. And it would take time for things to revert to normal and for projects to come. And I'm very happy to report that over the next few weeks, we expect many projects to be finally concluded. We believe we are very, very well placed for a few of those projects. In the opening remarks, of course I mentioned that we had extremely favourably placed for a ₹250 crore project in Europe. And we're expecting the award of that in the next few days itself.

The PBT margins of the Water business stood at 12% for the quarter, and the outstanding order book on the 30th of June 2024 stood at just shade under ₹1,200 crore, which included ₹867 crore towards O&M contracts over a slightly longer period of time.

I will quickly move with this outlook for the businesses: In view of a very comfortable inventory situation in the country, we are very hopeful that the government will do away with the feedstock restrictions and address the ethanol pricing framework as well and look at the viability of both grain-based and sugarcane feedstock-based distilleries.

In essence, it is a two-pronged process. Firstly, there was a limitation in terms of what could be diverted. We expect that to be lifted in the very near future. And we expect that the Government may very well look at absorbing all the quantities of ethanol that will come from the sugar sector.

I do believe that this will require another revisit in prices, which did not happen last year both for sugarcane-based feedstock ethanol as well as grain-based ethanol as well. From both sides, Triveni would benefit with any increase in the price.

The industry is also keenly awaiting the revision to the Minimum Selling Price (MSP) of sugar which is vital to the sustainability of the industry. The MSP, as many of you know, has remained unchanged since 2019, while input costs and sugarcane price, both FRP and SAP have risen significantly. ISMA has made a very rational request to DFPD and to other ministries of requesting a rate of ₹39.14 per kilo for sugar as the MSP for the country. And it's a very logical explanation based on the previous increases in MSP that has happened. And we're hopeful that the Government will look at this favorably and will give a high increase to MSP. Again, one anticipates that this is very much on the

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card, certainly before the next crushing season and hopefully before the end of this quarter.

Sugar prices, as I had mentioned even on our last call, I'm happy to report that we were correct that they have remained at very healthy levels throughout the quarter. And going forward, I expect some small increases in pricing. It could be because of increases in MSP, it could be because of very rational releases that have been given by the DFPD and it could also be due to other factors. But I do see that sugar price stability is something that is not of a concern certainly to us at Triveni.

Looking at the Power Transmission business group

outlook: Indian economic

activity has continued its momentum and we believe that both India and export markets are very nicely primed with a lot of replacement orders, a lot of new fresh projects that are coming up especially in the sectors of oil and gas and petrochemicals and some basic industry sectors as well contributing to significant growth.

Our international customer outreach efforts have been extensive, and we have made continuous investments in Research and Development (R&D). A lot of which, which has resulted in a material cost decrease as we've seen in this quarter that has gone by, and it has to do with the R&D programmes and the successful outlook of those R&D programmes. And of course, the R&D initiatives do continue, and we're hopeful to have even more improvements, both on the cost side and the addressable market side as far as our gearboxes from the Power Transmission Business are concerned.

The Government of India's continuing thrust on Atmanirbhar Bharat and Make-in-India has directly opened up a plethora of opportunities for indigenisation of imported gearboxes, and we expect this to be a growth driver for both the industry as well as the aftermarket business and including defence as well.

In the Defence segment, the business expects increased order booking from

some critical segments, and we have progressed quite a long way . Of course, during the course of the election s, there were a few orders that were finali sed again , and we're anticipating that over the next few weeks and quarters, we will be able to get back to the solut ion, and there's a lot of business that is awarded where we are contending.

As far as the Water business outlook is concerned, we are placed very favourably in a variety of different bits , and we are expecting to get those awards in the next few week s. So that's quite close and we are actually very positive about a few of those bids as well.

From a longer -term perspective, given the significant gap between the demand and the current availability of water and wastewater treatment plants, the water sector, by and large has a very, very positive outlook in the nation. And not just in the nation, also internationally, we're seeing a lot more focus coming on water. And the Company continues to evaluate various international opportunities and intend to part icipate in several tenders for international projects.

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Turning quickly to the Company 's new subsidiary, SSEL - Sir Shadi Lal Enterprises Limited. During the quarter, the Company has further acquired 36.34% equity stake of SSEL on June 20th from the bala nce members of the Promoter group under the share purchase agreement. The Company now cumulatively holds 61.77% of the total shareholding of SSEL.

Consequently, the Company has become a subsidiary of Triveni and the Company in compliance with applicable l aw s has launched an open offer with the acquisition of 26% voting shares of SSEL , this was done on January 30, 2024, but that process is well underway. We have received SEBI approval, and we expect that open offer to conclude during the month of August 2024.

In terms of concluding remarks, I think we are very hopeful for a robust performance from the sugar sector this coming year and a robust performance of the distillery sector this coming year. Led by improvements in pricing, led by more availability of raw material on the sugar side, we're expecting great quantum for sugarcane. And then we have a very positive outlook on the Engineering businesses as well as I had mentioned, both gearboxes, defen ce as well as in the water and wastewater management.

I'd be delighted now to take some questions.

Moderator: Thank you very much. We'll now begin the question -and-answer session. The first question is from the line of Sanjay Manyal from DAM Capital. Please go ahead.

Sanjay Many

al : Hi, I have a few questions on the sugarcane crushing side, means what is our expectation for the next season, given the last season was a bit subdued with 11% decline in crus hing number . What is our expectation? What is the work we are doing in terms of the variety change in our catchment area?

Tarun Sawhney: Right. So excellent question, multiprong question. And I think I'm going to take you back to comments that I've made in previous conference calls. We were actually just reviewing it before this conference call. As you know, last year, we had 77% of Co0238 variety across the seven sugar units. This year, and I had mentioned at that point in time that our target was to bring this around 50%. And I'm happy to report that that reduction has been achieved.

So, in all sensitive area s, water logged areas, low light areas , we have eradicated Co0238. The intention of course, is to take this to halve it again in the following year as well and then only to keep it in opportunistic area s, because it does give a good return if it is not disease affected, and it will last for a few more years. So, my answer is very much the same as what I mentioned one quarter a go and two quarters ago, and we're bang on track in

terms of what we had set as target for us.

Now given that fact that we have managed to eradicate large tracts area under Co0238. We have substituted for other excellent varieties , and we found that our area under cane has increased. The surveys are now on, I can't give you an exact number right now, but we're looking at an increase in area under

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sugar cane for the group as a whole. And also, we're looking at a possible double -digit increase in the cane availability for our Sugar business for next year.

Now I have to mention this, that we're only halfway through the monsoons . So, to have early estimates, I offered you an early estimate. This is given what rainfall, what weather patterns and minimal impact on pest and disease that we have seen thus far. However, reading this morning papers, which I'm sure you've done as well, we're looking at a lot of rainfall coming our way in the month of August and September. I think the hope has to be that in the month of September, whatever rainfall happens, it happens in the first half , so that it does not affect the early start of the sugar factories in October of 2024.

So, given that we have balanced weather and balanced weather events, I think we're certainly as a group looking at a good rebound as far as our sugar operations are concerned. And we have been very successful in our cane development. We have achieved all the targets that we set ourselves out to. Of course, our programme is a multi -year programme , it's a multi -pronged programme . But very happy with the successes that we've had thus far.

Sanjay Manyal: You mentioned that you're expecting a double -digit kind of increase in the sugarcane availability. So, are you including the acquired entity in this, or you're talking only about the standalone entity?

Tarun Sawhney: I was talking about the standalone entity. The subsidiary company is an independent company and I'm not addressing their targets. Although I do believe that they had a particularly poor crushing season last year because they had a very short season. There were some administrative issues which led to a very delayed start for the sugar factory. And also, had an early end because of some engineering challenges for the season. Triveni having taken over the management control of Sir Shadi Lal, we anticipate that we will get back to business as usual. And a substantial increase in sugarcane crush at that factory in the upcoming sugar season.

Sanjay Manyal: Great. One question on the ethanol side means, now we have sort of completed our ethanol CapEx. Ideally with this kind of a capacity per day means annual number ideally should be

close to 24 crore litres if I'm not wrong. So, can we have some guidance on that front? What kind of number are we looking in FY 25 and FY 26?

Sameer Sinha: You see in FY 25 we are looking what we mentioned in the previous one of a number in excess of 21 crore litres, right and it was also explained that with maize the capacity is a little lower. And therefore, while you are right, otherwise it should have been 24 crore litres. And going forward we would be at a significantly higher number, close to about 25 crore litres in FY 26 from the same set of assets.

Tarun Sawhney: Exactly. And I will just add that we have one project still on hold. It remains on hold until we see the next molasses (ethanol) pricing by the Central Government, and at which point we will review that project. But as I've mentioned on previous calls, the engineering work has all been completed. It's

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just a matter of ordering the equipment. And given our track record, we can have a distillery up and running in three quarters flat. And at this stage that we are at, so a pretty good time.

So, with that, of course we'll return to the 30 crore plus target rates. But at this particular point in time that distillery remains on hold with the capacities that we've had, you just heard from Sameer, we should be at a very good annual production rate.

Sanjay Manyal: Just last one on the Engineering business. I mean the current quarter performance on the gear business has been , you can say , a bit muted from the revenue side. So, is it just have to do with Water business certainly has been impacted by the election part? So, what could explain the gear business performance as of now?

Tarun Sawhney: So, it was very much budgeted. And we have performed in fact, a little bit better than our budgets as well. One has to recognize that the last quarter was an election quarter for the country. And so, for several weeks, there was a lot of delays and a lot of companies and clients not accepting orders. And we had many clients that have just delayed. Our accounting policy is that we will only account for revenues once you dispatch for us. Our finished goods has increased and we will expect a huge catch-up to happen in Q2. This was all planned. I think we're very happy with both the numbers, both for the top line as well as on the bottom line. You can also see from the order booking increase .

I will discourage you to look at quarter-on-quarter in this business. I think with engineering goods, you always find that at the end of the half, which is Q2 and especially Q4, a lot of companies to take advantage of depreciation, accept deliveries in those quarters. So, it's typically heavily skewed towards Q2 and Q4.

Moderator: Thank you. The next question comes from the line of Somnath Saha from B&K Securities India Private Limited. Please go ahead.

Somnath Saha: Thank you for the opportunity. My question is regarding the distillery segment. Now it is evident that the margin is significantly lower when we used maize. And even after that, we are continuing with maize. So, I really wanted to understand the thought process here. I mean, talking about the other big players, may have admitted maize is not profitable at all. So, wanted to understand this, is this because you want to run the facilities or anything else you have in mind?

Tarun Sawhney: Yes. So again, I think I stand behind what we've said in the last few quarters. The maize profitability is severely dampened because of the market dynamics. Despite prices for the output , for the ethanol made from maize increasing , because you have unfettered increases in the input cost of maize, the entire advantage has been taken up by either the trade and some portion to the farmers. Farmers is the good portion, but the huge increases that have gone to the trade have unfortunately meant that the margin scope

for ethanol
manufacturers has been problematic.

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Now, as far as we're concerned, we have co-joint facilities. The bulk of our distilleries are next to our sugar factories and therefore we have lower conversion cost, it could be fuel cost, it could be a whole host of other input costs being lower. But for the industry as a whole, since you asked the question for industry, I think maize at this point poses a huge problem. Now, what is the solution around it? And yes, it does. For Q2 as well we will be processing a large quantum . We're one of the largest maize processors in the nation right now at Triveni. So we can see this first-hand view of what is going on in the market. And honestly speaking and under this present scenario, the margin simply has evaporated because of the increases in input cost prices. Now, there have been many representations that have made to the Government that we need to find innovative ways of ensuring that there is renewed health as far as the grain opportunity is concerned.

We will always be slightly better off because of our co-joint facilities with our

sugar factor ies. But honestly speaking and I've seen the representations that have come from the Grain Manufacturers ' Association to the Government, they are burdened very much so , at present input prices. So, I thin k that in the next policy, I'm very hopeful that we will have some multipronged pricing strategies that will allow people to get back to the types of margins that we were experiencing earlier.

And especially when we were processing FCI Rice. And you would remember that the margins of FCI Rice were actually very, very healthy and attractive. And with the State Governments having been allowed to procure rice by the Central Government as you are well aware, I think the availability of rice to the distillery s ector, to the ethanol programme , I think is just a few steps away, and it may very well happen in the next few quarters, given the burgeoning stocks and given the high output of seasonal rice in the country.

Somnath Saha: Thank you. That was my question. Also, if you can just quantify the sugarcane crushing numbers for the quarter and the recovery for both gross and net recovery for the quarter?

Tarun Sawhney: You said crushing numbers for the quarter. We missed the next question.

Somnath Saha: Yes, that was the question, the crushing numbers for the quarter and also the gross and net recovery?

Suresh Taneja : During the quarter we crushed 66.7 lakh quintals, as compared to 157.7 lakh quintals in the previous quarter. And our gross recovery w as 12.35 % as compared to 12.43 % in the previous quarter.

Somnath Saha: And the net recovery?

Suresh Taneja : Net recovery was 11.41% as compared to 10.58% in the previous quarter. Sugar p roduction was 7.6 lakh quintals as compared to 16.7 la kh quintals in the previous quarter.

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Moderator: Thank you. The next question is from the line of Rayan Dalal from FICOM. Please go ahead.

Rayan Dalal: My question is on the Power Transmission and Defence business. So, are we on track to commission the facility expansion in December?

Tarun Sawhney: So, the expansion in the existing facility is very much on trac k. In fact, I anticipate that this facility will be commissioned six weeks in advance. So, we're hoping that in the month of November itself, just after Diwali we will be able to commission the new gearbox facility. As far as the Defence facility is concerned, we've had a slippage, and we will be about a quarter late. So, we're looking at the commissioning of that facility in the first half of the next calendar year.

Royal Dalal: Got it. And the incremental capacity that will com e on in the power business, could you give a sense of the end industry use and the demand growth that you're seeing maybe in the domestic market and maybe on an int

ernational
level as well?

Tarun Sawhney: Absolutely. I'll talk ab out OEM (Original Equipment Manufacturer) segments and then I'll talk about industry and customer segments as well. As far as OEMs are concerned, we've seen huge growth domestically and internationally. In fact, all of our OEMs are global OEMs. And we've s een an enormous growth in order booking and deliveries and the future forecasts are for even better rates of growth from these levels.

Now this covers segments such as steam turbines, it covers compressors, it covers the pump segment as well. The one sect or, which is a little bit of a dampener, which has always been tiny little sector for us , given that the

infrastructure does not really exist in India is on the gas side. So that has been kind of muted, but it accounts for such a small amount, it doesn't really matter. The three sectors that I've mentioned have been absolutely outstanding in terms of growth from the OEM side.

Looking at the final user segments, we're seeing huge opportunities domestically and internationally in the API segment, so oil and gas, petrochemicals, across the board, both onshore and offshore are looking extremely exciting as far as the gearbox requirements are concerned. We're seeing huge developments in the mining sector as well as in cement and steel, both domestically and internationally. Funnily enough, the demand has been mirrored in export orders as what we're experiencing in India. I think the one sector that is where we've seen orders decline is the distillery sector in India, which accounted for a lot of gearboxes in the past. But distillery orders have stood muted. But again, it's such a tiny segment now compared to our overall business that it doesn't really feature.

Royal Dalal: Got it. And if I may ask another question. On the Defence segment, our tie-up with General Electric, just wanted to know like maybe the work that we have done on the LM2500 engine, maybe just an idea of like how things are going on that end, do we expect any sort of delivery soon on that product or anything of that sort?

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Tarun Sawhney: So that programme is a two-decade programme. The first few orders are yet to even be allocated. I think as far as nomination of the order, it's already gone, for the core to come from GE, the assembly will happen at HAL and the packaging will happen at Tiruvani. So, we're hopeful that for the next generation of warships, these orders will be placed relatively soon. But our Defence portfolio goes well beyond just the packaging of gas turbines.

We're looking at several orders in the smaller GTG space, gas turbine space, very excited that should be included during the course of this calendar year. We have several live projects. We're the only company in the country which builds shaft lines. And as you know, we're building shaft lines for subsea platforms. We're also building shaft lines for micro submarine. So, it is a whole spectrum. And we're anticipating several new orders there.

We are doing a lot of work on gearboxes for the coast guard and the Navy. Orders have been won. A lot of orders on pumps for the Navy as well, and the products go on. So, what we have tried to do is expand our exposure for the mechanical equipment and tie-up where we need tie-ups, or develop technology where we need to develop our own in-house technology. It's a dual-pronged process that is centred around a Aatmanirbhar India programme.

Moderator: Thank you. The next question is from the line of Manish Dhariwal from Fiducia Capital Advisors. Please go ahead.

Manish Dhariwal: Very good afternoon and thank you for sharing a very detailed perspective about the sugar sector, as it is expected to play out for the Company. Now you also spoke about the acquisition of Sir Shadi Lal. We already are one of the leading players in the game. So, some insights into the

rationale for this acquisition, which we find is really, it's a very old plant and machinery, must be dilapidated. You mentioned that the sugar season was also very low. And the kind of price that we paid for it. So, we request for some insight into what went for this decision.

Tarun Sawhney: Right. Very happy to provide an answer to this question. And I'll start from your last question and move backwards. As far as the price that was paid for the shares that have been acquired, we did a valuation exercise internally and looked at what that asset could be worth. And I think we're very happy with the price that we've paid. We believe that this is going to be significantly accretive acquisition for the Company in the short term and definitely in the long-term. From a financial perspective, I can't go into the numbers in terms of payback,

etc because that's not public information.

But what I can say is the strategic part of it, which is very important. Shamli has possibly the best farm area and acreage in the State of Uttar Pradesh. They're the best. The farmers are the most loyal and have been for decades. Yes, there has been a blip in the last few years due to a variety of issues, especially the management issues and operational issues at the unit, and that had led to some amount of disharmony in terms of relationships with the farming community, but that still does not change the essence of what the farmers deliver.

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Shamli is the factory that has had the longest season in terms of operating days. In my 30-year experience in the sugar industry, for the vast majority of years, it has the longest operating season. And the reason for that is the tie that they have with the farming community. We believe that we will be able to revive this tie immediately with the farmers. And I think we've had a very great success, great support from local communities as we've taken over the management operations from the 21st of June 2024. That's number one.

Number two, the yield in Shamli is one of the highest. And that too bodes well for the future in terms of operating at higher capacities for the future, etc. Yes, it means that we will have to invest in some more capex. But we will make those decisions in a very prudent manner like we do, looking at returns. This is a demonstrated strength that we have at Triveni. We'll continue to apply the same science into all investments made in Sir Shadi Lal.

The third important factor for this acquisition has been its close proximity to two of our largest factories. We buy cane from Shamli society, the cane society, both for our factory at Deoband and for our factory at Khatauli. So, we have immense knowledge and now we've been able to actually capture a more adjoining area and we believe that in the medium term, we will have significant advantages by having a area that are connected and sugar factories that are connected. So, there has been a huge strategic rationale besides the financial rationale in terms of acquisition of this company.

Manish Dhariwal: Thank you. So, are there any plans to merge this company into the main corporate or how would you like to kind of take it forward?

Tarun Sawhney: At this point in time, we're in the open offer process, we can't do anything. We're bound by the laws of the land in terms of looking at any other optionality. And as and when the Board decides any corporate action, we will, of course, intimate the stock exchanges. At this particular point in time, we're just interested in focusing on a quick R&M (Repair & Maintenance) programme that is cost-effective that we can actually have a record season at Sir Shadi Lal in 2024-25.

Moderator: Thank you. The next question is from the line of Dheeraj Ram from Ashika Stock Broking. Please go ahead.

Dheeraj Ram : Congratulations for the great set of numbers. My question is more focused towards the

Water sector. Historically, we have seen payments delaying in this water treatment segment. So, do you see any further delays in payments going forward from state or central government? Or how do you think the order inflow is for us, is it more confined towards State Government or Central Government? Or are you planning to go into any HAM kind of projects?

Tarun Sawhney: So, we are already in HAM projects. Our orders are evenly split between state and centre. Actually, the orders that we're expecting finalization of majority for the next few quarters are all state. But historically it's been set between state and centre. But we don't really experience any payment delays on the work

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because they have very finely targeted timelines, and its performance-based

metric, it's all gate-based payments that happen.

On the O&M side, sometimes it takes an extra few days, etc, but nothing that is inordinate and nothing that is not expected. I wouldn't even classify that as a significant risk to the business.

Dheeraj Ram: Got it. And post -budget, do you see any increase in actions going on from this water segment? There will be a lot of funds getting allocated for this particular segment going forward. So how do you see in next two to three years?

Tarun Sawhney: Yeah, I think you asked a great question. I think it's outstanding, the amount of inquiries that have been generated post the elections. State governments, municipalities and the Central Government, water is playing an absolutely pivotal role in the infrastructure agenda of the nation. And you're absolutely right. So, when we look at our inquiry book and the new inquiries that have just come about even in the last few weeks since the elections, of course, the ideation has started earlier, but we're getting close to the bidding stages. We're seeing a huge push on all fronts and across the country, across the country is the most important part of this.

Dheeraj Ram: Got it. And my last question if I can ask is, we could see a lot of players entering into this wastewater treatment segment. So, do you see any competition while bidding for the projects? Do you see any competition here?

Tarun Sawhney: I think it's a sector that has competition across all facets of it. As far as wastewater is concerned, you will have a different set of players. But I think it is a competitive environment because it holds so much attractiveness as an industrial sector. You see different players from different segments. We find ourselves in a very unique spot of playing across segments and having our PQs (Pre Qualifications) across segments, which is a rarity, frankly, speaking for players in the Water business in India.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you.

Tarun Sawhney: Ladies and gentlemen, thank you very much for joining us for the Q1 FY 25 earnings call of Triveni Engineering & Industries Limited. I think we're at a very exciting point in time for across our businesses. Sugar and ethanol are expecting huge changes, especially from the Central Government, MSPs on the anvil, exports could potentially be considered in the immediate future as well to evacuate the stocks, the global world market price has risen recently. I'm quite certain we'll be able to export that good returns.

As far as ethanol is concerned, I am anticipating a huge improvement in terms of pricing and structural improvements to ensure that both grain and sugarcane -based feedstocks are measured out with equal positive treatment over the next couple of months. Defence and gears continue to do well and I'm expecting orders within our Water business group in the next few weeks. So, it's all exciting times. I look forward to talking to you in approximately three months. Thank you so much.

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Moderator: Thank you. On behalf of Triveni Engineering & Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Call: Nov 2024

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MUMBAI - 400 001 MUMBAI - 400 051

Thru: BSE Listing Centre Thru; NEAPS

STOCK CODE: 532356 STOCK CODE: TRIVENI

Sub: Transcript of Analyst/ Investor Conference Call held on 6th November, 2024

Dear Sirs,

Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed transcript of the Analyst/ Investor Conference Call held on 6th November, 2024 post announcement of unaudited financial results of the Company for the Q2 & H1 FY25 ended on September 30, 2024. The transcript is also available on the website of the Company at: www.trivenigroup.com

You are requested to kindly take the same in your record.

Thanking you,

Yours faithfully,

For Triveni Engineering & Industries Ltd.

GEETABHALLA

Group Vice President &

Company Secretary

M.No.A9475

Encl: As above

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Triveni Engineering & Industries Limited

Q2 & H1 FY 25 Earnings Conference Call Transcript

November 06 , 2024

Moderator: Ladies and gentlemen, good day and welcome to Triveni Engineering & Industries Limited Q2 and H1 FY 25 Earnings Conference Call. I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you, Mr. Barar.

Rishab Barar : Thank you. Good day, everyone, and a warm welcome to all of you participating in the Triveni Engineering & Industries Q2 and H1 FY 25 earnings conference call. We have with us today , Mr. Tarun Sawhney, Vice Chairman and Managing Director ; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO of Sugar Business Group; as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature and a statement of this effect has been included in the invite, which was shared with everyone earlier. I would also like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management following an interactive question - and-answer session.

May I now hand it over to Mr. Tarun Sawhney. Over to you, sir.

Tarun Sawhney : Thank you, Rishab. Good morning, ladies and gentlemen, and welcome to the

Q2 / H1 FY 25 earnings conference call for Triveni Engineering & Industries Limited. Our revenues from operations for the half year stood at ₹2,792 crore , an increase of 7.1%, with a PBT of ₹11.5 crore and a PAT of ₹8.6 crore .

Some of the key highlights in the Sugar business were that the profitability in Q2 / H1 remains subdued as there were no manufacturing operations during the quarter, and all off-season expenses have been expensed off during this period. The Alcohol business includes the impact of the shortage of molasses -based captive feedstock arising from the policy decisions of the Government of India, which regulated the diversion of sugar to B-heavy molasses and sugarcane juice in the previous season and the high procurement cost of maize.

The crushing season for Sugar Season 2024-25 has commenced at four of our units with one unit of ours at Khatauli having started operations before Diwali. We have completed the highest ever quarterly Alcohol sales of 5.62 crore litres, which is an increase of 9% over corresponding period during the period under

review. And the results of the Company also include ₹12.4 crore loss pertaining to the recently acquired subsidiary, Sir Shadi Lal Enterprises.

Looking at the highlights of the Engineering business. I am delighted to report that the Power Transmission business has witnessed a 30% plus increase in revenues during Q2 FY 25 and crossing of a quarterly turnover of ₹100 crore for

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the first time in the history of this business. The business reported 57.8% increase in order booking and a record closing order book of ₹345 crore in Q2 FY 25 , which has improved by 22.5% over the corresponding period.

The Defence business received a prestigious order during the quarter under review for propulsion shafting valued at ₹33.8 crore for Mazagon Dock Shipbuilders Limited at the year. The Water business also saw improved performance during Q2 with order booking aggregating ₹450-odd crore , including new EPC projects for Uttar Pradesh Jal Nigam at Prayagraj and the Rajasthan Urban Drinking Water Sewerage & Infrastructure Corporation Limited, which is also known as RUDSICO in Jaipur.

During the Board meeting that was concluded yesterday, the Board of Directors approved a capex of approximately ₹20 crore for the enhancement of the production capacity of the Indian Made Indian Liquor (IMIL) business of the Company .

Looking at the balance sheet , on a consolidated basis, our net debt after considering surplus funds is ₹418.8 crore as on the 30th of September compared to ₹101 crore as on the similar date in the previous year. The overall cost of funds stood at 6.7% vs. 5.8% in the previous corresponding period, reflecting what the interest rate regime really is at this particular time across the country.

Turning to the business -wise review. Let's start with the Sugar business. And as I mentioned, we're all set for the new sugar season and on an overall basis, the crop seems healthier due to favorable climatic factors and very importantly, due to rigorous cane development activities that have been undertaken by us. This includes on-ground management. This includes disease and pest eradication , and this includes a vast array of extension services, which has taken place at a level that was frankly unprecedented. We've really done quite a lot of work across all of these areas during the off season and in the onset of this sugar season.

This year, our focus in the Sugar business has continued towards a variety of substitutions, improving crop health and enhancing yield and recovery through active farmer engagement. And it is that varietal substitution away from the 0238 variety and looking at similar comparable varieties that offer yield and recovery that is going to drive the growth for this business over the next few years. We believe a healthy plant crop , focused crop management along with continued investments towards debottlenecking, enhancing the crush rate and

efficiency improvements will help improve the overall crush and financial position of the Sugar business in the season 2024-25.

Further close monitoring of the sugar quality and refined sugar production, which is approximately 70 -odd percent to ensure superior realizations is also likely to aid the revenues and the profitability of the Sugar business. The inventory as of the 30th of September 2024 was 20.63 lakh quintals valued at ₹35 per kilo, and this was vs. 19 lakh quintals a year ago. The current realizations are broadly similar to last year for refined sugar, we are selling at approximately ₹40 per kilo, and sulphitation sugar is being sold at lower rates, approximately ₹38.5-38.75 per kilo.

The domestic industry scenario looks very much the same as what we had discussed about three odd months ago. The balance sheet for the nation estimates an opening stock on the 1st of October 2024 at about 8.3 million metric tonnes. And domestic sales a little higher than what we had forecast at about 29.4 million metric tonnes. And the closing stock at the end of this year is anticipated at about 8.9 million metric tonnes. And this is after considering a 4

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million tonne diversion of sugar towards ethanol. These numbers do not look at any possible export.

And I will, of course, discuss that possibility in the fourth quarter of

the fiscal

year, at least the deliberation to start with Government in the next quarter. But there is ample scope. The message that I would like to begin very clearly is that there is ample scope for massive amounts of diverting towards ethanol and continued exports and the return of India to the international sugar trade.

Looking at the industry scenario, internationally, the global balance sheet as per international reports points to a surplus owing to a better crop across the key sugar-producing nations. However, the Brazilian outlook is deteriorating due to wildfires and troubling weather conditions. The production is predicted to be in the range of 3.8 million to 3.9 million tonnes, which is down significantly from 42.5 million tonnes last year.

And this, of course, if it continues, may then put pressure on the global balance sheet and turn the surplus into a potential deficit. So this is a big swing factor we will know in the next few months.

International sugar prices, we've seen the New York #11, closed at US 21.9 cents yesterday, and the London #5 closed at US \$566.5 per metric tonne. Broadly speaking, we're seeing a period of stability as far as international prices are concerned, very much range bound and very attractive for Indian exports. At these prices, I think Indian exports are certainly viable and will be a welcome break for the sugar industry, where we've seen sort of flattish sugar pricing, if we look at the last 12 months vs. the previous corresponding 12 months.

Turning to the Alcohol business. We have welcomed the Government's move to lift restrictions pertaining to the use of B-heavy molasses and sugarcane juice/syrup for the production of ethanol for this year. But if we look at our business, it was adversely affected due to a variety of reasons, four reasons in specific.

Number one, the shortage of molasses-based feedstock, which arose squarely from the policy decision of the Government of India to restrict the diversion of sugar to B-heavy and sugarcane juice. This led very frankly, to a closure of some of our distilleries during the last quarter, and therefore, there were some unrecovered costs, which added through the losses of this business in the last quarter.

There was an increase in the transfer price of B-heavy molasses as well internally. The third reason is the higher procurement cost of maize and thereby reducing the margins of the maize operations. Now to do a Q-o-Q comparison, is not exactly accurate because in the previous periods, a substantial part of grain operations comprised of much higher margin Food Corporation of India

(FCI) rice operations, which were broadly similar to the profitability levels of B-heavy, just a little bit lower, but broadly similar.

With maize, this was very new, and I have been continuously saying that over the last couple of calls, we saw an increase in the maize price for ethanol derived from maize. However, that entire increase was captured by the trade, and therefore, they left with little room for profitability enhancement for distilleries that were operating on maize.

Of course, this was compounded by the fact that the maize crop last year was poorer than previous years and poorer than what was anticipated. The crop this year, the Kharif and Rabi estimates for the upcoming two seasons are actually
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very, very good. We are anticipating higher yields and higher availability and the hope is that, that will translate into lower procurement prices.

When we started the campaign, when we looked at UP maize, we looked at Bihar maize, we were hopeful to be able to get it approximately ₹22 - ₹23 per kilo. However, the eventual procurement price, because the difference was absorbed completely by the trade was almost ₹25 - ₹26 per kilo, which was prevailing until very recently, until we see the new crop come in and slightly lower prices

coming in. I think there has been a huge learning experience over here as well in terms of stocking, in terms of trading, in terms of actually procuring across the various states whenever their crops are harvested, and we certainly hope to benefit from the upcoming season.

The fourth point regarding the profitability of the Alcohol business, the adverse profitability of the Alcohol business during the quarter under the review was the establishment of our IMFL business. In building a brand, as you can appreciate, there are certain costs that go in, in terms of establishing the brand. We're very happy with the result, let me add, extremely happy with the positive acceptability of our 2 new IMFL brands of Matsya and The Crafters Stamp, but it does take time, and we are investing vigorously in terms of making this a success.

Alcohol from molasses-based feedstocks, in the quarter under review formed 50% and in the half year 44% of sales, as against 64% and 65% in the corresponding periods of the previous year. And these primarily consist of relatively high-margin ethanol. On the other hand, the sales volume of low margin ethanol produced from maize operations increased substantially for the period under review.

Looking at the domestic industry's scenario for the Ethanol Supply Year 2023-24, the Oil Marketing Companies (OMCs), as you will recollect, had floated tenders of 825 crore litres with a 15% blending target. Till the 6th of October, the OMCs have procured just a shade under 600 crore litres out of the total contracted quantity of 733 crore litres. And with this procurement, the ethanol produced from grain-based feedstocks contributed 57%, approximately 340 crore litres, while sugarcane-based feedstocks contributed to the balance 43%, approximately 250 crore litres.

The achieved blending percentage on the 6th of October 2024 stood at just a shade under 14%. However, it is important to mention that for the last four months, the blending percentage nationwide has been to the tune of approximately 16%, which is very, very encouraging.

For the Ethanol Supply Year 2024-25, which we've just embarked upon and commenced on the 1st of November, the OMCs have invited bids of 916 crore litres and allotted 837 crore litres in the first cycle. It's a huge increase. And this corresponds to at least a nationwide target of 18%. My personal view is that during this year, we will have periods where in certain large states, ethanol-rich states, we will see blending at 20% levels this year, which is very encouraging for the ethanol blending program.

For Triveni, in the previous years, our split between sugar-derived ethanol and grain-derived ethanol was approximately 50:50. For the following year, we're

looking at a change, and we're looking at the total quantum to be about 60:40, 60% for sugar and 40% for grain, a higher percentage of sugar. And this is a function of our projected performance of our various businesses and the quantum of sugarcane-based feedstock that we will have available for the Distillery business.

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Turning towards our Engineering businesses. I'll first cover our Power Transmission business, where I had previously mentioned at the start of this call that we saw very strong growth across its KPIs. The order booking, which grew at 57.8% during the quarter, included prestigious breakthrough orders in the gears and defence business. The Company saw good demand for its products, including high-technology compressor gearboxes, high-power small hydro turbine gearboxes, high-power API, that's oil and gas gearboxes, integrally geared compressor gears, etc.

The aftermarket segment is also generating very strong interest from the compressor, gas turbine and test rig industries, which is very interesting and different to previous quarters and leads us to believe that, that part of the business, the after-

market part of the business is now attracting new customers domestically and internationally.

Overall, the business is witnessing very strong growth in exports, driven by increased engagement with customers and receiving qualification orders across product lines, and I'll cover that a little bit later. The outstanding order book reached an all-time high for the Power Transmission business at ₹345 crore on the 30th September 2024, which includes some long duration orders of approximately ₹105 crore. In the Water business, the revenues declined due to the delay in execution of certain projects and the delay in water sub orders where we had submitted the lowest bids. The business expects the H2 FY 25 performance to be better than H1 FY 25.

I would like to mention that the way that we recognise revenues is based on completion. We have a very large project that is ongoing in Bangladesh. And as you are well aware of the troubles in that country, however, we have now moved past that, there was a period of time where the project was getting delayed. Of course, that has an impact on our revenue recognition. But we're very comforted with, we're certainly very secure in our payments. That is no concern whatsoever. But we're comforted that the execution of the project is now back on track and underway.

The business has reported a robust order booking during Q2, aggregating to approximately ₹450-odd crore, including two new EPC projects for Uttar Pradesh Jal Nigam at Prayagraj and the Rajasthan Urban Drinking Water Sewerage & Infrastructure Corporation in Jaipur. In the previous quarter, it was declared that the Company was placed favourably for a project in Europe. The bid evaluation is still continuing at the client's end and is anticipated to look at the letter of award in the near future, we are anticipating that in the near future. The outstanding order book as of the 30th of September stood at ₹1,726 crore, which included ₹980 crore contracts over a longer period of time.

Turning towards the outlook of our businesses. I'll first cover the Sugar and Alcohol business. The industry, and we, at Triveni, keenly await the revision of Minimum Selling Price (MSP) of sugar, which is vital for the sustainability of the industry. Now as you are well aware, even the Minister for Food yesterday in the press has commented that the increase in MSP is something that would happen in the very near future. We don't know what that means, but we are hopeful that it will happen. And I believe that any increase in MSP, even if it doesn't keep pace, with what the cost of production for the country as a whole. But it will have a massive positive indication on the market. And I believe that if we rise from the 31 levels, by any quantum, it will certainly have a good resounding impact in terms of improving the base like numbers for sugar for the year going forward. The MSP has remained unchanged since 2019. While, as you are well aware, the input costs, particularly the FRP and SAP have risen substantially. Revised ethanol prices are also awaited, particularly for sugarcane juice and B-heavy

molasses and maize to improve the viability of these feedstocks.

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As we march towards 20% ethanol blending, I think it's important for the Government to review these prices. Last year, I understand it was an election year. We all understand that scenario. And therefore, there was no price revision for ethanol at all with one small revision for maize actually. But besides that, nothing.

And so now we are anticipating and the industry is keenly awaiting an increase in the ethanol prices from the designed feedstocks. We expect that to happen in the very, very near future.

If we look towards our other alcohol businesses, we're excited about the IMIL, (Indian Made Indian Liquor) and IMFL (Indian Made Foreign Liquor) performances of the Company. With

respect to the Indian Made Indian Liquor, country liquor business, we are now placed within the top five producers within the state. This business has only been operating, we're closing out on our third year as you're well aware. We are now top five, one of the top five producers in the state of Uttar Pradesh, and in the last month, we were amongst the top four producers. It is a profitable business and very much in line with what one had predicted when we entered into this segment.

As I had mentioned, we are also investing in this business to further enhance our profitability and our market share in this segment of country liquor in Uttar Pradesh. As far as Indian Made Foreign Liquor is concerned, our sale of two brands, Matsya and The Crafters Stamp in Uttar Pradesh has gone very well. We've been operating for approximately four months now, and we've seen excellent demand across the board in the state and excellent placements as well. However, it will require investment in this business, and we are keenly awaiting the results over the next few years. The product quality has been appreciated by consumers across the board. I will mention that this does take time, and we will be supporting the growth of this business as we go forward.

Turning to the outlook of the Engineering businesses. For the Power Transmission business, India's economic growth is continuing to provide momentum. Their major investments in infrastructure, steel, cement, oil and gas, process industries are fuelling growth, and India is becoming an attractive hub for global majors. All of this bodes very well for the Power Transmission business as a critical supplier of gearboxes.

In addition to the overall economic growth, we have market share gains and venturing into new product applications, and these are going to be new drivers for the business, both internationally as well as domestically. And international markets have offered very high potential. And we're seeing that even now in our aftermarket business, which is what we refer to as our retrofitting business in our existing installations. So that's very, very encouraging to see from international locations. We've received over the quarter, a select number of qualification orders. These are very, very important orders with customers. On the back of that, many new orders get business, this is just a part and parcel of the process of attracting new customers and new OEMs. And so we're very happy for those orders as they get commissioned and the test results coming, we will then, of course, move into regular supplies from these OEMs.

The focus has been an OEM qualification and an end-user qualification as well. As a result, we have received some critical orders in the API segment from oil and gas customers in the Middle East, this is very encouraging. We have a long way to go, but the business has invested in people and in presence, etc, in global marketing as well. And all of that bodes very well for the business going forward. There has also been a more deliberate focus on Research and Development at the Power Transmission business with initiatives on further improvements on

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efficiency, setting global standards on those parameters and on the development of new products for our customers.

In the Defence business, the business expects increased order booking from key segments going forward, well progressed quite substantially, and we're very encouraged by the orders that we have recently achieved. We're anticipating disclosure of certain tenders over the next two quarters as well. I hope to come back to you with more positive news on that front.

Turning to the Water business. The business anticipates a surge in business opportunities and new funding is expected to flow both from Central and State Governments post the elections, including the state elections as well. I think that is now very, very clear. We

are seeing massive activities, massive conversations, etc. Due to the significant gap between demand and current availability of water and wastewater treatment plant, the water segment has a positive outlook, and we believe it offers significant opportunities going forward in the immediate few quarters as well as beyond.

The new opportunities are emerging in recycled, reuse or zero liquid discharge kinds of businesses on EPC as well as HAM models wherever industries are available as off-takers to buy treated sewage. And this is a model that is going to create significant opportunities for us going forward. The Company is also evaluating various international opportunities and intends to participate in several tenders in the water and wastewater treatment market wherever we possess pre-qualifications and the funding is ensured by multilateral and reputed agencies.

In conclusion, we look forward to a much-improved performance in the upcoming sugar season. There's a positive outlook for realisations and profitability in the Sugar and Alcohol business with a firm expectation from the Government in terms of policy changes, revision in pricing and a return to quicker decision-making like we've experienced over the last 10-odd years. We remain very well placed in our Engineering businesses, both domestically and internationally for both businesses. And I think that over the course of this fiscal year, etc, you will see good results coming in for both those businesses.

Thank you very much, ladies and gentlemen. We'll now open the floor for questions.

Question-and-Answer Session

Moderator: The first question is from the line of Sudarshan Padmanabhan from JM Financial PMS. Please go ahead.

Sudarshan Padmanabhan: Thank you for taking my questions and thanks for the elaborate discussion and the introduction on sub-division. My question is today, when I see your numbers for the first half, it largely reflects something like a rearview mirror of what has happened in the past. And if I look at specifically both and just combining the sugar and distillery together, given that there is a common feed in terms of cane. See today, the last couple of years, we've seen a lot of SAP price increase, FRP price increases. We are due for a revision in ethanol prices also MSP revision as far as the sugar is concerned. Sir, how confident are we given that last year, the Government prioritized elections over probably ethanol production that the Government is going to be serious in terms of making ethanol remunerative at least profitable enough for players or stakeholders to participate. I mean that's one.

And second is if I can understand a little bit more from a policy perspective as well as strategy on using maize or FCI rice, because my understanding is

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typically when we bid for a maize, the raw material prices are volatile. But you have a cap on the prices in which you can sell ethanol. Is there a thought process from the Government or your own thought process with respect to strategy where we can actually try to circumvent it given that we had a bad or a learning experience?

Tarun Sawhney: I couldn't agree more with your comment, and I'm happy to respond to the questions. Yes, it is always a rearview mirror. If I have to be perfectly honest,

this is the first half year in many, many, many years where we've had less than what we would have wanted to deliver results that we would have wanted to deliver much better results. And this was very squarely actually driven by Government policy in most respects.

Now the industry associations are very actively engaged with the Government, both the sugar and distillery associations in terms of enhancement of prices of ethanol. But there are a few important things to remember. I'll cover both parts, both the sugar aspect as well as the distillery aspect as well and then move into the

feedstocks. But from the sugar aspect, we had an impact of disease pretty much across North India, not just in Uttar Pradesh, but across North India. As you had seriously adverse climatic conditions, 45 days / 6 weeks of no sunshine in the winter, no rains, etc. And now all of this is a very finely balanced sword, because if you have too much rain, that's also a problem in the winter. If you don't have enough, then that's also a problem. So there's a very fine balancing factor. But sunshine is something that is undeniable. It is essential for the formation of sucrose in sugarcane. And the lack of that was a big problem. The hope, of course is, we can't predict what the forecast weather was going to be in January, in February and March. But the hope is and the Skymet data, which we track very, very rigorously suggests that we will have a normal winter period.

As you have already seen in North India, we have had the hottest October in many, many years. You've already seen that data. November has already seen some of the coolest days and North India reporting some of the coolest days already. What that means is that the RTD value, the difference between the highs and lows of the day, which is essential for sucrose formation is actually rapidly. It's going on in spades right now. We're very happy with what is happening especially across Western Uttar Pradesh.

Factories have started and the yields look promising, it looks better than last year. The incidence of maize is vastly reduced. It is eradicated at most of the factories. At one plant, there is still some disease but it has come down absolutely enormously. But by and large, the plant sugarcane, ratoon and plant crop looks extremely good across our sugar belt. Now that's point one, that means that you will have more feedstock available for your distilleries. Now coming towards grain because we will absorb all of our sugar cane-based feedstock, and then we have further space to process grain. FCI rice is now not available for conversion into ethanol. That has been banned. You can only get damaged food grains at a lower ethanol price. We have not been buying damaged food grain. And so that comparable does not really exist. As far as maize is concerned, yes, the last six months was a great learning experience. And from that learning experience, I will share some short-term and medium-term goals.

In the short-term, I mentioned that we are expecting both the upcoming Kharif and Rabi crops to be better than what had happened last year. As a result with higher quantities available and some imports of maize happening, which will probably go into animal feed. The availability of maize will increase. And therefore, you will see some softening of prices. How much of that softening is yet uncertain, because this market is evolving. It's a brand-new market. The trade in maize has never been as active as it has been and the number of people

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that are involved in all elements, right from farm to procurement to logistics to transportation, etc, it's just suddenly emerged that's one.

The second and most important thing, and you've seen this the Honourable Prime Minister also in his Independence Day speech, pointed towards two new seed varieties of maize and you'll see that these varieties are intended in the very medium term to enhance the overall productivity of maize across the country, which is approximately 3 metric tonnes by hectare in India, whereas global standards are between 7 - 9 metric tonnes depending on where you are. We can very easily jump to 6 metric tonnes, looking even at non-GMO seeds and the ones that have been released.

And so that, of course, massively enhances the availability of the grain for the

distillation sector. I think this combination of events is something that will add to the profitability. On one hand, we're looking at price enhancement

. On the other hand, we are looking at lowering your cost of production through better procurement prices of your feedstock as well as more systematic and sustained operations at your plants. If you operate it in a sustained manner for 330 -odd days, and you are optimal performance parameters as well.

The other very important thing for Triveni , if we move in our product mix. Last year, we were at 50 -50 between sugar and grain. And this year, we're now looking at migrating to about 60 -40.

Sudarshan Padmanabhan : Can you give some color on what is the quantum of price increase constantly, especially from the ethanol side or different grades given that there has been an increase in SAP , but not an increase in the ethanol prices for a long time ?

Tarun Sawhney: No, the increase in SAP was last year. With respect to this year, one is hopeful that there will be no change in SAP in the state of the Uttar Pradesh. But as far as ethanol pricings are concerned, I would not like to harbour a guess at this particular point. The associations are in active discussions with the Government . There have been innumerable representations that have been made, and we're hopeful for a positive outcome. But to hang my hat on a particular number, it's something that I would be unwilling at this point.

Sudarshan Padmanabhan : One final question before I join the queue is , we also have a very interesting and growing Alcohol business in IMIL and IMFL . The thought process is given last year was we are seeing a little bit of a challenge in the maize procurement. Is there a possibility at some point of time where we can switch completely to Alcohol , I mean to IMIL and IMFL and probably not necessarily participate in the non-cane based ethanol. Is that an option which is possible?

Tarun Sawhney: I'm afraid , your question I haven't fully understood , but I'll try and answer it. Now the quantum of total alcohol, whether it be ENA or ethanol that we produce is very, very substantial. Last quarter we produced almost 4 crore litres. So to convert that into alcohol, the demand doesn't exist , our IMIL and IMFL brands can't absorb that quantum at all.

We will definitely be producing ethanol as well. However, both the liquor businesses, the portable liquor businesses are growing. IMFL is very new. It's only 3-4 months old. IMIL is also reasonably new , but established and profitable within three years, which is exactly what we had thought, and it has led to massive encouragement of our other team in IMFL, that we know how to make excellent products.

And now it is about marketing that product gaining market share, getting those placements, investing in the business and getting repeat customers in orders. We've demonstrated that in IMIL and we're very encouraged about our IMFL business and the products we have at this particular point in time. But I think we will always be using sugarcane -based feed stocks, because you always have molasses in some form. We'll always use that for generation of alcohol in all probability ethanol. And of course, we have large distillation capacity, so we will also be using grain.

Moderator : Thank you. We'll take the next question from the line of Nitin Awasthi from InCred Research. Please go ahead.

Nitin Awasthi: Hello, my question was related to the liquor business that we have entered. One, because of the investments you're making in the liquor business, will we start reporting it separately , because I think that will be the right thing to do. When I say that, I mean the IMIL business and the IMFL business. Will it be categorically reported separately? And have we put out a plan of how much investment is going to go in this business , because one thing is producing these products, especially in the IMFL segment , and the other thing is marketing the product. And this over year, the marketing expenses, at I

east in the initial years will be substantial compared to production expenses, et c. Have we put out a plan on that line?

Tarun Sawhney: One good suggestion and one good question. And I'll be brutally honest. At this point, we are not separately reporting our potable liquor businesses vs. our overall alcohol business. However, once we have the size, of course, we will certainly take your views and report it independently. At this point, as I had mentioned, to the previous gentleman, these businesses are very new. The IMFL business is four months old, and the IMIL business is completing its third year. They're really in their inception of this particular point. It will be unfair on them for us to report them separately. But I can share with you from time-to-time on these calls, et c, the performance. And the performance is that in IMFL we're investing in placement, brand building, et c. And in IMIL, we are profitable and reasonably profitable. And we are expanding and investing further in that business for profitable growth. Last month, we were in the top four in Uttar Pradesh, competing against giants who've been in this business for a very long time. We're a very new industry entrant in country liquor, but we're very hopeful for positive changes in state policy with respect to pricing. And in terms of adding our capacity going forward, large additions to capacity for the IMIL business. That is with respect to point one.

The second question that you had with respect to the budgets of both businesses, no, we have not disclosed it. Of course, these are all board approved and board sanctioned numbers, but we have not disclosed this to the stock exchanges at this particular point in time for a variety of reasons. First and foremost, being that we are a new entrant, this is a stage of infancy for these businesses, and it is competitive data that it is not prudent actually to be able to disclose these numbers at this particular point in time.

Nitin Awasthi: Understood. The second question was there has been talk about a levy, similar to the levy on molasses, which is happening in Uttar Pradesh, happening on the green ethanol front. Could you comment on that? Is that already in works? Is that already happening? Or is it on the planning stage? Or is it an absurd idea which you not fructify?

Tarun Sawhney: I think it's a rumor. To our knowledge, there is no work on this on the ground at all.

Nitin Awasthi: Okay. Understood. Lastly, on the ethanol orders that you have received, could you give us the absolute number of what has been received by you out of the 837 crore litres, which was given out and in which route are they?

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Sameer Sinha : We have got orders of about ₹20 crore with us already. And that's about all. And the product mix, as we have mentioned, would be the 60-40 product mix going forward, and we also have the option of switching between feedstocks and from distilleries. So that's a good flexibility that we have.

Nitin Awasthi: Understood. Thank you.

Tarun Sawhney: Actually, I'll just add to that comment. The fact that we have a lot of fungible capacity to move between feedstocks at Triveni will give us, because this is the first time that the tender is allowed fungibility of supply, changing your feedstock in your tendered quantity. And that we will hopefully be able to maximize our profitability based on whatever the ethanol pricing numbers are.

Moderator : Thank you. The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: A couple of questions from my side. Can you throw some numbers with respect to our dependence upon 0238 variety for this season? How has it panned or how has it been doing lower than vis-a-vis last year?

Sameer Sinha : Last year, we were around 75%, and we have come to around 50% this year, and we expect a substantial

reduction going forward next year.

Shailesh Kanani: Okay. But still, it is one of the significant variety for our crop and how confident in light of that data, how confident we are the yields turnaround will be better, given that it is affected by red rot?

Sameer Sinha: There are three or four answers to that. One is that what we have observed is that wherever there was water logging last year led to a huge increase of red rot. And we have substituted the seeds in those factories in West UP, many of our factories are on upland area, there has been no water logging.

Third is we have a very intensive surveillance going on for early detection of disease and its curative actions to be taken over there. These are the three important things. And in the other areas where this is existing in, let's say, 50-plus proportions, we haven't seen any great incidences so far. And these all are in West UP, very close to Delhi, on the western portion of West UP.

Shailesh Kanani: It's suffice to say that we are confident of at least a single-digit growth in terms of crushing numbers for this season?

Tarun Sawhney: We are very confident of better yields and recoveries. I would like to say that the experience, this is the comment that the first speaker made about the rear-view mirror, the real time to be able to give you... Yes, we're very confident right now that our crush and recoveries will be better this year. However, to put a very fine number, I would like to give you a more accurate number when we speak next in January or early February. At that particular point, we will have finished the ratoon crop, and we will have started on the plant crop. We will add the vast majority of data with us halfway through the season. And that is the appropriate time to be able to give you exactly better things. And we will also have seen four weeks of weather in January, which is absolutely vital for future recoveries, the recoveries in February and March and April. But as of now, yes, the crop is looking much better. The yields are looking much better, much healthier. The quantum of disease is massively, massively reduced from last year. It is only really present in one factory in small areas. We have a little bit of water logging in another factory, but all the other plants are doing very, very well.

I'll give you some estimates. I mean we're looking at projected yields starting off from East Uttar Pradesh, factory at Ramkola of about 550 quintals per hectare
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much improved from the previous year. Huge difference from the previous year. At Khatauli, while looking at a shade of about, say, 770 quintals per hectare, which is very, very encouraging as well. And the ratoon yields for Shamli, which is the factory that we acquired Sir Shadi Lal Enterprises is between 825 and 850. So probably the highest in Uttar Pradesh, in fact, definitely the highest in Uttar Pradesh. It's looking good at the start business.

Shailesh Kanani: Fair enough, that's very helpful. Sir, a couple of questions both on my side. Do we need to revise our ethanol guidance, which we had shared earlier of around excess of 21 crore litres for FY 25 as we are kind of nearly completed our old stock or we stick to our guidance of 21 crore litres?

Tarun Sawhney: Will be broadly in that range. I don't think we're going to be reducing the guidance as of yet. It's within the parameters of plus/minus 5%.

Shailesh Kanani: Just last question, to your mind, what is delaying the process of ethanol price revision when we have that linked to the cost of production or to the price of that as established in the policy document. To your mind, what is creating this delay in revision of ethanol prices? and also similarly, what is kind of obstacle for Government to release the FCI rice as we keep on reading in media reports that the crop is bumper with them and FCI is already flooded with

surplus of the stock

vis-a-vis the normal stock what they have. To your mind, what is the obstacle over there? and any timeline, if you can share these two things, the development, positive developments coming in? That will be great, sir.

Tarun Sawhney: I'm afraid I don't have good news or an answer, good answer for you as far as the timing of the prices. We've actually been eagerly anticipating it. We've been

following what the associations have been doing with respect to price. Very difficult to ascertain when that price will happen. I know that we had Diwali festival period. The hope is that we will see this sooner rather than later. With respect to FCI rice, yes, of course, I'm reading the same news articles that you are reading. However, this is a policy decision and shift by the Government of India.

I don't know, if the availability ... It's a great shame because with rice, as I mentioned earlier, the profitability levels, especially our fixed price procurement was outstanding. It was very good for the distillery business because it became a tolling business. You bought at a fixed price, you convert it and you sold at a fixed price as well. It's an outstanding business model for a large conversion facility. But vs. maize where one hand is not tied than in the back as you're procuring in an open market, you're then at the mercy of a huge load of other factors. However, will the availability of rice suddenly change for the ethanol industry. Again, a million-dollar question. I would not like to comment on that really.

Moderator: Thank you. The next question is from the line of Vikram Vilas Suryavanshi from PhillipCapital (India) Private Limited. Please go ahead.

Vikram Vilas Suryavanshi: Good afternoon. I think some of the questions already answered. But just giving an uncertainty on maize side and grade, how is our plan for asset expansion from 860 to 1,100 KLPD?

Tarun Sawhney: Right. As you will recollect, and I said this for the last few quarters, we were waiting for a revision of prices to be able to make that decision. And if the revision was adequate so that we were ensured our rate of return, we would go ahead and take the project of course and go ahead and execute it. As you know, the environmental provisions and other provisions have already been secured by Triveni for that expansion of that new plant. And so the decision to set up that new facility is predicated only on returns.

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And we've just been discussing over the last 45 minutes or so, we don't know when those price increases really happened. Last year, there was no price increase. And therefore, we kept our finger on the pause button. As of now, our finger is still on the pause button because I don't know what those price increases are and the commensurate rate of return for that plant. At this particular point in time, we are keeping that plant on pause, the expansion to 1,110 KLPD on pause. However, we're reviewing it actively. We're crunching our numbers actively. It is purely a financial decision.

Vikram Vilas Suryavanshi: Okay. But in that decision, will the viability of maize as one single raw material sufficient decision to take that decision or you will wait for actions, including all other FCI rice, damaged food grain to take that decision?

Tarun Sawhney: I think it really depends on what the increase and what the mechanism is. In the last increase of maize, that entire increase was absorbed by the trade, the prices went up from ₹22 - ₹23 a kilo to ₹26 a kilo overnight, completely eradicating all the margin that was available. The Government is fully aware that at this is what happened. I don't know what they will come up with the mechanisms, etc, ensuring continued profitability because we're not the only converters of maize into ethanol, there's huge quantum I mentioned that 57% of ethanol. The vast majority of that 57%, 340 crore litre

came from maize. It's impacting a very large number of people across the nation.

And so as that profitability matrix changes yes, we will see it. If it is to be a grain-based plant only, then we will only look at that grain pricing. If it is multi-feed, then we will look at multi-feed, but those decisions depend on the price increase by the Government of India, and then we will be in a better position to take that decision. But we're ready to take that decision instantly, that I will leave with you.

Vikram Vilas Suryavanshi: Understood. And just last question on cane side. Obviously, you said that normal winter and probably a recovery happening. But now B-heavy and juice is

allowed, what would be typical mix from ethanol we will produce once a juice and B-heavy from sugar side? Or in coming season?

Tarun Sawhney: As far as the overall tender is concerned, I think that data is all publicly available. As far as Triveni is concerned, I've already shared during the course of this call that we expect the split to change from 50:50, which is sugar and grain to 60:40 sugar and grain.

Vikram Vilas Suryavanshi: No, my question was within sugar, what would be mix of B-heavy and juice?

Tarun Sawhney: I think it's too early for us to tell right now. As we had mentioned during the call, all of this is fungible. We can switch between feedstocks and this tender allows us to switch between feedstocks. For us to share with you the exact portions of which particular feedstock in sugar will be misleading, and I don't want to do that at this point.

Moderator: The next question is from the line Souresh Pal from KRSP Capital Limited. Please go ahead.

Souresh Pal : My question is regarding our recent acquisition of Sir Shadi Lal. What are our plans regarding Sir Shadi Lal? And when do we think that this company can post a PAT positive number or anything regarding the capex or the land bank that is available with Sir Shadi Lal? That's my question.

Tarun Sawhney: Okay. Let me talk, yes, of course, on the 20th of June is when we have taken over management control of Sir Shadi Lal Enterprises. The factory will start its commercial, will start its operations at some point next week very much in line
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with our predictions, etc. We've had a good amount of work and repair and maintenance that has happened at the Sugar facility at Sir Shadi Lal.

With respect to any disposal of assets of the Company, there has been no discussion of that at all amongst the Board, the new Board of Sir Shadi Lal and this is the best of my knowledge, it is a separate listed company as you're very well aware. And as a 60-plus percent shareholder of Sir Shadi Lal Enterprises and a group company of Triveni Engineering, we're very hopeful that we will turn this business around very, very quickly.

The last quarter and the loss that is reflected in our results of T EIL for the quarter under review. This is a quarter where there's no production. There's absolutely no production, and there was very little sugar that was left with Sir Shadi Lal. All of what was left was sold and the funds were utilised and therefore, that resulted in a loss at that level. But we're very hopeful that this will turn around very, very quickly. This season is expected to be a good turnaround season for that business.

Souresh Pal : What you are saying that this quarter, I mean, quarter two, there was no production operation that happened in this company, and you are going to start operation of production from next week. Is that right?

Tarun Sawhney: That's right.

Moderator: Thank you. The next question is from the line of Aditya Shah from Mesh Stock Brokers Private Limited. Please go ahead.

Aditya Shah: My question is regarding Triveni subsidiary, Sir Shadi Lal Enterprises. My question, in particular, is about the distillery business. What are you looking at for margin

improvement? And do you all have any plans for scaling capacity or venturing into, let's say, IMIL or IMFL in the future?

Tarun Sawhney: I think we're exploring it. The distillery at the Sir Shadi Lal Enterprises was in terrible conditions when we took over management control requiring a reasonable amount of capex in order to be able to let it operate at the efficiencies that the Triveni distilleries operate at. As a result, we're still examining this business in terms of when we start the operations of this business. But it will

require a certain amount of capex for it to be able to operate efficiently.

Aditya Shah: Okay, all right. Thank you.

Moderator: Thank you. The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Just one last listing question from my side. Are you contemplating any further capex in any other business lines like CBG or anything on that if you can throw some light and that would be everything from my side.

Tarun Sawhney: Wonderful. So the only capex that has been approved by the Board in its board meeting yesterday was ₹20 -odd crore for the IMIL business. Besides that, we are not contemplating any further capex at this particular point in time. You mentioned CBG, I will then take a lead from that and share with you that Press Mud prices, loose Press Mud prices have gone through the roof. In West Uttar Pradesh, they are well above ₹50 per quintal. It's a massive increase from last year on a by-product, almost maybe a 100% increase in certain plants.

The viability then if that is being used only for CBG is a little bit under question in my books because you need to be able to balance the feedstock price with your end product price. At this point, I'm just sharing some data points with you.
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But at this particular point, we have not contemplated any additional capex. During my opening remarks, I had said that as a firm, we will continue to improve debottleneck and continue to improve operations, etc.

We will see during the course of this season, the capex that we have done during the off season, we will see the returns because every single capex had an associated return and the performance of that we will know better by January, once the season is at least a few months underway. And then we'll be in a better position to see if we do some more tinkering at the sugar plants in the form of limited but small capex in the off season. As of now, there is no plan.

Shailesh Kanani: Sir, just a small follow-up and clarity, more on the price side, what was the hike, what was the price of press mud you said?

Tarun Sawhney: Over ₹50 per quintal.

Shailesh Kanani: Okay. And where is this demand coming for Press Mud for this 100% increase. Any idea on that?

Tarun Sawhney: We're selling to traders. We're very happy wherever they're taking it.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Tarun Sawhney: Ladies and gentlemen, thank you very much for joining us for the Q2 FY 25 results call for Triveni Engineering & Industries Limited. The last quarter and half year has been more challenging. But the future looks extremely promising across all the businesses. I'm very hopeful that the Sugar season will be substantially better vs. last year. The start has been very good. The signs are extremely good. As a result, we will have more feedstock, better quality feedstock, etc for feeding into the Distillery business, which will do well. Within that, both the branded liquor businesses of country liquor (IMIL) and IMFL continue to do well, and we are hopeful that they will spur very positive financial performance for the Company. On the Engineering side, both Power Transmission as well

as Water are looking extremely positive at this particular point, and I'm looking forward to our next conversation in three months, but I hope to come back with even more positive news for all the businesses. Thank you very much, and have a good day.

Disclaimer: This transcript is the output of transcribing from an audio recording and has been edited for clarity, consistency with published information. Although efforts have been made to ensure a high level of accuracy, in some cases it may be incomplete or inaccurate due to inaudible passages or transcription errors. The Company takes no responsibility for such inaccuracies or errors. It is compiled as an aid to understanding the proceedings of the event but should not be treated as an authoritative record.

Call: Feb 2025

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Sub: Transcript of Analyst/ Investor Conference Call held on 5th February, 2025

Dear Sirs,

Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed transcript of the Analyst/ Investor Conference Call held on 5th February, 2025 post announcement of unaudited financial results of the Company for the Q3 & 9M FY25 ended on December 31, 2024. The transcript is also available on the website of the Company at: www.trivenigroup.com

You are requested to kindly take the same in your record.

Thanking you,

Yours faithfully,

For Triveni Engineering & Industries Ltd.

GEET A BHALLA

Group Vice President &

Company Secretary

M.No.A9475

Encl: As above

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Triveni Engineering & Industries Limited

Q3 & 9M FY 25 Earnings Conference Call Transcript

February 05, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Triveni Engineering & Industries Limited Q 3 and 9M FY 25 Earnings Conference Call . I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you, sir.

Rishab Barar: Thank you. Good day, everyone, and a warm welcome to all of you participating in the Triveni Engineering & Industries Q 3 and 9M FY 25 Earnings Conference Call. We have with us today, Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO of Sugar Business Group; as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward-looking in nature, and a statement of this effect has been included in the invite , which was shared with everyone earlier. I would also like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management, following an interactive question - and-answer session.

May I now hand it over to Mr. Tarun Sawhney. Over to you .

Tarun Sawhney: Thank you , Rishab. Good afternoon, ladies and gentlemen, and welcome to the Q3 & 9M FY 25 earnings conference call for Triveni Engineering &

Industries Limited.

The consolidated financial numbers for the nine-month period, the revenues from operations stood at ₹4,060 crore, an increase of 3.6%, and the PAT stood at ₹51.1 crore. Looking at the key highlights, the overall profitability of the Company during the nine-months ended December 31, 2024 was subdued. And this was mainly due to the lower margins in the Sugar and Alcohol businesses.

In our Sugar business, while sugar prices in Q3 FY 25 were subdued, they have firmed up substantially recently based on lower estimates of net production of approximately 27 million tonnes of sugar in Sugar Season (SS) 2024 -25 and timely announcement of exports. A trend of initial lower recoveries in the State of Uttar Pradesh has been observed for the SS 2024 -25, but the crop estimates in Western Uttar Pradesh remain unchanged from our previous call.

There have been several positive policy measures that have been announced. Firstly, and in no order of sequencing, the Government has announced an export of 1 million tonne of sugar for SS 2024 -25. Triveni, including our

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subsidiary, has received an allocation just shy of 32,000 tonnes for sugar exports. The Department of Food and Public Distribution (DFPD) has issued directions for sale of rice in the open market through the open market sales scheme for 2024 -25, where the reserve price of rice sold to distilleries for ethanol production has been fixed at ₹2,250 per quintal, therefore, improving the availability of all feedstocks at slightly better prices.

The Cabinet Committee of Economic Affairs (CCEA) has approved the revision of ethanol procurement price for Oil Marketing Companies (OMCs) derived from C-heavy molasses for the Ethanol Supply Year (ESY) of 2024 -25 from ₹56.28 to ₹57.97 per litre.

Turning to our Engineering businesses. The order booking for our Power Transmission and Water business has registered a strong growth in Q3 FY 25 and 9M FY 25. The combined closing order book stands at ₹2,356 crore for the Engineering businesses, an increase of a handsome 52.4% on a year-on-year basis, signifying an all-time high for the Company.

The Board meeting of the Directors concluded yesterday had an important announcement of an incremental capex of ₹60 crore for the enhancement of capacity in the Power Transmission business. This will take the gears capacity to

₹700 crore by September 2026. The existing capacity, just for abundant clarification as of today is approximately ₹400-odd crore, and the project for enhancement of the gears capacity is for ₹500 crore, and it's underway and should be completed in the next few months.

I also wanted to provide an update on the Scheme, as you're all aware, this is in conjunction with value unlocking that the Board of Directors has felt very important. And this is also the first investor call following our announcement on the 10th of December 2024, where the Board approved this Composite Scheme of Arrangement proposing, firstly, an amalgamation of Sir Shadi Lal Enterprises (SSEL) with Triveni Engineering & Industries Limited (TEIL). SSEL, Sir Shadi Lal is a subsidiary of Triveni Engineering, where Triveni owns ~61.77% stake. And secondly, the transfer and vesting of the Power Transmission Business, PTB undertaking of Triveni Engineering to Triveni Power Transmission Limited (TPTL). Triveni Power Transmission Limited is a wholly owned subsidiary of the TEIL presently.

Looking at the balance sheet. On a consolidated basis, the net debt after considering surplus funds is ₹960 crore as on December 31, 2024. And it includes ₹126 crore pertaining to the subsidiary, Sir Shadi Lal. The overall cost of funds stands at 5.6% during Q3 FY 25, which is marginally higher than 5.3% in the corresponding previous period.

I would now like to turn for a segment-wise business review. And starting firstly with the Sugar business. In the ongoing sugar season, 2024-25, the Company has crushed 3.4 million tonnes of sugarcane until December 31, registering a growth of approximately 3%, which includes the crush for Sir Shadi Lal Enterprises as well. As of yesterday, the crush of the Company is, by and large, the same as the crush as it was for the last SS, which is very, very encouraging. And the future actually looks quite promising as far as the overall crush of the Company. And I'll just spend a minute on that.

In our last conversation, we've spoken about our estimates being slightly higher for this year. I'm happy to say that on a consolidated basis, we expect our total sugar crush to be higher by approximately 15%. Of course, this includes the acquisition of Sir Shadi Lal. But even on a stand-alone basis, it's a very healthy growth in terms of the overall cane crush for the Company. And we hope to improve our performance as we proceed through the course of this

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season. It's important to highlight that SS 2024-25 had a delayed start relative to SS 2023-24 for the Company. And therefore, the crush and date numbers are not quite the same.

The initial recovery trends for the ongoing SS are on the lower side due to inclement weather, the inherent degeneration of the 0238 variety of sugarcane. However, we are intensifying our efforts to reduce the proportion of sugarcane to variety 0238 from the 50-55% to approximately 30-35% for the next season.

Moderator: Ladies and gentlemen, we have lost the line of the management. Please be connected while I rejoin the management. Ladies and gentlemen, we have the management connected. Sir, please proceed.

Tarun Sawhney: My apologies ladies and gentlemen for that interruption, the call suddenly dropped. I'm going to back track a couple of minutes and start off with the crush estimate and to give us the repetition if any. We anticipate a 15% increase in cane crush this year on a consolidated basis. However, even on a stand-alone basis, as I mentioned, I stand by what we had said in the previous quarter that we do expect an increase in crush.

One must remember that SS 2024-25 had a delayed start when compared to the previous sugar season for the Company. And therefore, the crush and date numbers are not entirely comparable. The initial recovery trends for this sugar season are on the

lower side due to inclement weather and the degeneration of the 0238 variety. One must also remember that when you start to see a new crush, the ratoon crop, which is the plant crop of the previous season, which was very seriously impacted in a few factories by disease. However, we have intensified our efforts and plan to reduce the quantum of 0238 from about 50-55% this year to approximately 30-35% in the next year.

I would also like to point out that we have a negative 0.6% difference in recovery as of today. However, that difference is narrowing with the arrival of healthy plant cane across all the sugar factories. And we certainly intend on catching up as much as possible. I don't think you a complete catch-up would be possible. However, there will be positive strides made to catch up the difference that exists today.

The sugar revenues for the quarter declined by 9.5% due to lower sugar sales volumes and lower realization price in Q3 FY 25. The segment margins were lower due to lower contribution margins as subdued sugar realisations could not fully offset the higher cost of sugar produced in the preceding season of 2023-24. Lower initial recoveries in the ongoing season of 2024-25 resulted in an inventory write-down in view of the higher production cost. It is expected to moderate, of course, in the remaining period of the season. A higher charge of off-season expense in the 9M FY 25 by ₹20.5 crore, and this was due to the early closure in the previous season.

The results of the subsidiaries, Sir Shadi Lal were impacted due to lower production in SS 2023-24 and extensive repairs that were carried out by SS EL

during the last sugar of f season. However, I'm delighted to inform everybody that the plant is running, the sugar factory is running at full capacity, including in the quarter under review.

The sugar inventory as of the 31st of December 2024 was 29.46 lakh quintals valued at ₹38.8 per kilo. The current realisation price ex -factory for refined sugar for Triveni is approximately ₹41.8 per kilo. And for sulphitation sugar, it's approximately ₹41 per kilo.

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I would like to just point out the change that has happened and I talked about some of the Government measures that have been very important, including a lowering of the estimated sugar in the country. So, if you looked at the month of December, our blended realisation, was just a shade above ₹38 per kilo. For January, our blended realisation price was just a shade under ₹40 per kilo. And today, we are looking already at about 0.50 paisa higher than those levels on a blended basis. So, a very nice trend in sugar prices.

And given the fact that the quantum of sugar being produced this year coupled with the sugar exports will lead to a lower closing stock of inventory. And therefore, I think now we've made a step jump in terms of our average sugar price and the expectation is certainly higher and beat some of our estimates as well, which is very, very positive.

Looking at the more detailed industry scenario, I talked about the 1 million tonnes of exports, and that equates to ~31,880 tonnes of sugar export for Triveni Engineering as a whole. And with the balance sheet improving because of less net sugar than the country, we anticipate a closing stock just about 6 million metric tonnes by 30th of September of this calendar year. This is after considering a diversion of 4 million metric tonnes into ethanol. And I think that, of course will lend itself quite well to maintaining sugar prices. And it's also sufficient sugar. I should point out that any number above 5.5 -odd million metric tonnes for us, does not cause any cause of concern. So, we have a good million metric tonnes in hand within the country before any alarm bells can sound.

On a global basis, the international markets have been reasonably volatile. And there is a deficit that is

assumed for the SS 2024-25. However, the deficit has decreased by about 0.5 million metric tonnes since our last conversation. The lower production estimates in key export countries is which includes Brazil and Thailand.

International sugar prices recently did a low of \$0.177 per lb (pound) for raw sugar and London #5 prices dropped to \$466 per metric tonne on the 21st of January. However, they have tightened, they have increased since then. The expectation of a tight global supply has led to this rally, which went up to almost \$520 per metric tonne for whites.

Turning to the Alcohol business, the revenues grew by 4.4% in Q3 FY 25 and 7.9% in the nine-month period. However, this is mainly due to improved realisations driven by higher proportion of grain operations. However, the profitability of the Alcohol business was lower. A lower sales volume on the high-margin ethanol produced from molasses in Q3. And due to the shortage of molasses-based feedstocks, resulting from a policy decision of GOI (Government of India), restricting sugar to B-heavy molasses in the previous sugar year are the primary causes for this event.

The alcohol from molasses-based feedstocks formed approximately 48% for Q3 FY 25 and approximately 49% (of sales) for 9M FY 25. Apart from lower contribution, it has also led to a non-recovery of some fixed expenses during this period as distilleries remained closed due to shortage of feed stocks.

The high-margin FCI Rice, as you would remember, was substituted by maize in July 2023, consequent to a policy decision. And therefore, it is substituted with a higher proportion of low-margin maize operations in the overall grain

and therefore impacting the overall ethanol operations. The consolidated loss of ₹2.8 crore for the quarter pertains to the distillery of our subsidiary, Sir Shadi Lal. For ESY 2024-25, the OMCs have executed contracts for approximately 930 crore litres compared to the supply quantities of 672 crore litres in the previous ethanol supply year, representing a massive 38% year-on-year increase.

The proportion of ethanol from grain-based feedstocks in the current tender is 64% of which maize is 52%, which is substantial, and points towards an interesting and changing dynamic in the Ethanol Blended Petrol (EBP) programme as we see it. The achieved blending percentage for 2024-25 as of the 31st of December stood at 16.4%, while the blending percentage for the month of December was much higher, it was 18.2%. And I think there are parts of the country where we will be touching 20% blending in this supply year. Uttar Pradesh could be a clear example of such a state.

Turning to our Engineering businesses, I will very quickly cover both the Power Transmission business, the revenue growth in Q3 was a little bit lower than expected, at about 3.3%. And this was due to two reasons. I've spoken and written about the shifting of certain large orders include this Q4, but also because we had one of our important profile grinding machines, which was under repair. We have three very sophisticated profile grinding machines. And one of them, the oldest one was under repair and this was a planned repair. And as a result, not to compromise on quality, we did push out some of the deliveries. So, everything is pretty much on track.

The revenue growth for 9M FY 25 was higher, of course, at 13%. During Q3 FY 25, the Defence business received a second order for 42 propulsion gearboxes of Triveni indigenous technology for Fast Patrol Vessel from Mazagon Dock Shipbuilders Ltd. (MDL). The order booking grew at 23% during the quarter, which perhaps a little bit of slowdown in the domestic market, but a huge increase as far as export markets are concerned, and a lot of activity happening in export markets.

The order book for 9M FY 25 grew at 32.9%, almost 33% to ₹320 crore, driven by

both product and aftermarket segments. But overall, the business has witnessed strong growth in exports driven by increased engagement with customers and new qualifications orders that we've received across product lines. The outstanding order book reached an all-time high of ₹377 crore on the 31st of December, which included long duration orders of about ₹136.6 crore.

The Water business revenues declined due to a delay in receipt of new orders and some slow execution in certain projects. However, the profitability of the Water business improved in Q3 and 9M FY 25 by 67% and 25%, respectively, due to the reversal of certain provisions which has been made in earlier years on receipt of capable awards.

The order booking grew substantially both in Q3 and 9M FY 25 over the previous corresponding period. And as of the 31st of December 2024, the order booking for the Water business stood at a handsome ₹1,979 crore, which included ₹1,122.6 crore towards O&M contracts, which are executed over a slightly longer period of time.

If I just spend briefly, just a few minutes on the outlook for our various businesses. As far as sugar is concerned, the industry and we are keenly awaiting the revision of the Minimum Selling Price (MSP), although the MSP conversation was for an increase in the ₹30 brackets. And frankly speaking, if we're selling sugar at maybe ₹42 for refined sugar today. And the future for this year looks reasonably buoyant, but we don't see any declines to these prices going forward as we get into the larger consumption months. So, an increase in MSP while it's welcome. I think the industry would like to see a higher increase in MSP to be considered by the Central Government. This is

particularly because over the last two years and since 2019, both Fair and Remunerative Price (FRP) and State Advised Price (SAP) has risen during this period.

While we welcome the price increase for ethanol derived from C-heavy molasses, there is much more that needs to be done in terms of ethanol price from potentially B-heavy as well as from grain operations. And in order to make grain operations viable for today and for the future. And we are hopeful that's the Ministry of Petroleum and Natural Gas (MOP&NG) and Central Government will look upon this and suitable revisions, especially for ethanol derived from grain.

Our Power Transmission business outlook continues unabated, and this is due to major investments in infrastructure. Domestically, we are seeing investments in Steel, Cement, Oil and Gas, other key process industries, which are likely to see growth for us as well.

In addition to the overall economic growth, there has been market share gains and venturing its new product applications. And this will be a key driver for growth for the future for the B2B business. The international markets, as I mentioned earlier, continue to offer high potential. And we are just scratching the surface as far as the aftermarket business is concerned for global markets. And so that will be an area of high profitability and substantial growth for the future.

The Government of India's continued thrust on Aatmanirbhar Bharat and Make in India, opens up a plethora of opportunities for indigenization and we're certainly going to be a beneficiary not just for the gearboxes, but also for different equipment where the Company has expanded sufficiently. The business expects increased order booking from key segments that we're in, which include gas turbines, propulsion gearboxes, shafting applications, special application pumps, etc. where we have received complete qualifications and there are Request for Proposals (RFPs) that have been already placed.

The setting up of the dedicated multi-modal facility for our defence products will also help the business in gaining key confidence with customers and expand our overall service offering.

And lastly, as far as our Water business is concerned, there are new opportunities emerging in recycle and reuse and zero liquid discharge businesses on an EPC as well as on HAM model basis. And whatever industries are available as off-takers for buying treated sewage. This model is expected to emerge significantly and prominently in the thermal power sector.

The Company is also evaluating various international opportunities and intends to participate in several tenders in the water and wastewater treatment sector, mostly whenever we possess our pre-qualifications and preferably on our own. And of course, this only when funding is assured through multilateral and reputed agencies.

Thank you very much, ladies and gentlemen. I'd like to now open the floor for questions.

Moderator: Thank you. The first question comes from the line of Sudarshan Padmanabhan from JM Financial. Please go ahead.

Sudarshan Padmanabhan: My question is to understand a little bit more on the ethanol spreads. I mean, the distillery business has seen a fair amount of profitability getting impacted.

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Now that the FCI procurement of rice has been announced, and they have also announced the C-heavy ethanol price. Two things. One is, do you think that the prices would be good enough for you to see a better spread? And number two if you can give some colour on the ethanol volumes going forward? I mean in terms of whether the 20% blending is going to happen, how

it translates into better volume.

And also, in terms of our strategy, we know how we are planning to position ourselves in terms of whether we are going to use more of A, B or C or since we are multimodal manufacturing, whether it makes more sense to move out of just plain manufacturing?

Tarun Sawhney : Okay. I think you've asked one question in about six parts. So, I'm going to try and offer you the best possible answer.

Now first and foremost, I think the past is not really a reflection of what one anticipates for the future. So yes, we've seen an increase in ethanol manufacturing on C-heavy molasses, the Company almost all of our facilities are running on C-heavy as of today, save one. And so we're going to see, of course expanded margins for ethanol manufacture from C-heavy, not just because it's C-heavy, but also because there's been an increase in price. So, there's a benefit on both fronts.

Next, as far as maize is concerned, yes, there is a quantity of maize that will be used by Triveni, but also to supply by others. I anticipate that with the next crop a few months away, and that crop anticipated to be a rather large crop, we will see better and much more attractive prices for maize as well. That's one.

The second thing is, of course, the availability of FCI rice at a slightly higher rate will also put pressure on maize pricing. So, I think there's a dual impact as far as maize is concerned. Now the ethanol tender, as you're well aware, for ethanol manufactured from FCI rice was closed today. We, of course, also participated. So, you're going to see some substitution happening with ethanol made from FCI rice at a slightly higher price point from where we were previously.

At that price point, you are making more margin than you are with grain with maize at this particular point. So, I think from our perspective, certainly, we will see a broadening of margins as we go forward, okay? It's not like it can't be instantly today, because we have some grain that is still coming in that has been procured. But going forward, I certainly think over the next few quarters, you will see an expansion in margins.

Now turning to the industry perspective, because you asked a very important question that the industry anticipated a much higher increase after two years in ethanol from the sugar stream, both for juice for B-heavy and for C molasses. As

we also anticipated an increase in ethanol from grain. Of which only one of these sub items has happened, which is the increase of C-heavy. And that is negative as far as the industry is concerned.

Yes, I am a little concerned with the impact that it will have on this year's ethanol blending programme. The industry is very nimble. A lot of capacity is already in place. And so, with minor rectifications, the Government can then provide further impetus to the industry. But given where we are today, I fear that some of the standalone manufacturers on grain will be facing a very, very acute pinch given where prices are and the increase in other costs for manufacturing of ethanol. I hope that answers your question.

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Sudarshan Padmanabhan: Yes. On the sugar outlook, after I think the Government announced the exports, you've seen a spike in the prices. And in the context of two things. One is with the exports happening and also the demand and supply being more favourable to us, the prices have increased.

And second is in the context of export itself getting better spreads, how do you see the coming season, as far as sugar is concerned? Also taking into concern that last year we had the rate drop. And when do you expect the MSP to come to because SAP has happened, but MSP is not being touched by the Government yet.

Suresh Taneja: Okay. Another excellent question in six or seven parts. So as far as MSP is concerned, I think that your guess is as good as mine. We at the industry and at Triveni have been writing in letters. I know that UPSMA, ISMA, all agencies in the sugar sector have been rising to D FPD to the Central Government requesting for an increase in MSP. I was under the impression that during the month of January except, this would be taken up, however, as we all know, we're in the middle of February and then with the start of February, and it hasn't happened thus far.

I was mentioning this in my opening comments. Even if an increase in MSP happens, while it is very, very welcome, unless it's a substantial increase in MSP the impact on the market is going to be only momentary and the prices will be impacted by other events and not just because of MSP. It does offer a lot of confidence. But I think the numbers that were being considered of ₹36, ₹37, ₹37.5 something like that was a very maximum. So, it is still much lower than what the prevailing prices are at this given point in time.

Now turning to the question of Triveni's sugar production, which you talked about. I had mentioned that despite having a late start of the sugar season, as far as crush is concerned, as of yesterday, we're on par with our crush with the previous year. In addition, the overall crush of the Company is going to be higher by 15% on a consolidated basis and even on a standalone basis, which is quite substantial year-on-year growth and very much in line with what I had mentioned earlier. So, we're quite on track as far as that is concerned.

However, the blip is recovery. So, recovery started off very poor, I have to say. However, it has caught up quite substantially, we can see the gap year-on-year at this point in time is about 0.6% and lowering. Will we be able to cover up completely, no we will not. But as healthy plant cane comes in at all the eight factories, the catch-up will certainly happen from this gap. So those are very, very positive trends.

Now where does that leave us? It leaves us with more sugar as a company. For the nation as a whole, we expect about 27 million metric tonnes of production mix. We expect the closing stock to be just above 6 million metric tonnes, which is also absolutely fine as far as the nation is concerned. And all of that coupled with the 1 million tonnes of exports will lead to attractive pricing. It already has from the month of December; our average price is up by ₹2.5 per kilo. That's a

pretty reasonable and a welcome jump. It is a long due jump also; I have to tell you.

My personal view is that I think we've moved to a different plateau. So, I don't see prices coming down very substantially. And I think we're at a new trajectory after two years. Last time we had this jump was about two years ago, we're at the new trajectory also because of the balance sheet position across the country. And so, as we get into the summer months of high consumption, I think these prices will be, of course, range bound as they

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always are, but we've moved to a higher range level because of the market fundamentals. Right, I hope that answers your question.

Moderator: Thank you. The next question comes from the line of Sanjay Manyal from DAM Capital. Please go ahead.

Sanjay Manyal: Hi, just a few questions on recovery part. You said it's almost 60 basis points down on gross recoveries. What is the estimate of what it will settle at, after the crushing season and the cost of production, which is at ₹38.8, and I'm assuming here that the entire inventory is of the current season only, by what rupee it can come down, whether it will settle at ₹36 or ₹37 means, what is a broader estimate?

Tarun Sawhney : Sanjay, we don't give advanced estimates, and we're already in the first week of February, we're halfway through the season. There's a substantial part of the season that is still underway. Plant cane has now started coming in full

force across all the factories, and it looks very, very encouraging.

Now what I can share with you is a little bit of the past. So, the gap that is 0.6% today or 60 basis points as you put it, was 82 basis points about 45 days ago. So that gap has narrowed quite substantially. How much it will narrow in the future? I wouldn't want to guess. The trends look like the gap will narrow more. I don't think it will go to zero, as I had mentioned during the course of this call. The impact on cost of production, of course, will be substantial. Cost of production of sugar that is being produced and will be produced will be at much lower rates for a variety of reasons, including the fact that recovery is up.

Suresh Taneja: Historically, if you look at the trend, you find that the recovery in Q4 onwards is much better than Q3. Obviously, it will help in terms of moderating the cost of production.

Sanjay Manyal: Right. Great. And then why this recovery is down? Is it still an impact of red rot or can we say the newer variety which we have introduced, those are not fetching as high a recovery as CO02 38 used to do or maybe any other reason?

Tarun Sawhney: Sanjay, the first part of the season is crushing the ratoon crop. The ratoon crop is planted in the previous year. And last year, for the first time, we had a huge impact of red rot at select factories. So, the plant cane was converted into ratoon cane, not all of it, some of it was uprooted, but a large portion of unhealthy crop came in this ratoon.

So, we started this season with ratoon from the previous year. And therefore, that it was kind of expected that it would be better. One didn't have estimates of what the recovery would be. So, it is a consequence of that. As far as new varieties are concerned, are they as miraculous as 0238. I would say not exactly 100%, but they are very good replacements of 0238 offering stability, offering good health to farmers. At no point will I say that any of the new varieties that we have tried are unsuccessful thus far.

Sanjay Manyal: Okay. And my last question is on the Water business. You mentioned that there is a slow execution. So, if you can just elaborate on that, which particular order is this where the execution is slow? And is there any working capital blocked also over there?

Tarun Sawhney: Typically, I don't give a single order, but since you've asked the question, I will say that we move

a little bit slowly in Bangladesh. As you know that the country has had a little bit of tension there. There is no money blocked. I have to say, because we get paid right up front. So, there's no financial impact, but Page 10 of 17 execution is a little bit slow because of the various conditions in that country. The rest of the business is coming along very nicely. There's good order intake, and the future looks very optimistic.

Moderator: Thank you. The next question comes from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Good afternoon, everyone. And thanks for the opportunity. Just wanted to understand on our stand-alone Triveni crushing numbers. Correct me if I am wrong, last season, we had around decline of around 11 -odd percent from 9.3 to around 8.3 million tonnes. So, this year, we would be recouping that loss ground. I know you have given a guidance on the consol basis. But on a standalone, will we recoup that loss grown of a round 11%, what we had last time?

Tarun Sawhney: No, no, we won't be able to recoup the entire reduction, but we will certainly recoup a portion of that. I sort of given a guidance with a positive bias, I might add, as of now. But a lot can change between now and then. So, we won't gain that entire 11% back, but we'll gain a portion of it back.

Shailesh Kanani: Fair enough. And you also said that there is some delay in start season. Can

you elaborate what are the reasons? What are the reasons we had this delayed start? I understand Maharashtra had state elections and there are also delays. Any particular reason why this?

Tarun Sawhney: We always start around about Diwali. If you go back a number of years, sugar factory starts on either side of Diwali. Diwali is a very important parameter, the weather changes, etc. And Diwali was a little bit later this year. Also, besides the festival, we also monitor the sucrose in cane to test in the field, and we were finding lower test results, and therefore, we purposely delayed the start of the season until the starting recoveries would be more acceptable. And that, of course, was an impact of weather and some rainfall, etc.

Lastly, I would also say, and I just mentioned to the previous question, that we start off with ratoon cane. And ratoon cane was the plant cane of the previous year, which was by and large, an unhealthier plant cane. So, the quantum of ratoon, that Triveni had overall was also a little bit lower in absolute numbers than we would have ideally liked. Now when you have that, you don't want to start your factories very, very early because then you start processing immature plant cane, which is very healthy. So, there's a balance that you have to take.

So, I suspect that this season of course will end much later than previous season ended. And that's very positive from a variety of perspectives, including the absorption of the off-season expenses and the impact on results, etc going forward.

Shailesh Kanani: Understood. So just wanted to understand on the SAP prices as well, have they been firmed up with no change for the season.

Tarun Sawhney: I'm sorry, what prices?

Shailesh Kanani: SAP prices for sugar cane. Have they been firmed up? Any announcement on that front has happened?

Tarun Sawhney: No, no. There hasn't been any announcement on the SAP price. Although I do believe that there is a Cabinet meeting this evening at 5 o'clock where lots of policies, including excise policy are going to be taken up. But this is just a rumour that one has heard.

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Shailesh Kanani: Okay. Any indication or any understanding, we are expecting no increase rate?

Tarun Sawhney: We're not expecting any increase in the SAP for this year.

Shailesh Kanani: Yeah, that would be great. Sir, last question from my side on the ethanol front, since now we have availability

of FCI Rice, how do we see ethanol volumes for FY 26?

Sameer Sinha : We would be going up to in terms of alcohol production in FY 26, close to about 25 crore litres of which 22.5-23 crore litres would be ethanol.

Tarun Sawhney : Yeah. But as far as FCI Rice is concerned, yes, I mean, we have participated in the tender. So, a portion of that will -- and since the tender is concluded today, we know what the results are imminently, we'll be able to give you a much more accurate split, if you like, offline. We don't have that ready right now.

Moderator: Thank you. Ladies and gentlemen, in the interest of time and fairness to others, we request you to restrict to two questions per participant and rejoin the question queue. The next question comes from the line of Bharat Shah from ASK Investment Managers Limited. Please go ahead.

Bharat Shah: Hi Tarun. My question is not really about this quarter, but over a little longer span. If you look at the composition of various businesses that we are in, barring the Power Transmission business, which is relatively more robust,

predictable economic s and predictable outcomes over a period of time, brick - by-brick being built. On a shorter -term basis, interplay of the other busin esses always produce s a very mercuria l kind of an outcome , sometimes to delight , but other times to depress. And it becomes really hard to make any predictable long-term outcome of the rest of the business is even though verticality have been added like et hanol value chain and sugar and related businesses more, so to say secure.

So, I'm aware that operational excellence of Triveni, very disciplined financial management of the business a ll that remains, but challenges and perversities of these businesses, w hat do you make of that? And what do you think about it? Other than the Power Transmission business, there's a lot of flux all the time.

Tarun Sawhney: So, Bharat, you've asked an important fundamental question which merits an answer. You're right. Even i n our Power Transformation business, it's a technology bus iness. It is because we were developing new technologies. I gave an example of the marine gearbox order that we've got with our own indigenous technology. So, it's based on a lot of hard work, a lot of R&D that is happening and expanding markets, expanding customers, et c. So, you're right. it's a function of the efforts that you put in. Of course, as long as your technology development pace goes hand -in-hand and technology improvement goes hand in ha nd. You remain best -in-class. One can expect positive outcomes repea tedly quarter -on-quarter, year -on-year.

As far as the other businesses are concerned, and I'll sort of bucket them, it include s our Water business , which unfortunately, because we're prim arily looking at municipalities and Government orders, large Government orders, etc, there is volatility. It is not easily determinable. You don't know both domestically and internationally, exactly when tenders will close and when awards will happen. So, there is some flexibility over there, which is why I've always said that investors in that business should look at it over a longer time horizon, not quarter -to-quarter , look at it year -on-year, look at much couple
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years. look at it in terms of the capabil ities that the Company has, the PQs (pre-qualifications) that the Company has and how does that position it? Because water is a fundamental problem. Now assessing it as an investor is a difficult issue, as I understand, but it is a fundamental problem for the nation and for the world. And companies that are addressing that problem, will be f ew and far between that have the knowledge and PQs in place.

Turning then to large businesses, as far as Sugar and Ethanol are concerned, you are absolutely right. The y are regulated industries, they are regulated from every corner.

The pricing of your raw material and the pricing of your end product. There are differences because we in Uttar Pradesh also have policies that the State Government to contend with as far as sugarcane price is concerned. And on a national basis, of course, we have the Central Government adjudicating on what the sugar price should be, what the ethanol price should be, what the ethanol feedstock price should be as well. But I want you to look ba ck over the last 6-7 years.

Yes, you are asking a question, Bharat at a point in time where there is a little bit of pain in the industry. Where because the decisions that have been taken by the Government have not been as much or as high as the industry expected , it had a negative connotation and consequence and didn't leave a great taste in everybody's m outh.

But if you go back and look at the last seven years, policy making as far as both these sectors, I'm talking about ethanol as well as sugar , has b een outstanding. It has been timely. It has been vastly different from the 90 -year history of this industry, and it is pretty much done away with the sugar cycle. So, I understand your hesitation in terms of painting this with a clean brush stroke. But I w ould like you to reflect on these two or three things. Number one, we're nowhere near a cyclical business that we were a few years ago. By a few years ago I'm saying a decade ago and decade plus ago. There is far

more certainty now than ever existed.

Yes, the last year is a very poor example of what I'm trying to say but look at it over a longer time span. Look at it over 7-8 years, there's been reasonable amounts of policy certainty and very productive, accurate positive decision-making that has been done by the authorities well in time that has allowed industry and investors in the industry to take advantage of Government policy.

I do believe that's the second point; the Government policy is not going to abate. We want it, frankly speaking. The industry wants it. The industry does not want the Government intervention to willy-nilly go away because then you're competing with much larger sectors. The ethanol sector is still the sunrise sector. It's a baby sector compared to the petroleum sector overall and the standing on a standalone basis will be, of course, much more muted. And therefore, with one hand of the Government, with one hand of senior people in the BJP Government supporting and the Honourable Prime Minister himself, of course, supporting the ethanol blending program. I would say that over a medium to long-term horizon, even just until the end of this decade. There are a lot of positive things that are in place. What do I anticipate for the future. If we look back in the 7-8 year period, we have seen the Indian sugar gross production and sort of tapered at about 34 million metric tonnes approximately 34-34.5 million metric tonnes. That's the total quantum of sugar.

Our consumption has increased. We may take 28 million tonnes, last year it was 29 million tonnes. We will, with our natural growth rate, we will be 30 million tonnes very, very soon. And so, you will then see again, we will come to a point in time where the country is making just about sufficient amount of sugar to be able to supply to the ethanol blending program and for human consumption. And so, our efforts have to be on productivity, on new varieties, on gains on the ground, farm improvement, etc. to further enhance the availability of cane coming into the sector.

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consumption. And so, our efforts have to be on productivity, on new varieties, on gains on the ground, farm improvement, etc. to further enhance the availability of cane coming into the sector.

And that itself throws open a whole host of new possible businesses, new opportunities and predictability and health of the returns of your core business. So, I think that is what the future has in store. I'm happy to take this conversation offline. I can go on talking about this and free to call at any point, we can take this conversation offline. But I would like to say that you asked a

question at the worst possible time in the last 8 years. So, I understand why you asked it, but it is not totally reflective of how much we have accomplished as an industry.

sked a question at the worst possible time in the last 8 years. So, I understand why you asked it, but it is not totally reflective of how much we have accomplished as an industry.

Bharat Shah: No, there's no doubt about that. I think we have come a long way is a fundamental truth. So, I'm not even debating that. But I mean, when we look at a lot of hard work that goes behind achieving in an industry, which is essentially is facing a lot of challenges, and then time-to-time to see it with kind of either resignation or despondency. It leaves you with a thought whether really all of that is worth it or what is it.

So, it is only from that of view I'm asking. Of course, compared to 90s in the policy chamber and today, there is a lot of change and a very positive one. But still, if you look at when our Distillery business is expanded, our Sugar business is expanded. At times you are left wondering, is it an expansion of problems? Or is the expansion of value creation in the business, it's only from that standpoint, I'm asking. So, at a vantage point that you stand at, would you view the future with kind of a muted optimism or a greater belief or kind of concerns and of resignation?

Tarun Sawhney: Okay. Excellent question. I think your observation is right. I would not disagree with your observation as of today that the last 12 months have not been as proactive as far as decision-making is concerned and even compared to the last 7-8 years, as I was talking about.

Yes, you're absolutely right, that Triveni has invested capital in expanding both our Sugar as well as our Ethanol businesses. We've clearly done it with a

return profile in mind, we clearly have. Have we met that return profile as far as ethanol is concerned, the answer to that is no. We have not. And our results certainly speak of it today. Do I believe that we will move to the same higher margin profile that we had three or four years ago? No, I do not think so either. But I do believe that there will be massive improvements. So, I would not say muted optimism if I have to put my position in just a few words, I would say cautious optimism, because I think that there are a lot of positives yet to be achieved, a lot of positives.

In agriculture, there are very few sectors like the sugar sector, where investors can participate, and private industry can participate in an organised manner. And I'm a great believer in agriculture and the successes that lie ahead of us, not just now, but also 5 years from now, 10-15 years from now. It is a fundamental backbone to India of the future.

I honestly believe that the sugar industry offers you the best exposure to that sector, without a shadow of that. It encompasses the very best of Indian agriculture, the very best possibilities of research and development for the future. But will it be smooth sailing? No, it will not. So, I completely agree with you that there are points in time where you will have an unhappy feeling because of delayed policy and decision-making.

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But from a longer-term perspective, even a medium-term perspective, I'm convinced that this sector will offer a healthy return on capital that I, my Board and our investors certainly expect of us.

Moderator: Thank you. The next question comes from the line of Somnath Saha from B&K Securities. Please go ahead.

Somnath Saha: Hi, thank you for the opportunity. My question is on the, as the Government has allowed the FCI rice ethanol, so when we can expect the impact to come from? And what could be the optimal mix of feedstock, if you can put some light on that?

Tarun Sawhney: Right. As I mentioned a little bit earlier, the FCI tenders just closed today. So, we don't know the result of that. But once we know the result, if you contact us maybe in Monday next week, we will be able to give you offline the exact split, if you would like. A

At this point in time, grain plays an important role in the overall package of ethanol delivered by Triveni. FCI rice will also play a role. The details of which will be clear to us only once the tender result comes out.

And also, in terms of timing right now, while the Government has announced the price of FCI rice, none of it is available to the industry. It is only after the conclusion of the tender and then the listing of it and then the processing of it that you will be able to produce ethanol from FCI rice. So that's going to take a few months, a few weeks.

Somnath Saha: My questions are, the average realisation from Shadi Lal for sugar is quite low as compared to a standalone business. Any specific reason for that?

Tarun Sawhney: Yes. So, the Shadi Lal sugar unit firstly only produces plantation white sugar. And even though we have made a lot of investments, the quality of sugar being produced at Shadi Lal does not compare with Triveni. Though Triveni is a wrong benchmark to have on a standalone basis, because 70% of our sugar is refined, the balance 30%, which is not refined is for pure institutions of very, very, very high quality. And of course, the quality of sugar has improved. So, what we produced in December is inferior to the sugar that we have produced in January. And it will be inferior to the sugar we produced in February. We're going to be building up this sugar to much higher levels of quality. But SSEL is plantation white sugar and plantation will always sell at an average discount to what the overall Triveni price would be, where 70% is refined.

Moderator: Thank you. The next question comes from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: Yeah, hi. Good afternoon. So, I have two questions. The first one is on the Power Transmission and the investment which you have announced ₹60 crore. Is it just related to the pure Gear business? Or does it include investment related to Defence as well?

Tarun Sawhney: Hello, Resham. The investments announced by the Board yesterday, which is just a shade under ₹60 crore (₹59 point something crore) is only for the Gears business. As you may know, a lot of this equipment takes a certain time duration between 12 to 18 months to order, some equipment s do. So, we need to sort of plan ahead substantially in advance. And so, the increase in capacity have tried to be very specific is for the Gears business only, not for Defence.

Resham Jain: Okay. And also with respect to the earlier capex, which is ongoing, I think this year, whatever you landed close to ₹300 - ₹350 crore and with the earlier capex, the objective was to go to ₹500 crore and then ₹700 crore, given that the arrangement with our earlier partner is no more there and you have been

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doing a lot of positioning and marketing of your product in the overseas market. Any colour and thoughts on scaling up this given that you might have get more clarity on exporting some of these products? Will the scale up take like 5-year time? Or do you think it will take 3-year time or whatever number of years?

Tarun Sawhney: Resham I'll caveat by saying we don't offer guidance, but the technology, the acceptability with OEMs has been immediate and overwhelming, very positive. We are now working on the second tier of getting third-party acceptances because there are some very, very large customers, primarily in the Oil and Gas sector, where you do need their specific approvals, etc. And so, we are working on that.

The second very definitive area is aftermarket, where we have just started, so those returns will come in and they won't take time. They'll come in immediately, and they will grow from a small base at a very high rate of growth and also, of course, afford the kind of profitability that we have seen in the domestic sector of aftermarket.

Answering your first

question about the expansion in capacity and the expansion in capacity, the Board has confidence that we need ₹700 crore worth of capacity as we start off 2026-27. So, in the year by the end of FY 2026, we need to have ₹700 crore of Gears capacity in place to be able to look at the expansion of business that the Board is evaluating at that particular point in time. So, we're not looking at 5 years. I can't give you the number because we don't talk about those numbers. Again, it is certainly not in that type of time horizon. We won't be investing so much money into a business that we're going to get 3-5 years from now.

Moderator: Thank you. The next question comes from the line of Maulik Chaudhari from Monarch Network Capital. Please go ahead.

Maulik Chaudhari: Just I have two questions on Power Transmission business. First is can you please share an estimated timeline for the demerger to happen? And secondly, can you talk about the total addressable market for this segment globally?

Tarun Sawhney: Right. As far as the Scheme of Arrangement is concerned, we anticipate approval from NCLT by the end of this calendar year. So that is the timeline that we anticipate for the Scheme of Arrangement. And in answer to your second question, which was the overall market for just high speed and turbo gears, globally the market is about \$650 - \$700 -odd million.

Maulik Chaudhari: Okay. And who is the biggest player globally?

Tarun Sawhney: The largest players are European gearbox manufacturers.

Moderator: Thank you. The next question comes from the line of Udit Gupta , an investor. Please go ahead.

Udit Gupta: Good afternoon. My question is, when is our Defence facility coming online?

Tarun Sawhney: Right. We had projected the last time around, last conversation that we had that this facility would be operational by the summer of 2025. And it had been delayed by a couple of months. It is further delayed that some of the machines are taking a little bit longer to come in. So, we're still projecting the facility to be up and running during calendar year 2025.

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Udit Gupta: And what are the projected revenues from that facility once it comes online in 2026 or something?

Tarun Sawhney: I'm afraid we don't offer any guidance on that.

Udit Gupta: And the capacity or something or anything which you can tell us?

Tarun Sawhney: You see it's a multimodal facility, so putting a rupee value to capacity is very, very difficult , where you are doing a large number of discrete products that have different markets, and they have different output opportunities from the same facility.

Moderator: Thank you. The next question comes from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: Thanks for taking my question again. So, my other question was related to the demerger which you have announced. It seems that Triveni Engineering will still be holding 30% stake even after demerger. So why such structure, if the value unlocking has to happen, it should have happened in a clean structure where Triveni would not be holding anything otherwise, the same Holdco discount will be applicable to the Power Transmission business once it gets demerged. Like what used to happen in Triveni Turbines earlier, it will get into a similar structure?

Tarun Sawhney: Right. So, Resham, two reasons. And we can be on opposing sides of this argument over here. I think the experience with Triveni Turbines was actually quite a positive one for the Company . It was not a negative one. But that's my personal view. And I appreciate your sharing your view on this subject, which can of course, be different to mine .

The second and very, very important is because we are incubating a Defence business, which we have large aspirations for. In establishing pre-qualifications (PQs) and the ability to be able to quote, t

here are balance sheet

considerations that even from a Group perspective that are very, very important to allow us to be in contention. That was a very fundamental consideration in this determination by the Board of Triveni Engineering that we should not handicap a business just because we're separating the business, the Power Transmission business because it's the right time, we are separating it with the Defence business, which is co-located in the same city and utilising the same facility and offices that exist today. And therefore, there should be nothing that has handicapped the success of that business, which is very, very positive and will continue to deliver value for all shareholders, existing and future.

Resham Jain: Yeah. I understood. I think this is a fair reason. I didn't think on those lines, but yeah, this is fair. And obviously, we have greatly unlocked value in the past . So yeah, thanks for this.

Tarun Sawhney: Thank you.

Moderator: Thank you. As there are no further questions, I now hand the conference over to the management for their closing comments.

Tarun Sawhney: Thank you so much, ladies and gentlemen, for joining us for Q3 and 9M FY 25 results for Triveni Engineering & Industries Limited. As many of you have rightly pointed out, we're all not happy with the speed of decision-making and the impact that it had on a variety of the businesses viz. Sugar, Water, Ethanol, etc. But the hope still is that we will have a very positive business environment going forward. I think one of the big changes and a huge impact

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on profitability as well as revenues is the rise in sugar price and the rise of almost 10% over 3 months is outstanding. We are at a new level, it is a step change in price because of a change in market fundamentals and economics. And I think that will continue. And that, of course, will lead to greater health and better results for the Company going forward. So, thank you for joining us today, and I look forward to having this conversation in 3.5-odd months' time. Goodbye.

Moderator: Thank you. On behalf of Triveni Engineering & Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This transcript is the output of transcribing from an audio recording and has been edited for clarity, consistency with published information. Although efforts have been made to ensure a high level of accuracy, in some cases it may be incomplete or inaccurate due to inaudible passages or transcription errors. The Company takes no responsibility for such inaccuracies or errors. It is compiled as an aid to understanding the proceedings of the event but should not be treated as an authoritative record.

Call: Jun 2025

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Thru: BSE Listing Centre Thru; NEAPS

STOCK CODE: 532356 STOCK CODE: TRIVENI

Sub: Transcript of Analyst/ Investor Conference Call held on 28th May, 2025

Dear Sirs,

Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed transcript of the Analyst/ Investor Conference Call held on 28th May, 2025 post announcement of audited financial results of the Company for the Q4 & FY25 ended on March 31, 2025. The transcript is also available on the website of the Company at: www.trivenigroup.com

You are requested to kindly take the same in your record.

Thanking you,

Yours faithfully,

For Triveni Engineering & Industries Ltd.

GEET A BHALLA

Group Vice President &

Company Secretary

M.No.A9475

Encl: As above

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Triveni Engineering & Industries Limited

Q4 FY 25 Earnings Conference Call Transcript

May 28, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Triveni Engineering & Industries Q4 FY 25 Earnings Conference Call. I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you .

Rishab Barar: Thank you. Good day, everyone, and a warm welcome to all of you participating in the Triveni Engineering & Industries Q4 and FY 25 earnings conference call. We have with us today Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO of Sugar Business Group as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward-looking in nature, and a statement to this effect has been included in the invite, which was shared with everyone earlier. I would also like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management following an interactive question-and-answer session.

May I now hand it over to Mr. Tarun Sawhney. Over to you .

Tarun Sawhney: Thank you, Rishab. Good afternoon, ladies and gentlemen and welcome to the Q4 FY 25 earnings conference call for Triveni Engineering & Industries Limited. The revenue from operations for the year, net of excise duty stood at ₹5,689 crore, which signified an increase of about 9%. And the PAT for the financial

year stood at ₹238.3 crore. So, this was a very interesting year, one with certainly some challenges for our larger businesses, but clearly some very bright sparks coming from Engineering and from Q4.

The Q4 results under review were particularly good. I'm happy to report record revenues of ₹1,925 crore plus for the quarter, for Q4, which is a record for the Company, coupled with a PAT for the quarter of ₹187.1 crore, which is also amongst the highest quarters historically for the Company. As I mentioned, there were several challenges, especially in the Sugar and Alcohol business, whereas the Power Transmission business delivered another year of stellar performance in revenues, profitability and in order booking. And I will cover all of this in much greater detail as we progress through the call.

Starting with our Sugar business. There's a general trend of lower yields and recovery in Uttar Pradesh for the Sugar Season 24-25, where the overall crush was lower by about 3% with a net recovery lower by 90 basis points year-on-year according to our estimates. Relatively, the company on a stand-alone basis has achieved a sugarcane crush almost the same as the previous season, with a gross recovery, sorry, the recovery I mentioned was gross.

And the gross recovery of the company was lower by 69 basis points. The decline in crush took place in four of our sugar units, Rani Nangal, Milak Narayanpur and Chandanpur in Central UP and Ramkola in Eastern UP and the chief reasons were climatic factors, which include heavy rainfall, water logging in certain parts and the preponderance and spread of pests and disease. The primary disease, of course, being red rot, which has reduced yields and recovery fairly considerably. Of course, a lot of work has been done to combat the disease as well as pests, and I will be covering that as well.

A new multi-feed distillery was commissioned during the year at Rani Nangal, and there was no change in the ethanol price for the ethanol supply year 24-25, except for ethanol produced from C-heavy molasses. And this, of course, was extremely disappointing as far as the industry is concerned. In view of the firm sugar realisations, all the sugar units operations was switched to C-heavy molasses from B-

heavy molasses in the latter part of the season, save one factory at Deoband.

However, for the upcoming season, we will have the flexibility to run all the sugar factories at C-heavy molasses should we choose to do so. And of course, that function will be dependent on pricing amongst other factors, and it will be under consideration later as this year progresses.

Turning towards the Engineering business. The Power Transmission business reported a remarkable performance with new milestones being achieved with respect to revenues, profitability and order booking in FY 25. The water business declined slightly due to slow execution of certain projects, but the order booking during the year was strong at ₹586 plus crore with a closing order book of ₹1,600 crore plus at the end of fiscal year, an increase of over 30%. The Board of Directors of the company has recommended a final dividend of 250% for FY 24-25, which is subject to shareholder approval in the ensuing Annual General Meeting.

The gross position of debt for the company on the 31st of March on a stand-alone basis stood at ₹1,689 crore compared to ₹1,325 crore in March 2024. The stand-alone debt at the end of the period under review comprised of term loans of ₹328 crore, out of which ₹201 crore were loans with interest subvention. And on a consolidated basis, gross debt was ₹1,969 crore. That, of course, includes the subsidiary of Sir Shadi Lal compared to ₹1,411 crore on the 31st of March 2024.

I'd now like to focus on the business-wise review. Turning to the Sugar business. The Sugar business reported a 2.8% increase in turnover over the previous year due to mainly higher realisation prices. Segment profits of the Sugar business declined by 12.8% over the previous year due to higher cost of

sugar sold during the year, which was on account of the higher cost of sugar produced in the Sugar Season 23-24 factoring in the increased sugarcane price and the higher cost of production of sugar produced in Sugar Season 24-25 on the account of lower recovery.

The income through third -party exports, which was very, very welcome and something that I had talked about continuously in our quarterly interactions, stood at ₹15.4 crore for T EIL and ₹1.5 crore for Sir Shadi Lal. The sugar inventory as of the 31st of March of this year was 60.4 lakh quintals, including a sugar inventory of 3.6 lakh quintals pertaining to Sir Shadi Lal, and it was valued at ₹37.62 per kilo.

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Currently, of course, sugar prices have risen, and the Q4 results were benefited from the increased sugar prices, which was a function of the national balance sheet. But sugar prices today stand approximately at about ₹40.8 for refined sugar per kilo and about ₹40.4 for sulphitation. They've come down ever so fractionally since April, but these are the large consumption months with large quotas having come out, et c. I fully anticipate that as we move towards the holiday and festival season in August, September, October, the prices will increase slightly from this point in time.

The industry scenario is the following. We're looking at a comfortable closing stock for the country for the Sugar Season 24-25 of about 5.8 million tonnes. And this is a large reduction from about 8.4 million tonnes on the 1st of October 2024. The gross production of sugar for the country stands at 29.9 million tonnes, which is a decline of about 12% over the previous year, whereas the actual sugar produced is going to be closer to about 26.4 million tonnes. And the delta of that is sugar that is diverted towards the ethanol blending program.

And of course, this has resulted into a much more comfortable balance sheet where the closing stocks will be about 2.5 months of consumption, which is frankly speaking, ideal. As a matter of fact, our personal view is that they could be even a little bit lower at about 5 million tonnes or just below

5 million tonnes
and even that is very, very comfortable.

With Diwali coming early this calendar year, we are anticipating an earlier start to sugar factories, certainly in Uttar Pradesh, but also in Maharashtra. Briefly, the international scenario is a little bleak with both raw and white sugar prices touching multi -quarter lows in the recent past. In fact, the #11, New York was trading most recently at about 17.4 cents and whites were trading at about \$478 per metric tonne. So they've come off quite a lot. In fact, when we exported our sugar, prices were far more robust.

And I think this is a function of the global balance sheet, which is signalling a surplus in 2025-2026 of about 1.5 million metric tonnes, which differs from a deficit of just over 4.5 million metric tonnes in 2024-2025.

Turning towards the Alcohol business. During the year, the net turnover of the Alcohol business increased by 15.7%, primarily due to the commissioning of a new multi -feed distillery at Rani Nangal. The profitability of the Alcohol business was adversely affected due to higher sales volume of ethanol produced from maize, where the margins were substantially lower. And this was in comparison to the surplus food grains, which were available till July 2023, and you will remember that Food Corporation of India (FCI) rice was available at ₹20 per kilo. And of course, that came to an abrupt end in July 2023.

The IMIL business contributed to the turnover positively, driving 24.5% higher dispatches we recorded over 55 lakh cases in FY 25 compared to approximately 44 lakh cases in FY 24. As you are aware, we've invested in this business, and we anticipate reasonable and substantial growth in this fiscal year as well. In view of firm sugar prices, sugar operations were largely carried out with C -heavy molasses, especially during the latter part of the season under review.

Ethanol constituted 92% of alcohol sales during FY 25 compared to 93% to broadly even in the previous year. The sale of ethanol/ENA produced from grain-based stocks contributed to about 51% of the total alcohol sales, which was approximately 33% in FY 24. So a big difference in terms of the blend between grain and molasses in terms of our total output.

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However, I am happy to report that we produced over 20 crore litres in the financial year, which was very much in line with the projections that one had given over the previous quarters. Over this financial year, of course, our estimates are much higher, and we're looking at producing between 23 crore litres and 24 crore litres for FY 25-26.

The domestic ethanol industry scenario, the Oil Marketing Companies have executed contracts for just under 1,000 crore litres, which is in stark comparison of supplied quantities of 673 crore litres for the Ethanol Supply Year 2023-2024, almost a 48% year-on-year increase. The proportion of ethanol from grain-based feedstocks is 66%, and maize is almost 50%, which is significantly higher. And I think it has beaten all estimates of the division of where ethanol was going to come from.

The blending percentage for ESY up to the 31st of March stood at 18.36%, while the blending percentage for the month of April 2025 stood at 19.7%. And so I think in all respects, we've pretty much achieved 20% blending for the nation. The Honorable Prime Minister had set an aggressive target a few years ago of achieving it by next year. And this is a huge positive that the industry has come forward and achieved this target well beforehand.

And the question now, of course, is what next? As we all are aware, NITI Aayog has been given a mandate to look at what is next for ethanol blending as we go forward and it could include three different options. One, either an E100, E95 or E85 mix, which is one option. The second, of course, is raising our blending levels. As we know, Brazil for many years

at 26% blending, which they've announced to 30% blending. And of course, there is the possibility of blending ethanol with diesel as well to a very small percent, about 2% without any problems.

Turning to our Engineering businesses. The Power Transmission business reported record turnover and profitability. Turnover increased by 27% and profitability increased by almost 19%. The order booking for the year was very impressive at over ₹475 crore. And the closing order book stood at approximately ₹390 crore on the 31st of March. For the quarter under review, actually that was an exceptional quarter. The revenues were record, the highest quarterly revenues of almost ₹140 crore, which was 58% higher than the previous corresponding quarter and the PBIT stood at ₹46.5 crore for this quarter under review, a change of almost 40% v/s the previous corresponding quarter.

During the year, the company secured multiple breakthrough orders across geographies and industries for our gearboxes, also sort of supplementing our strategic focus on providing solutions across the world. The business is executing expansions to scale up operations to an annual capacity in our Gears business of approximately ₹700 crore, which stands increased from approximately ₹400 crore, which is where we are now. This will be concluded by September 2026.

The increase in FY 25 turnover of 27 %-odd is driven both by product supplies as well as aftermarket segments. And the PBIT grew by 18.4% to ₹126.8 crore with PBIT margins in excess of 34%, which is a very much in line with our long-term average. So the growth is coming from sustained or rather the growth is not coming at the cost of profitability. It is coming with the same type of profitability margins as in the past. The overall business is witnessing strong growths in export, and this is primarily driven by increased engagement with customers and receiving some critical qualification orders across some of our

product line s.

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Within our Water business, the revenues declined due to a delay in slow execution of certain projects and the delay in some new projects. The PBIT stood at ₹32.8 crore in FY 25, higher by almost 5% year -on-year. The order booking for the year was strong at ₹586 crore, which included a letter of award, which was sadly recently revoked due to administrative reasons , and this is being pursued by us rigorously. The outstanding order book on the 31st of March 2025 stood at just shade above ₹1,600 crore, which includes ₹1,100 crore towards O&M contracts, which will be executed over a longer period of time.

Turning very quickly towards the outlook. As far as sugar i s concerned, you will have all read in today's papers, the forecast for the monsoon is in excess of 110% over the long -term average. In fact, it is about 114% that was given. Now as long as this rainfall is spread out over a period of time, we see no exces sive rainfalls at any particular point. This could be very positive as far as the sugarcane crop in Uttar Pradesh is concerned. So at least we have moved past any concerns of El Nino, et c., that we were talking about, about a year ago. And the monsoons for this upcoming season seems pretty good. The planting, as far as Triveni Engineering is concerned, is very much in line with our expectations with some small improvement, but the real improvement has come in terms of varietal change and in terms of improve ment in planting practices across all 8 of our sugar units spread across Uttar Pradesh.

Sugar prices, as I had mentioned, have increased as the balance sheet position of the country has become more favo rable with the 1 million tonne export having been an nounced and most of it having been executed during Q4 FY 25. I think this is important , because it signals the fact that the Government and DGFT is acutely aware that if there is extra sugar in the system, we must export i

t and India's return to export mar ket has been welcomed with open arms.

I do foresee that in next year, of course, we will know what the ethanol blending targets are soon. But even with enhanced targets, we will expect more sugar production and any excesses will be exported by the country , maintaining the balance sheet position. And therefore, I think that sugar prices domestically while they will remain range bound, they will creep up very slightly from the point that they are today, but they bode well for the fiscal year under review.

The Alcohol business, we're certainly focusing on improving our sugarcane crush, which will help in terms of overall molasses availability and there is an enormous focus on addressing the supply chain issues relating to grain operations, which will allow us to improve the margin structure of the business. So several important things to consider over here. As the quantum of grain processed by Triveni is at a substantial level, we need to improve the storage facilities to ensure that the protein content as far as grain is concerned is also at the highest level. And we need to ensure that our procurement happens at the best time.

So we're seeing now when UP maize is available to distilleries and to Triveni, the prices have fallen. In fact, prices have fallen. N et landed price is about ₹23 landed as of today, which is a stark difference from the ₹24.5 per kilo average price for the previous fiscal year. And signs are that they can reduce a little bit further as well. And that, of course, will be a welcome expansi on in margins, but nowhere near to what the margins were when we were processing FCI rice at ₹20 per kilo in the past.

Turning towards the Power Transmission business. Our intensified marketing efforts globally, coupled with the capacity enhancements are positioning us

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well for sustained growth. India's economic growth is likely to sustain the momentum. Major investments are being seen in infrastructure development.

So we're seeing steel, cement, especially oil and gas as industries, which will fuel growth for this year. And of course, geopolitical factors are also favorable as far as the India export story is concerned. Our growth for our PTB business is not just due to India's emergence as a manufacturing hub, but also from an increased overall export global market share that we're seeing at Triveni Engineering. And this includes some forays into new applications for export markets.

In FY 25, Triveni amplified its focus on export by leveraging our own technology and the fact that our products are qualified by all the major OEMs is a very positive factor for the Company.

Very quickly on the Water business, supported by our extensive funding support from State and Central Governments, including from external sources, there are new opportunities emerging in the recycled, reuse, and zero liquid discharge businesses on EPC as well as on the PPP models. And I think that for this year will bode very well for the business. The Company is also evaluating select international opportunities in water and wastewater treatment, mostly when projects where we possess pre-qualifications. And of course, we have rich history of pre-qualifications that we possess and leveraging those will allow us to garner new projects in this business as well.

Overall, the Company has undertaken several well-thought measures to address key challenges in Sugar and Alcohol. And we hope that in this year, we are able to leverage all of those efforts in terms of expanding our margins, improving our operations and our efficiencies across the businesses, growing our Engineering business with respect to new clients, with respect to new geographies and new products. And the development reflects an ongoing commitment that we have towards sustainable growth and long-term returns for our shareholders.

With respect to

the scheme of arrangement that is underway, I'd like to just briefly comment that this lies with SEBI at this particular point in time. We are awaiting the approval for SEBI. The next course of action is for us to approve NCLT, that is the regular course. We are proceeding as per plan thus far.

Thank you very much. I'd now like to open up for some questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sudarshan Padmanabhan from ASK Wealth. Please go ahead.

Sudarshan Padmanabhan: Thank you for taking my question. So when I'm looking at results, the Sugar business has done very well in terms of profitability. As you've mentioned, the prices have been good. But coming to the distillery side, I mean, now when we look at probably the volumes, as you mentioned, moving towards the goal of 20% and realisation and spreads improving, can you give some color with respect to the outlook of this business? One, I understand that with molasses and with the sugarcane route, things could improve going this year, but also with respect to maize, because if I look at the maize prices, which is raw material, that has corrected. So how do we see the spreads on this part of the businesses?

Tarun Sawhney: Okay. So your question is in two parts. I think the future of the business, as I mentioned is very much something that has been contemplated by the Government. So NITI Aayog has been mandated to ponder on the question what next, what beyond E20? Because E20 has been achieved. We achieved

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19.7% blending in the month of April, which signifies that the major large states have already achieved 20% blending for the nation. So that target has already been achieved. The question really is what next? We have been influenced as a nation very much by Brazil. We've seen that Brazil itself has enhanced its blending with petrol from 26% to in excess of 30%. Now I know that, that is being contemplated. So can there be higher blends of ethanol? 100% ethanol is also being contemplated and small blends with diesel is also being

contemplated.

So those three areas will add to greater offtake rather than just the natural growth in terms of gasoline for the nation. That, of course, will require fresh capex. For any fresh capex to come, it can only happen if there is sufficient margin that is available for businesses and for entrepreneurs to invest. Margin erosion has taken place. It's taken place for 2 reasons. Number one, the prices, broadly speaking, with some exceptions, broadly speaking, prices have been held stable for 2 years. So as a result, in an enhanced cost scenario, you've seen that with your output price being capped, that has had pressure on margins, both for molasses as well as for grain on both fronts. Also, the input prices have increased, your raw material prices on both sides. So you've seen prices for even molasses transfer to distilleries having increased, obviously, because the presale market prices for molasses have increased. And therefore, that has also led to a contraction of margins for even molasses and routes being processed at distilleries.

In addition, as far as grain is concerned, because of this huge demand, when FCI rice was in July 2023, when the procurement of that was stopped, we had to migrate towards maize. It's a brand-new ecosystem. Maize yields in India are one of the lowest in the world at about 3 metric tonnes per hectare. You're seeing yields of between 9-12 tonnes in the West. And as you've seen very quickly that the Government has responded by releasing new varieties of maize that hopefully will enhance, but it doesn't happen overnight. It does take time. You're seeing better farming practices, etc., because previously, maize a small percentage was used for human consumption. The majority was used for starch and for animal feed. The

largest, of course, quantum was for animal feed.

So now with huge quantities being procured for ethanol blending, we are in dire need for an enhancement in yields, which will, of course, lower prices, but it will also enhance your farm income. The total basket of income for maize farmers will rise, and that is being anticipated. So you've already seen with the UP crop now that maize prices have fallen, we are beneficiaries of that in Q1 of FY 26 of procuring it at ₹1.5 lower than average for the previous year. Is there scope for further decline? I think there is a little bit of scope for further decline, but not much more until we see huge enhancements of yield. So I am hopeful that the crop in Bihar and that the crop in Madhya Pradesh will be equally high yielding. If it is, then we will see a better balance sheet for maize for the nation, and we will certainly be beneficiaries of that.

But right now, you've got a scenario where you've got a cap as far as the prices are concerned, and you've got increasing raw material prices, which has squeezed it out. So for the future, I think greater focus on supply chain, which includes warehousing, storage, delivery, transportation will help improve margins. But greater supply, greater yields is the only real barometer in terms of lowering prices. You will remember that maize prices when we started this entire campaign in 2023 were lower than ₹19 per kilo. So there's a huge, huge difference and massive increase in maize prices that has actually transpired over this 24-month period. That's one.

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And then, of course, capacity additions that will be required for any expansion in the EBP program. That, of course, will only happen if entrepreneurs get a reasonable return on capital. And so that will benefit existing capacities as well. That is really the future. So it's a mixed bag. There's a lot of work that has to be done.

Sudarshan Padmanabhan: Sure. But the rate of change this year should be much better than last year, both on the sugar and ethanol, given that this year, we don't have the issues that we face on the red rot side, and there is some improvement on the blending if you're using more of maize. Would that be right to look at it?

Tarun Sawhney: Absolutely. I think this year, at the start of the year has been a marked difference, a marked improvement than last year. So broadly speaking, you're

correct in your assessment.

Sudarshan Padmanabhan: Sure, and I mean, moving on to the Water business, I mean, very interesting and to see the growth in the order book and the growth in sales. But this business historically has seen some kind of a competition and risk to margins. So if you can give some color with respect to how do you see the profitability of this business with respect to the kind of orders that we are pursuing?

Suresh Taneja : Based on the orders in hand as of now, in the case of Water business, I think the profitability is going to be fairly stable. We do realize that in FY 25, there is a favorable impact because of the cost savings in respect of certain projects, etc. But by and large, the profitability is going to be stable. And also, we have participated in a lot of orders, a lot of bids, and we expect to secure reasonable orders during the year.

Sudarshan Padmanabhan: Sure, thanks a lot. I will join back the queue.

Tarun Sawhney: Thank you.

Moderator: The next question is from the line of Sanjay Manyal from DAM Capital. Please go ahead.

Sanjay Manyal: Hello, just want to understand about the recovery because we have seen a substantial sort of dip in our gross recovery. Now what is the proportion of Co - 0238 variety right now? Means what would it be in next season? And can we say because of the new variety, are we like in a structurally downward trend in the gross recovery? It will be difficult to sort of match the Co -0238 variety recovery?

Tarun Sawhney: Sanjay, you asked actually a very interesting question. I'll answer the last question first and then your first few questions. Co -0238 was a wonder variety. And the results of it were the best in 25 years ever since the heyday of CoJ 64 in the late 1990s. So after 20 -25 years, you had such a wonderful variety. However, the nation has done a lot. I mean the kind of work that is being done on new seeds or new varieties is many, many, many folds than what was done at that period of time.

Do we have an immediate substitute? We have great substitutes. Are they just as good? Yet to be seen, frankly speaking. However, is there work being done by the research stations by Coimbatore, by Vasantdada Sugar Research Institute, by NSI, in terms of new varietal development? Yes, there is. And the number of new varieties that are now being looked at is far greater. I'm very hopeful as far in the near future in terms of looking at new varieties.

Now coming to your question of your first and second questions. Yes, of course, we had a reduction in our gross recovery. Our reduction was less than

the state average and by and large. Having said that, that was a consequence of two things. Yes, there was disease, but there was also pest. Both played an equal factor, if I have to say. It was not just disease, it was pest as well that played a significant role. And we also had a tremendous amount of irregular rainfall, compressed in short periods of time, which led to flooding, etc.

Now going forward, I addressed the point about rainfall. IMD suggests that we'll have 114% above the long -term average. That's very good. We're very excited about that. It means that even the factories which are reliant on the rain gods will have sufficient rainfall by and large. The question really is, will it happen over a period of time, which is what I was mentioned earlier. And the hope is if that happens, then this should be very positive as far as cane growth is concerned, etc.

As far as recovery is concerned, for the following year, the work that we're doing and others, of course, will also be doing in terms of replacing Co-0238. And equally ensuring that from now, the work on eradicating pest and disease is significantly higher than it has ever been done before will hopefully add to a

better recovery next year. It's impossible to guess what the recovery is going to be next year.

It's very, very tough in the month of May. Later on in the year, after a few months, you'll have a better idea. You'll have test and sampling data that will give you better perspectives. But in May, this is all you can do. But we're doing things today that at a different pace, at a different level to ensure that, that's possible.

Now the last question that you asked, Sanjay, was about replacement to Co-0238. Now Co-0238, frankly speaking, it's not that all Co-0238 has got red rot. Co-0238 in high lying areas, et c, still leaving outstanding yield, is giving great recovery, et c. It is only where Co-0238 is highly susceptible. So our immediate target, because in Western Uttar Pradesh, you have a lot of high -lying area as well.

Unlike Eastern Uttar Pradesh, where we have a factory where it's all low -lying area, where we have no Co-0238. It is virtually 1% or 2% Co-0238 at our factory in Ramkola, absolutely bare minimum. So that the full replacement has happened. But for Western Uttar Pradesh, we don't need to work with the same type of replacement because you're getting great yield, you're getting great recovery as long as you can ensure that the seed was a good quality, et c.

So therefore, we are, of course, reducing the quantum of Co-0238 very aggressively, where we were above 50% for the last sugar season, and we will be lower than 40% in this season. The exact quantum, because there is still a little bit of planting that is happening right now, is absolute

utely uncertain. But the target is to completely bring it down to the lowest levels. And so we will only keep it in areas where there's absolutely perfect seed and giving the type of recovery and yield that we've had in the past.

Sanjay Manyal: Right, I have one question on the ethanol part. I think what we understand that probably capex has been concluded in the ethanol part. What could be or what is our capacity on an annual basis in terms of crore litres? Also, which factors are important so we'll achieve sort of maximum 90% plus kind of utilization? So if I directly can ask me what kind of a quantum increase in the ethanol prices you would require so you can run it on a, say, a 90% plus.

Tarun Sawhney: Sanjay, the capacity utilization depends on your feedstock because as you're aware, if you operate on maize, there's a 20% reduction in your capacity. So your utilization, you may still run at 95 %-97%-99%, but the size of the plant, Page 10 of 15

effective size of the plant is that much lower. 55% of our facility or 50% of our facilities are, 55% are all grain, as you're well aware, or multi -feed. And so it depends on the combination of feedstocks. Now again, there's a difference between running this on B -heavy and C -heavy v/s juice.

So if you run it on juice, you will have possibly a higher output of ethanol from the same facility. When I said earlier on in this call that we will be producing between 23 crore and 24 crore litres, we are running at 95% capacity utilization based on the input mix. Now and the input mix would be 50% plus of grain. If you actually substitute that grain, because of pricing enhancements that encourage us to use, for example, juice, et c, then you can see the capacities rise quite dramatically. It could go to 27 -plus crore litres, maybe 28 crore litres as well with our existing capacities.

Sanjay Manyal: Perfect. Thank you very much.

Moderator: Thank you. The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Good afternoon. Thanks for the opportunity. I wanted to get your views on the sugar prices. This year, we are starting nearly ₹2 above the average what we have garnered in FY 25. So how do you see prices shaping up for the whole year?

Tarun Sawhney: Yeah. So you're absolutely right. When we look at our average realisation, we're certainly looking at somewhere almost ₹2-odd higher year-on-year. And this is, as I mentioned, is a function of the balance sheet, the improved balance sheet. If we looked at prices in April, current prices, I just gave you an idea, ₹40.8 for refined, ₹40.4 for plantation white sugar. These prices were about ₹1 per kilo higher, almost ₹0.90 to ₹1 higher in the month of April. And so we've come down a little bit because of higher quotas, etc, rollover of quotas, etc that have happened.

But as we move towards the holiday season, I believe that prices will change as well. We will be range bound. There's no doubt about that, but we made a step change in terms of pricing. The levels that we were at earlier, we made a step up in terms of that as a function of the balance sheet. But from these points of pricing today, I see some level of increase that will happen. Frankly speaking, we've got great news thus far. The monsoon news has been great. The crop news across the country has been great. All the news has been very good for sugarcane production. From here, it can only be negative. And any negative news will spur sugar prices higher. And so that is an important consideration that you must bear in mind that you only have positive news. Any negative news will lead to slightly higher sugar prices. We've touched recent lows as far as global pricing is concerned, both for raws and for whites. And that does have a sentimental impact on sugar prices as well.

The other point I'd like to mention is that with

the new sugarcane control order that you must have read about, etc, the export of sugar that was happening under organic, etc, all of that has come to an end. That's a very good thing. The sugar that was going into Bangladesh, the border is pretty much sealed. All of that sugar has stopped. So you're seeing that happen in the month of May. Frankly speaking, I think this is a little bit of a little blip and should be considered as such.

I think we're on a different plane and trajectory. My personal view is that sugar as a commodity has underperformed compared to other staples over the last 5-7 years. We need sugar prices to go up quite a lot more even from this particular point in time because it is a very remunerative crop for farmers

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across the country. And if we're looking at farm income, sugarcane is probably the best when we consider it to comparable crops. And for that and for the next few years, we need to see sugar prices also rise. Otherwise, you have a small problem in terms of output pricing and input pricing as well.

Shailesh Kanani: So in a nutshell, is it safe to assume around ₹40.5 or ₹41 as an average realisation expectations for FY 26?

Tarun Sawhney: But no, I said that our average realisation right now is a little bit higher than ₹40.5. And it is lower than April. I expect the average realisation to be fractionally higher than this.

Shailesh Kanani: Sure. Got it. Thanks. Second question was with respect to our capex plans. What figures we are expecting for FY 26 in terms of capex ?

Tarun Sawhney: The Board has not approved any new capex in the meeting that was conducted yesterday. The only capex that is underway is the ₹60 crore that the Board had sanctioned for the PTB business in the last meeting, which will happen over the next 16-odd months up to September 2026, enhancing the capacity of that business. And there is no additional capex that has been announced in any of the other businesses.

Shailesh Kanani: Okay. And what will be our general O&M expenses in general for the year for all our facilities including?

Tarun Sawhney: I'm sorry, I don't think we give out data on our O&M expenses.

Shailesh Kanani: Okay. Fair enough. My last question on the margin front. We have had issues

on the margin front for our core sugar and consolidated even the distillery business. And considering that the sugar prices are on the higher side, can you throw some color on how margins can shape up for FY 26 because we have seen a dip in FY 25? And FY 24 was a good year in terms of margins. In fact earlier times, we have seen higher margins as well. So if you can throw some light. I know you have highlighted that directionally, it should be on the positive side. But give some color.

Tarun Sawhney: Which business are you talking about?

Shailesh Kanani: Sugar and distillery, both.

Tarun Sawhney: Sugar and distillery, both. Okay. So I've already talked about distilleries. So I'll focus my comments only on sugar. I think as far as sugar is concerned, we have 60 lakh quintals of sugar in stock as of the beginning of this quarter, which will be sold, I imagine, by the end of November. That is our current estimates. So for the balance 4 months of this fiscal year, we will have new sugar. Now I anticipate that it will be at a different cost of production, because we're uncertain about what cane price would be. They may be the same, may be higher. We don't know as yet. But it will be a different cost of production at that particular point in time.

My certain hope is that we work with our exports. We work with our diversion towards the ethanol blending program to achieve a new level, a new plane for sugar prices by the time the new season starts. And therefore, there will certainly be no margin erosion. In fact, it will be at this higher rate of margin and forward going forward. But to calculate the margin for the last 4 months of this financial year is very tough right now, because we just don't know what the input prices are going to be.

Shailesh Kanani: Okay. That's helpful. Thanks and best of luck.
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Moderator: Thank you. The next question is from the line of Resham Jain from DSP Asset Manager. Please go ahead.

Resham Jain: Hi, Triveni team. So I have a couple of questions. First one is with respect to sugar production in the next season or rather next financial year, whichever way you want to give the data. One is, obviously, Sir Shadi Lal will get merged next year. And in addition to that, there'll be hoping things should be better from a recovery standpoint next year. And lastly, we have been doing a lot of work to increase the overall cane development area and debottlenecking our plants as well. So putting all these three things into play compared to 83 crore kgs being produced in FY 25, what should one expect in FY 26?

Sameer Sinha : Over here, what we are looking at, you mentioned three factors. Now our capacities are in place, but we are doing a lot of work in the field. So therefore, we are expecting an increase in recoveries also. It's not only the varietal substitution, it's the agronomical practices, plus the management of the integrated pest and disease management and leveraging on our IT initiatives. So that's the second portion of it.

Coming back to the issue at all our factories over here, we maintain a positive outlook, and we believe that we should be in a position though it's very early days, but definitely a significant increase in crush and in recovery going forward would be the way for this financial year and for this season.

Tarun Sawhney: Resham, also coming back to the financial year, when we compare this financial year to the previous financial year, you have to split it up into two parts. Firstly, it is the tail of the sugar season and then it's the start of the new sugar season. In the month of April and May, we had larger number of factories crushing and crushed for a longer period of time in CY 25 v/s the previous year. So for this fiscal year, we've already started off in a more positive manner.

Next, as I had mentioned earlier on the call, we have an earlier Diwali. Diwali is usually a great barometer of when the sugar season starts, et c. It's also significant because somehow for some strange reason, there's changes in weather that happens around about that time. With an earlier Diwali, we will have an earlier start to the sugar season this year. And therefore, that is a very, very big difference between this financial year and the previous financial year. 2 things, one, a longer tail, which means the earliest part of the season has more sugar that's been produced, produced at better pricing, sold at better pricing. And for the coming sugar season and earlier start. So from a financial year perspective, it will be a big difference in terms of total sugar produced.

Resham Jain: Understood. Very clear. So just to clarify, so overall production will be much higher in 2026, given all these factors. So better cost absorption. So possibly your cost per kg would be better than normal years. Is that the right way to understand?

Tarun Sawhney: That's a fair assessment. So an increase of maybe 10% or 15% would not be an unfair assumption year-on-year.

Resham Jain: Understood. Very clear. The second question is with respect to the Power Transmission business, given that it will get demerged in the next one year. And since it was a part of a much larger company, the understanding of this business from the very granular perspective was much lower. So I would request maybe if you can start giving more colour on the Power Transmission business from like what kind of customers you are targeting? What kind of mix you have between various industries going

forward? That would be very helpful, given that this is going to get separately listed in the next one year.

Tarun Sawhney: Welcome suggestion, Resham. We will certainly do that. And we plan to do that as well.

Resham Jain: Thank you so much.

Tarun Sawhney: Thank you.

Moderator: Thank you. The next question is from the line of Chetan Sharma from Systematix Shares and Securities. Please go ahead.

Chetan Sharma: Thanks for the opportunity. So my first question is regarding the maize. So what was the maize cost? And how do you compare it with the surplus food grain rice as a source? And second thing is when we can expect rice to be substituted back instead of maize?

Tarun Sawhney: Okay. The average price for maize last year landed was ₹24.42. This year, we've started at about ₹23. So there's a big difference in terms of landed price of maize. As far as damaged food grain is concerned, I think you're talking about the broken rice. So that, of course, we buy on an opportunistic basis to be able to fill up capacities, et c. It is not tremendously profitable. And we have no immediate plans for buying the DFG in any significant quantum.

As far as surplus rice is concerned, the price is ₹22.5 ex-FCI godowns, which is a significant increase from the ₹20 that existed prior to July 2023. And the price hasn't changed of the ethanol produced from said surplus rice. So that's a massive contraction of all the margin for using that as a raw material.

So to answer your question, when do you return to surplus rice or when do you return to damaged food grain. Let's talk about damaged food grain is never going to be a big quantum, frankly speaking. So it is surplus rice, and that is never going to be attractive if you don't revert to better economics for the industry. And it's a very big concern as far as the industry is concerned, because we do have sufficient quantum of surplus rice that could be made available. But at this price point and the sale price also, it will not add to a great source of raw material.

Chetan Sharma: Okay. And my second question is regarding, as you mentioned that the IMD's current rain forecast is good for the sugar production. So what will be the crushing of sugarcane in FY 26 on standalone and consol basis?

Tarun Sawhney: I'm afraid we don't give any kind of guidance like that. We believe that it will be positive on both crush and recovery because we've seen very good planting. The planting is also not over. So everything is in the works at this particular point in time. But it is too early to tell. Right now, the soft signal is clearly for a better year.

Chetan Sharma: Okay. That was from my end. Thank you.

Moderator: Thank you. The next question is from the line of Udit Gupta, who is an Individual Investor.

Udit Gupta: Good afternoon. My question is that, we had some kind of an expansion in our Power Transmission business, which is supposed to get completed around March, April. So what is the status on that end?

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Tarun Sawhney: So it is happening. In fact, we further expanded it. In the last conference call, I had talked about the Board's decision then in January to approve a further ₹60 crore capex. So all of this is consecutive. It's building blocks. It's underway. And we expect the entire capex to be complete by the end of the second quarter of the next fiscal year. So by September 2026 is when we expect the full completion.

What you are talking about, that completion is almost done. But all of it is staggered. There's lots of changes happening. I would like to mention that after we touched this sort of run rate of total capacity of about ₹700 crore in the existing and the old facility, there's very little scope of further enhancement, very limited. There could be some productivity gains. We'll have to evaluate that. But in terms of building new sheds and building

new facilities, I think we will have covered the entire FSI. And then we will look at the new facility that we've invested in.

Udit Gupta: And the defence facility, the separate one that was getting built, that will be completed in September of next year? That's the one that you're talking about?

Tarun Sawhney: No, no. So the defence facility will be completed by the end of this calendar year now. It is delayed by almost 6 months. But it has not impacted any of the orders under execution at all.

Udit Gupta: Get your point. And the demerger and the merger that we're talking about, what is the kind of timeline that we're expecting right now going forward?

Tarun Sawhney: We're very much on the timeline. We've given it in our investor presentations, our corporate presentations as well in the past. At this particular point, we are awaiting SEBI approval. Post SEBI approval, we will then approach NCLT. NCLT will conduct court convened meetings, and that's a standard process. Upon approval from NCLT, then it is an automatic listing process which takes another anywhere between four to eight -odd weeks, etc. The timelines over here are not set in stone. They are a little bit flexible at this particular point in time. But we are still in terms of our earlier projection, we're still maintaining that we're very much in line and in time for execution. So we're expecting that by the middle of Q1 of next calendar year, Q4 of this fiscal year, we will have the separation of the PTB business.

Udit Gupta: Basically, in this financial year, we're expecting to complete it?

Tarun Sawhney: Yes, that's correct.

Udit Gupta: Thank you so much.

Moderator: Thank you. The next question is from the line of Aman Sonthalia from AK

Securities. Please go ahead.

Aman Sonthalia: Whether we are making this ethanol in oxygen via C-molasses or via the B-molasses?

Tarun Sawhney: We're making it with both C and B and grain.

Aman Sonthalia: And what is the valuation we have taken for B and C?

Suresh Taneja : The valuation of for what? Valuation of ethanol or valuation of raw material?

Aman Sonthalia: Molasses .

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Suresh Taneja : Molasses. So we have a transfer policy basically, which we consistently followed. And based upon that, the molasses are transferred from one segment to another segment.

Aman Sonthalia: Okay. And next year, there is an election in UP. So there must be some sugarcane price increase will be there. How much increase we can think of? And secondly, next year, definitely, the production will be better than this year because there is very good rainfall in Maharashtra and Karnataka. So do you think that in one side, there may be cane price increase and then on the other side, there may be some stress on the sugar prices?

Tarun Sawhney: So firstly, the elections in Uttar Pradesh are in February, March 2027. So it's not next year, it is the year after that. It is two years away, not one year away, as you mentioned at the start of your question. And I've addressed this entire thing. I expect that right now, there is very positive news in terms of weather and planting, etc. And therefore, there is anticipated higher sugar production for the next sugar season.

Having said that, NITI Aayog is looking at what beyond E20. So the diversion of sugar towards ethanol will be higher than the 3.5 million metric tonnes that was diverted this year, which will take account a little bit. Plus the Government this year exported 1 million metric tonnes to maintain that delicate demand - supply balance sheet position. And I anticipate the government in its wisdom will do exactly the same thing next year, the quantum of which, of course, will be determined based on how much sugar is being produced by the nation. So in a nutshell, I don't think there is any stress at all.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Tarun Sawhney: Ladies and gentlemen, thank you very much for joining us for the Q4 and FY 25 earnings conference call for Triveni Engineering & Industries Limited. We have had an excellent Q4, as I mentioned, a lot of learnings from the financial year as well that, of course, we are building on across the larger businesses of ethanol, especially ethanol and also from sugar. But I think we're well positioned. I think a lot of efforts, a lot of the capital deployment of the business and direction that the business has taken is to enhance our margins, operating and otherwise. And also look at further expanding our businesses. The Engineering businesses, of course, are doing very, very well, and we hope that they will continue to do so over the next few quarters. I look forward to speaking to you after our Q1 results. Thank you, and have a good day.

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Call: Aug 2025

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Sub: Transcript of Analyst/ Investor Conference Call held on 30th July, 2025

Dear Sirs,

Pursuant to Regulation 46 of SEBI (LODR) Regulations, 20 I 5, please find enclosed

transcript of the Analyst/ Investor Conference Call held on 30th July, 2025 post

announcement of unaudited financial results of the Company for the Q I FY26 ended on

June 30, 2025. The transcript is also available on the website of the Company at:

www.trivenigroup.com

You are requested to kindly take the same in your record.

Thanking you,

Yours faithfully,

For Triveni Engineering & Industries Ltd.

GEETA BHALLA

Group Vice President &

Company Secretary

M.No.A9475

Enel: As above

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Triveni Engineering & Industries Limited

Q1 FY 26 Earnings Conference Call Transcript

July 30, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Triveni Engineering & Industries Limited Earnings Conference Call.

I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you .

Rishab Barar: Thank you. Good day, everyone and a warm welcome to all of you participating in the Triveni Engineering & Industries Q 1 FY 26 earnings conference call. We have with us today Mr. Tarun Sawhney, Vice Chairman and Managing Director; Mr. Suresh Taneja, Group CFO; Mr. Sameer Sinha, CEO of Sugar Business Group ; Mr. Rajiv Rajpal, CEO, Power Transmission Business as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature, and a statement to this effect has been included in the invite, which was shared with everyone earlier. I would also like to emphasi se that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence the call with opening remarks from the management following an interactive question - and-answer session. May I now hand it over to Mr. Tarun Sawhney. Over to you.

Tarun Sawhney: Thank you. Good afternoon, ladies and gentlemen, and welcome to the Q1 FY 26 earnings conference call for Triveni Engineering & Industries Limited. The

key consolidated financial numbers for the quarter were the revenue from operations stood at ₹1,598 crore with a PBT of ₹2.9 crore and a PAT of ₹2.1 crore. The net turnover increased by 23%, which was supported by a 53% increase in alcohol dispatches and a 14% increase in the consolidated sugar dispatches as well as improved sugar realisations.

In the Power Transmission business, we reported a 15% increase in order booking and a record closing order book of ₹423 crore which has improved by 38% over the corresponding previous period. At an overall level, the closing order book of the engineering business stood a shade under ₹2,000 crore at ₹1,975 crore, up by 32% compared to the previous corresponding quarter.

The debt position of the company on a stand-alone basis stood at ₹1,385 crore v/s ₹1,150 crore on the 30th of June 2024. The stand-alone debt for the period under review comprises of term loans of ₹320 crore, of which ₹180 crore are with interest subvention. And on a consolidated basis, our gross debt is ₹1,688 crore compared to ₹1,280 crore on the 30th of June 2024. The overall cost of funds has been very manageable and stands at 7.3% at the end of this previous quarter v/s 7.1% in the previous corresponding period. However, I'm

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happy to share that from the future perspective over the next few quarters, we will because of our debt rating, we will be able to see a decline in our cost of funds, especially when we need it the most. And that is the expectation from our balance sheet position going forward over the next few quarters.

I'd like to take some time to do a business-wise review. Turning to our Sugar business. The growth in sugar turnover was on the back of a 14% increase in volumes that included the subsidiary Sir Shadi Lal and a 4% improvement in realisations. The segment profit despite higher volume and realisation declined by 80% to ₹7.6 crore and this was due to higher cost of production of sugar sold in Q1 FY 26, which could not be offset by the increased sugar price realisation.

The cost of sugar sold during the quarter pertains to the sugar season 2024-2025 and was impacted by the gross sugar recovery. In a nutshell, the recoveries for the group were 69 basis points lower than the previous season, and that had a direct impact on the cost of production and is the most significant contributing factor for the

he increased cost of production. With respect to the comment that I made about sugar price realisations at the beginning of the last quarter, Q1, we did see higher sugar realisations that were in excess of ₹40. However, as the quarter went on, prices did decline as there's been a kind of a difference in terms of the demand of sugar across the nation this year, especially during the hotter summer months. And as a result, the prices fell even during the month of May and June, slightly below ₹40, ₹39.50, ₹39.60. And so that, of course was unexpected during the quarter.

When I talk about the future, I'll bring you up to date with what we experience right now, but there has been a change in that position, of course, with great support of the DFPD. The sugar inventory on the 30th of June 2025 stood at 44.5 lakh quintals valued at ₹37.4 per kilo. And the current ex-mill domestic prices for refined sugar are ₹41.2 and sulfitation is about ₹0.50 to ₹0.60 lower per kilo. But that, of course is higher than even the start of prices in April 2026 at the beginning of the last quarter or just a shade higher. And it is because of the lower quota that has been announced by the government, approximately 10% lower when one compares YoY has been the reduction in the quota that's been announced by DFPD, having a direct bearing on price. And again, this is in reference to the comments that I made in the past as well. It is a regulated sector, but I repeat that there is a huge amount of control that can be exercised by the department, which has a positive impact on sugar prices. And the recognition that sugar prices have to be above the certain level, I think, is a very welcome policy initiative by DFPD.

Looking at the industry scenario, the sugar balance sheet, with an opening stock on the 1st of October 2025 of just under 6 million tonnes, we produced 33 million tonnes and domestic sales were around 28.5 million tonnes. We're

expecting the closing stock of just about 7 million tonnes of sugar. And this is after considering about 4 million tonnes of sugar being diverted into Ethanol. And these are, of course, our Triveni estimates. Going forward, I think because of this slightly higher closing stock when compared to last year, despite the export that has happened over the course of this sugar season, we have seen that little softness that happened in May and June, primarily looking at the inventory balance, the balance sheet of the nation as well as the crop that lies ahead for the next year, which I will cover in a little more detail when I look at our projections for the year ahead.

From an international basis, the global balance sheet is pointing to a deficit. As per the latest S&P Global and other balance sheets, we're looking at a deficit of about 4.6 million tonnes. However, for the 2025-2026 sugar season, the outlook looks largely balanced. Actually, it looks towards a slight surplus of

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about 2.9 million tonnes of sugar. This is primarily due to better crops in three very important countries, Brazil, India and Thailand for the upcoming season. International sugar prices have been on a declining trend since January 2025, whereas they had turned bullish in January and February. And in our last conversation, I had talked about our sale of our export quota, which was done at very handsome prices and booked in Q4 of the last fiscal year. But since the prices have declined and consequently, I believe that the 1 million tonnes of exports that was anticipated and expected by DFPD will not happen in its entirety as some people in the trade may have taken positions that have turned against them. It is unfortunate because it would have helped lower the balance sheet of the country by a couple of hundred thousand tonnes of sugar and every reduction is important. But that is sugar that will remain unexported according to our estimates.

Turning quickly to the

alcohol business. We achieved our highest quarterly production of 6.5 crore litres, driven by the full quarterly impact of the new distillery at Ran i Nangal. And therefore, if you do a simple multiplication, it is very much in line with the overall estimates that one has been giving of our capacities and our production capabilities going forward. The sales volume for the quarter stood at 6.2 crore litres, an increase of 53% over the previous year. The average realisation for Q1 is lower, and this is due to ethanol produced from FCI rice, which accounted for 27% of our total alcohol sales. I want to pause over here and provide an explanation for this. Now when we entered the tenders at that particular point in time, the price for maize was about ₹26, ₹26 plus actually, closer to ₹26.5. And at that point in time, the relative contribution from fixed price FCI rice seemed more attractive from an operating perspective and to keep the distilleries operational. And therefore, we did go ahead with that. Now there has been a change in stance by MoPNG etc where they have not allowed the fungibility of feedstocks from one to the other. Maize, of course, being at a higher price and MoPNG trying to control the price of ethanol, the procurement price of ethanol. And unfortunately, that meant that people settled with quantities of rice, which needed to be processed at lower levels or the lowest levels of contribution as maize prices declined over Q1 of this fiscal year.

However, going forward, we, of course, we were procuring a lot more maize and the price of maize has fallen even further. So, from the lofty levels of ₹26-₹26.5, our buying average for the last quarter was approximately ₹23 -odd, slightly lower, and it will fall even further by over ₹1 per kilo when we look at the prices going forward. The profitability, as I mentioned was impacted by that. It was also impacted by an increase in the internal transfer price of C - heavy molasses and some increase in fuel expenses.

Ethanol constituted 92% of alcohol sales in Q1 FY 26 compared to 91% in the previous corresponding quarter. I think it's important for us to dwell on the outlook of the sugar business. The monsoons have been very encouraging across North India and in the state of Uttar Pradesh, and they bode very well for the agricultural sector. At the Board meeting, which concluded yesterday, the Board actually very closely considered the rainfalls that has happened thus far and the incidence of pest and disease, which are all with well below

permissible limit thus far.

It is very encouraging at this particular point in time. However, I will caveat it and say that the rains in August and September in the past two years are the ones that have particularly played spoilsport with the sugar season. We're keenly anticipating that Sky met and the forecasting data that we have points towards very regular and normal rainfall over the next couple of months, which is very positive. However, that is still a prediction, and it will be a very important parameter in terms of the health of the crop.

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The health so far is actually quite excellent, both in terms of yield and in terms of the sugar content formation that has happened over the last few months. At this particular point in time, all eight sugar factories are actually looking pretty good with a slight increase in cane area as well for our sugar factories area under cane. We continue to make some judicious investments in our facilities to enhance our crush rate and with a particular emphasis on efficiencies. I think there has been a particular onus in terms of improving our steam economies at our sugar factories, which will result in higher bagasse savings, which will be sold at fairly lucrative prices in the market. The prices have been pretty good over the last couple of years. And so, our focus in this off-season on really single-handed

ly reducing steam economies should result in higher bagasse savings, which will be sold over the winter months during this fiscal year and on the next sugar year.

We believe that a continuously increasing portfolio of refined sugar and pharmaceutical sugar, which is about 73% of our overall portfolio augurs well for realisations of the company. Yes, we do have a lot of important clients that buy plantation white sugar. And so there will be a cap in terms of how much refined sugar the company can produce, but it does very well. The quantum of institutional customers has increased over the last couple of quarters, and there is a concerted effort as well from a realisation perspective. And if you compare our realisations, I think we've actually done rather well in terms of our sugar sales and the absolute numbers in terms of value of sugar sales. And that is directly related to an increased amount of institutional customers that we have on a repeatable basis.

With respect to the Alcohol business, the outlook, the focus really is on improving the sugarcane crush, which will help improve the molasses availability and address some supply chain, improve the molasses availability for the upcoming season.

With respect to grain, I think there is concerted and substantial efforts in terms of addressing and improving supply chain issues. In terms of procurement and in terms of storage of grain, especially maize to ensure that we do a much better job. It has been a learning process. This would be the third year that we're processing maize. And I think we've got a great amount of confidence in terms of how we procure it, how we transport it, how we store it. And I think that will factor into the yields when we look ahead and as we get this maize crop processed.

We're also hopeful that the government will address the feedstock and profitability challenges in the various feedstocks. And we hope that the government will remain committed to the EBP programme. And as I say that, I attended a conference last week where an important cabinet minister made a public statement in his speech saying that the government was looking at announcing 27% in a graduated manner for Ethanol blending. My own personal view on this is that we will graduate potentially based on new BIS standards, because the BIS standards are very important. And as the BIS standards, I understand will come out for 22%, 25% and 27%. That will be the graduation in terms of the total quantum. This augurs very, very well for the sector.

I also believe that E85, which has been launched across 400 petrol pumps across the nation, will offer another substantial alternative for other ethanol production across the country. You're looking at 1,000 crore litres being

absorbed this year and with the maximum of what I've talked about could be well ahead of double that quantity in the coming few years. Of course, not all of that will be produced, so one will see an investment in additional distillation capacity across the country.

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Turning to the outlook of our Power Transmission business. The economic growth is really very positive. And we're seeing sectoral -based investments and in manufacturing across India and across certain economies around the world. The company is venturing into new products and has received encouraging results for these products. And for example, it would be in terms of compression gearbox technologies, looking at new developments, new research projects and commissioning new products that will be in the marketplace and will hopefully add to the entire basket and addressable market segment for the company. The international market continues to be a key thrust area. Our quality leadership in the domestic market has paved the way for many overseas customers to qualify Triveni for steam turbine pump and compressor gearboxes.

Our acceptability in the overseas market has risen because

of continuous

marketing efforts and an opening of a European sales office in Switzerland.

And also, of course, as a result, the recent enlistment on ABLs, which are known as approved vendor lists of certain OEMs as well as third parties.

In the Defence segment, we've recently completed the order for gearboxes for fast patrol vessels of the Indian coast guard, and we've secured more orders for gearboxes. I think that bodes very, very well because we'll be the only company in the country that actually makes, that have complete technology for marine gearboxes within India. In addition, we're also working and continue to work on more products such as stabilisations and expand our service offering in propulsion shafting technologies.

Looking at the water business outlook, the business anticipates good business opportunities and funding is expected to flow from both state and central governments. Due to the gap of demand and supply of water and wastewater treatment plants, the water sector has recently actually started to receive a lot of positive outlook. And there have been a lot of significant opportunities that have cropped up in Q1 in terms of enquiries, et c., that will hopefully fructify into actual commercial bids. The new opportunities are exactly on the same lines that I talked to you in the past, which includes recycle, reuse, ZLD as well as EPC on HAM models.

Sewage recycling is a new area of business. And wherever there are industries and off-takers for buying treated sewage, this model should emerge as a quite successful model in the future. And we're also targeting some foreign projects, and we continue to do that, and I've spoken about that in the past as well. At an overall level, the company has implemented a series of strategic initiatives over the last few months, much, much more so than the past. We've recognised the fall in recoveries that we've had in our sugar business. And as a consequence, that has impacted our quarterly performance. And really, our targeted focus on improving that.

Now a lot of the performance as far as sugar is concerned you see sugarcane is a two year crop cycle. So, if you had ratoon in one year and the plant came or whatever was converted into the ratoon and would give you a poorer result, both in terms of yield and recovery. Now a lot of that cycle, that two year cycle is over. And so, the anticipation for the next year is actually wholly different from the season that we've had, both in terms of productivity as well as in terms of anticipated recovery.

Internally, we're looking at 3 years ago as a benchmark, the weather patterns as well 3 years ago, which is a very positive year. And we're hoping that the weather and pest disease doesn't play spoilsport over the next 3 months before the start of the sugar season, which we anticipate, frankly speaking, just

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after Diwali. Diwali actually is a little bit earlier. It is on the 20th of October, very early this year. And so soon after that, we anticipate that sugar mills will start their operations.

Regarding the proposed scheme, I think it's important to just close out my opening remarks with a few comments on that. The amalgamation with Sir Shadi Lal and the demerger of the Power Transmission business. We are still awaiting regulatory approvals. We're following up continuously with SEBI. We've received some in course and regular questions from the stock exchanges, which have been answered to our knowledge, they will meet the satisfaction, and we are hoping that we will get that permission very, very soon.

In terms of what that means, in terms of progress, I think we could broadly speaking, be on time. If anything, it could add another 30 -odd days. But broadly speaking, as I mentioned, we're still anticipating Q1 of the next fiscal year, and I think we're still very much in line with that.

With that, I'd like to close my opening remarks and open up the question -and- answer session.

Moderator: Sure. Thank you very much. We'll now begin the question -and- answer session. The first question is from Rehan Saiyyed from Trinetra Asset Managers. Please go ahead.

Rehan Saiyyed: Good evening and thank you for giving me the opportunity. I have a couple of questions. First on the power transmission side. The PT B order book has grown strongly, especially with the export traction. How much of the ₹423 crore order book you expect to convert into revenue in FY 26? And do you see margins improving in the export heavy mix going forward for the going quarter.

Tarun Sawhney: I'm sorry, the second part of your question was inaudible. You'll have to speak a little slower and louder, please.

Rehan Saiyyed: Sorry. I have a question regarding a power transmission business.

Tarun Sawhney: No, I got the first one about what is executable in this year. What was the second part of your question?

Rehan Saiyyed: Second part of my question is, do you see any margins improvement in the export heavy mix going forward for reward?

Tarun Sawhney: Right. Okay. We crossed the ₹400 crore milestone. We stand at ₹423 crore. The long duration orders in this are ₹182 crore. The balance, the simple subtraction of that would be orders that are executable this year. It would also - the typical order to delivery is about six odd months. It could be a little bit less depending if it's an aftermarket order, et c. We still expect a substantial amount of book and bill to happen in this fiscal year to allow us to meet the budgeted numbers we have internally for this business. And as I mentioned that our growth rate stands unabated. We had an increase in finished goods at the end of this quarter as some of our customers expected us, including defence orders expected us to push out delivery into Q2 and towards the end of Q2 as well. We're anticipating that Q2, Q3 and Q4 will certainly make up for the limited growth that we had in Q1. But the business is looking very, very promising.

In terms of your question regarding the margin profile of the business, I want to add two very important things. We have grown the business. The company has invested quite substantially in the business. It depends on where you're looking at what type of margins you're looking at. Depreciation obviously will be higher

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because there has been a lot of capital investment into this business. In addition, we've also hired a lot of people, not just to train up for immediate growth, but for the future growth as well. So, there is a slightly higher HR cost. That does not, by any means, mean that we are looking at margin dilution. But in terms of growth of margins, it will take some time over the course of this year

for that growth to come into fruition as we get more orders and deliver more orders into export markets where we're traditionally expecting slightly higher OEM margins.

Rehan Saiyyed: Okay. Thank you for your confirmation regarding this. My second question is on the maize prices. You have mentioned a correction in maize price benefiting distillery margins. Apart from raw material cost, what other levers of cost optimisation are you working on business in FY 26?

Tarun Sawhney: Yeah, excellent question. Very, very good question. Let's talk about supply chain and then I'll talk about operations separately. From a supply chain perspective, you have to purchase maize and then you have to store maize. Maize like any other crop comes with small amounts of fungus, et c., and other impurities. The first fundamental process is to improve the supply chain by dual testing, point of loading, point of acceptance as well.

The second thing is the keeping quality and I think there's been a lot of work, and we've worked with other firms as well to improve that keeping quality to add ventilation, et c., to en

sure that there is no buildup. And so that the starch content in maize does not change significantly at all over a period of time. So that is a very important step in terms of the keeping quality and the procurement strategies as far as maize is concerned.

The third is with respect to operations. I think our cost of fuel is an important contributor to our cost of production at our distilleries, especially our stand-alone distilleries. And therein, we are doing a lot of effort, and we'll continue to. Some of it will happen now. Some of it will require some small CapEx, not but some tinke ring CapEx will be required to further improve our steam economies, which will allow us to then reduce our secondary fuel, which is the gas, which is very expensive because the gas during the season is ₹2,200-₹2,500 per tonne approximately during the season. But in the off-season, it increases by a good 20%-25% from that point, maybe 30%. So you don't want that. You want to store the maximum amount. We're doing work in terms of raising the quantum of bagasse that the sugar factories will also have. So, all of that is sort of tied in and will result in better operating results when we enter into the next supplier.

Rehan Saiyyed: Okay. Thank you for detailed explanation and giving answer for me. And last question is around like from my understanding, could you provide a time-line update on the composite fuel of arrangement for the SSEL and PTB?

Tarun Sawhney: Yeah, I just addressed that. That was my last comment before I opened up Q&A. We stand unchanged and our perspective is that it will happen in Q1 of the next calendar year, Q4 of this fiscal year.

Moderator: Thank you. Next question is from Sudarshan Padmanabhan from ASK Private Wealth. Please go ahead.

Sudarshan P.: My question is to understand a bit more on the cost structure in the first quarter. Now historically, when we look at the off-season expenses, how it has been apportioned, it is usually the second quarter that takes a brunt of the overall impact as far as profitability is concerned. I mean, just to understand, I mean, going by your commentary, whether the entire drop in the sugar business is primarily on account of lower gross spreads as we call it. Or is
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there a departure or is there a little bit change in the way the off-season expenses that has basically been booked in this quarter?

Tarun Sawhney: Yeah. Let me explain it. Number one, let me confirm that there is no change in the practice at all in this quarter. Whatever we have been doing in the past, the same is consistently being followed. Now in Q1, there is some part of the previous season, which extends into Q1. And after it finishes in the month of April or early May, thereafter the off-season starts. So as per the accounting policy of the company, all costs relating to off-season are expensed out in that quarter itself. So, it subsequently forms a part of the cost of production of the next season. So therefore, there is no change. But obviously, the share of the

off-season cost in Q2 is more than Q1.

Sudarshan P.: Sure. Basically, will continue into the second quarter and probably the only thing that would change in the profitability, if at all is if the sugar realisation continues to be over 41, then probably the spreads would be on a higher side. Would that be right?

Tarun Sawhney: Yes. So therefore, if you look at the pattern, because of such accounting, the profitability of Q3 and Q4 is substantially higher. So, our average realisation for Q1 stood at 40.4 on a consolidated basis. Sugar prices already in the month of July were approximately that. August is pointing substantially better than what this average is and as we go into September, that will increase because you have an early Diwali. A lot of the buying for Diwali is going to actually happen in September. I anticipate that you will see,

you haven't asked the question, but my view is that sugar prices are on a small gradual uptrend as they typically are at this time of the year. We may see it little earlier. Festival season is earlier.

Sudarshan P.: Sure. And the cost of the sugar would more or less be similar at 37.5 of inventory, right? That's what you had kind of pointed.

Tarun Sawhney: Absolutely. Of course, that sugar is produced.

Sudarshan P.: Sure. Definitely, the spread should be higher. So that's good news. Coming to the ethanol side, I mean, it was heartening to see the volume increase in ethanol. But coming to the FC I grain is the entire cost of the impact of FC I rice has been taken in this quarter? Because I'm looking at it from the point of view that if the volume continues and this baggage is kind of behind us, then the profitability of ethanol will be substantially higher.

Tarun Sawhney: No. Excellent, very good question. And I think this is a strategic decision that we've taken that has not proved right. I want to recognise that we took that decision at a point in time looking at maize prices, but it has not panned out well for us. And it accounted for 27% of our volumes for the last quarter. For Q2 production, it will be less than half that. It is not over, but it will be less than half, less than half of what was supplied. 27% was supplied. I would say it will be, we're trying to minimise it as much as possible. Worst case scenario, it will be 13%-13.5%. Best case scenario, it will be even lower than that.

Sudarshan P.: Sure. And one final question before I join back the queue is today, I mean, when I look at on a YoY basis, I mean, we had an easier base as far as Ethanol blending is concerned, where I think around the blending was around 14%. But when I'm tracking the monthly blending, I think already the blending is close to 20% now what is it that the government has going forward from here in terms of rate of change, in terms of Ethanol blending programme? How is it going to translate into growth going forward from here on?

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Tarun Sawhney: Great question. And I'm going to just refer to important conference convention that I was a part of last week, where we had one of the most senior Cabinet Ministers who gave a very long speech. It was a Sugar Technologist Conference, but a very long speech about the future of Ethanol and his perspectives on that. He announced publicly that 27% blending has been approved. It is my understanding that BIS is expected to come out with standards for 22% blending, 25% blending, approximately 25%, 27% blending. It may be divided into four, not three but that is effectively going to be the graduation in increase in ethanol blending for the EBP programme.

Now with that being announced, I think parliament is on right now. I imagine that, that would have to conclude, will have to conclude and then this decision will be announced by the cabinet or rather by MoPNG officially. But I expect that, that is pretty much set in stone. In addition, we also have the possibility of E85, they have the possibility of E85, the number of petrol pumps being 400 and again, the Road Transport Minister has clearly said that he is looking for a factor increase in that. In fact, the Minister was quoted in this morning's papers

about 27% blending being announced by the end of August. Yes, that is very much in line with the end of the monsoon session and or rather just post the monsoon session. I see a graduation and a huge volume buildup.

Now you may ask what happens to the automobiles, et c, because all of these discussions have taken place. And it is my understanding that 25% blending is easily possible without any change in engine technology for two-wheelers and four-wheelers whatsoever. There is nothing that needs to change between now and 25%. I think there is still a lot of consideration between what happens between 25% and

27% and I think we will learn a lot from Brazil. But that is still about a year or two away to get to 27 % because you need to have that kind of production in the country. But it's very, very positive that this is the step that is being taken towards E85 as well as towards E27.

The other thing, of course, is that the Minister has also announced that most of the large automobile manufacturers are coming out with flex fuel cars that will be available for the Indian public. So again, it's creating that sort of harmonious ecosystem, not just for supply but also for demand for the E BP program me.

Moderator: Thank you. Next question is from Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Good evening, everyone. The first question is on the margin front. We have seen margin pressure for some time now across segments. I understand for sugar, we are having issues of 0238 with compression of yields. But just from your perspective, when do you expect the margins what we enjoyed in 2022-23 coming back to our businesses?

Tarun Sawhney: Let's talk about which business because we have our engineering business, we have our distillery business , and we have our sugar business.

Shailesh Kanani: Predominantly, margin compression has been witnessed in distillery and sugar. If you can highlight that, Engineering is one -off that this quarter, I assume.

Tarun Sawhney: Sure. Engineering has improved since then. So that we don't have to worry about. Yes , with respect to the distillery and with respect to the sugar business, let me start with the one that has been affected the most, which is the distillery business. I think that the worst is behind us. And I think as far as the distillery business is concerned, because of what I've talked about, I won't repeat everything that I've said. It will be on the concall transcript, which will be on our website also. I've just talked about what we're doing to improve our
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margins, both in terms of COP as well, we can't do anything about sale price. It's all about COP, be it operating strategies, be it supply chain strategies to help improve our margin structures, et c, that is all in place, and that will come very soon in the next Ethanol supply year and even before that, as the rise that I've spoken about will reduce even in Q2, et c. And so , you will see a natural bump up. Now a return to the type of margins that existed in 2022-2023, that is about billion dollar question. But I think that if the government and this is the way that you have to look at it, if the government is announcing 27% Ethanol blending, the only way you get to ethanol blending of 27% as well as E85 petrol pumps, is if more distilleries are established across the country, regardless of feedstock, be it sugarcane stream or be it grain stream.

For that to happen, you have to have better margins so that entrepreneurs actually spend money in this sector. That will, of course, help not only those who have existing capacities, but also invite people to come in and set up capacity. Now the government announcing the 27% as the Honorable Road Transport Minister has done in the papers today, I think that bodes very well. I can't give you a timeline. I can't even definitively say that we will touch that. But I certainly see margin improvement happening because of better pricing policies because the nation needs more Ethanol production.

Now with respect to the sugar business, I think that's the second part of your

question, that is not a billion-dollar question. That is something that is a very real question that we have tackled right now. The replacement of 238 in low-lying areas is, by and large, the vast majority of it is done. It still exists in higher areas across our factories. And yes, we will continuously reduce that, but that the tearing hurry and urgency is slightly less. You can manage it a little bit with better seed treatment, with better pesticides and fertilizer dosage, etc.. And so, you will see that fast improvement happening from this sugar season onwards.

Now to get back to that margin, it's twofold. One is to look at your cost of production. Your cost of production will improve if your recovery improves. We're expecting the recovery to improve. Will we touch the same recoveries as 2022-23? I think it will take some time. That was a golden period. The variety was in its absolute prime. The variety is no longer in its absolute prime, and we don't have a variety that can replace it and give the same kind of results. There is a lot of work being done. But as of today, there isn't a magic solution there. But yes, we can improve, we can make a lot of improvements in terms of more yields and therefore, better capacity utilization, and you can try and approach the element of cost of production through other ways and not just recovery because there are other constituents of that as well. And that is what we at Triveni are doing in the coming season and beyond that in terms of lowering our cost of production.

The next quantum is in terms of sugar pricing. Now with while FRP doesn't affect us in Uttar Pradesh, the FRP has gone up a lot. And the sugar price has not kept up. And I think there is a deep realization in the government that if we have to have enough cane for the Ethanol blending programme and we have to have enough cane for consumption and the balance can be exported, then we need to have sugar prices that are commensurate or sugar prices increases that are commensurate. You've seen the government, of course, let me give you an example. The quota that was given by DFPD of 2.25 million tonnes for the month of August is a reduction of 200,000 tonnes over the previous corresponding month of the previous year. That's a very significant reduction in a high consumption month. And it is really to ensure that sugar prices follow the right trend so that we don't have a problem in the next year.

Shailesh Kanani : Fair enough. So that is helpful. Just one follow-up on that. What is the 0238 exposure this year v/s last year?

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Tarun Sawhney : It is presently under 40% v/s close to 55% the previous year.

Shailesh Kanani : And our plan is to bring it below 25%, I guess, last time when we discussed, right?

Tarun Sawhney : That's right. While we plan to bring it down, we are at the same time, doing a very rigorous wellness programme to extend the life of the remaining 25% also.

Shailesh Kanani : Okay. Thanks. My second question is on capital allocation. We have been investing in our water division, and we have kind of spoken in the past many times about the opportunities over there. I think our capital employed is somewhere more than ₹600 crore over there. How do we see this division in terms of return profile? When do we expect 12% - 15% ROE, ROCE numbers? Because currently, it is less than double-digit, right? By when we expect this return profile to come?

Suresh Taneja : Number one, in the case of water business, we have not made any CapEx in that particular business because no CapEx is required. We basically carry out an asset-light business model according to which most of the manufacturing is outsourced. This is number one. And number two, there is a working capital requirement, which is definitely there in this business. And that basically depends from project to project depending upon what the billing milestones, etc are. But by and large, you quoted a figure of ₹2,600 crore or something.

Shailesh Kanani: Segment assets is ₹600 crore, more than ₹600 crore.

Suresh Taneja : Yeah. Basically, I think reasonable return actually depends like the way Tarun just said that we are looking at the projects overseas abroad, etc. The very purpose over there is, number one, so that over there, it enables you to complete the pr

oject in a timely manner so that you are able to collect your money, come back and you get a good return. Idea over there is to pick and choose good projects where the returns are good. So , this is the direction we are proceeding it.

Moderator: Thank you. Next question is from Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar : Yeah, good evening and thanks for the opportunity. My first question is what is the cane crush for the sugar season 2024-2025 and the gross recovery for the year?

Tarun Sawhney : Crush sugar season, it is 819 lakh quintals and the gross recovery, which is the c-equivalent recovery is 10.8%.

Rajesh Majumdar : And how does the gross recovery compared to the gross recovery two years ago? How much has it declined, the gross recovery in the last two years?

Tarun Sawhney: The previous year, it was 11.49% and the year prior to that was also in the same range.

Rajesh Majumdar: 11.5% was the peak, and now we are at 10.8%.

Tarun Sawhney: No. Prior to that, we have gone up to 11.97% on this basis. That was when we went out starting in a couple of our factories.

Rajesh Majumdar: Gross recovery at 10.8%, you think there is no downside now and this can recover by say, 20 -30 basis points this year as a realistic assumption?
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Tarun Sawhney: Well, I don't give forward -looking estimates, but you can sort of try and calculate what the impact of rain was that was unprecedented last year as well as the impact of disease. The impact of disease was higher than the impact of rain. I would certainly think that all going well, if there is no untoward change, then we will certainly see a significant improvement in terms of sugarcane recoveries and crush.

Rajesh Majumdar: And crush. Basically, the area under cultivation also you guided that there's been some improvement for this season ?

Tarun Sawhney: The area under cultivation has increased somewhat YoY. We've already done the surveys. So , there has been an increase, low -single digit percentage, but that's still quite a lot. And that if you factor into better yields means that the cane availability, of course, could be better. And that is the hope, of course. And I keep giving this caveat whether and pest and disease permitting.

Rajesh Majumdar: Right. Secondly, on the alcohol policy, I mean, how should we take this FCI rice policy? Because last quarter, when you had done the concall, you had said that you'll be using maize and suddenly, we find this quarter that we used 27% FCI rice. This kind of a flip flop is giving us a kind of wrong direction in terms of what the company is really doing on its procurement. And since we were expecting that the maize will be a substantial figure this quarter, there was a disappointment in terms of the kind of feedstock that you used. So , will this be a continuing thing? Or will this stabilize somewhere? I mean, can we see some kind of a constant grain use, which can actually give more steadiness to our earnings .

Tarun Sawhney: Yeah. Okay. So no, you're very right. I think I don't quite recollect what I had said. But I think when I spoke to you in May, at the very end of May, maize prices had declined a lot. So that comment was relevant at that particular point in time that this procurement strategy was going hammer and pounds in terms

of maize procurement because the maize procurement price dropped from ₹26.5. At that point, it was around ₹23. Now at that particular point in time, we had already bid for FCI rice. The FCI rice bid was done when FCI was -- when rice was opened up for us or rather for ethanol blending much earlier. And at that particular point in time, prices prevailing for maize was substantially higher, which was the rationale for it.

Now you're absolutely right. It did turn out to be a poor decision and since we don't give you the actual blend of which grain we are us

ing at what particular

point in time, this has come as a little bit of a shock to you. One fully appreciates that. I think in terms of clarity, for the foreseeable future, we're not certainly not going to be taking in any FCI rice given where the price of Ethanol derived from FCI rice and the price of FCI rice given and I find it actually quite surprising that the price is what it is because we have so much of it in the country. And I think the point is well taken. We'll provide you more clarity in terms of what grain stocks we will be consuming in which quarter so that you can work out the margin structure.

Rajesh Majumdar: Yes. Thanks. And my next question is on the CapEx in Mysore. How much of the CapEx is already done and how much is pending and whether the defence bay will be commissioned this year?

Tarun Sawhney: Yeah, excellent question. The vast majority of the CapEx has been committed, and it will all be executed on time as one is forecast within this fiscal year. The tune of that is about ₹150-odd crore for this year, which is the total amount pending. Now with reference to the defence bay, there are two aspects. There's the office block and there's the manufacturing facility. We are very
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hopeful that within this calendar year, the manufacturing facility will be operable. And so, the machines will be in place and production will start within this year. So, it's on track with what I had mentioned in the last conference call. The office block will be complete a few months later because we've devoted all of our energies in terms of getting the productive asset to be operable, but people can commute from the other facility with respect to any office work, etc.

Rajesh Majumdar: Yeah. If I could sneak in a last question. Although you've been sounding optimistic on the ethanol blending going at 27% extra, there's also a negative sentiment coming in from India's ongoing trade negotiations with the U.S. to ease the restrictions on Ethanol imports. While that may be debatable, then you may have a different point of view. I was just wondering as a company, post demerger, do we have any thoughts on the sugar alcohol business beyond Ethanol where we can see some kind of growth areas other than ethanol, if you have thought about any? Thank you.

Tarun Sawhney: You asked two questions. I'll answer both. With respect to the ongoing trade policies, the industry associations have written to the government. We too have written to the government and said that we would like to see maize imports if possible. Now even if it is GMO maize, the DDGS from that, it is actually -- it was being considered that the GMO is going to be non-GMO. But frankly speaking, talking to the poultry associations, etc., they're very happy to buy that DDGS. So, if we can import DDGS maize at competitive rates, it will allow us then to have more utilization of our plants and perhaps even some more plants to be set up across the country. I don't see that as a negative, unless you have direct Ethanol imports.

If you have direct ethanol imports, it's a competing product. That is a bit of a pickle. I don't see that happening so easily at all. And I think from what I'm hearing and understanding, it is the direct maize imports that could possibly happen. The government is trying to work out the modalities of GMO, which, as you know, in India is a very ticklish subject.

Now with respect to Triveni, after the demerger, looking at other things, we have some time for that demerger to happen, yet the thought process is on and the Board is going to conduct workshops, etc., and evaluate a series of different options. I don't have anything concrete to share with you right now,

just that the intent is certainly there to look at all available options that are in front of us today because, yes, we do have good cash flows from the business that are investable. And we have to do

something to regain as well as the previous person mentioned the margin structures that we had in 2022-23.

Moderator: Thank you. Before we take the next question, a request to participants to please limit your questions to two per participants. The next question is from Abhisar Jain from Monarch AIF . Please go ahead.

Abhisar Jain: Hi, thanks for the opportunity. Just wanted to know that the CapEx in the gear business that we have been doing to take the capacity to ₹700 crore turnover and which is supposed to complete by September 2026. How is the progress on that? And is it on time? Can you just give a little bit more color on that?

Tarun Sawhney: Sure. I just answer that question. I had partially answered it earlier as well. But in response to the previous gentleman who asked a question in terms of diversification, I had forgotten to add our Alcobev business, which has actually grown. The country liquor business is profitable and is growing quite substantially, very good double-digit growth, and we'll continue to see that growth, profitable growth. As far as the IMFL business is concerned, that is in an incubation stage. It will take a couple of years before it starts throwing out some profitability. But it is a business that is really a sunrise business as far as

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India is concerned, as far as the new generation of Indians is concerned. So, there have been moves in terms of diversification. They're small right now, but they certainly have large prospects for the future.

Now I'm sorry, I answered somebody else's question when you asked the question. Let me return to PTB. As I had mentioned, our CapEx is very much underway, and it is being completed as per the track that one had mentioned and as you've mentioned. So, the production capability is pretty much in space. It doesn't mean that it gives us our full capacity utilization will be a higher amount. It doesn't mean that we achieve it straight up, but it will certainly be in place on time. A lot of the machines are already in place and our productive assets as we speak.

Abhisar Jain: Yeah. So just clarifying. So, you had earlier mentioned that defence bay will be commissioned within this year, but also the gear CapEx expansion to ₹700 crore capacities on time till September 2026, right?

Tarun Sawhney: Yes, that's exactly what I'm saying. It doesn't mean that we're going to be producing ₹700 crore. It means the capacity is there.

Abhisar Jain: Yes, of course. Yes, sure. And on this defence capacity, since it will be commissioned, can you now provide some guidance on how that ramp-up will be there in FY 2027 and 2028? What is the line of sight in revenues from that multi-modal capacity?

Tarun Sawhney: It's really a start-up business. So, to provide line of sight of revenues, and it's a business that is famous for delays in terms of orders. In some respects, it's like our water business, okay, where you just don't know when the orders are going to be finalized, etc. When you have bid for orders, but the actual opening and award is something that is totally out of your hands. And that is the peculiarity of that business. With all due respect, I'm going to refrain at this point from providing any future guidance on that business.

Moderator: Thank you. Next question is from Nitin Awasthi from InCred Equities. Please go ahead.

Nitin Awasthi: Hello. Actually, my first question, you have just answered a bit in that whole pie of IMFL and IMIL that you just spoke about, one extension to that was left, which I'll ask right now. Any movement you're going to make into the UPML market because of the new excise policy in UP?

Suresh Taneja : We have already started and introduced UPML brands from June of this year.

Nitin Awasthi: Okay. From June of this year, you have introduced them in both the segments?

Suresh Taneja : In one segment, in the other one, we are about to do.

Nitin Awasthi: Okay. So, is it 28 you have introduced and 42 you'll be doing it in the future? Is that understanding correct?

Suresh Taneja : Yes. So, we have already done 28, we'll be doing 42. I mean, it could be happening this month itself.

Nitin Awasthi: Understood. Also, our current machinery that we have post the last expansion that we did within the IMIL segment, that machinery itself is capable of handling almost the whole packaging of a UPML product also, right? Is that understanding also correct?

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Suresh Taneja : Yes, that is right. We have adequate machinery to handle both UPML and IMIL.

Nitin Awasthi: The total capacity output at 100% would be 9 million cases?

Suresh Taneja : Yes, 9 million.

Nitin Awasthi: Yes. Understood. Second question that I had was something interesting you spoke about earlier when a question was asked to you about how would you be increasing margins. You spoke about a cost component within which you specifically mentioned steam. Now steam for any grain distillation is a very heavy cost, the biggest cost after raw material cost. And of course, a lot of work is going on in this space. But would it be correct to understand, given the engineering excellence that your company holds, you will be able to make waves faster within this space? And is that some way where you're moving about? Like what is the current consumption per litre and which way do you see it moving?

Tarun Sawhney: I'm not going to give you the consumption per litre because then I'm going to have to give it every quarter. But I will say there are two things. Firstly, with respect, there are things that are low-hanging fruit. And then as I had mentioned in an earlier comment, we have just completed a consulting exercise to look at what can we do with small investments, small capital investments to further improve the steam economies in the distillation. Reduce our power cost effectively. So, let's understand the low-hanging fruit you're going to see immediately. But in terms of the most significant and telling reductions that will then have a lasting impact on our profitability, you should also see that in the near future, but we will have to time it. Firstly, we have to consider everything, which we'll be doing immediately over the next couple of weeks. Then, of course, the timing of this is dependent on when you take those little shutdowns at the distillery. Because as you can imagine, you cannot do any welding work at a distillery that operates 24 hours a day because of the alcohol, fumes, et c., the hazardous nature prevents you from doing that. So, then we will have to look at what are our schedules, when will this equipment, the tag along equipment, the vessels, et c., that need to be potentially added be in place and post which we will have the reduction in that. But yes, you can certainly see this as a short-term measure over the next few quarters that we will be executing.

Moderator: Thank you. Next question is from Maulik Choudhary from Monarch Network Capital. Please go ahead. Maulik you may go ahead with your question.

Maulik Choudhary: I just have one bookkeeping question regarding power transmission business. Out of this long duration order of ₹182 crore, how much is related to defence?

Tarun Sawhney: The largest pie is related to defence. I don't have the exact number. Actually, Rajiv is on the call. Rajiv, of the ₹182 crore, what percentage would be defence, what percentage would be gears, if you could answer that, please?

Rajiv Rajpal: Roughly about 80% would be defence.

Maulik Choudhari: Okay. And what is the order execution timeline for this long duration orders?

Tarun Sawhney: So, the gear s orders will be executed in the next fiscal year, which has long term. The defence orders will be executed over the next 24 months.

Moderator:

Thank you very much. We'll take that as the last question. I would now like to hand the conference back to the management team for closing comments.

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Tarun Sawhney: Right. Thank you, ladies and gentlemen, for joining us for our Q1 FY 26 results. I look forward to speaking to you in three odd months' time with hopefully much better news to share, both in terms of weather and in terms of performance of the various businesses, et c. This has been a relatively hard quarter. I think we've recognised that. We've really worked very hard, firstly, to recognise it and then to find improvements around all of this so that we can come back to the type of profitability that we had showcased in previous quarters. The company is fully committed to excellence in all of our businesses, et c. And I hope that you will be able to see that kind of result very, very shortly. Thank you again for joining us on this call and speak to you in three months. Goodbye.

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Sub: Transcript of Analyst/ Investor Conference Call held on 07th November, 2025

Dear Sirs,

Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed transcript of the Analyst/ Investor Conference Call held on 07th November, 2025 post announcement of unaudited financial results of the Company for the Q2 & H1 FY26 ended on September 30, 2025. The transcript is also available' on the website of the Company at: www.trivenigroup.com

You are requested to kindly take the same in your record.

Thanking you,

Yours faithfully,

For Triveni Engineering & Industries Ltd.

GEETA BHALLA

Group Vice President &

Company Secretary

M.No. A9475

Encl: As above

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Triveni Engineering & Industries Limited

Q2 & H1 FY26 Earnings Conference Call Transcript

November 07 , 2025

Moderator: Ladies and gentlemen, good day and welcome to the Triveni Engineering & Industries Limited Q2 and H1 FY26 Earnings Conference Call .

I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you, sir .

Rishab Barar: Thank you. Good day , everyone , and a warm welcome to all of you participating in the Triveni Engineering & Industries Q2 and H1 FY26 earnings conference call. We have with us today, Mr. Tarun Sawhney , Vice Chairman and Managing Director , Mr. Suresh Taneja , Group CFO , Mr. Sameer Sinha , CEO of Sugar Business Group , Mr. Rajiv Rajpal, CEO of Power Transmission Business as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature and a statement to this effect has been included in the invite which was shared with everyone earlier . I would also like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence this call with opening remarks from the management fo llowing an interactive question - and-answer session .

May I now hand it over to Mr. Tarun Sawhney . Over to you, sir.

Tarun Sawhney: Thank you very much, Rishab . Good afternoon , ladies and gentlemen , and welcome to the Q2 & H1 FY26 earnings conference call for Triveni Engineering & Industries Limited . The key numbers for this half year are the revenues from operations increased by about 18.4% to just over ₹3,300 crore . The PBT stood at ₹32 crore v/s ₹11.5 crore for the same period for the last half year, and the PAT stood at ₹23.5 crore against ₹8.6 crore for the previous corresponding period . We have quite a lot to discuss on this call, and there have been lots of important announcements and movements in the markets effective in all of our businesses, and I hope to be able to cover all of that over the next 60 minutes or so .

The net turnover for H1 increased, as I mentioned, by 18 %, supported by a 21% increase in Sugar and its allied businesses , and an 8 % increase in the Engineering Businesses of the company . In Q2, the net turnover increased by 14%, which was supported by a healthy double -digit growth across both business segments. There's a healthy increase in profitability in H1 and Q2 FY26 , supported mainly by

improvements in the Distillery operations, which is something that we discussed on the last earnings conference call, which we stepped right and managed to really emerge quite well as far as our Distillery
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performance is concerned, and also encouraging performances from our engineering business.

The Power Transmission Business secured another successful healthy quarter. The Sugar Business profitability remained a little subdued, however, in this quarter, in view of the major period of the half year off -season and no manufacturing happening during the quarter under review .

The gross debt of the company has, on the 30th of September 2025, increased to ₹505 crore , compared to ₹383 crore a year -ago. The standalone debt for the period under review comprises of term loans of ₹310 crore , out of which approximately ₹160 crore are with interest subvention .

On a consolidated debt basis, our numbers are ₹753 crore of gross debt compared to ₹536 crore on the 30th of September 2024, and our overall cost of funds stand at 6.4% in Q2 FY26 , which is about 30 basis points lower than the 6.7% in the previous corresponding period . That's quite a positive movement.

Turning to the business -wise review. In the Sugar Business , the revenues for H1 increased by 22%, supported by a 14% increase in Sugar dispatches , and a 4% increase in realisations . For Q2, the revenue increase was 27%, supported by 15% volume growth, and 5% in realisations . Both, of course, were very important for the performance of the sugar part of our business.

The substantial period of H1 FY26 and the entire Q2 FY26 represents the off -season period and no manufacturing operations takes place during Q2 FY26. And, therefore , all expenses relating to that have been expensed out . The results also include income of ₹16.81 crore of the Sugar business arising from the upward revision of the power tariff announced by UPERC with effect for the 1st of April 2024. The increase in the cost of sugar sold could not be fully offset by higher sugar realisation price and higher sales volume is the most notable point for the Sugar business for this quarter under review .

Our inventory from the 30th of September stood at 16.9 lakh quintals , which is valued at ₹37.4 per kilo. I'll just to give you some data points , the previous quarter , 30th of June quarter , we had 44.55 lakh quintals valued also at ₹37.4 per kilo . And, lastly , on the 30th of September 2024, we had 20.6 lakh quintals valued at ₹35 approximately per kilo .

The reduction in the inventory is in line with the reduction in the national inventory levels as well , so to give you that comparison on the 30th of September we had approximately 8 million tonnes and this year at the end of

September we have 6 million tonnes of stock . So, for us, it's been slightly lower than 25 %, which is good , because October and November , of course , has higher sugar prices . And all of our sugar from last year will certainly be liquidated by early January of this year , so everything in this particular quarter .

Looking at the industry scenario , as I mentioned , we start this year with a 6 million tonne opening stock and an anticipated domestic production of about 31 million tonnes. These are all numbers for the Triveni estimates . Domestic sales we still believe that we will see some stockpiling and some build up across over the course of the year . And, therefore , we assume sales of approximately 28 million tonnes very similar to last year and a closing stock of about 7 million tonnes. So this considers diversion of 3.25 million tonnes of sugar into ethanol and about 2 million tonnes of exports . Broadly speaking , those are the numbers that we're looking at . So, we're anticipating that over the next few weeks , DPSD and the Government of India will announce an

export program. As we're well aware,

I will, of course, talk about global prices, etc., and the issues regarding Indian exports as we go forward .

The UP government has recently raised the SAP by ₹30 rupees for Sugar Season 2025 -2026. This very frankly puts pressure on the profitability of sugar producers in Uttar Pradesh and necessitates a review in our eyes of the MSP, and urgently by the Government of India to bring it in line with input costs . We believe that MSP revision is being contemplated by the Government of India, and there are greater chances that that will fructify over the next few weeks. And this was, of course, a very different position than we were in last year .

There have been many representations made by the State Millers Association, as well as private millers to the government of Uttar Pradesh for subsidies with respect to the enhanced SAP, a record SAP that has been announced by the UP-State Government . One measure that we have already received is a reduction in the molasses reservation . On B, that is a reduction of 19 % to 18 % percent. On C, it works out a reduction from 26.18 % to 24.84 %, about a 1.34 % improvement, and it's effectively just under a rupee in terms of cane price impact . So not substantial, but something.

We are also anticipating an increase in the transportation allowances. Possibly up to ₹3 is what has been requested, which we'll equate to between ₹1 and ₹1.5 on cane . We're also looking at an increase in the country liquor reserved price, and that is something that has been contemplated over the next few months. And , again, that will result in a few rupees on cane in terms of benefit .

The industry has also asked for direct subsidy to help ensure that cane prices are paid duly, and the farmers focus on the transportation of sugar cane for the following season. I think this is something that the industry and the government of India are very much aligned, that they want all the marginal lands that will be diverted to other crops, including maize, frankly speaking, to be diverted back to sugar cane and work to be done very proactively in terms of enhancement of recovery. And, thereby , impacting the farmer's take-home income, especially , next year when we move into the election period as far as the State of Uttar Pradesh is concerned.

Looking briefly at the international scenario. The latest estimates point towards an over 4 million tonne surplus . In fact, it's pointing to an even higher surplus than that. And that has had a massive impact on international sugar prices. If we look at the March contract, it's at \$407 per tonne for whites, and December's at \$412 . So these are multi, multi-year lows, as far as the market is concerned.

And at these prices, Indian sugar being exported would be a great challenge. However, the requests that have been made to DP SD that the industry be given a much longer period to evacuate the 2 million tonne assumption that one has taken for the exported sugar . And if that is granted, and we do have the benefit of, let's say, three quarters to export that quantity, there is a very real likelihood that we will have an opportunity to be able to do it.

And also with an early announcement of exports, we may have factories in Maharashtra if they so choose to, for cash flow reasons or others, export raw sugar, if the market corrects ever so slightly from here. So, these are very definitive possibilities, et c., and we do see this as an essential component to maintaining sugar prices as we go forward. Despite the large amount of sugar being produced, the smaller diversion to ethanol that had been anticipated, and a challenging position to be able to export, I still believe that we will have moderate sugar prices over the coming year. I don't necessarily see any cause

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of any alarm, and neither do I see any real reason for any massive increase in domestic prices, and they will, of course, var

y.

If we do manage to secure the 2 million tonne export, and this which means that we will have a 7 million tonne opening stock on the 30th of September 2026, I think that will bode well. We will perhaps be able to reach forward as we come towards the end of the next sugar year. I think it's an interesting scenario. I think, all the bad news has been factored in. I think, from this point onwards, we will certainly look at more positive news.

Turning towards the Alcohol businesses. The sales during the quarter were down by 6%. Consequently, the closing stock, and this was because of the supply disruption due to an export fee notification. The closing stock of alcohol stood at 167 lakh litres at the end of September, compared to 62 lakh litres last year. But we've liquidated a lot of that, and a lot of that closing stock has been evacuated over the last 5 weeks, and of course, a lot more to be able to return us to a position of normalcy.

The average realisation price during Q2 is lower due to an increase in the share of ethanol produced from FCI Rice. We have registered a significant improvement in the profitability on the back of correction of input prices, particularly maize, and a much stronger focus on cost optimization. I'd like to give you just so me comparison and some ballpark estimates. We started procuring maize from Bihar in April-May, and that was at a delivered factory gate average of approximately ₹22.5 at that particular point in time.

The last few prices of UP maize, which rose, of course, we started procuring at a lower price than it rose, but the last price was at about ₹23.30 mill gates delivered and as an average across all of our distilleries. And right now, we are getting Madhya Pradesh maize, which of course has a better starch content and significantly better quality than UP maize, and we are receiving that at the factory gate at ₹20 per kilo. I do believe that with this 60-40 limits that have been placed by MoPNG in the ethanol tender, we will continue to see softness in maize prices. I am not sure if the government will look at export of ethanol, but if maize prices go down, I think that could be a very real possibility and something that the government could look at in terms of alleviating the pressure on standalone distillers, especially processing maize.

But I think that over the next few months, the Madhya Pradesh crop looks very good with descending prices, and as we move towards the Bihar crop, which is important for UP-based grain procurers like ourselves, that will also start with sufficient softness. So I think from a grain perspective and from an input cost perspective, I think, we are looking pretty good.

Ethanol constituted 92% of alcohol sales in Q2 compared to 93% in the previous corresponding quarter. The sale of ethanol ENA produced from sugarcane-based feedstocks constituted 46% of total alcohol sales in Q2, 44% in the previous corresponding quarter, while ethanol ENA produced from grain contributed to the balance 54%, which was obviously 56% in the previous corresponding quarter.

Looking at the industry scenario for ESY 2025-2026 in cycle 1, the OMCs have secured almost the entire amount, so 1,048 crore litres, against 1,050 crore litres, which was the overall amount. We believe that cycle 2, 3 and 4 will have a minimum of another 200 crore litres, perhaps even more. Now, you may be

wondering what does that mean in terms of the overall blend estimate and it points to a higher blend than 20 %. Yes, I think so. I think that we will even without noticing it in certain parts of the country , probably have a blend that is a little bit higher than 20 %.

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However, the elephant in the room really is what happens afterwards , because as you all know there was a massive amount of 1 ,776 that was tendered for the OMCs against the 1 ,048. And, of course , that does not include

the private parties, Nayara and Reliance , but that also means that we have a massive quantity .

In fact, our estimates are that the country's production is north of 2,300 crore litres in terms of alcohol production and that does not include distilleries, which are nearing finalization or operational readiness, which there are several across the country . It's a positive number to that 2 ,300 crore litres . It means that we have to, of course, find the solution. The government is acutely aware of finding such solution. I think it is a troublesome point and it's difficult to ascertain where we're going to go, but certainly the decisions have to be taken for this excess quantity that exists across the country .

The procurement price for FCI ethanol in the last tender has been revised from ■58.5 a litre to ■60.32 in line with the increase of the administered price of FCI Rice from ■22.5 per kilo to ■23.2 per kilo . The EOI for 2025-2026 has stipulated a condition that vendors should offer a minimum 40% of the total grain offer based on FCI Rice from Q1 to Q3 for this present ethanol supplier. And that is exactly why we have seen a great softness in maize prices, which will reflect in our profitability in this quarter and subsequent quarters as well .

Looking very quickly at what it means for us, we have been very successful in our secured quantities, but that does not mean that we are projecting a higher supply of ethanol through the OMCs and private marketing companies . And of course, the ENA that we produce, the total quantum of alcohol produced by Triveni for this year ethanol supplier is projected at higher than what we had last year.

We do need to secure certain , a few crore of supplies in cycle 2 , 3, and 4, which we anticipate broadly speaking , distributed equitably will be in molasses and grain , are just north of about 4 crore litres . So it's not a huge amount, but it is an important amount that we need to secure and supply. And that will allow us to actually produce at the most efficient capacity, which is something that the units across the group are completely focused on, and allow us actually to lower our cost of production and cost of conversion as well, which is something that, as I mentioned, even in the last quarterly call, that we are looking at with a very, very fine tooth comb for Triveni .

Turning quickly to the Power Transmission Business , and first of our Engineering Businesses . The order book, during the quarter under review, was definitely a little subdued . However, our visibility, our inquiries, has been quite remarkable. I'm very happy, I believe there is an anomaly in terms of the particular quarter under review . I think there was a lot of global factors that came to play tariffs being one of them, also events that were happening in West Asia, events that were happening in Eastern Europe, events that are happening in other parts of the world that led to a little bit of uncertainty where as far as our global customers are concerned . However, our overall numbers for the year still remain unabated. We're certainly looking at achieving a very robust double -digit growth in order booking, turnover and profitability for this financial year . And as I mentioned, despite the movement in this operating environment, and after absorbing the incremental costs related to capacity increase, our PBT margins have improved by more than 400 basis points . And this is essentially due to 2 very important factors. Number one, a very good product mix. So the focus of the business in terms of really attuning our product mix in delivering the maximum profitability is something that has happened . And the second is a very strong focus on cost optimization. And

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when I talk about the future, I will talk about initiatives that have happened and that will happen in the future, which will allow continual improvement in both of

these 2 levers and the emergence of other levers as well to ensure success of this business as we go forward .

During the first half year of FY26, I'm delighted to report that we have registered 9 new OEM customers in our product segment. And some of them are marquee industry names globally. And this is very, very important to share , because I mentioned in previous calls that we're doing a lot of work in terms of qualification orders . This is the result of this qualification orders , where we are now delivering those products and hoping that it will result in a significant increase as far as orders to new critical customers globally.

With respect to the Water Business , the results on the consolidated basis, including our SPVs of Mathura, both our SPVs showed an order booking of **■1,520 crore** , which includes **■1,092 crore** towards O&M contracts over a longer period of time . The business actually has done reasonably during the quarter under review. Again, we've focused very, very hard on reducing costs and ensuring the maximum amount of profitability of this business and execution as we go forward .

Looking quickly at the outlook for the various businesses, because I think this is where I'd like to focus some of our time. I'll start first with Sugar, and then move to the Alcohol and then to the Engineering businesses . With respect to Sugar, the overall cane crop seems very healthy for the State of Uttar Pradesh for 2025-2026. Last year, the state produced 9.27 million tonnes of sugar. This year, we're anticipating 9.6 million tonnes of sugar, an increase of 3.5% . Despite some flooding and water logging in the 2024 and 2025 southw est monsoon were timely and well -distributed this year, significantly producing the boosting the sugarcane planting and yields, especially in Uttar Pradesh, but we've seen similar improvements in yields, as well as potential recoveries in Maharashtra and Karnataka .

In Uttar Pradesh, as a whole, we've seen continual variety of replacement in a shift away from 238 , at Triveni the shift has been even more acute and I think other varieties are delivering promising results . Perhaps not as magnificent as 238 in its prime, but pretty close. And I think we're going to see a lot of change , because there are so many varieties that are being considered right now, and there's so much promise, frankly speaking . And I can say this for the first time, I have not said this before, but I'm very heartened to see the impact of some of the cane varieties, et cetera, and they will form a very important part of our development programs as we move to spring planting in February, March of 2026.

With Diwali in October, the UP crushing season has started pretty much on time, perhaps a little bit early. As of today, Maharashtra and Karnataka have started a little late , because of the delayed withdrawal of the monsoon . I guess , this is a positive for UP mills. 5 of our sugar units have already started. That includes our subsidiary at Shamli . Last year, 4 units have started, as of today. This year, it's 5 units. The balance 3 units will start in a matter of just a few days from now . Certainly, by next week, everything will have commenced operations.

The recovery for the factories have started early is pointing towards a positive increase, but it's very challenging to give you any real data estimates at this particular point in time , because the real bagging has not started across all of the units . But the sentiment is certainly positive. The test data points towards a positive increase in recoveries, certa inly, this year over last year.

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In terms of availability of cane , we are having to report that we're looking at a significant increase in the quantum of cane that will be crushed across all 8 of our sugar factories . Each factory is looking at a substantial increase. Some of it is due to excellent reservations

that we have secured from the cane departments in the government of Uttar Pradesh and a lot of it has to do with the amount of development work that has happened at the beginning . In fact , the second is the most important point that coupled with a projected increase in recovery we're looking at a substantial increase in the total sugar this year v/s last year. I'm hesitant to give a n actual number in terms of the increase in sugar , but I would like to just share that it will be a very handsome amount in terms of overall sugar production and that would be very good , because it will mean a relative lower cost of production and spreading out of our costs over a larger number of facts , etc..

As far as the Alcohol business is concerned , I've talked a little bit about the outlook already in terms of securing about 4 crore litres of orders through cycles 2 through 4 as well as through the private marketing companies as well , we're very confident we should be able to receive achieve all of that and have our distilleries run at peak capacities in this supplier .

Turning quickly to the Power Transmission Business . From an Indi a perspective , we're looking at strong manufacturing and investment demand as of today . I think there's a broad feeling that on bal ance, we're seeing India Inc. move forward quite steadily . The inquiry book is looking very encouraging , in fact, it is far more encouraging than it was 3 months ago , I think that works quite well .

On a global basis , I think , we're a very small fish as far as our Power Transmission Business is concerned , but we're seeing massive inquiries that are coming from all parts of the world . Europe is particularly strong . We're seeing other parts of Asia . Both West Asia and Central Asia inquiries that are ballooning and we have started seeing very encouraging si gns from North America as well.

During the quarter , we continued to build our brand and participate in key exhibitions around the world . And I think these new marketing efforts pay massive dividends in terms of our perception, in terms of forging new contacts and managing to enhance our global footprint, et c., we are definitely recognized as a global competitor to other high speed gear manufacturing firms . I had already talked about the very positive profitability performance in the quarter under review and that was primarily due to cost optimization as well as an optimal product mix. And , I think that realisation is a very important one and we're going to look at enhancing that further improving that as quotas go by to ensure that we eke out profitability levels very much in line with what I've been saying at these investor calls over the l ast few quarters and few years.

Triveni Power Transmission Limited , a wholly -owned subsidiary of the company, has acquired a 100% stake in Triveni Power Transmission GmbH , a Swiss company . With the fed acquisition, TPTGmbH becomes a subsidiary of TPTL which is effectively a step-down subsidiary of T EIL.

As far as the outlook is concerned what can I share with you that will, as I mentioned , there were the 2 levers and there are several other levers that play a very critical role . There is a concerted effort to focus on large gearboxes and we're receiving fantastic orders in the Steam Turbine segment, Gas Turbines , of course , are reasonably large but in the Steam Turbine segment and Compressor segment of larger and larger units .

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Now, this is where the technical competence , etc., of Triveni gets recognized by our customers. There is a concerted effort to focus beyond steam turbines, there are focus on compressors, gas turbines and other high-speed gearboxes has been critical in terms of diversifying our product scope and supply . Design and development has taken on a new form and , I think , there's been a huge amount of work that is being done right now , which where we e

xpect impacts

in the next financial year in terms of cost improvements and also reduction in terms of time at standardized models, the development of more standardized models to be able to further improve the manufacturing time of a lot of our

gearboxes .

From an IT perspective and this is absolutely crucial , and this is also for all Triveni , but I'll talk about a few extra things that are happening at Triveni Power Transmission . There's been a significant amount of development in the last quarter. For the group as a whole, there's a massive migration in terms of our enterprise resource planning solution that is happening, which will be over . It will allow us massive, in terms of our digital advocacy and migration initiatives, it will allow us to be able to use data in a very powerful form by Q4. It will start actually at the migration will end. And so , our usefulness will start in Q4 of this financial year.

However, at P TB, we have 2 other important digital migration initiatives with respect to CRMs, as well as a digital factory and the creation of digital twins that are underway, which will allow us really to be able to create enhanced levels of stickiness as far as our global customer base is concerned, allow us to be far more proactive in terms of responsiveness to our customers, all the way from acquiring, all the way to post installation and commissioning management, et c., and allow us to have complete control of the manufacturing process in a way that we've had pretty good control, but really allow us to continuously enhance that control over manufacturing at Mysuru .

Looking very quickly at our Water Business , we are looking at new opportunities emerge in recycle, reuse, and Zero Liquid Discharge , and on an EPC and HAM basis. So , there are new projects that we are tendering for, and we're seeing more traction as far as water is concerned, more positive traction, intended towards conclusion . And I think that bodes well, because it's been a long time coming. It's quite exciting to see that the water market is turning quite exciting. We are evaluating international opportunities and intend on participating in several more tenders in water and wastewater treatment projects internationally .

At an overall level, the company has implemented a series of strategic and well-considered initiatives to tackle the key challenges across all of our business segments. We remain optimistic about delivering an improved performance in FY26 , given all the various situations that our various businesses are incurring .

Lastly, I'd like to comment on the scheme of arrangement, the proposed amalgamation with SSEL and the demerger of the Power Transmission business. The proposed scheme has been approved by the stock exchanges, and the process is obtaining approval of NCLT . The meetings of stakeholders under the NCL T process has been scheduled for the end of November and early December for the 2 companies. And that means that we're very much on track as far as I've said for this culmination in Q4 of this fiscal year .

With that, I would now like to pause my opening comments and open up the floor for questions.

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Moderator : Thank you very much. We will now begin the question -and-answer session. First question is from Sanjay Manyal from DAM Capital . Please go ahead.

Sanjay Manyal: Hi, sir. I have a few questions. First is about the ethanol part. You have mentioned that maize ethanol margins have improved significantly . Firstly, in the 1st cycle, what is the amount of volumes we have been allocated? And out of that, how much is from the maize? And also, if you can sort of specify, are we like making ₹8 EBITDA per litre after the decline in the maize prices?

Tarun Sawhney: Sanjay, I'm afraid we don't give a breakup of what we've got, maize v/s rice v/s ethanol. But answer to your second question, yes, we're making a higher margin

than what you're anticipating . I would say 30 %-40%-50% higher.

Sanjay Manyal: Okay. I mentioned ₹8. So what we are trying to say is that we are probably, I'll

be making anywhere between ■11 or ■12 a litre from maize.

Tarun Sawhney: That's right.

Sanjay Manyal: Okay. Perfect. So from my capacity perspective or rather from the allocation perspective, my question was regarding because you mentioned that the total capacity of ethanol is not 2,300 litres, if I'm not wrong. And given the fact that 20% ethanol would require not more than 1,200 crore litres and maybe another 250-odd crore from the ENA. So, total demand would be 50% and so most of the industry level capacity utilisation will not be more than 65%-70%. That's what my understanding is. Can we like assume that your capacity is 26 crore litres? So in that sense, you will also be running at similar levels of utilisation?

Tarun Sawhney: No. I think that's not correct. I think that we will be running at, you see the total capacity as far as Triveni is concerned depends on whether you use maize or not use maize. You have to factor that out. So, it depends on the proportion of maize that we actually convert during the year, because that has, as you know, when you're using maize, it is 20% lower. Your capacities are 20% lower. So, when you're looking at 26 square litres, it is not with maize. However, whatever portion you use with maize reduces it. We anticipate functioning at 100% capacity utilization. However, the margins in maize are actually very attractive. And therefore we will, with the 60-40 rule, try and maximize what we can do with maize as well.

Does that answer your question?

Sanjay Manyal: Yes, sir. It was pretty helpful. My second part is on the sugar recovery. Do you mentioned it's an early time, it's just a week that we started your operations? But if you can get a sense from the fact that you have changed the sugarcane variety in the catchment area from Co 0238 to the other newer varieties, what is your sense or what is your understanding that what kind of an improvement we can see in sugar recovery? And also you mentioned that there has been a reallocation of the command area, so what kind of an increase we can see in the sugarcane crushing in the current season?

Tarun Sawhney: Okay. So it's actually a combination of the two things and without giving you an actual number, I think let me talk about recovery first.

Recovery is impacted by 3 very important factors. The first is rainfall and water. The water is untimely rains and it is also flood water that impacts us in certain factories, as you know and I've talked about this on previous calls. When we stand today, we've had a reasonably dried last 30 days. That's been very good. The last 2 years actually before the factories have started, we've had rains in the last 30 days before the season started, which has led to a lot

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of soil moisture and it still led to a little bit of weaker poles as cane comes. By and large, the drier start, I think it's been very good and this year has been relatively drier, so that is a positive attribute.

The second is with respect to disease. Last year, we had some amount of red rot at a certain number of factories. I talked about 3 of our factories having been impacted more than others and the remainder having been relatively unscathed and a lot of work has been done in terms of not just roguing but replacement and taking out all these red rot clumps and clots and actually getting farmers to plant other crops in that area so that the soil received a break, which is technically the system. I mean, if you have red rot, you're actually not supposed to plant sugarcane, just supposed to plant something else and then return to sugarcane a year or so later. A lot of that has already happened, which means that the diseased cane that will be coming to the

Triveni factories is a massive, massive reduction. We anticipate, I'm not saying that we've gotten rid of all red rot, because we do have 238. And the 238 is, I forget the total percentage of 238.

Sameer Sinha: Just under 40%.

Tarun Sawhney: It's under 40%, but that's not necessarily a bad thing. Let me be very honest,

especially as far as the high -lying areas are concerned . It is giving great recovery , and it is disease -free. And we will slowly replace that as well, and also steadily replace that as well. But the fact is that diseased cane is looking much, much lower than the possibility . Everything is looking well within our limits. So that is extremely positive right now, Sanjay.

The third thing is pest. This year, where in the early part of the growth season, we had some white fly infestation in 1 or 2 factories in West UP. But that was treated with pesticides and it was no longer after we recognized it. So a relatively disease -free, and a pest -free crop is what we're expecting this year .

So from that perspective, the recovery looks pretty good. We need to get all the factories to start. We need to start getting sugar to be able to give you accurate estimates of what the recoveries are . By and large, they're looking positive. So I'm very hopeful that a tool will give a good recovery. I'm fairly certain that plant cane will be a much better recovery than it was last year. That's very important . So, when you look at recovery, you've got to look at both parts of it. You've got to look at ratoon . We've got a great ratoon crop. What does that mean? We're not going to start untimely crushing of plant cane, which is something that happened last year, negatively impacting recoveries, which is crushing immature cane early . And that leads to a lower recovery as a season. So this year, enough cane means we have enough ratoon , and we have enough plant. And the work that was done on plant means it's disease -free, it's pest -free so far. And I have to add that caveat and that bodes very , very well. So that's very good.

Season started pretty much on time and we're looking at a higher crush rate for the group , which will mean that we're not looking at essentially extending and dragging on the season into the very , very hot month end of May , etc. and that, again , is another reason for better crush , better crushing , better cost of production and , of course , better recovery .

Moderator : Thank you. The next question is from Shailesh Kanani from Centrum Broking . Please go ahead .

Shailesh Kanani: My question was with respect to our deck assumption , where we have mentioned that more than 3 million tonnes of sugar would be diverted towards ethanol . Just wondering in terms of the SAP price increase, does it make sense, economic sense to do that, especially considering that the ethanol prices have not risen or sugar cane will stop. So what's your view on that?

Tarun Sawhney: Okay. Good question. It's over 3.25 million is what we are looking at in terms of the diversity of sugar. SAP as you are aware is only for Uttar Pradesh and the 3.25 million tonnes of sugar that gets diverted is nationwide . It includes Karnataka, Maharashtra, other states which don't pay UP SAP , they pay FRP et cetera . Also , there are very strict penalties for non -compliance and the OMCs actually exercise those penalties rigorously . I see very little risk in this number going down. If anything I see this number actually going up , because based on the 200 crore litres of R3 to R4 tenders and the split between grain - and sugary -based feedstock ethanol manufacture, it could enhance that 3.25 a little bit more for the season , perhaps take us up to about 3.4 or 3.5 million tonnes . Sorry, I think it could be as high as 3.5.

Shailesh Kanani: Sir, just to clarify, but there would be some portion of U P assumption as well in this 3.25 , right?

Tarun Sawhney: Correct. And I don't see any danger of that not happening , because of very strict fines that are imposed by all marketing companies for non -delivery of ethanol.

Shailesh Kanani: Sir, just to get it right, economically it would not make sense, but because we have entered into the contract, we will be doing it . That is what you are trying to say?

Tarun Sawhney: No, that is not for fair sake. That's not what I'm saying at all. I don't know how people have quoted for juice as far as Uttar Pradesh is concerned, I can't comment on their financials. So, therefore, I am not taking any comment on anybody's viability. What I am saying is that the diversion of Uttar Pradesh of the 3.25 million is approximately 0.7 million tonnes of Uttar Pradesh done by a few groups in the state. I don't see them, because they are also supplying C-heavy molasses, they're also supplying B-heavy molasses and ethanol made from other sugary feedstocks. I don't see them putting their ethanol programs at risk. Plus, they have operating facilities. So to shut it down and not supply means they're still incurring a substantial fixed cost.

So, rather than look at it from a profitability perspective, I'd rather look at it from a cost perspective. And this makes sense to them from a cost perspective and I don't see them and the significant penalties that will be imposed for this large quantum of 0.7 million tonnes is actually detract, I mean, is a disincentive to millers in terms of non-compliance.

Shailesh Kanani: Okay. Just to kind of close this loop on this. In your estimates, what will be the EBITDA per litre, the way you mentioned about maize will be somewhere in the range of ₹11 to ₹12 per litre. If you can just give a ballpark assumption in terms of working back of the envelope, seeing the season and seeing the SAP prices right now, what will be the time, say, juice B-heavy and C-heavy?

Tarun Sawhney: As far as juice is concerned, we're not making juice. I can't offer you the EBITDA calculations for juice, since we have not tendered for juice. Neither have we tendered for B-heavy. I imagine that B-heavy is going to give you something a little bit lower than maize right now, maybe ₹9 or ₹10. C-heavy molasses will give you north of ₹6.

Shailesh Kanani: Okay. That's useful. So, my second question is on the PTB division. So this is the second quarter there is slowdown in topline growth. Can you throw some light further, right, what has happened? Because last time you had mentioned that there was some difference from the client side in terms of execution. Are we getting impacted because of any other reasons which you would like to know?

Tarun Sawhney: If you track the last 20 quarters of PTB, because we've always given PBIT results for the Power Transmission Business. And if you track the last 20-odd quarters, you will always see that Q1 and Q2, Q1 more than Q2 is usually a little bit weak. Q1, while it came as a little bit of a surprise, Q2 is actually better. It's not in line with what I would like to be delivering and I recognize that straight at the very start of this course, but it is still better than the previous corresponding quarter. And from a profitability perspective is actually pretty good, to be absolutely honest. I see that with the orders that we have planned for Q3 and Q4 were very much on track. I mentioned that during my opening remarks that I stand behind my internal estimates. While I've not shared it with you, my internal estimates for growth for this business, for this annual year. And I anticipate that Q3 is going to be pretty good and Q4 is going to be absolutely fantastic. And that is just the way that classically every year it follows that type of a cycle.

I do think that when we have more export business, when it becomes a very meaningful portion, then Q3 will become even

more substantial. Because the year-end for our global customers is typically the calendar year-end. And the more domestic business we have, the year-end is Q4, therefore, to capture depreciation, the people want delivery of their gearboxes in Q4, of the Indian financial year, which is March. You may see that dynamic over the next few years that will change, but I'm not concerned about the performance of the business.

Moderator: Thank you. Next question is from SKP Securities. Please go ahead.

Unidentified Analyst: Hi, everyone. Could you please provide a brief overview of the ethanol production in litres at Triveni through the B-heavy, C-heavy route derived from

a kg of sugarcane?

Tarun Sawhney: I'm afraid we don't provide those details .

Tarun Sawhney: Thank you. Next question is from Maulik Chaudhari from Monarch Network Capital . Please go ahead.

Maulik Chaudhari: I have a few questions on our Power Transmission Business . Say, particularly on the domestic side, over the last 2 to 3 quarters, our order inflows have been relatively subdued. Could you please provide some clarity on this? Second, given our H1 order inflows were subdued, but what kind of ordering flow are we expecting in H2 both in domestic and export market? And third question is, could you share the breakup of current closing order book between short -tenure and long -tenure? And within long -tenure, how much is attributed to defence?

Tarun Sawhney: Absolutely. Let me answer your first question . You see, I think it's important to also note that our large domestic OEMs have at least the 2 large domestic OEMs in the steam turbine space have now converted their business to supply to the world from India . And as a result, while there may have been some softness in Q1 and Q2, and there definitely was, with respect to domestic order build -up, I think from a global perspective, things were moving along a little bit better . I don't see that as the case. We are almost halfway through Q3. I think there has been a real change in the last 5-6 weeks in terms of domestic order inflows for domestic customers.

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For global customers, I think that is moving along reasonably well . And yes, we're seeing a change in demand domestically as well. Of course, internationally I've already spoken about.

Could you remind me of your second question?

Maulik Chaudhari: A break up of closing order book between short -tenure and long -tenure .

Tarun Sawhney: Yeah. I thought that was your third question. In terms of the break up of short -tenure and long -tenure, as of September 2026, our short -tenure is ₹210 crore and long is ₹185 crore . Total is about ₹395 crore . The previous corresponding year, the shorter was ₹239 crore , the longer was ₹106 crore , about ₹345 crore . There's been an increase in the total order book of about 15% from quarter to quarter.

Maulik Chaudhari: And sir, within long -tenure, how much is attributed to defence?

Tarun Sawhney: As far as the long tenure, as far as that is concerned, the vast majority of that is defence. And in the short -tenure, there's very little defence. The exact numbers you can perhaps contact us offline and we'll share it with you. It's just that I don't have it on hand with me right now.

Moderator : Thank you. Next question is from Sanjay Manyal from DAM Capital . Please go ahead.

Sanjay Manyal: Yes, just one question I have on the PT B business. I think this is what you have seen almost 400 basis point plus kind of a margin improvement . And you have mentioned that this is because of the favourable product mix. But what could be the normative margin in this business, EBITDA or EBITDA margin? And, specifically , from the defence part, you will be commencing your facility in December . So, what can we expect from this defence facilities in FY27, now, what kind of an order, we have the bigger

order if we have from the defence
and on what can we expect in FY27.

Tarun Sawhney: So For the half year, the Power Transmission Business has a PBIT margin of about 36% . I think it's part of our results , it's given in terms of the segmental break up. Your second question, as far as defence is concerned, yes, a lot of the long-term order books that we have, we get executed . The facility will be

up and running in December of this year which is exactly what I had mentioned 3 months ago when we spoke.

I think in terms of what you can expect in the following year, while I don't give estimates in terms of production, I think it will go a long way to have a facility on the ground, showcasing not just to the Navy and to the armed forces but also to partners around the world. And in our presentations and in our participation in global defence events and exhibitions, et c., we're seeing a lot of traction. So, I think that the defence facility will be off the ground, will be a massive sales point in terms of attracting partners to us.

Now, in terms of, what does that mean for financial year 2026-2027, I think that is very difficult, Sanjay. It's very difficult because, defence orders now with the way the world is, some of it you're seeing a little bit more urgency. You're seeing a little more advancement of orders. You're seeing a little more acceleration. So, it's not necessarily everything is long-term. You're seeing a lot of short-term stuff that is also coming up. But it's very difficult to ascertain. It's a younger business for us as well. These numbers can vary quite dramatically. I'd be hesitant to give a number. But to have the facility off the ground is a very, very big step in terms of the credibility, in terms of the footprint and the manufacturing capability of our business.

Sanjay Manyal: Right, sir. No. Understood. What I meant by this first question about 400 basis point improvement, so we have seen a 41% kind of PBIT margin this year, so we should not take this as a normalized should be 35%-36% as you have mentioned in the first half?

Tarun Sawhney: No, that's not what I mentioned. That's not what I'm saying at all. You're taking quarter and half year. Yes, the quarter was very good. We would like to deliver the best possible EBITDA margins. I think we're very much on track. 41% is very, very high, I think that is a tough ask, to be brutally honest, but we don't necessarily have to reduce 500 basis points. I can't give you a number, but certainly not 500 basis points. I think that is the strength of what I've talked about, about Rajiv and his team in terms of looking at products and services and looking at what we're dispatching and looking at the types of orders that we're taking in and dispatching from quarter to quarter.

Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference over to the management team for closing comments.

Sanjay Manyal: Ladies and gentlemen, thank you very much for joining us for the H1 FY26 earnings call for TEIL. I think the last few weeks have been very, very telling. We've had a heavy of news, some negative, some not negative, not positive, but I think that has been factored in by the business. We've hit the ground running. I think we've done a lot of work and we are more resilient today across our Sugar, Alcohol, and Engineering Businesses, when we've literally ever been. And I'm very confident that going forward, we will be able to deliver the best possible results given factors, some factors are beyond our control. But given that, I think we are in the best possible position that we've been in years in order to be able to give exceptional results across all of our businesses. I look forward to discussing our Q3 results with you in about 3 months' time. Feel free to contact, Himanshu, in case you have questions

that

have not been answered in this call. Thank you very much and have a great weekend.

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Call: Feb 2026

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Sub: Transcript of Analyst/ Investor Conference Call held on 2nd February, 2026

Dear Sirs,

Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed transcript of the Analyst I Investor Conference Call held on 02nd February, 2026 post announcement of unaudited financial results of the Company for the Q3 & 9M FY26 ended on December 31, 2025. The transcript is also available on the website of the Company at: www.trivenigroup.com

You are requested to kindly take the same in your record.

Thanking you,

Yours' faithfully,

for TRIVENI ENGINEERING & INDUSTRIES LTD.

Geeta Bhalla

Group Vice President &

Company Secretary

M. No:- A9475

Encl: As above

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Triveni Engineering & Industries Limited

Q3 & 9M FY26 Earnings Conference Call Transcript

February 02 , 2026

Moderator: Ladies and gentlemen, good day, and welcome to the Triveni Engineering & Industries Limited Q3 FY 2026 Earnings Conference Call.

I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you.

Rishab Barar: Thank you. Good day, everyone, and a warm welcome to all of you participating in the Triveni Engineering & Industries Q3 and 9M FY 2026 earnings conference call.

We have with us today , Mr. Tarun Sawhney, Vice Chairman and Managing Director , Mr. Suresh Taneja, Group CFO , Mr. Sameer Sinha, CEO Sugar Business Group , and Mr. Rajiv Rajpal, CEO of Power Transmission business as well as other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature and a statement to this effect has been included in the invite, which was shared with everyone earlier. I would also like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will commence this call with opening remarks from the management, followed by an interactive question -and-answer session.

May I now hand it over to Mr. Tarun Sawhney. Over to you.

Tarun Sawhney: Thank you, Rishab. Good afternoon, ladies and gentlemen, and welcome to the

Q3 & 9M fiscal 2025-2026 earnings conference call for Triveni Engineering & Industries Limited. The revenues from operations stood at ₹4,782.5 crore, which was an increase of 17.8%. The PBT for the quarter stood at ₹102.8 crore against ₹57.6 crore in the same period last year. This is despite an exceptional cost this year, which I will talk about a little bit later. The profit after tax stood at ₹77.8 crore v/s ₹42.6 crore in the same period last year.

The key highlights of these results, the net turnover, as I mentioned, increased quite substantially for the 9M to 17.8% for the nine months and 16.5% for the quarter under review due to higher sales in Sugar and Distillery segments and improved sugar realisation. The turnover of the Engineering business increased by 11% and 15% during the 9M of 2026 and Q3 of 2026, respectively.

There was a strong operating performance in terms of profitability in the 9M and it is mainly attributed to a strong performance in the Distillery and Sugar segments. A major turnaround has happened in the distillery segment due to higher sales volumes, lower procurement costs, especially on maize and other

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internal efficiencies, whereas much improved performance in the Sugar segment has happened despite the significant increase in sugarcane price, and this is primarily due to a higher sales volume, better sugar realisation, lower a much smaller inventory write-down of sugar inventories in view of the higher recoveries, and of course, there has been cost optimisation as well, which has played out in terms of the financial performance, especially for the quarter under review.

There has been a provision of ₹22.4 crore, which has been estimated because of the changes brought about by the new labour codes in respect to the employee benefit expenses, as disclosed in our exceptional items. This is for the standalone business. The debt position stood at ₹783 crore on December 31, 2025, almost at the same level, ₹775 crore for the period last year. And it comprises of term loans of ₹288 crore, of which a ₹136 crore are loans with interest subvention.

On a consolidated basis, the gross debt stood at ₹1,073 crore compared to ₹981 crore on 31st December 2024. And the overall cost of funds is 6.1% for Q3 fiscal 2026. I want to say it is important for us to note that the cost of borrowings is trending downwards in line with what is happening across the country. I think we have been very cognizant of the changes that have been happening and have ensured that our cost of borrowings reduces quite dramatically.

To give you an example, our working capital for the quarter under review stood at under 6.5%, which is substantially lower than the 7.7% in the previous quarter, so quite a substantial reduction in interest costs, and that will, of course, flow through in the next quarter and subsequent quarters come about.

Turning towards the business wise review. I'm going to first start with our sugar business, where revenues for the 9M increased by 19%, supported by 12% increase in sugar dispatches and 5% in realisation. For the quarter, revenues increased by 12%, and this was supported by 8% due to volumes and 6% in price realisation. Again, going back to our conversation about a quarter ago where I had envisaged stability in terms of sugar pricing and frankly speaking, they have remained reasonably stable. Some amount of variation, but by and large actually it has been positive and this is reflected in the results and in the comparison QoQ and nine-month period v/s the previous nine-month period. This is all despite a price increase of ₹300 per metric tonne by the Uttar Pradesh state government. And that's quite a substantial - the largest ever sugarcane increase in the history of the Uttar Pradesh sugar industry, very substantial.

And of course, this was because there were high recoveries that are present, as I speak right now. There has been substantial cost optimisation and that is prevalent in terms of the cost of productions at the unit levels. And of course, there's a lower inventory write-down for the units that don't perform as well as the ones that are right on top of their performance.

The sugar inventories on the 31st of December 2025 stood at 30.7 lakh quintals

valued at just over ₹39 per kilo, whereas in December 2024, it was 29.5 lakh quintals closing stock valued at ₹38.8 per kilo. As we speak today, our refined sugar realisation has crossed ₹41.50 per quintal and sulphitation sugar is about ₹1 lower, but it does vary quite substantially.

An important point to note is that while the sulphitation prices are that much lower, the bulk of our sulphitation sugar is contracted to institutional buyers that pay premiums above what the average retail sale prices is - what I'm reporting to are the retail sale prices.

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The industry scenario has been very complex for the quarter under review. There's been a lot that has happened domestically and internationally. The net sugar production was expected to

rise about 20% YoY, supported by the favourable monsoons that we had over the last summer, which led to higher cane acreage and improved yields, and the recovery is stronger in the western and southern regions as well as the north. In fact it is because of a delayed start of one month in Maharashtra, that's specifically about Maharashtra. In the investor brief, we have given some details of the crushing updates thus far. But I'd like to point out some important distinction and important developments that have taken place, including some of our surveys that have come back as of this past weekend. And I'm happy to share some of that information and data with you.

Now Triveni estimates were far more conservative when compared to the industry estimates previously. We had forecasted actually a closing balance somewhere around 8 million tonnes for September 2026, whereas the industry association had that somewhere around about 1.5 million odd tonnes lower around about the 6 million mark. And this is primarily due to a couple of reasons. The first one was, we have taken a very conservative approach on consumption, where our target stood at about 27.8 million metric tonnes. This was about 700,000 tonnes lower than what had been estimated and is still probably estimated by the industry. I would like to actually point out that the releases for this year are actually 400,000 tonnes lower than the same quantum of releases in the previous year. And therefore, I do believe that while a hot summer is expected and a hot summer means significant decrease in sugar consumption. And that has been proven out by the test of time, we do hope to see at least our sugar consumption number coming accurately thereabouts. I think we're very much sticking to our guns on that number.

As far as the total country's production is concerned, the averages were broadly the same. Triveni had an estimate of about 31.1 million tonnes when we last spoke, and the industry associations estimate was slightly higher at about 31.5 million tonnes. There have been many developments actually, including unseasonal rain that has hit several parts of the country, etc. And also a much more realistic picture with respect to sugarcane recoveries and the migration from ratoon crop into plant crop across the country. This is not just in North India, but across the country. And as a result, we have some updates for our figures as well. So we are looking at Maharashtra factories starting to close earlier than anticipated towards the end of February. And therefore, what had been earlier forecast as about 11.5 million metric tonnes of production in Maharashtra could be lower by 1 million metric tonnes, maybe a little bit more.

Similarly for Karnataka, the 5.6 million metric tonnes we had assumed could be lower by up to 0.5 million metric tonnes. Uttar Pradesh stands exactly as what we had assumed, ~9 million metric tonnes. So this is very important because it actually changes the stockholding ratio between the South and the North. It also means that the Northern sugar mills will benefit by carrying the stock later into the sugar year where prices I anticipate will inch slightly higher, given that we have a lower closing stock.

By the way, the closing stock assumes the full export of 1 million metric tonnes of sugar, and I will just address that point in a second. Essentially, I think the demand-supply position has changed in favour of more robust sugar pricing for the next few quarters, certainly. And I think that is a hidden positive and a hidden

positive expectation that investors should have from the industry.

On a global scenario, we've actually seen near historic lows, such catastrophic fall-off in terms of commodity pricing has not left sugar as well unscathed. And we've seen, as of the last close, New York March contract closed at 14.7 cents per pound and London closed at

405.1. And these are very substantial falls in international sugar pricing. And as a result, I do have to wonder whether the full 1 million metric tonnes of exports will take place at these prices. I do believe that commodities are under pressure. Sugar is in an oversold position in our estimates. And I do believe that some amount of bounce back will happen.

I do think that we should if not touch the million metric tonnes should come reasonably close because from an entrepreneurial perspective, a large amount of sugar has been contracted, not all of that 1 million, but I do believe that there will be clear opportunities for export especially as we come closer to the March expiry. And let's hope India benefits by those sentiment changes, both domestically and internationally.

Turning to our Alcohol business. The sales volume for the quarter was up 27%, higher production and sales volume were account of full operations in the current period. Whereas in the previous period, the production was slightly impacted by a stabilization period for the new grade distillery that was commissioned in 2024, as well as distilleries not operating for some period due to a non-availability of feedstock in the previous quarter. So I think all of those things have been abated, have been planned for very much in line with what we had discussed on the last earnings call.

We've registered a significant improvement in the profitability on the back of correction of input prices, particularly maize, and of course, the focus on cost optimization and some amount of steam optimization as well and some lowering of energy costs.

I would like to point out that, today, if we had to do an analysis on margins, the highest margin that you could get as an input would be maize, followed by C-heavy molasses, followed by B, followed by FCI rice and then followed by juice. But that is how it stands as of today. The improvement in profitability is due to higher sales volumes and of course, lower procurement on maize. The ethanol constitutes 92% of our alcohol sales during Q3 fiscal 2026 compared to 89% in Q3 fiscal 2025. Our ratio of molasses to grain was 45% - 55% and our margins have clearly benefited by the lower procurement price of maize, which is exactly what we have used for our grain-based operations for the quarter under review.

The blending percentage achieved in ESY, looking at the overall industry scenario is 20%. During ESY 2024-2025, it was about 19.24%, and today, it's considered at 19.98% which is pretty much very maximum. And Inter-ministerial Group, along with NITI Aayog is working on the road map for beyond E20. I think that has gained more traction. In the last few weeks, we believe that there is further impetus. And we can see that signs from the budget, the Union budget that was announced yesterday, the focus on energy, etc and clean energy is something that is definitely being driven home by North block, and we hope that they will have a positive impact on the ethanol blending program as it follows through this year and the next ethanol supply year.

During cycle 1, OM Cs have secured just shy of 1,050 crore litres, 1,048 crore litres to be precise of ethanol. Cycle 2 tender is expected shortly. I believe that there was a court case in Karnataka that held up the issuance of Cycle 2 tender. We anticipate that it may happen this week itself. I do believe that the tender has been ready for the last fortnight. I'm just waiting for it to be published.

Having said that, unfortunately, we understand that the focus of the Cycle 2 tender, which is primarily for Q3 and Q4 supplies, it will be focused primarily on rice-based ethanol, which is FCI rice-based ethanol, followed then by B-heavy and C molasses. So not sure how much B-heavy and C molasses will make its

way through to Q3, Q4. However, there's plenty of rice available across the country, albeit at a slightly lower margin.

I'd like to turn towards the engineering businesses now. The Power Transmission business has seen a significant uptick in our inquiry levels, I would say at least 75% as compared to last year, driven by growth, especially in the export market, so I think that has been the primary focus. Despite a reasonably tough operating environment, after absorbing incremental costs related to capacity increase, our PBT margins improved by 90 bps YoY on the back of better gross margins and favorable product mix and a strong focus on cost optimization.

And this was also during the period, in fact, in the last quarter, we had a very significant amount of development that happened to the digital transformation of the business at power transmission, including the initiation of implementation of a CRM solution, a smart factory solution and of course, the migration of our ERP to a much more cutting-edge SAP HANA platform. So a lot of activities that are happening on that front.

The export growth is primarily driven by market share gains in the Compressors and Pump segment, and we continue to focus on relationship building efforts with high-profile customers. And I think that has shown a lot of development. Even in the month under review, in this month, we've seen big changes in terms of inquiries and order booking frankly speaking, there's been a massive change. In the last quarter, as you will notice from our results, it was muted. The hope was that Q3 would result in significant increases in order booking and that did not transpire.

And I think a lot of that is not due to the business itself, but due to delayed decision-making, primarily caused by global factors, in my opinion, where our customers, in my personal engagement with customers, I find that it is not the unwillingness to place orders. But it is just a sense of uncertainty in which they have just kept that decision pending for a short while. I do believe that this is a time-based decision, and we're seeing that correct.

In fact, the month of January itself has been a very positive month for a rebound of order booking to take place. The inquiry book, as I mentioned, nevertheless, still remains fairly strong. The Middle East is emerging as a major end user market for growth and is expected to be the primary contributor as well to aftermarket export growth. We participated in several premier and prestigious exhibitions in the region, and we'll continue to do so to build our brand presence and enhance our global footprint.

But as the quarter ended, our order booking stood at ₹409 crore, which was an increase of 8% from the ₹377 crore previous year. And in the month of December itself, we received orders, as I mentioned in both the Gears as well as Defence segments. The Defence segment, I'm happy to report that we've received a very recent order of about ₹45 crore from a customer. Of course, the gears order booking is in addition to all of that.

Turning quickly to the Defence business. The delays that we've been waiting for was commissioned last month in the month of December as planned and as I had discussed, the factory has commenced manufacturing operations. The remainder of the facility development is underway. It should be complete, certainly in the next few months, 2-3 months, again, as per what I have discussed on previous conference calls.

However, the manufacturing part of the defence facility is all underway with the lathe being commissioned and the other balance machinery also under

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execution and being commissioned as we speak right now. So there is manufacturing output happening in that facility.

Turning quickly to the Water business. The Water business results include the operations of the wholly owned subsidiaries, which is Mathura, both the

subsidiaries of Mathura and Pali. The outstanding order book on t

he 31st of

December stood at ₹1,598 crore, which includes just under ₹1,100 crore of O&M contracts, which are over a slightly longer period of time. So yes, there was a little bit of variation. I think the business did not perform as much as well as we would have liked to. The inquiries are still quite substantial. And frankly speaking, I think the domestic climate across the board, as we've seen and I talked about, including in our Power Transmission business has been muted, and I think the last quarter was pretty much across the board as far as India incorporated was concerned in capacity additions over there.

Looking at the outlook of our various businesses. The sugarcane crop looks very healthy - in Uttar Pradesh, especially. And as far as the rest of the country is concerned, I mentioned the slightly muted outlook for Maharashtra and Karnataka, which means that the total production is going to be a little bit lower between about ~1.5 million tonnes lower. And this will reduce the closing stock. So as we had estimated a reasonably high closing stock, rightly speaking at, around about 8 million metric tonnes, we will be approaching the 6 million metric tonne number, which is very good and bodes extremely well for sugar prices and the stability of sugar prices going forward. I think that is what's very important because we are in an environment where global prices, and as much as we'd like to think that India has no impact, no correlation between what's happening in New York and London and what's happening in India, there is some sentiment impact of course, that does creep through. But despite that, we have been remarkably resilient. And I think a lot of that credit goes through to DFPD in terms of very well thought out and well planned quotas. And I hope that, that does continue. And I hope that, that does allow the industry to actually see an increase in sugar prices as we move forward because cost of cane has gone up, not just in Uttar Pradesh but across the country.

We have heard a lot of conversations about increases in MSP, et c. The reason I have not discussed that during this call thus far is because there's no point talking about it until it actually happens. My understanding is it's going to be in the high ₹37 bracket, that is the expectation. I believe that is too little because the prices are already higher. And if we're looking forward after so many years, we need to look at it from a future perspective. And to look at the impact that it would have on farmers going into the future and on the industry going into the future. And so that's important. But I still sincerely hope that it is something being considered, and I believe it is, by GOI, and it may happen in the near future.

We are looking at improved sugar recovery trends. In Uttar Pradesh as we see the advent of the plant cane, especially in the Central part and Eastern part of Uttar Pradesh. We've seen plant coming in Western Uttar Pradesh, the start has been small, we are at the beginning of February, and so plant cane is certainly going to come in full force in the next 10-odd days across Western Uttar Pradesh as well. And that is pointing towards better recoveries. You can see that from all the various reports that I'm sure you're all privy to. The realisations right now when compared to last year are higher than they were. I think that is another positive. And we continue and plan on continuing to make some investments, small investments in sugar to especially improve our cost of production and improve our efficiency. I think those are things that have been highlighted by our operations this year. And you should anticipate that over the coming off season, we will be looking very closely at our cost of production and finding ways of lowering those costs of production with very short return investment plans. And nothing substantial, all funded by internal accruals

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The alcohol business, as I mentioned, we've seen a marked improvement in the operations, primarily led by exceptional procurement of maize. Now maize, as I had mentioned earlier will possibly be curtailed in Cycle 2 as for additional deliveries in Q3, Q4. That is a slight negative, very honestly speaking. And it kind of poses a hiccup, but I can understand that there are huge quantum of rice stocks available in the country. And depending on what type of quality of rice that one can procure from FCI, I think we should be able to make some more

improvements in the margin structure on rice. And yes, we will be tendering for the small portion of extra capacity that we have for the Q4 delta. We will be participating in Cycle 2 as well and in Cycle 3, which we believe will come in the next couple of months. I think that is also an expectation that has been made fairly clear that there is expectation that there could be a Cycle 3 as well. We believe that ethanol prices do need to be revised upwards. And this will certainly help increase the diversion of sugar towards ethanol. However, lot of this is under consideration - that we don't believe any of this will happen until the next ethanol supply year. The one thing and important thing to consider is the massive overcapacity that exists in the nation and the planning for that is actually very important from the government perspective.

Turning to the Engineering businesses. I think in this particular quarter, while we continue to focus on really building the brand on a global perspective and coordinating, participating, gaining qualifications with customers across the world, we've seen huge successes in the recent past in terms of getting into AVL. There have been many clients where we are now on the AVL globally. And a lot of that has factored into the increased inquiry book as I had mentioned, as we have seen orders close out both in terms of OEM orders as well as in terms of retrofit in the month of January. So a change in position really from the previous quarter rather than the quarter that's under review.

Towards the water business, yes, we are looking at a large number of orders both domestically and internationally because of the significant gap that exists between the demand and current availability of water and wastewater treatment, and there are new opportunities that are emerging in the recycle, reuse and Zero Liquid Discharge in the form of EPC and HAM models. So that's quite interesting to see that there are more tenders coming in those 2 niche areas and we hope to certainly benefit from those that we are tendering on several jobs as far as that is concerned.

On an overall level, we have implemented a series of strategic and well-considered initiatives, a lot of which is playing out and a lot of which, as I mentioned on the last conference call will have had a benefit, and you've seen that benefit in this quarter's results.

Lastly, with respect to the proposed scheme of amalgamation of SS EL and the demerger of the Power Transmission business to unlock value and to drive operational efficiencies, the scheme has been approved by shareholders of creditors, this was in December of 2025. We have another hearing in front of NCLT in the month of February. And we find that we are very much on track, as I have previously said, for this to happen during under this quarter, this calendar quarter. So on that front, nothing really stands unchanged. We are, of course, as we get closer to this demerger. Looking at the Power Transmission business, gaining a lot of skill sets in terms of ability to operate as a separate company. A lot of systems work is being done as we speak to let them hit the ground sprinting, frankly speaking, and have the same kind of efficiencies that we've had at Triveni Engineering and any of the other businesses that the company has run.

With that, I'd now like to open the

call to questions.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from Vishal Prasad from VP Capital. Please go ahead.

Vishal Prasad: Tarun, we had signed MoU for 4-megawatt marine gas turbine generators with Rolls Royce. So could you provide an update on our marine GTG partnership?

Tarun Sawhney: Certainly. So this is for the next-generation vessels being considered by the Indian Navy. And this is at the architectural stage right now. The main decision point for the Indian Navy is whether they would like to go for a gas turbine propulsion engine v/s a diesel generated engine. And at this particular point, we have made a number of presentations, etc. We expect that decision to be taken reasonably soon.

However, the decision is not in our domain, it is with the India Navy. I believe that if it is a gas turbine option that is considered, you could only consider one or the other because there's too much work that will go in. The solution then being offered by Triveni and Rolls Royce becomes a very compelling one, where there is a large amount of indigenisation that will occur. That is the kind of conversation that we've had, and therefore, creating, for the first time in our country's history, a gas turbine technical solution being available indigenously and having that technology in it. So it would be a big technological tick mark.

However, that decision really isn't ours. It is one which is with the Navy and their designers, and they will be taking that very soon.

Vishal Prasad: Let's assume that, let's say, they agree to our proposal, so would Triveni move from manufacturing gears into manufacturing turbines as well?

Tarun Sawhney: But listen, for any new program, by the time you actually supply the equipment, it's about 5 years out. So we're talking about medium to long-term projections right now. And the work share between Rolls-Royce and Triveni Engineering, I'm afraid I cannot disclose those details right now because it is at an MOU stage, it is not a definitive agreement. But there will be obviously some portions that will be done by Triveni and some portions that will be done by the technology provider, in this case, Rolls-Royce.

Vishal Prasad: Got it. My second question is, we have talked about our ability to gain market share in the exports market. And one of the reasons that you have given is that nobody can match our timelines. So if I have to compare Triveni with the new-based turbo gears suppliers, what would be the price differential between us and EU players if we are supplying to the same customers?

Tarun Sawhney: You see that's a very different, it's a very loaded question. And let me tell you why it's a loaded question. We find that we're substantially lower. What we have done is we've estimated cost of manufacture because I can't control what a competitor prices their product at. But I can have an estimate in terms of how much it costs them to make. And I'm sure you understand the difference between the two. They can cross-subsidise perhaps in an area where I have not received approval or not on an AVL, they may be able to eke out higher margins. In fact, that is the exact thing that has been happening, and that is why we're trying to get on to all the major AVLs across the world and have had very good success thus far.

We believe the historic numbers that we have, we believe that we are cheaper by at least 25% - 30% in terms of cost to manufacture. I'm generalising here across turbo gearing. It could vary. It could be higher, it could potentially be lower as well. However, in the sale price to a customer, it's very difficult because we have certain policies in terms of minimum margin levels, etc which we do not cross.

I can't talk to the margin profiles for our European competition. So it should give you

a broad idea. In terms of delivery, because you did speak about that as well, what I'm hearing today is that our European competition, which is doing reasonably well, so they have reasonably good factories, which we hope to benefit in terms of cannibalising their market share, they are northwards of 12 months in terms of average deliveries for new units. And for Triveni, we can be ex-factory in a period of somewhere between 6-8 months, depending on the complexity of the turbo gear. And then it takes a short while for shipping. But frankly speaking, in some cases, and we're having these discussions, we can even airlift certain gearboxes, if required and if the customer is giving us a sufficient margin for.

Vishal Prasad: Fair. And could you speak about opportunities that you see in steam and gas turbines? It seems some of our customers are fully booked in '32, '33, so 5 years, 6 years, 7 years down the line. And I believe we have a good play there.

Tarun Sawhney: I don't know anybody who's 4-5-6 years down the line, unless it's gas.

Vishal Prasad: That's right, gas turbines.

Tarun Sawhney: Yeah. So in the gas space, we're seeing a lot of traction. You'll have to understand that our journey as a gearbox manufacturer for gas centred applications in the Western Hemisphere is a relatively recent one. Now we've completed and supplied several units. And therefore, when I say that I see great traction coming, we have excellent relationships with the larger gas turbine manufacturers globally. And I'm hoping that a lot of that is already on our inquiry book, and it will translate into regular ordering across geographies, across facilities across the world. The growth in the export business will be driven by compressors and gas.

Vishal Prasad: Do we cover everything between 2 megawatt to 600 megawatt in terms of gas turbines or we have a sweet spot in between 2 and 600?

Tarun Sawhney: No. Gas turbines larger than 50 -60 megawatts are directly coupled, they don't need a gearbox. For high -speed gearboxes, the largest application that I've seen is 90 megawatts.

Vishal Prasad: Okay. And last question is on LM2500 program, you had mentioned that packaging will be happening at Triveni. So could you help me understand what all activities are covered under our scope of work?

Tarun Sawhney: I think this is still yet to be drawn out in greater detail. As and when it is and as we find out, I'm happy to share it, but it depends because right now, there's been changes. The casing has been changed to composite which changes the nature of workflow, et c. So until all of the I's are dotted and the T's are crossed, I myself wouldn't know what our work share is. And I don't know that as yet.

Moderator: Thank you. The next question is from Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Good afternoon , everyone and thank you for the opportunity. I have a few questions on my side . So my question is with respect to PTB division . The inquiry book has been strong, but the conversion to orders have been kind of lagging. So just wanted to get some sense in terms of timeline when we see that to happen? And also, if you can just share guidance for FY 2027?

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Tarun Sawhney: We don't really share guidance numbers, so I can't help you there, but the inquiry book has been strong and its conversion, you're absolutely right, in Q3, it was weak, the conversion was weak and I started off my opening comments by saying that it was weak.

However, month of January has picked up quite substantially. When we look at this quarter , I mean, when I say this, I could I know what I see being concluded over the month of February or over the month of March, it looks very positive, much stronger than I had envisaged and hopefully covering up for the differences in Q3, which is not bad, but it was not nearly as much as what we had

had thought in terms of conversion of inquiry to order booking.

A lot of that, frankly speaking, and you've not asked this, because of some weakness from our OEMs. And it's not because that end user segments don't require new products or repaired products, but it's because of decision -making ambivalence. And I very honestly believe this is due to geopolitical factors and geopolitical uncertainties in terms of their businesses driving this type of uncertainty.

Now when you look at new product and you look at aftermarket, you have to look at both separately because new product usually refers to greenfield, brownfield expansions. A lot of those decisions have to be well thought out, and gearbox is only a small portion of the capital decision for any plant, et c. And so we will be tied into that process, probably last of all, since it is the product that

is made fastest and costs the least.

However, from an aftermarket perspective, that really surprised me in terms of the decision for customers not to repair and to forgo repairs of critical nature. A high-speed gearbox is a mission-critical decision. It's not as if you keep spares of them lying about, just because of the nature of the product. And therefore, if there is a breakdown, it has a catastrophic impact on the plant. It leads to a complete shutdown. And so I find it a little surprising to see what had happened in Q3, but I'm glad to see in terms of even the bookings that we've had in the month of January for aftermarket, a big bounce back. So it was a momentary lapse, according to me, and I think we're back on track.

Shailesh Kanani: Just to extend this point, the reason I was asking is because the last year, fourth quarter has been very strong in terms of revenue booking. On the back of nine months FY 2025, that is last year, we had a very robust order booking and order backlog. And this time around, obviously, there has been a dip, as you highlighted. So just wanted to get some sense of the fourth quarter revenue, would we kind of be able to post some growth over the fourth quarter last year?

Tarun Sawhney: Fourth quarter last year, you're asking about, I don't have an answer to that question in front of me. You can contact us. I'm not sure what we can share or not because we don't give forward-looking estimates. But I do think that the Q4 booking is going to be robust. I can see it from January data itself that is looking very positive. And it will cover up for most of the shortfall of Q3, so in addition to what we have had for Q4.

Shailesh Kanani: Okay. Fair enough. Thanks. My second question is with respect to prevailing maize prices, and you alluded to something in your opening remarks that they are the most profitable right now. So can you outline the unit economics across different production routes, that would be helpful?

Tarun Sawhney: Yes, again, we don't really give you your contribution per litre. But the maize contribution is definitely a very robust double-digit contribution, higher than C-heavy. However, I don't see next few cycles coming to support maize. In fact, if anything you've got problems with maize coming from different parts of the

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country. Starting off with Karnataka and then a large number of other maize-growing states. Maize prices have continued to fall, and they continue to be softened. They've been stable, but they've been very soft right now. And as it when the next maize crop, as the next maize crop from Bihar comes about in the next two months, I think that Bihar prices are going to be massively different from where they left off last year, massive difference.

Unfortunately, I wish I could say that we would take great advantage with our small spare capacities, but I don't see that happening. I don't see maize being treated favourably, but we will fill those capacities with rice, of course.

Shailesh Kanani: Just to extend

end this one. Last time, you had shared that maize prices were something in the range of ₹22.30 per kg to ₹22.50, depending whether they are coming from Bihar or UP.

Tarun Sawhney: The delivered prices were ₹20. And the current prices are also about ₹20 - ₹20.5.

Shailesh Kanani: Okay. So QoQ, they are flattish that way.

Tarun Sawhney: Yes. I mean they certainly gone down since October. The numbers that you have, which were ₹22, they've come down ₹20, so that is lower. But by the time we spoke, which was in November, from November to today, they are flat. Yes. I want to finish that point. I still believe there is a softness. The difference between November is with the fag end of the supply coming from the southern states, from Rajasthan, from Madhya Pradesh, et c. And look, of course, UP finished earlier on in September, but the MP crop that came in, that is pretty much finished.

Now the next crop that's going to come is Bihar. So the prices today are really of saved and stored maize v/s fresh crop. You understand what I mean? So when you see typically when the harvesting season is over, you'll see some increases because there's no pressure on harvesting. There's no pressure on fresh arrivals at the mandi. Today, you don't have that scenario, yet you have soft pricing. Now the moment the Bihar crop hits the market, I believe it will be at lower price points.

Shailesh Kanani : What would be the timeline when Bihar hits the market?

Tarun Sawhney : April.

Shailesh Kanani : April, okay. Can I squeeze in one more question?

Tarun Sawhney : Sure.

Shailesh Kanani : I was reading one of the articles where UP, it seems that there has been some increase in farmer dues. Obviously, from the larger and listed players the payments would have been in time. Would you like to update anything on that front, highlight any current position in terms of farmers dues for UP?

Tarun Sawhney : Absolutely. In the last list, we were right on top in terms of best performers as Triveni. And we were always well ahead in terms of our cane price payments. Having said that, I think there are certain groups, and I don't talk about my peers in the industry that have been delaying payments, etc as their crop dwindles. You see, I think there is going to be again a demarcation between those who crushed well this year and those who don't crush well this year in the state of Uttar Pradesh.

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And when the results are known, you will be able to differentiate those, discover those results themselves. And I think that those millers they are seeing an early arrival of plant crop, an early arrival, which means an immature arrival of plant sugarcane. It's all based on their cane price payment to farmers and the relationship management with farmers. So you're seeing that happen.

I don't have the exact numbers with me in terms of week-on-week change. But if you like, you can contact us offline. We'll share weekly data for you in terms of changes in cane price arrears and excess cane price payments, if that's of interest.

Moderator: Thank you. Next question is from Abhisar Jain from Monarch AIF. Please go ahead.

Abhisar Jain: My question is on the new multi-model defence facility. So you have indicated that we have started commissioning this facility. Can you just tell us how much is the CAPEX that has been spent till now for this facility?

Tarun Sawhney: I don't have the number for what has been capitalised in defence. We don't have that right now. You could contact us offline, and we will give you that number. But ballpark, what was approved by the Board. And I don't think we'll spend all of it. But what was approved by the Board for the defence facility was just north of ₹100 crore.

Abhisar Jain: Okay. And in terms of now after the initial trial runs on some of the products that are to be made in that facility go through, how

do we see the revenue trajectory?

And what would be those products that we would be supplying first in say sometime in FY 2027?

Tarun Sawhney: No, so I don't give forward-looking estimates, so I'm not going to do that, you'll excuse me. But what I will tell you is what we are already qualified for. And the list is, of course, detailed and it's on our website. I would encourage you to go through our PTB and defence presentation on our website, which gives you a huge detail of the various partnerships that we have in various products that we are tendering for and have orders for. And they include, but are not limited to,

and I'm talking about the breadth of relationships thus far. F in stabilizers, gearboxes, propulsion equipment, PSI, gas turbines, smaller gas turbines, deck machinery, we've recently signed an MOU for at-sea transfer from ship-to-ship systems, cargo bay handling systems, et c. So, there's a lot of work that is and the list goes on. There's repair work that happens on compressors or pumps, etc, different metallurgy, different materials. So it's a very extensive list. You're welcome to come and visit the facility and see things in greater detail. But for now, I would encourage you just to have a look at our website.

Abhisar Jain: Yes. Right, Tarun-jii. I've seen the list of the products. I was just wondering that do we kind of start making most of these products in the first year? Or how does the kind of ramp-up of supply of these products go through.

Tarun Sawhney: That's a good question. Yes. I would say quite a lot of the products will be made in the first year. Then there are different sizes and scale. So for example, in shafting we have won several orders. We will do one set of shafting, but the others will happen subsequently in other years. As far as gearboxes are concerned, some will happen next year, some will happen the year after, most of them will happen the year after, et c. So there's a cascading effect, but we're not limiting ourselves to one in one particular year where we're going as per contracted supplies.

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Abhisar Jain: Understood. And just last one on the same thing. So the defence facility, in how much time do we see we can ramp it up to its full potential? Is it like 3 years? Is it like 5 years, or what indications you can give at this point of time?

Tarun Sawhney: I think it depends on what orders we win from the Indian Navy or from other branches of Indian defence, where we are now going to be tendering and form a part of our inquiry base. And frankly speaking, the defence facility is a very large facility, it's not fully built. We have only built Bay 1 and this is one of four large facilities that can be erected on the same premises as per the master plan.

We're at the very start and inception. We're not limiting ourselves. We're going after everything that rotates, frankly speaking, as far as the Navy is concerned and our immediate focus is on how do we branch out and address the requirements of the other branches of the armed services.

Abhisar Jain: Sure, I look forward to coming to this plant and look at it. It looks very interesting and a very long-term good thing for us. Thank you so much for answering the questions.

Moderator: Thank you. The next question is from Nisha Garg from Samco Mutual Fund. Please go ahead.

Nisha Garg : Good evening. My first question is, there is a significant improvement in your sugar recovery to 10.5% till December 2025 as compared to last year 9.1%. Could you please advise us the key factors contributing to this?

Tarun Sawhney: Absolutely. I think in the 2 sugar years, and I think the trend is even better, frankly speaking. But in the 2 sugar years, we had very high quantum of unseasonal rainfall in the previous year, which impacted the recoveries. We also had disease and pests as much significant, a much higher portion

of diseases

and pests, especially the red rots that impacted 238 variety for Triveni in the sugar year 2024-2025.

In the sugar year 2025-2026, which is the year under review, the one that you talked about right now, actually, the disease has been under all limits, and our limits are very stringent, and so therefore, means that healthier cane, non-disease cane comes to the sugar factories. I think the quantum of rainfall that has fallen this year has also been pretty good with the exception of our factory at Deoband which had excessive rainfall.

However, the only negative factor this year there's been some incidents of some new pests, white flies etc and so our performance could have been even better,

frankly speaking. And the hope is that for the plant cane crop, a lot of this gets abated. Also, the recoveries are not apples-to-apples comparison because we had a couple of our sugar factories in the previous year that were operating with B-heavy molasses, which obviously takes out a little bit. So I'm not sure if you were looking at the gross figure or the net figure of recoveries. But this year, all the sugar factories are operating on C-heavy molasses, so you will have to normalise the two.

Nisha Garg: Okay. Got it. And my second point is, especially for UP, what is your current outlook on cane areas recovery and cane crush overall, this season v/s last year?

Tarun Sawhney: So as I mentioned in my opening remarks, we're looking at the production of Uttar Pradesh broadly the same this year v/s last year. So approximately 9 million tonnes of sugar being produced last year at about the same amount, sorry, well, broadly speaking, I mean, a few percentage points here or there are out. Broadly, the same.

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Nisha Garg: And cane area would also be approximately .

Tarun Sawhney: Cane area was a little bit higher this year than last year but yields in certain parts of the state have been lower. And we're seeing that, especially in central and the eastern parts of Uttar Pradesh and some parts of Western Uttar Pradesh as well. You're seeing that for a variety of agroclimatic reasons, the yields have not kept up, whereas the cane is very healthy.

You can see that in terms of the recovery. It is by and large disease free. That is a result of not having excess rainfall, etc and also a lot to do with the management and cane development that happens across the factories. However, due to some climatic reasons, we've not seen the yields keep on par. And I think that is a major focus area.

As we move past the eradication of 238 variety for next year, the great plan has to be how we better manage the yields and agronomic activity at the farm level including at Triveni to ensure that we actually get the most amount of cane. We have been fortuitous in terms of getting excellent allocations of cane area from the Government of Uttar Pradesh in terms of the reservation policies. And I think that should have a positive result for our overall performance this year v/s last year. However, at this particular point in time, we're halfway through the season, and there is half of the season that's still remains.

Moderator: Thank you. Next question is from Rajesh Majumdar from 361 Capital . Please go ahead.

Rajesh Majumdar: Good evening. Thanks for the opportunity. My first question was on the sugar prices outlook. Of course, you mentioned the fact that MSP can still come, which I'm not doubting. But suppose this year, we end up with 6 million tonnes inventory and in all likelihood, next year, there is a 60% possibility of El Nino, which means the next year crop will also be lower. In which case, will the inventory position come to such a point that the prices can go up even much stronger from the current levels? And a related question is that like you've seen many years ago governments step in to put a cap on the sugar price. Yes, your thoughts on that ?

Tarun Sawhney: The government has not placed a cap on sugar price per se.

Rajesh Majumdar: No. Not yet. But if it goes, let's say, ₹45 - ₹46.

Tarun Sawhney: I'll answer your complete question. I think we're dealing in the realm of possibilities and percentages and to extend the same example, let me also tell you about the history. In the last 15 years, to the best of my knowledge, there have been 4 years that have been considered El Nino years, not one has happened, not one. And in the last 15 years, only one year has been below the long-term average of rainfall across the country, only one. Now statistically

speaking, for as long as monsoon or rainfall data exists in India, that has never happened. That has never ever happened. So you could extend that example as well. But every year, you extend it, we have a great monsoon.

I won't go into the hypothetical. But the fact that the matter is that you do have some amount of buffer in terms of the sugar that is diverted towards the ethanol blending program. And you have a huge quantum of grain that is available at reasonable prices across the country. So it's not that the ethanol blending program is going to suffer. And we at Triveni, that is why we have got large portions, majority of our distilleries, etc are multi-feed distilleries only for that eventuality that if you have lower cane availability in the country.

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For any reason, as there is a push towards making the sugar for domestic consumption, then you have to keep your distilleries gainfully occupied. And you do that because you've got dual feed capabilities. Now, to your question about sugar prices. Sugar prices will obviously go up where we are not immune to the forces of demand and supply. And if you see a substantial difference in terms of projected closing stock. And now I'm talking about September 2027, which is the year that you're talking about. You can see prices go up quite substantially. If you look at sugar inflation and track it for 10 years, we are well below agri price or rather food inflation, well below.

We are tracking at 50 %-60% below food inflation for the same period of time. So I would say it is about time that our prices go up. Is ₹45 significant? No, of course, not. It's nothing. I think ₹45 even today, the government will be happy with. It's if the price goes to ₹60 that you have something to worry about. Not at ₹45.

Rajesh Majumdar: In the last 15 years, I think there's one instance where the government has imposed the cap, if I'm not mistaken.

Tarun Sawhney: Yes. There is one instance, yes. But even that was highly restrictive. It was for certain quantities, not for other quantities, etc., and if I remember correctly, it was at the very end of the levy sugar era.

Rajesh Majumdar: Right. That's helpful. And secondly, I had a question on Sir Shadi Lal, despite of a large increase in the crush and prices going up, we are still seeing the gross recoveries lower in SSEL. Why is this? And when can we expect this company to turn around realistically?

Tarun Sawhney: It's an excellent question. As I mentioned, we've had very good yields. We've got good areas. However, we've had a breakout in something called white fly, very specifically only in that part of the state, and we have factories close by where we don't see the incidence of this pest.

This has created some amount of nuisance factor in the ratoon supply. The hope is that when plant cane starts coming in full in Shamli, we will be back. It infected the ratoon. That does not mean that it's going to affect the plant. And we will see the plant cane supplies coming I think 100% in Shamli in the next 10 days -or-so. And that is when you should see the expectations for the remainder of this year. That's one.

The second thing is that in the month of November for some strange reason, there was a little

bit of urea dosing that farmers in Western Uttar Pradesh did because of their perception of climatic factors. This turned out to be a little bit of a negative. And this is something that we will very strongly discourage. It does not happen at any of our other sugar factories. And we've had relationships for 50-60-70-100 years. Shamli being a new unit and the relationships speak new, our sway over the farming population needs to improve and increase so that they don't engage in practices where the 350,000 farmers that deal with us in other 7 factories don't engage in a cross the state. So we have to do that. And we've noticed that these are two possible and probable issues for the underperformance of Shamli. I do think that there is positive news ahead in terms of the remainder of the sugar season as far as Shamli recovery is

concerned. We've also had a couple of breakdowns, which led to intermittent factory operations at Shamli. It is an old factory, while despite doing a lot of repair and maintenance, there were 2 significant breakdowns that had an operational impact on the plant. Again, things that we have resolved, and we will completely resolve it during this off season.

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Rajesh Majumdar: Just one added question here. Can we expect the sugar year 2025-2026 to be still loss-making for Sir Shadi Lal. And should we take next year as a turnaround? What would be a sort of that? That's all.

Tarun Sawhney: I think that is a very fair assumption.

Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference over to the management team for closing comments.

Tarun Sawhney: Ladies and gentlemen, thank you very much for joining us today for the Q3 nine months fiscal 2026 results earnings conference call for Triveni Engineering. I think the next time we speak in all probability, this will be two separate companies. And with that, I would like to thank everybody that has participated over the years of this call for your valuable feedback and constructive feedback and guidance to the management team of Triveni Engineering.

Thank you very much, ladies and gentlemen. We are deeply appreciative of your constructive commentary. Over the next few months, we anticipate very good news as far as the Power Transmission business is concerned in terms of order booking, in terms of new wins in export markets, etc. We also look for a big rebound that we see domestically.

As far as sugar is concerned, I think all the bad news is pretty much out of the picture across the Distillery and Sugar segment. And anything that happens for here will have a direct positive impact on pricing and therefore improve margins further. That is my hope for the next few months. How much of that converts to the reality we will see. And it is very much in line, even with the last question asked by the last speaker about Sir Shadi Lal. Frankly speaking, if sugar prices rise by 5%, then yes, it will be a profitable year for every single factory, a very big difference and a big bounce back even for our subsidiary today. So all of those things are possibilities, and we hope that they all fructify.

Thank you again for your time. We look forward to speaking to you in about three and half months.

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